

Section 1: 10-K (10-K)

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549
FORM 10-K

(Mark One)
☒ ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the fiscal year ended January 3, 2025
OR
☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the transition period from _____ to _____

Commission File Number 1-3863



L3HARRIS TECHNOLOGIES, INC.
(Exact name of registrant as specified in its charter)

Delaware
(State or other jurisdiction of incorporation or organization)

34-0276860
(I.R.S. Employer Identification No.)

1025 West NASA Boulevard
Melbourne, Florida
(Address of principal executive offices)

32919
(Zip Code)

Registrant’s telephone number, including area code: (321) 727-9100

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Common Stock, par value \$1.00 per share	LHX	New York Stock Exchange

Securities Registered Pursuant to Section 12(g) of the Act: None

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act. Yes ☒ No ☐
Indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or Section 15(d) of the Act. Yes ☐ No ☒
Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐
Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐
Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company or an emerging growth company. See the definitions of “large accelerated filer,” “accelerated filer,” “smaller reporting company” and “emerging growth company” in Rule 12b-2 of the Exchange Act.

Large accelerated filer	☒	Accelerated filer	☐
Non-accelerated filer	☐	Smaller reporting company	☐
		Emerging growth company	☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐
Indicate by check mark whether the registrant has filed a report on and attestation to its management’s assessment of the effectiveness of its internal control over financial reporting under Section 404(b) of the Sarbanes-Oxley Act (15 U.S.C. 7262(b)) by the registered public accounting firm that prepared or issued its audit report. ☒
If securities are registered pursuant to Section 12(b) of the Act, indicate by check mark whether the financial statements of the registrant included in the filing reflect the correction of an error to previously issued financial statements. ☐
Indicate by check mark whether any of those error corrections are restatements that required a recovery analysis of incentive-based compensation received by any of the registrant’s executive officers during the relevant recovery period pursuant to §240.10D-1(b). ☐
Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒
The aggregate market value of the voting common equity held by non-affiliates of the registrant at June 28, 2024 was \$42,471,412,123 (based on the quoted closing sale price per share of the stock on the New York Stock Exchange). For purposes of this calculation, the registrant has assumed that its directors and executive officers as of June 28, 2024 are affiliates.
The number of shares outstanding of the registrant’s common stock as of February 7, 2025 was 188,313,839.

Documents Incorporated by Reference:
Portions of the registrant’s definitive Proxy Statement for the 2025 Annual Meeting of Shareholders scheduled to be held on April 18, 2025, which will be filed with the Securities and Exchange Commission within 120 days after the end of the registrant’s fiscal year ended January 3, 2025, are incorporated by reference into Part III of this Annual Report on Form 10-K to the extent described therein.

L3HARRIS TECHNOLOGIES, INC.
ANNUAL REPORT ON FORM 10-K FOR THE FISCAL YEAR ENDED JANUARY 3, 2025
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PART I

ITEM 1. BUSINESS.

General

L3Harris Technologies, Inc. is the Trusted Disruptor for the defense industry. With customers' mission-critical needs in mind, we deliver end-to-end technology solutions connecting the space, air, land, sea and cyber domains in the interest of global security. We support government customers in more than 100 countries, with our largest customers being various departments and agencies of the U.S. Government, their prime contractors and international allies. Our products and services have defense and civil government applications, as well as commercial applications.

Our fiscal year ends on the Friday nearest December 31. The fiscal year ended January 3, 2025 ("fiscal 2024") included 53 weeks and fiscal years ended December 29, 2023 ("fiscal 2023") and December 30, 2022 ("fiscal 2022") included 52 weeks. Unless the context otherwise requires, the terms "we," "our," "us," "Company" and "L3Harris" as used in this Report mean L3Harris Technologies, Inc. and its subsidiaries.

Description of Business Segments

We structure our operations primarily around the products, systems and services we sell and the markets we serve, and we report our financial results in four operating segments, which are also our reportable segments or business segments. From time to time, we acquire or divest businesses and strategically realign businesses within and across our business segments to optimize existing capabilities and enhance the efficiency with which we develop and deliver our products and services. Our business segments provide a wide-range of products, systems and services to various customers and are described below. For financial information with respect to our business segments, see *Note 14: Business Segments* in the Notes.

Space & Airborne Systems ("SAS"). Supplies full mission solutions as a prime and subsystem integrator in the space, airborne and cyber domains. We provide top-tier capabilities in the design, development, integration, production and sustainment of weapons systems for national security, civil government and international customers in the following business sectors:

Space Systems: Intelligence, surveillance and reconnaissance ("ISR"); position, navigation and timing; weather and climate monitoring; missile defense and ground-based space surveillance networks.

Intel & Cyber: Situational awareness, optical networks and advanced wireless solutions for classified intelligence and defense customers.

Mission Networks: Communications and networking solutions for air traffic management.

Airborne Combat Systems: Sensors, processors, hardened electronics, unmanned aircraft systems, precision weapons, infrared search and tracking, distributed aperture systems and precision pointing, weapons release systems; antennas for aircraft platforms; and threat warning and countermeasures for airborne, ground and maritime platforms.

Integrated Mission Systems ("IMS"). Delivers differentiated mission capabilities and prime systems integration to support intelligence, reconnaissance and surveillance (ISR), passive sensing and targeting, electronic attack, autonomy, power and communications, networks and sensors. IMS specializes in system design, development, integration, production, modernization and sustainment for national security and international customers in the following business sectors:

ISR: Airborne passive sensing and targeting, mission systems development, integration and life-cycle management for strategic reconnaissance, national command and control, tactical surveillance, electronic attack, agile strike, mobility, and classified platforms.

Maritime: Power, electrical, imaging, communication and sensor systems for naval platforms; integrated autonomous vessels for surface and undersea operations; fleet management; in-service support; missionization prototyping; and naval integration.

Global Optical Systems: Multi-domain, multi-spectral electro-optical and infrared (EO/IR) sensor systems supporting ISR and target acquisition missions; manufacturing of specialty laser and filter glass materials, laser range finders, target designators and transmitters; and highly scalable autonomous solutions. On January 4, 2025, we realigned our software solutions business from the ISR sector into Global Optical Solutions and renamed the sector Targeting & Sensor Systems.

Defense Electronics: Space communications and space flight avionics; 360-degree visible/midwave IR passive surveillance; fuzing, navigation and range-testing solutions; and precision electronic components.

Commercial Aviation Solutions: Integrated aircraft avionics, pilot training and data analytics services for the commercial aviation industry. At January 3, 2025, Commercial Aviation Solutions ("CAS disposal group") was classified as held for sale in our Consolidated Balance Sheet. See *Note 13: Acquisitions and Divestitures* in the Notes for further information.

Communication Systems ("CS"). Enables warfighters across all domains with solutions critical to mission success even in the most contested environments. We are a leading provider of resilient communication solutions for the U.S. Department of Defense ("DoD"), international, federal, and state agency customers in the following business sectors:

Tactical Communications: Design, manufacture and sustainment of resilient and interoperable secure communication solutions that include tactical radios, software, waveforms, satellite terminals and end-to-end battlefield systems.

Broadband Communications: Design, manufacture and sustainment of resilient and secure communication solutions that include ISR and tactical data links, software and integrated broadband networks.

Integrated Vision Solutions: Design, manufacture and sustainment of a full suite of helmet-mounted integrated night vision goggles with leading-edge image intensifier tubes and weapon-mounted sights, aiming lasers, and range finders.

Public Safety and Professional Communications: State-of-the-art communication equipment, systems and applications for federal agencies, state and local government first responders, utilities and transit agencies.

Aerojet Rocketdyne ("AR"). Provides propulsion, power and armament products and systems to U.S.

Government, including the DoD, National Aeronautics and Space Administration ("NASA") and major aerospace and defense prime contractors in the following business sectors:

Missile Solutions: Propulsion technologies and armament systems for strategic defense, missile defense, hypersonic and tactical systems.

Space Propulsion and Power Systems: Premier propulsion and power systems for national security, space and exploration missions.

International Business

In fiscal 2024, revenue from products and services where the end consumer is located outside the U.S., including foreign military sales funded through the U.S. Government, whether directly or through prime contractors, was \$4.4 billion (21% of our revenue) and came from a large number of countries with no single foreign country accounting for more than 5% of our total revenue. For financial information regarding our domestic and international operations, including long-lived assets, see *Note 14: Business Segments* in the Notes.

The majority of our international marketing activities are conducted through subsidiaries that operate in the Europe, Middle East and Africa ("EMEA") and Asia-Pacific ("APAC") regions and Canada. We also have established international marketing organizations and several regional sales offices.

Competitive Conditions and Trends in Market Demand

We operate in highly-competitive markets that are sensitive to technological advances. Some of our competitors in each of our markets are larger than we are and can maintain higher levels of expenditures for research and development ("R&D"). We concentrate on the opportunities that we believe are compatible with our resources, overall technological capabilities and objectives. We also collaborate with innovative partners, such as our strategic partnerships with Palantir Technologies and Shield Capital to develop new capabilities to meet the demands of our customers. Such collaboration is required by modern market dynamics where competing in our markets requires the ability to fuse hardware, software and artificial intelligence ("AI"). Principal competitive factors are product and system quality and reliability; technological capabilities; service; past performance; ability to develop and implement complex, integrated solutions; ability to meet delivery schedules; and cost-effectiveness. We frequently "partner" or are involved in subcontracting and teaming relationships with companies that are, from time to time, competitors on other programs. We compete domestically and internationally against large defense companies; principally BAE Systems, Boeing, General Dynamics, Lockheed Martin, Northrop Grumman, RTX, Thales and non-traditional defense contractors. For further discussion of trends in market demand, see "Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations" of this Report.

Backlog

Company-wide total backlog was \$34.2 billion and \$32.7 billion at January 3, 2025 and December 29, 2023, respectively. We expect to recognize approximately 45% of the revenue associated with Company-wide total backlog by the end of fiscal 2025 and approximately 75% of the revenue associated with Company-wide total backlog by the end of fiscal 2026, with the remainder to be recognized thereafter. See *Note 1: Significant Accounting Policies* in the Notes for additional information regarding Company-wide total backlog.

R&D

We conduct R&D activities using our own funds (company-funded R&D) and under contractual arrangements (customer-funded R&D). See *Note 1: Significant Accounting Policies* in the Notes for further information on company-funded R&D.

Intellectual Property

We own a large portfolio of patents, trade secrets, know-how, confidential information, trademarks, copyrights and other intellectual property and we routinely apply for new patents, trademarks and copyrights. We also license intellectual property to and from third parties. With regard to certain patents, the U.S. Government has an irrevocable, non-exclusive, royalty-free license, pursuant to which the U.S. Government may use or authorize others to use the inventions covered by such patents. Pursuant to similar arrangements, the U.S. Government may consent to our use of inventions covered by patents owned by other persons. Numerous trademarks used on or in connection with our products are also considered to be valuable assets.

Government Regulations

Our company is subject to various federal, state, local and international laws and regulations relating to the development, manufacture, sale and distribution of our products and services, and it is our policy to comply with the applicable laws in each jurisdiction in which we conduct business. Regulations include, but are not limited to, those related to import and export controls, corruption, bribery, the protection of the environment, government procurement, competition, product safety, workplace health and safety, employment, labor and data privacy. The following describes significant regulations that may impact our businesses. For further discussion of risks relating to government regulations, see “Item 1A. Risk Factors” of this Report.

Government Contracts. In fiscal 2024, the percentage of our revenue that was derived from sales to U.S. Government customers, including foreign military sales funded through the U.S. Government, whether directly or through prime contractors, was 76% and no other customer accounted for more than 5% of our revenue. Additional information regarding customers for each of our segments is provided under “Item 1. Business — Description of Business Segments” of this Report.

Cost-type contracts. Our U.S. Government cost-reimbursable contracts provide for the reimbursement of allowable costs plus payment of a fee and fall into three basic types: (i) cost-plus fixed-fee contracts, which provide for payment of a fixed fee irrespective of the final cost of performance; (ii) cost-plus incentive-fee contracts, which provide for payment of a fee that may increase or decrease, within specified limits, based on actual results compared with contractual targets relating to factors such as cost, performance and delivery schedule; and (iii) cost-plus award-fee contracts, which provide for payment of an award fee determined at the customer’s discretion based on our performance against pre-established performance criteria. Under our U.S. Government cost-reimbursable contracts, we are reimbursed periodically for allowable costs and are paid a portion of the fee based on contract progress. Some costs are partially or wholly unallowable for reimbursement by statute or regulation. Examples include certain merger and acquisition costs, lobbying costs, charitable contributions, interest expense, financing costs and certain litigation defense costs.

Fixed-price contracts. Our U.S. Government fixed-price contracts are either firm fixed-price contracts or fixed-price incentive contracts. Under our U.S. Government firm fixed-price contracts, we agree to perform a specific scope of work or sell a specific product for a fixed price and, as a result, benefit from cost savings or carry the burden of cost overruns. Under our U.S. Government fixed-price incentive contracts, we share with the U.S. Government both savings accrued for performance at less than target cost as well as costs incurred in excess of target cost up to a negotiated ceiling price, which is higher than the target cost, but carry the entire burden of costs exceeding the negotiated ceiling price. Under such incentive contracts, profit may also be adjusted up or down depending on whether specified performance objectives are met. Under our U.S. Government firm fixed-price and fixed-price incentive contracts, we generally receive either milestone payments totaling 100% of the contract price or monthly progress payments in amounts equaling 80% of costs incurred under the contract. The remaining amounts, including profits or incentive fees, are billed upon delivery and final acceptance of end items and deliverables under the contract.

Our production contracts are mainly fixed-price contracts and development contracts are generally cost-reimbursable contracts, although we have some fixed-price development contracts. Time-and-material contracts are considered fixed-price contracts as they specify a fixed hourly rate for each labor hour charged.

For further discussion of risks relating to U.S. Government contracts, see “Item 1A. Risk Factors,” “Item 3. Legal Proceedings” and “Item 7. Management’s Discussion and Analysis of Financial Condition and Results of Operations” of this Report.

Environmental. Our operations are subject to and affected by U.S. federal, state, local and foreign laws and regulations relating to the protection of the environment. We have incurred and, based on currently available information, we expect to continue to incur capital and operating costs to comply with existing and pending environmental laws and regulations. See “Item 1A. Risk Factors” and “Item 3. Legal Proceedings” of this Report and *Note 1: Significant Accounting Policies* and *Note 15: Legal Proceedings, Commitments and Contingencies* in the Notes.

Materials, Suppliers and Seasonality

Because of the diversity of our products and services, as well as the wide geographic dispersion of our facilities, we use numerous sources for the wide array of materials, such as electronic components, printed circuit boards, metals and plastics needed for our operations and products. We depend on suppliers and subcontractors for a large number of components and subsystems. We also rely on a limited number of certified microelectronics component suppliers for our products. We have experienced component shortages from vendors as a result of the global pandemic, natural disasters, or the shifting regulatory landscape. These events or regulations may cause a spike in demand for certain electronic components resulting in industry-wide supply chain disruptions. For further discussion of risks relating to subcontractors and suppliers, see “Item 1A. Risk Factors” of this Report.

We do not consider any material portion of our business to be seasonal. Various factors can affect the distribution of our revenue between accounting periods, including the timing of contract awards and the timing and availability of U.S. Government funding, as well as the timing of product deliveries and customer acceptance.

Human Capital and Sustainability

Our success depends on our skilled workforce. Attracting, developing, motivating and retaining highly-skilled people, particularly those with technical, engineering and science backgrounds, and in many cases, security clearances, is critical to our ability to execute our strategic priorities. We use human capital measures to set goals and monitor performance in several areas, including health and safety and talent.

Additional information regarding our human capital strategy and sustainability goals are available in our 2024 Sustainability Report which we expect to be published in fiscal 2025 on our company website. Information on our website, including our 2024 Sustainability Report, is not incorporated by reference into this Report.

Workforce Demographics. We had approximately 47,000 employees at January 3, 2025, including approximately 18,000 engineers and scientists. Of our total employees, 89% were located in the U.S. As of January 3, 2025, approximately 2,600, or 6%, of our U.S. employees were covered by various collective bargaining agreements, which we expect will be renegotiated as they expire, as we historically have done without significant disruption to operating activities.

Health and Safety. We prioritize the safety of our employees through maintaining a proactive safety culture and implementing programs designed to eliminate workplace incidents, risks and hazards. Throughout the year, we review and monitor our performance closely to reduce Occupational Safety and Health Administration reportable incidents.

Talent Strategy. We are focused on ensuring we maintain a balanced talent portfolio. Attracting new perspectives, ideas and capabilities, recognizing and rewarding performance, offering professional development and career growth opportunities, and providing an engaging employee experience that retains talent are strategic priorities. We strive to attract employees in all stages of their careers.

We hired approximately 4,500 new employees in fiscal 2024. We offer competitive salaries and comprehensive benefit packages, including health care, retirement planning and employer retirement contributions, educational assistance, child and elder back-up care, paid parental leave, and a discretionary paid time off program.

Sustainability. During fiscal 2024, we updated our environmental sustainability goals: by 2030 we plan to reduce our Scope 1 and Scope 2 greenhouse gas (“GHG”) emissions by 60%, water usage by 20%, solid waste by 10% from 2021 levels and source 40% of our electricity from renewable sources.

Available Information

Our principal executive offices are located at 1025 West NASA Boulevard, Melbourne, Florida 32919. Our website address is <https://www.l3harris.com>.

Our annual reports on Form 10-K, quarterly reports on Form 10-Q, proxy statements, current reports on Form 8-K and amendments to such reports are available free of charge on our website <https://www.l3harris.com/investors>, as soon as reasonably practicable after these reports are electronically filed with or furnished to the U.S. Securities and Exchange Commission ("SEC"). We also will provide the reports in electronic or paper form, free of charge, upon written request. Our website and the information posted thereon are not incorporated into this Report or any current or other periodic report that we file with or furnish to the SEC.

Cautionary Statement Regarding Forward-Looking Statements

This Report, including "Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations," contains forward-looking statements that involve risks and uncertainties, as well as assumptions that may not materialize or prove correct, which could cause our results to differ materially from those expressed in or implied by such forward-looking statements. All statements other than statements of historical fact are statements that could be deemed forward-looking statements, including, but not limited to, statements concerning: our plans, strategies and objectives for future operations; new products, systems, technologies, services or developments; future economic conditions, performance or outlook; future political conditions; the outcome of contingencies or litigation; environmental remediation cost estimates; the potential level of share repurchases, dividends or pension contributions; potential acquisitions or divestitures; the integration of our acquisitions; the value of contract awards and programs; expected revenue; expected cash flows or capital expenditures; our beliefs or expectations; activities, events or developments that we intend, expect, project, believe or anticipate will or may occur in the future; and assumptions underlying any of the foregoing. Forward-looking statements may be identified by their use of forward-looking terminology, such as "believes," "expects," "may," "could," "should," "would," "will," "intends," "plans," "estimates," "anticipates," "projects" and similar words or expressions. You should not place undue reliance on these forward-looking statements, which reflect our management's opinions only as of the date of filing of this Report and are not guarantees of future performance or actual results. Factors that might cause our results to differ materially from those expressed in or implied by these forward-looking statements, from our current expectations or projections or from our historical results include, but are not limited to, those discussed in "Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations," most notably those listed in the following section of this Report. All forward-looking statements are qualified by, and should be read in conjunction with, those risk factors. Forward-looking statements are made in reliance on the safe harbor provisions of Section 27A of the Securities Act of 1933, as amended (the "Securities Act"), and Section 21E of the Securities Exchange Act of 1934, as amended (the "Exchange Act"), and are made as of the date of filing of this Report, and we disclaim any intention or obligation, other than imposed by law, to update or revise any forward-looking statements, whether as a result of new information, future events or developments or otherwise, after the date of filing of this Report or, in the case of any document incorporated by reference, the date of that document.

ITEM 1A. RISK FACTORS.

Our business, financial condition, results of operations, cash flows and equity are subject to, and could be materially adversely affected by, various risks and uncertainties, including, without limitation, those set forth below, any one of which could cause our actual results to vary materially from recent results or our anticipated future results.

Macroeconomic, Industry and Governmental Risks

We depend on winning business in competitive markets from U.S. Government customers for a significant portion of our revenue. We are highly dependent on revenue from U.S. Government customers, primarily defense-related programs with the DoD and other government agencies.

The market for sales to U.S. Government customers is highly competitive and the U.S. Government may choose to use other contractors as part of competitive bidding processes or otherwise. The U.S. Government has increasingly relied on certain types of contracts that are subject to multiple competitive bidding processes, including multi-vendor indefinite-delivery, indefinite-quantity ("IDIQ"), government-wide acquisition contracts, General Services Administration Schedules and other multi-award contracts, which has resulted in greater competition and increased pricing pressure. Some of our competitors have greater financial resources than we do and may have more extensive or more specialized engineering, manufacturing and marketing capabilities than we do in some

areas. We may not be able to continue to win competitively awarded contracts or to obtain task orders under multi-award contracts. Further, competitive bidding processes involve significant cost and managerial time to prepare bids

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and proposals for contracts and the risk that we may fail to accurately estimate the resources and costs required to fulfill any contract awarded to us. We may choose not to bid in certain competitive bidding processes, which would result in the potential loss of opportunities. Additionally, bid protests from unsuccessful bidders can result in significant expense or delay, contract modification or contract rescission as a result of our competitors protesting or challenging contracts awarded to us.

A reduction in U.S. Government funding or a change in U.S. Government spending priorities could have an adverse impact on our business, financial condition, results of operations, cash flows and equity. We expect changes in policy positions and spending priorities from the new Administration. Our U.S. Government programs must compete with programs managed by other government contractors and with other policy imperatives for consideration for limited resources and for uncertain levels of funding during the budget and appropriations process. Although multi-year contracts may be authorized and appropriated in connection with major procurements, Congress generally appropriates funds on a U.S. Government fiscal year ("GFY") basis. Procurement funds are typically disbursed over the course of one to three years. Consequently, programs often initially receive only partial funding, and additional funds are obligated only as Congress authorizes further appropriations.

We cannot predict the extent to which total funding and/or funding for individual programs will be changed as part of the annual appropriations process ultimately approved by Congress and the President or in separate supplemental appropriations or continuing resolutions, as applicable. Budget and appropriations decisions made by the U.S. Government are outside of our control and may have long-term consequences for our business. U.S. Government spending priorities and levels remain uncertain and difficult to predict, especially with a new administration, and are affected by numerous factors, including the U.S. Government's budget deficit and the national debt. A change in U.S. Government spending priorities or an increase in non-procurement spending at the expense of our programs, or a reduction in total U.S. Government spending on an absolute or inflation-adjusted basis, could have material adverse consequences on our current or future business.

If Congress does not enact a full-year GFY 2025 appropriations bill, the U.S. Government may not be able to fulfill its funding obligations, and there could be significant disruption to all discretionary programs and corresponding impacts on the entire defense industry, which could adversely affect our business, results of operations, financial condition and cash flow. Any inability of the U.S. Government to complete its budget process for any GFY and resulting operation on funding levels equivalent to its prior fiscal year pursuant to a Continuing Resolution ("CR") or shut down, also could have material adverse consequences on our current or future business. For more information see "Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations - U.S. and International Budget Environment" of this Report.

Our results of operations and cash flows are substantially affected by our mix of fixed-price, cost-type and time-and-material type contracts. Fixed-price contracts, particularly for development programs, could subject us to losses from cost overruns or inflation. In fiscal 2024, 73% of our revenue was derived from fixed-price contracts that allow us to benefit from cost savings, but subject us to the risk of potential cost overruns, including due to greater than anticipated or a sustained period of increased inflation or unexpected delays because we assume all of the cost burden. If our initial estimates are incorrect, we can lose money (or make more or less money than estimated) on these contracts. Fixed-price U.S. Government contracts can expose us to potentially large losses because the U.S. Government can hold us responsible for completing a project or, in limited circumstances, paying the entire cost of its replacement by another provider.

Contracts for development programs include complex design and technical requirements and are generally contracted on a cost-reimbursable basis, however, some existing development programs are contracted on a fixed-price basis or include cost-type contracting for the development phase with fixed-price production options. Because many of these contracts involve new technologies and applications and can last for years, unforeseen events, such as technological difficulties, increases in the price of materials, a significant increase in or a sustained period of increased inflation, problems with our suppliers, labor market conditions and cost overruns, can result in less favorable economics or even losses over-time (which, especially in the case of sharp and significant sustained inflation, could happen quickly and have long lasting impacts). Furthermore, if we do not meet contract deadlines or specifications, we may need to renegotiate contracts on less favorable terms, be forced to pay penalties or liquidated damages or suffer losses if the customer exercises its right to terminate. Some of our contracts have provisions relating to cost controls and audit rights, and if we fail to meet the terms specified in those contracts, we may not realize their full benefits. Cost overruns would adversely impact our results of operations, which are dependent on our ability to maximize our earnings from our contracts, and the potential risk would be greater if our

contracts shifted toward a greater percentage of fixed-price contracts, particularly firm fixed-price contracts, as opposed to cost-type and time-and-material contracts.

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To the extent feasible, we have consistently followed the practice of contractually adjusting our prices to reflect the impact of inflation on salaries and fringe benefits for employees and the cost of purchased materials and services and in some cases seeking the inclusion of adjustment clauses to incorporate certain cost adjustments in fixed-price contracts for unexpected inflation. However, our fixed-price contracts could subject us to losses in the event of cost overruns or a significant increase in or a sustained period of increased inflation if these measures are not effective.

Any or all of the foregoing could have a negative impact on our business, financial condition, results of operations, cash flows and equity.

The application or impact of regulations, unilateral government action, termination or negative audit findings for one or more of our contracts could have an adverse impact on our business, financial condition, results of operations, cash flows and equity. U.S. Government contracts are generally subject to U.S. Government oversight audits, which could result in adjustments to our contract costs. Any costs found to be improperly allocated to a specific contract will not be reimbursed, and such costs already reimbursed must be refunded. We have recorded contract revenue based on costs we expect to realize upon final audit. However, we do not know the outcome of any future audits and adjustments, and we may be required to materially reduce our revenue or profits upon completion and final negotiation of audits. Negative audit findings could also result in termination of a contract, forfeiture of profits, suspension of payments, fines or suspension or debarment from U.S. Government contracting or subcontracting for a period of time.

In addition, U.S. Government contracts generally contain provisions permitting termination, in whole or in part, without prior notice at the U.S. Government's convenience upon payment only for work done and commitments made at the time of termination. For some contracts, we are a subcontractor and the U.S. Government could terminate the prime contractor for convenience without regard for our performance as a subcontractor. We may be unable to secure new contracts to offset revenue or backlog lost as a result of any termination of our U.S. Government contracts. Because a significant portion of our revenue is dependent on our performance and payment under our U.S. Government contracts, the loss of one or more large contracts could have an adverse impact on our business, financial condition, results of operations, cash flows and equity.

From time to time, we may begin performance of a U.S. Government contract under an undefinitized contract action with a not-to-exceed price before the terms, specifications or price are agreed to between the parties. In these arrangements, the U.S. Government has the ability to unilaterally definitize the contract if a mutual agreement regarding terms, specifications and price cannot be reached. These uncertainties or loss of negotiating leverage associated with long delays could have a material adverse impact on our business, financial condition, results of operations, cash flows and equity.

Our U.S. Government business also is subject to specific procurement regulations and a variety of socioeconomic and other requirements that, although customary in U.S. Government contracts, increase our performance and compliance costs. These costs might increase in the future, thereby reducing our margins, which could have an adverse effect on our business, financial condition, results of operations, cash flows and equity. In addition, the U.S. Government has and may continue to implement initiatives focused on efficiencies, affordability and cost growth and other changes to its procurement practices. These initiatives and changes to procurement practices may change the way U.S. Government contracts are solicited, negotiated and managed, which may affect whether and how we pursue opportunities to provide our products and services to the U.S. Government, including the terms and conditions under which we do so, which may have an adverse impact on our business, financial condition, results of operations, cash flows and equity.

Failure to comply with applicable regulations and requirements could lead to fines, penalties, repayments or compensatory or treble damages, or suspension or debarment from U.S. Government contracting or subcontracting for a period of time. The termination of a U.S. Government contract or relationship as a result of any of these acts would have an adverse impact on our operations and could have an adverse effect on our standing and eligibility for future U.S. Government contracts.

We participate in markets that are often subject to uncertain economic conditions, which makes it difficult to estimate growth in our markets and, as a result, future income and expenditures. We participate in U.S. and international markets that are subject to uncertain economic conditions. In particular, U.S. federal, state and local government spending priorities and levels remain uncertain and difficult to predict and are affected by numerous factors. In addition, certain of our non-U.S. customers, including in the Middle East and other oil or natural gas-

producing countries, could be impacted by weakness or volatility in oil or natural gas prices, or negative expectations about future prices or volatility, which could adversely affect demand for our products, systems, services or technologies. As a result of that uncertainty, it is difficult to develop accurate estimates of the level of

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growth in the markets we serve. Because those estimates underpin all components of our budgeting and forecasting, our estimates or guidance for future revenue, income and expenditures may be inaccurate, and we may make significant investments and expenditures but never realize the anticipated benefits.

We cannot predict the consequences of future geo-political events, but they may adversely affect the markets in which we operate, our ability to insure against risks, our operations or our profitability. Ongoing instability and current conflicts in global markets, including in the Ukraine and Eastern Europe, the Middle East and Asia, and the potential for other conflicts and future terrorist activities and geo-political events throughout the world, including new or increased economic and trade sanctions, including tariffs, have created and may continue to create economic and political uncertainties and impacts that could have a material adverse effect on our business, operations and profitability. These types of matters cause uncertainty in financial and insurance markets and may significantly increase the political, economic and social instability in the geographic areas in which we operate.

Unfavorable credit conditions in financial markets outside of the U.S. could adversely affect the ability of our international customers and suppliers to obtain financing and could result in a decrease in or cancellation of orders for our products and services or impact the ability of our customers to make payments. These matters also may cause us to experience increased costs, such as for insurance coverage and performance bonds (or for them to be unavailable altogether), as well as difficulty with financing our operating, investing or financing (or refinancing) activities.

We are subject to government investigations, which could have a material adverse effect on our business, financial condition, results of operations, cash flows and equity. U.S. Government contractors are subject to extensive legal and regulatory requirements, including International Traffic in Arms Regulations ("ITAR") and U.S. Foreign Corrupt Practices Act ("FCPA"), and from time to time agencies of the U.S. Government investigate whether we have been and are operating in accordance with these requirements. Under U.S. Government regulations, an indictment of L3Harris by a federal grand jury, or an administrative finding against us as to our present responsibility to be a U.S. Government contractor or subcontractor, could result in us being suspended for a period of time from eligibility for awards of new government contracts or task orders or in a loss of export privileges, which could have a material adverse effect on our business, financial condition, results of operations, cash flows and equity. A conviction, or an administrative finding against us that satisfies the requisite level of seriousness, could result in debarment from contracting with the U.S. Government for a specific term, which could have a material adverse effect on our business, financial condition, results of operations, cash flows and equity.

We derive a significant portion of our revenue from international operations and are subject to the risks of doing business internationally. We are dependent on sales to customers outside the U.S. We expect that international revenue will continue to account for a significant portion of our total revenue. Also, a portion of our international revenue is from, and a portion of our business activity is being conducted with or in, less-developed countries and sometimes countries with unstable governments, or in areas of military conflict or at military installations. Other risks of doing business internationally include:

- Laws, regulations and policies of foreign governments relating to investments and operations;
- Unforeseen changes in export controls and other trade regulations;
- Changes in regulatory requirements, including business or operating license requirements, currency exchange controls or embargoes;
- Uncertainties and restrictions concerning the availability of funding, credit or guarantees;
- Risk of non-payment or delayed payment by non-U.S. customers;
- Contractual obligations to non-U.S. customers that may include specific in-country purchases, investments, manufacturing agreements or financial or other support obligations, known as offset obligations, that may extend for years, require teaming with local companies and result in significant penalties if not satisfied;
- Issues related to involving international dealers, distributors, sales representatives and consultants;
- Difficulties of managing a geographically dispersed organization and culturally diverse workforces, including compliance with local laws and practices;
- Fluctuations of currency, currency revaluations, difficulties with repatriating cash generated or held abroad in a tax-efficient manner and changes in tax laws;
- Uncertainties as to local laws and enforcement of contract and intellectual property rights and occasional requirements for onerous contract terms;

- Changes in government, economic and political policies, political or civil unrest, acts of terrorism, threats of international boycotts, U.S. anti-boycott legislation or sanctions against U.S. defense companies; and
- Increased risk of an incident resulting in damage or destruction to our facilities or products or resulting in injury or loss of life to our employees, subcontractors or other third parties.

Business and Operational Risks

We depend on our subcontractors and suppliers, and failures in or disruptions to our supply chain could cause our products and or services to be produced or delivered in an untimely or unsatisfactory manner. Our ability to manufacture and deliver products and services to our customers requires our U.S. and non-U.S. subcontractors and suppliers to provide a variety of materials, components, subsystems and services. In some instances, we depend upon a single supplier for components, which adds risk because that supplier may at times be unable to meet our needs and because we may have little negotiating leverage with sole-source suppliers. Identifying and qualifying dual and second-source suppliers can be difficult, time consuming and may result in increased costs. Any inability to timely develop cost-effective alternative sources of supply could materially impact our ability to manufacture and deliver products and services to our customers.

In addition, we are required to procure certain materials and components, including certain microelectronic components, from U.S. Government-approved supply sources. Certain heightened regulatory requirements that may apply to these sources can further limit the subcontractors and suppliers we may utilize. Legislation, regulatory changes or other governmental actions, including product certification or stewardship requirements, sourcing restrictions, tariffs, embargoes, product authenticity, cybersecurity regulation, and environmental standards (e.g., greenhouse gas emission limitations) may all impact our subcontractors and suppliers, and there continues to be uncertainty about actions that may be implemented by the new Administration.

From time to time, our subcontractors and suppliers experience financial and operational difficulties outside of our direct control, which may impact their ability to deliver the materials, components, subsystems and services we need.

In recent years, global supply chains, including ours, have experienced significant disruption from material availability and supplier performance, as well as extended lead times, pricing volatility, inflationary pressures and labor issues. We and our subcontractors and suppliers have also experienced difficulties in the timely procurement of necessary materials and components, including microelectronics. Current geopolitical conditions, including sanctions and other trade restrictive activities and strained inter-country relations, have contributed to issues procuring necessary materials and components. For example, some materials and components in our supply chain have previously been sourced from areas now under sanctions or other trade restrictions, such as specialty metals from Russia and certain equipment from China, or are currently sourced from areas which are at risk of sanctions or other trade restrictive actions, not just by the United States but by other nations or groups, such as the European Union.

While we continuously work to implement supply chain resiliency initiatives, we cannot guarantee the success of any of these efforts. Material supply disruptions may still occur in the future, leading to untimely delivery or unsatisfactory quality of products and services, and potentially adversely affecting our business, operational results, financial condition and cash flow.

We must attract and retain key employees, and any failure to do so could harm us. Our future success depends to a significant degree upon the continued contributions of our management and our ability to attract and retain highly-qualified management and technical personnel, including engineers and employees who have U.S. Government security clearances, particularly clearances of top secret and above. To the extent that the demand for qualified personnel exceeds supply in certain areas, we could experience higher labor, recruiting or training costs in order to attract and retain such employees. Failure to attract and retain such personnel would damage our future prospects and could adversely affect our ability to succeed in our human capital goals and priorities, as well as negatively impact our business and operating results.

We could be negatively impacted by a security breach of our Information Technology ("IT") networks and related systems. We face the risk of a security breach, whether through cyber-attack on our IT infrastructure, insider threat, or threats to the physical security of our facilities and employees or other significant disruption of our IT networks and related systems or those of our suppliers or subcontractors. The risk of a security breach or disruption, particularly through cyber-attack or cyber intrusion, including by computer hackers, foreign governments and cyber terrorists, is persistent. The volume, intensity and sophistication of threats from around the world remains elevated. These risks may increase as AI capabilities improve.

As a government contractor with access to national security or other sensitive government information, we face

a heightened risk of a security breach or disruption from threats to gain unauthorized access to our and our customers' proprietary information on our IT networks and related systems, our classified networks, and to the IT networks and related systems that we operate, maintain and secure for certain of our customers. We have implemented various measures to manage the risk of a security breach or disruption. See "Item 1C. Cybersecurity" in this Report for further discussion of our risk management and strategy related to cybersecurity threats.

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Our efforts and measures have not been entirely effective in the case of every cyber security incident, but no incident has had a material negative impact on us to date. Even the most well-protected information, networks, systems and facilities remain potentially vulnerable because attempted security breaches, particularly cyber-attacks and cyber intrusions, or disruptions will occur in the future, and because the techniques used in such attempts are constantly evolving and generally are not recognized until launched against a target, and in some cases are designed not to be detected and, in fact, may not be detected. In some cases, the resources of foreign governments may be behind such attacks due to the nature of our business and the industries in which we operate. Accordingly, we may be unable to anticipate these techniques or to implement adequate security controls or other preventative measures and future cyber security incidents may have a material negative impact on us. A security breach or other significant disruption involving these types of information and IT networks and related systems could:

- Disrupt proper functioning of these networks and systems and, therefore, our operations and/or those of certain of our customers;
- Result in unauthorized access to, and destruction, loss, theft, misappropriation or release of, proprietary, confidential, sensitive or otherwise valuable information of ours, our customers or our employees, including trade secrets, which could be used to compete against us or for disruptive, destructive or otherwise harmful purposes and outcomes;
- Compromise national security and other sensitive government functions;
- Require significant management attention and resources to remedy damages that result;
- Result in costs which exceed our insurance coverage and/or indemnification arrangements;
- Subject us to claims for contract breach, damages, credits, penalties or termination; and
- Damage our reputation with our customers and the general public.

We must also rely on the safeguards of varying levels put in place by customers, suppliers, vendors, subcontractors or other third parties to minimize the impact of cyber threats, other security threats or business disruptions. These third parties may have varying levels of cybersecurity expertise and safeguards. Our commercial arrangements with these third parties include processes designed to require that the third parties and their employees and agents agree to maintain certain standards for the storage, protection and transfer of confidential, personal and proprietary information. However, we remain at risk of a data breach due to the intentional or unintentional non-compliance by a third party's employee or agent, the breakdown of a third party's data protection processes, which may not be as sophisticated as ours, or a cyber-attack on a third party's information network and systems.

Any or all of the foregoing could have a negative impact on our business, financial condition, results of operations, cash flows and equity, reputation, ability to protect data, assets, and intellectual property, maintenance of customer and vendor relationships, competitive posture, and could lead to litigation or regulatory investigations or actions.

Our future success will depend on our ability to develop new products and services that achieve market acceptance in our current and future markets. Our businesses are characterized by rapidly changing technologies and evolving industry standards. To remain competitive, we need to continue to design, develop, manufacture, assemble, test, market and support new products and services, which will require the investment of significant financial resources in new technologies such as AI.

We have allocated funds for such investments through customer-funded and internal R&D, strategic alliances and other teaming arrangements, but we may not be able to successfully identify new opportunities and may not have the necessary resources to develop new products and services in a timely or cost-effective manner.

Furthermore, we cannot be sure that these expenditures ultimately will lead to the timely development of new products and services. Due to the design complexity of some of our products and services, we may experience delays in completing development and introducing new products and services or incorporating new technologies into our existing products and services in the future. Any delays could result in increased costs of development or divert resources from other projects.

In addition, the markets for our products and services may not develop as we currently anticipate, we may not

be as successful in newly identified markets as anticipated, and joint ventures, partnerships, strategic alliances or other teaming arrangements we may enter into to pursue developing new products and services may not be successful. Our competitors may incorporate AI technologies into their products or services more quickly or more successfully than us, which could impair our ability to compete. Furthermore, competitors may develop competing products and services or incorporate new technologies into our existing products and services that either gain market acceptance in advance of our products and services or cause our existing products and services or

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technologies to become non-competitive or obsolete, which could adversely affect our results of operations and harm our business.

We have significant operations in locations that could be materially and adversely impacted in the event of a natural disaster or other significant disruption. Our corporate headquarters and significant business operations are located in Florida, which is subject to the risk of major hurricanes. Our worldwide operations and operations of our suppliers and customers could be subject to natural disasters (including those as a result of climate change) or other significant disruptions, including hurricanes, typhoons, tsunamis, floods, earthquakes, fires, water shortages, other extreme weather conditions, epidemics, pandemics, acts of terrorism, power shortages and blackouts, telecommunications failures and other natural and man-made disasters or disruptions. In the event of such a natural disaster or other disruption, we could experience disruptions or interruptions to our operations or the operations of our suppliers, subcontractors, distributors, resellers or customers, including inability of employees to work; destruction of facilities; and/or loss of life, all of which could materially increase our costs and expenses, delay or decrease orders and revenue from our customers and have a material adverse effect on the continuity of our business and our business, financial condition, results of operations, cash flows and equity.

Risk of the release, unplanned ignition, explosion, or improper handling of dangerous materials used in our business could disrupt our operations and adversely affect our financial results. Our business operations are subject to risk in connection with the handling, production, and disposition of potentially explosive and ignitable energetic materials and other dangerous chemicals, including motors and other materials used in rocket propulsion. The handling, production, transport, and disposition of hazardous materials could result in incidents that temporarily shut down or otherwise disrupt our manufacturing operations and could cause production delays. A release of these chemicals or an unplanned ignition or explosion could result in death or significant injuries to employees and others. Material property damage to us or third parties could also occur.

The use of these products in applications by our customers could also result in liability if an explosion, unplanned ignition or fire were to occur. Extensive regulations apply to the handling of explosive and energetic materials, including but not limited to, regulations governing hazardous substances and hazardous waste. The failure to properly store and ultimately dispose of such materials could create significant liability and/or result in regulatory sanctions. Any release, unplanned ignition or explosion could expose us to adverse publicity or liability for damages or cause production delays, any of which could have a material adverse effect on our business, financial condition, results of operations, cash flows and equity.

Failure to achieve the expected results of LHX NeXt could adversely affect our future financial condition and results of operations. In fiscal 2023, we announced LHX NeXt, a targeted three-year program designed to enhance organizational agility and performance by leveraging our scale and relationships across segments to drive operational efficiency and competitiveness for the enterprise. We have seen significant progress on LHX NeXt in fiscal 2024, however, there can be no assurances that such progress will continue in fiscal 2025, that the initiatives that are part of LHX NeXt will achieve their desired results or that costs savings achieved as a result of LHX NeXt will impact our results of operations on the time frame or in the manner we currently expect.

Financial Risks

Changes in estimates we use in accounting for many of our programs could adversely affect our future financial condition and results of operations. Accounting for our contracts requires judgment relative to assessing risks, including estimating contract revenue and costs and assumptions for schedule and technical issues. Due to the size and nature of many of our contracts, the estimation of total revenue and cost at completion is complicated and subject to many variables. For example, we must make assumptions regarding: (i) the nature and complexity of the work to be performed; (ii) subcontractors' and suppliers' expected performance; (iii) availability and costs of labor, materials, components subsystems and services (including expected increases in wages and prices); (iv) the length of time to complete the contract; (v) the allocation of transaction price to one or more performance obligations based on the products and services promised to the customer; (vi) incentives or penalties related to performance on contracts in estimating revenue and profit rates, and recording them when there is sufficient information for us to assess anticipated performance; and (vii) estimates of award fees in estimating revenue and profit rates based on

actual and anticipated awards.

Our profitability can be adversely affected when estimated contract costs increase from our initial estimates, especially without comparable increases in revenue. There are many reasons estimated contract costs can increase, including: (i) supply chain disruptions, inflation and labor issues; (ii) design or other development challenges; and (iii) program execution challenges (including from technical or quality issues and other performance concerns). However, because of the significance of the judgments and the difficulties inherent in estimating future costs, we cannot guarantee that estimated revenues and contract costs will not change in the future. Any cost growth or

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changes in estimated contract revenues and costs may adversely affect results of operations and financial condition. For additional information regarding our critical accounting estimates applicable to our accounting for our contracts, see “Item 7. Management’s Discussion and Analysis of Financial Conditions and Results of Operations - Critical Accounting Estimates” of this Report.

Our level of indebtedness and our ability to make payments on or service our indebtedness and our unfunded defined benefit plans liability may materially adversely affect our financial and operating activities or our ability to incur additional debt. A substantial portion of our retired employee population and a portion of our current employee population are covered by defined benefit pension and other postretirement defined benefit plans (collectively, “defined benefit plans”). At January 3, 2025, we had \$11.8 billion in aggregate principal amount of outstanding fixed-rate debt, which reflects our total long-term debt, including current portion but excluding finance leases, and \$205 million of unfunded defined benefit plan liabilities. Our ability to make payments on and to refinance our current or future indebtedness, and our ability to make contributions to our unfunded defined benefit plans liability, will depend on our ability to generate cash from operations, financings and investments, which may be subject to general economic, financial, competitive, legislative, regulatory and other factors that are beyond our control.

While our outstanding long-term debt is all fixed rate and our repayment schedule is known, the costs and returns related to our defined benefit plans are variable. Accordingly, our defined benefit plan liabilities could increase, which could require us to make significant funding contributions to our defined benefit plans and affect cash flows in future periods.

If we are not able to repay or refinance our debt as it becomes due or make contributions to our unfunded defined benefit plans liability, we may be forced to divest businesses, sell assets or take other disadvantageous actions, including reducing financing for working capital, capital expenditures and general corporate purposes; reducing our cash dividend rate and/or share repurchases; or dedicating an unsustainable level of our cash flow from operations to the payment of principal and interest on our indebtedness. In addition, our ability to withstand competitive pressures and to react to changes in the defense technology industry could be impaired. The lenders who hold such debt could also accelerate amounts due, which could potentially trigger a default or acceleration of any of our other debt.

Legal, Tax and Regulatory Risks

Changes in our effective tax rate or additional tax exposures may have an adverse effect on our results of operations and cash flows. We are subject to income taxes in the U.S. and numerous international jurisdictions. There are transactions and calculations in the ordinary course of business where the application of tax law may be uncertain, require significant judgment or be subject to differing interpretations. Our worldwide income tax provision may be adversely affected by a number of factors, which include:

- Changes in domestic or international tax laws or the interpretation of such tax laws;
- The jurisdictions in which profits are determined to be earned and taxed;
- Adjustments to estimated taxes upon finalization of various tax returns;
- Increases in expenses not fully deductible for tax purposes, including impairment of goodwill or other long-term assets acquired in connection with mergers or acquisitions;
- Changes in available tax credits;
- Changes in share-based compensation expense;
- Changes in the valuation of our deferred tax assets and liabilities; and
- The resolution of issues arising from tax audits with various tax authorities.

Any significant increase in our future effective tax rates, or timing of deductions, credits, or payments, could adversely impact our results of operations and cash flow for future periods.

We may not be successful in obtaining the necessary export licenses and Congress may prevent proposed sales to certain foreign governments. We must first obtain export and other licenses and authorizations from various U.S. Government agencies before we are permitted to sell certain products and technologies outside of the U.S. For

example, the U.S. Department of State must notify Congress at least 15 to 60 days, depending on the size and location of the proposed sale, prior to authorizing certain sales of defense equipment and services to foreign governments. During that time, Congress may take action to block the proposed sale. We may be unsuccessful in obtaining necessary licenses or authorizations or Congress may prevent or delay certain sales. Our ability to obtain necessary licenses and authorizations timely or at all is subject to risks and uncertainties, including changing U.S. Government policies or laws or delays in Congressional action due to geopolitical and other factors. If we are not successful in obtaining or maintaining the necessary licenses or authorizations in a timely

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manner, our sales relating to those approvals may be reversed, prevented or delayed, and any significant impairment of our ability to sell products or technologies outside of the U.S. could negatively impact our business, financial condition, results of operations, cash flows and equity.

Environmental issues could have a material adverse effect on our business, financial condition, results of operations, cash flows and equity. Our operations are subject to various U.S. federal, state and local, as well as certain foreign, environmental laws and regulations within the countries in which we operate relating to the discharge, storage, treatment, handling, disposal and remediation of certain materials, substances and wastes used in our operations. Our real estate assets in particular are subject to various risks, including that our reserves for estimated future environmental obligations may prove to be insufficient, we may be unable to complete environmental remediation or, we may be unable to have state and federal environmental restrictions lifted. Compliance with current and future environmental laws and regulations may require significant operating and capital costs. Environmental laws and regulations may institute substantial fines and criminal sanctions as well as facility shutdowns to address violations and may require the installation of costly pollution control equipment or operational changes to limit emissions or discharges. Our suppliers may face similar business interruptions and incur additional costs that may increase the price of materials needed for manufacturing. We also incur, and expect to continue to incur, costs to comply with current environmental laws and regulations related to remediation of conditions in the environment. In addition, if violations of environmental laws result in us, or in one or more of our operations, being identified as an excluded party in the U.S. Government's System for Award Management, then we or one or more of our operations would become ineligible to receive certain contracts, subcontracts and other benefits from the federal government or to perform work under a government contract or subcontract. Generally, such ineligibility would continue until the basis for the listing has been appropriately addressed.

If our responses to new or evolving legal and regulatory requirements or other sustainability concerns are unsuccessful or perceived as inadequate for the U.S. or our international markets, we also may suffer damage to our reputation, which could adversely affect our business. Developments such as the adoption of new environmental laws and regulations, stricter enforcement of existing laws and regulations, violations by us of such laws and regulations, discovery of previously unknown or more extensive contamination, litigation involving environmental impacts, our inability to recover costs associated with any such developments under previously priced contracts or financial insolvency of other responsible parties could have a material adverse effect on our business, financial condition, results of operations, cash flows and equity.

Our reputation and ability to do business may be impacted by the improper conduct of our employees, agents or business partners. We have implemented compliance controls, training, policies and procedures designed to prevent and detect reckless or criminal acts from being committed by our employees, agents or business partners that would violate the laws of the jurisdictions in which we operate, including laws governing payments to government officials, such as the FCPA, the protection of export-controlled or classified information, such as ITAR, false claims, procurement integrity, cost accounting and billing, competition, information security and data privacy and the terms of our contracts.

We cannot ensure, however, that our controls, training, policies and procedures will prevent or detect all such reckless or criminal acts, and we have been adversely impacted by such acts in the past. If not prevented, such acts could subject us to civil or criminal investigations, monetary and non-monetary penalties and suspension and debarment by the U.S. Government and could have a material adverse effect on our business, results of operations and reputation. In addition, misconduct involving data security lapses resulting in the compromise of personal information or the improper use of our customers' sensitive or classified information could result in remediation costs, regulatory sanctions against us and serious harm to our reputation and could adversely impact our ability to continue to contract with the U.S. Government.

The outcome of litigation or arbitration in which we are involved from time to time is unpredictable, and an adverse decision in any such matter could have a material adverse effect on our financial condition, results of

operations, cash flows and equity. The size, nature and complexity of our business make us susceptible to investigations, claims, disputes, enforcement actions, litigation and other legal proceedings, particularly those involving governments. From time to time, we are defendants in a number of litigation matters and are involved in a number of arbitration matters. These actions may divert financial and management resources that would otherwise be used to benefit our operations. The results of these or new matters may be unfavorable to us. Although we maintain insurance policies, they may not be adequate to protect us from all material judgments and expenses related to current or future claims and may not cover the conduct that is the subject of the litigation or arbitration. Desired levels of insurance may not be available in the future at economical prices or at all. In addition, the results of litigation or arbitration can be difficult to predict, including litigation involving jury trials. Accordingly, our current

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judgment as to the likelihood of our loss (or our current estimate as to the potential range of loss, if applicable) with respect to any particular litigation or arbitration matter may be wrong. A significant judgment or arbitration award against us arising out of any of our current or future litigation or arbitration matters could have a material adverse effect on our business, financial condition, results of operations, cash flows and equity.

We may become subject to intellectual property infringement claims, and third parties may infringe upon our intellectual property rights. Many of the markets we serve are characterized by vigorous protection and pursuit of intellectual property rights, which often has resulted in protracted and expensive litigation. Our competitive position in the market depends in part on our ability to ensure that our intellectual property is protected, that our intellectual property rights are not diluted or subject to misuse, and that we are able to license certain third-party intellectual property on reasonable terms. Third parties have claimed in the past, and may claim in the future, that we are infringing directly or indirectly upon their intellectual property rights, and we may be found to be infringing or to have infringed directly or indirectly upon those intellectual property rights. Claims of infringement might also require us to enter into costly royalty or license agreements. Our patents and other intellectual property may be challenged, invalidated, misappropriated or circumvented by third parties. Moreover, we may not be able to obtain royalty or license agreements on terms acceptable to us, or at all.

We also may be subject to significant damages or injunctions against development and sale of certain of our products, services and solutions. Our success depends in large part on our proprietary technology. We rely on a combination of patents, copyrights, trademarks, trade secrets, know-how, confidentiality provisions and licensing arrangements to establish and protect our intellectual property rights. In addition, the laws concerning intellectual property vary among nations and the protection provided to our intellectual property by the laws and courts of foreign nations may differ from those of the U.S. If we fail to successfully protect and enforce these rights, our competitive position could suffer. Our pending patent and trademark registration applications may not be allowed, or competitors may challenge the validity or scope of our patents or trademark registrations. We may be required to spend significant resources to monitor and enforce our intellectual property rights. Litigation to determine the scope of intellectual property rights, even if ultimately successful, could be costly and could divert management's attention away from other aspects of our business. We may not be able to detect infringement, and our competitive position may be harmed before we do so. In addition, competitors may design around our technology or develop competing technologies.

We face certain significant risk exposures and potential liabilities that may not be covered adequately by insurance or indemnity. We are exposed to liabilities that are unique to the products and services we provide. A significant portion of our business relates to designing, developing and manufacturing advanced defense, technology and communications systems and products. New technologies associated with these systems and products may be untested or unproven. Components of certain defense systems and products we develop are inherently dangerous. Failures of satellites, missile systems, air traffic control systems, electronic warfare systems, space superiority systems, command, control, computers, communications, cyber, ISR, homeland security applications and aircraft have the potential to cause loss of life and extensive property damage. Other examples of unforeseen problems that could result, either directly or indirectly, in the loss of life or property or otherwise negatively affect revenue and profitability include loss on launch of spacecraft, premature failure of products that cannot be accessed for repair or replacement, problems with quality and workmanship, country of origin, delivery of subcontractor components or services and unplanned degradation of product performance. In addition, problems and delays in development or delivery as a result of issues with respect to design, technology, licensing and patent rights, labor, learning curve assumptions or materials and components could prevent us from achieving contractual requirements. In many circumstances, we may receive indemnification from the U.S. Government. We generally do not receive indemnification from foreign governments. Although we maintain insurance for certain risks, including certain cybersecurity exposures, the amount of our insurance coverage may not be adequate to cover all claims or liabilities,

and we may be forced to bear substantial costs from an accident or incident. It also is not possible for us to obtain insurance to protect against all operational risks and liabilities. Substantial claims resulting from an incident in excess of U.S. Government indemnity and our insurance coverage would harm our financial condition, results of operations, cash flows and equity. Other factors that may affect revenue and profits include loss of follow-on work, and, in the case of certain contracts, liquidated damages, penalties and repayment to the customer of contract cost and fee payments we previously received. Moreover, any accident or incident for which we are liable, even if fully insured, could negatively affect our standing with our customers and the public, thereby making it more difficult for us to compete effectively, and could significantly impact the cost and availability of adequate insurance in the future.

Strategic Transactions and Investments Risks

Strategic transactions, including mergers, acquisitions and divestitures, involve significant risks and uncertainties that could adversely affect our business, financial condition, results of operations, cash flows and

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equity. Strategic mergers, acquisitions and divestitures we have made in the past and may make in the future present significant risks and uncertainties that could adversely affect our business, financial condition, results of operations, cash flows and equity, which include:

- Difficulty in identifying and evaluating potential mergers and acquisitions, including the risk that our due diligence does not identify or fully assess valuation issues, potential liabilities or other merger or acquisition risks;
- Difficulty, delays and expense in integrating newly merged or acquired businesses and operations, including combining product and service offerings, and in entering into new markets in which we are not experienced, in an efficient and cost-effective manner while maintaining adequate standards, controls and procedures, and the risk that we encounter significant unanticipated costs or other problems associated with integration;
- Differences in business backgrounds, corporate cultures and management philosophies that may delay successful integration;
- Difficulty, delays and expense in consolidating and rationalizing IT infrastructure, which may include multiple legacy systems from various mergers and acquisitions and integrating software code;
- Challenges in achieving strategic objectives, cost savings and other expected benefits;
- Risk that our markets do not evolve as anticipated and that the strategic mergers, acquisitions and divestitures do not prove to be those needed to be successful in those markets;
- Risk that we assume or retain, or that companies we have merged with or acquired have assumed or retained or otherwise become subject to, significant liabilities that exceed the limitations of any applicable indemnification provisions or the financial resources of any indemnifying parties;
- Risk that indemnification related to businesses divested or spun off that we may be required to provide or otherwise bear may be significant and could negatively impact our business;
- Risk that mergers, acquisitions, divestitures, spin offs and other strategic transactions fail to qualify for the intended tax treatment for U.S. federal income tax purposes and the possibility that the full tax benefits anticipated to result from such transactions may not be realized;
- Risk that we are not able to complete strategic divestitures on satisfactory terms and conditions, including non-competition arrangements applicable to certain of our business lines, or within expected timeframes;
- Potential loss of key employees or customers of the businesses acquired or to be divested; and
- Risk of diverting the attention of senior management from our existing operations.

Changes in future business or other market conditions could cause business investments and/or recorded goodwill or other intangible assets to become impaired, resulting in substantial losses and write-downs that would materially adversely affect our results of operations and financial condition. A significant portion of our assets consist of goodwill and other intangible assets, primarily recorded as the result of acquisitions. Assumptions and judgments in determining initial acquisition price may subsequently prove to have been inaccurate and unforeseen issues could arise, which could adversely affect the anticipated returns or which are otherwise not recoverable as an adjustment to the purchase price. We evaluate the recoverability of recorded goodwill annually, as well as when we change reporting units (either as a result of a reorganization or as the result of divestiture activity) and when events or circumstances indicate there may be an impairment. If an impairment exists, we record the charge in the period of determination. Because of the significance of our goodwill and other intangible assets, any future impairment of these assets could have a material adverse effect on our results of operations and financial condition. For additional information on our accounting policies related to impairment of goodwill, see our discussion under “Critical Accounting Estimates” in “Item 7. Management’s Discussion and Analysis of Financial Condition and Results of Operations” of this Report and *Note 1: Significant Accounting Policies* and *Note 6: Goodwill and Intangible Assets* in the Notes.

ITEM 1B. UNRESOLVED STAFF COMMENTS.

Not applicable.

ITEM 1C. CYBERSECURITY.

Risk Management and Strategy

We assess and identify material risks from cybersecurity threats primarily through the work of our Information Security organization, which is fully integrated in our enterprise risk management (“ERM”) process in close partnership with other functions such as Engineering, Industrial Security, Internal Audit, and Legal. The ERM process, administered by management with input from each business segment and function, continuously monitors material risks facing L3Harris, including cybersecurity threats. Our Information Security organization, is led by our Chief Information Officer (“CIO”), who has extensive experience leading information technology for global

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organizations across aerospace, defense and industrials, and works directly with our Chief Executive Officer (“CEO”) and other members of senior management to assess cybersecurity threats as part of the ERM process. The CIO oversees the internal cybersecurity organization of more than 100 full-time employees headed by our Chief Information Security Officer (our “Cybersecurity Team”).

Risks related to cybersecurity threats are reflected in an enterprise risk “heat map,” along with other material risks identified through the ERM process, and any mitigation plans developed to manage such risks are reported to our Board of Directors (“Board”). The “heat map” includes risks related to cybersecurity threats to L3Harris and our customers, suppliers, vendors, subcontractors or other third parties, and the possibility of a data breach of our confidential, personal and proprietary information through a cybersecurity incident impacting L3Harris or any third party.

To actively manage cybersecurity risks identified as part of the ERM process or otherwise and to manage emerging cybersecurity threats in real time, management has implemented an ISO 27001 certified Information Security Management System. Our Cybersecurity Team operates a Security Operations Center that continuously monitors activity, frequently scans applications and systems for vulnerabilities to risk from cybersecurity threats and creates action plans to address and track identified cybersecurity threats until they have been remediated. Activities and cybersecurity incidents are reported to our CIO, who briefs senior management, including our CEO, as well as the Innovation and Cyber Committee and the Audit Committee of our Board (respectively, the “Innovation and Cyber Committee” and the “Audit Committee”), as appropriate. Our Cybersecurity Team also routinely engages with third parties, including government agencies focused on cyber resiliency, to manage risks from cybersecurity threats. For example, we are members of the DoD Defense Industrial Base Collaborative Information Sharing Environment, the National Defense Information Sharing and Analysis Center, and the National Security Agency Enduring Security Framework. These organizations share real-time cybersecurity threat information and best practices in protecting, detecting and recovering from cybersecurity threats.

We are committed to safeguarding against both internal and external security threats through a robust counterintelligence and insider threat program that utilizes cutting-edge data analytics and machine learning. As a defense contractor, we are subject to the Department of Defense’s cybersecurity regulations, including the Defense Federal Acquisition Regulation Supplement, ensuring the protection of Controlled Unclassified Information and prompt reporting of cybersecurity incidents. Our practices have been rigorously assessed by the Defense Contract Management Agency to meet the Level 2 Cybersecurity Maturity Model Certification requirements, reflecting our dedication to maintaining stringent security controls.

To mitigate cybersecurity risks introduced from our supply chain, we have a dedicated Cybersecurity - Supply Chain Risk Management team. This team assesses new suppliers against best cybersecurity practices, ensures cybersecurity regulations are contractually flowed down and coordinates mitigation actions across the company if a supplier is impacted by a cybersecurity incident. The Supply Chain Risk Management team utilizes industry monitoring services to identify potential supply chain incidents and works closely with our Cybersecurity Team to understand the latest threats affecting our industry.

Additionally, as part of our processes to manage risks related to a breach in our information systems, management requires employees to take annual cybersecurity training and shares regular awareness updates regarding cybersecurity threats. Our Cybersecurity Team regularly tests employees throughout the year to assess the effectiveness of the cybersecurity training. We also periodically conduct penetration testing of our network, hold tabletop exercises of cyber incidents, and undertake cybersecurity assessments led by Internal Audit to improve our risk mitigation and assist in the determination of a potential material impact caused by a cybersecurity incident.

While we have implemented robust practices to mitigate cybersecurity risks, and prior cybersecurity threats

have not materially affected our business strategy, results of operations or financial condition, we could be negatively impacted by a cybersecurity breach, through cyber-attack, cyber intrusion, insider threats, supply chain incidents, or otherwise, or other significant disruption of our IT networks and related systems or of those we operate for certain of our customers. See “Item 1A. Risk Factors” in this Report for further discussion of specific risks related to cybersecurity threats.

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Governance

The Audit Committee provides regular oversight and review of our ERM process and other guidelines and policies governing the processes by which our CEO and senior management assess our exposure to risk, including risk from cybersecurity threats. The Innovation and Cyber Committee receives regular briefings from our CIO, Chief Information Security Officer and other members of senior management on cybersecurity threats and related matters and assists the Audit Committee in its oversight and review of our ERM process.

The Innovation and Cyber Committee reviews our cybersecurity risk across the enterprise at least annually, including IT, supply chain and products and our cybersecurity strategy framework and operational posture. The Innovation and Cyber Committee also reviews our IT, data security and other systems, processes, policies, procedures and controls at least annually to (a) identify, assess, monitor and mitigate cybersecurity risks; (b) identify measures to protect and safeguard against cybersecurity threats and breaches of confidential information and data and IT infrastructure and our other assets or assets of our customers or other third parties in our possession or custody; (c) support the response and management of cybersecurity threats and data breach incidents; and (d) aid in compliance with legal and regulatory requirements governing cybersecurity or data security reporting requirements. The Innovation and Cyber Committee reports its activities to the full Board on a regular basis and makes such recommendations to the Board and management with respect to risks from cybersecurity threats and other matters as it deems necessary or appropriate.

ITEM 2. PROPERTIES.

As of January 3, 2025, we operated approximately 250 locations in the U.S., Canada, EMEA, and APAC, consisting of approximately 27 million square feet of manufacturing, administrative, R&D, warehousing, engineering and office space, of which we owned approximately 12 million square feet and leased approximately 15 million square feet. As of January 3, 2025, we had major operations at the following locations:

SAS — Palm Bay, Melbourne and Malabar, Florida; Rochester and Amityville, New York; Clifton, New Jersey; Van Nuys and San Diego California; Colorado Springs, Colorado; Fort Wayne, Indiana; Herndon, Virginia; Wilmington, Massachusetts; and Alpharetta, Georgia.

IMS — Greenville, Waco, Rockwall and Plano, Texas; Mirabel and Waterdown, Canada; Camden, New Jersey; Anaheim, California; Mason and Cincinnati, Ohio; Tulsa, Oklahoma; Salt Lake City, Utah; Philadelphia, Pennsylvania; Crawley, United Kingdom; and Grand Rapids, Michigan.

CS — Rochester, New York; Salt Lake City, Utah; Londonderry, New Hampshire; Lynchburg, Virginia; Tempe, Arizona; Carlsbad, California; Farnborough, United Kingdom; Brisbane, Australia; Melbourne, Sunrise, Florida; and Abu Dhabi, United Arab Emirates.

AR — Camden, Arkansas; Chatsworth, California; Huntsville, Alabama; West Palm Beach, Florida; Orange, Virginia; Redmond, Washington; Orlando, Florida; and Hancock County, Mississippi.

Corporate — Melbourne, Florida; and Arlington, VA.

Our facilities are suitable and adequate for their intended purposes, are well-maintained, are generally in regular use and have capacities adequate for current and projected needs. We will, from time to time, acquire additional facilities, expand existing facilities and dispose of existing facilities or parts thereof, as management deems necessary. See *Note 5: Property, Plant and Equipment, Net* and *Note 11: Leases* in the Notes for more information on our owned properties and our lease obligations, respectively.

ITEM 3. LEGAL PROCEEDINGS.

See *Note 15: Legal Proceedings, Commitments and Contingencies* included in our Notes for information relating to our legal proceedings.

ITEM 4. MINE SAFETY DISCLOSURES.

Not applicable.

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INFORMATION ABOUT OUR EXECUTIVE OFFICERS.

Our executive officers as of February 14, 2025, are listed below, along with their ages on that date, position held with us and principal occupation and business experience during at least the past five years.

Name	Age	Position	Held Since	Recent Business Experience
Kenneth L. Bedingfield	52	Chief Financial Officer ("CFO") and President, AR ⁽¹⁾	December 2023	CEO, Epirus, Inc. ("Epirus") (2022-2023); President and Chief Operating Officer, Epirus (2022); CFO, Epirus (2020-2022); CFO, Northrop Grumman Corporation ("Northrop Grumman") (2015-2020), Aerospace Sector CFO, Northrop Grumman (2013-2015)
John P. Cantillon	58	Vice President ("VP"), Principal Accounting Officer	May 2024	VP, Assistant Controller (2023-2024); VP of Finance Manufacturing Operations, Pratt & Whitney (2023); VP and Controller, Pratt & Whitney (2020-2023)
Christoph T. Feddersen	53	VP, General Counsel & Secretary	August 2024	VP, General Counsel of L3Harris SAS (2024); VP and General Counsel, Collins Aerospace Systems (2018-2023)
Christopher E. Kubasik	63	Chair and CEO	June 2022	Vice Chair and CEO (2021); Vice Chair, President and Chief Operating Officer (2019-2021); Chairman, CEO and President, L3 Technologies, Inc. ("L3") (2018-2019)
Samir B. Mehta	52	President, CS	January 2023	President of Advanced Structures, Collins Aerospace (2018-2022); President, Aftermarket (2017-2018)
Melanie Rakita	47	VP and Chief Human Resources Officer	April 2023	VP, Human Resources for L3Harris IMS (2023), SAS (2019-2023), and Legacy Harris Corporation Electronic Systems (2018-2019)
Jonathan P. Rambeau	52	President, IMS	October 2022	VP and General Manager, Integrated Warfare Systems and Sensors of the Rotary and Mission Systems business, Lockheed Martin (2020-2022); VP and General Manager, C6ISR, Rotary and Mission Systems, Lockheed Martin (2016-2020)
Edward J. Zoiss	60	President, SAS	June 2019	President, Legacy Harris Corporation Electronic Systems (2015-2019)

(1) Following the retirement of Ross Niebergall on February 3, 2025, Kenneth Bedingfield assumed the additional role of President, AR. There is no family relationship between any of our executive officers or directors. All of our executive officers are elected annually and serve at the pleasure of our Board.

PART II

ITEM 5. MARKET FOR REGISTRANT'S COMMON EQUITY, RELATED STOCKHOLDER MATTERS AND ISSUER PURCHASES OF EQUITY SECURITIES.

Market Information

Our common stock, par value \$1.00 per share, is listed and traded on the New York Stock Exchange ("NYSE"), under the ticker symbol "LHX." According to the records of our transfer agent, as of February 7, 2025, there were 9,165 holders of record of our common stock.

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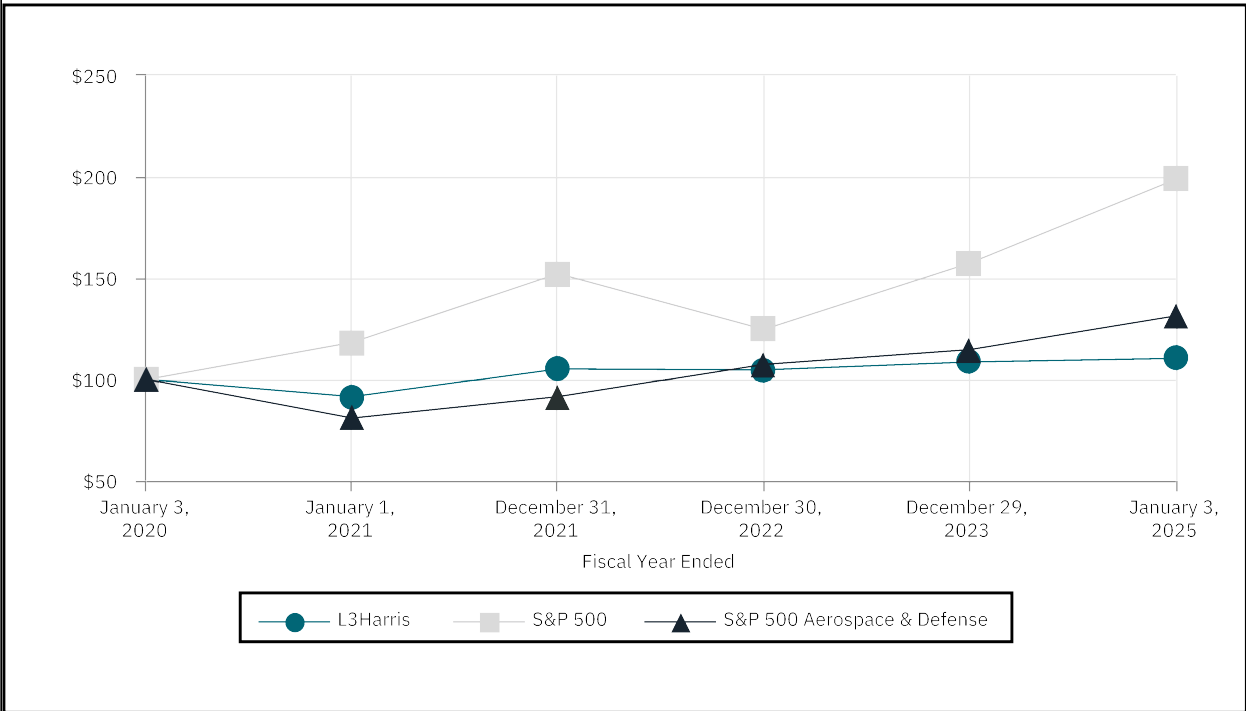
Dividends

During fiscal 2024, 2023 and 2022, we paid quarterly per share cash dividends on our common stock of \$1.16, \$1.14 and \$1.12, respectively. We currently expect to continue paying cash dividends in the near future, but we can give no assurances concerning payment of future dividends or future dividend increases. The declaration of dividends by our Board and the amount thereof will depend on a number of factors, including our financial condition, capital requirements, cash flows, results of operations, future business prospects and other factors our Board may deem relevant.

Stock Performance Graph

The following graph provides a five year comparison of cumulative total shareholder return ("TSR"), assuming reinvestment of all dividends and an initial investment of \$100 at the close of business on January 3, 2020, in L3Harris common stock, the Standard & Poor's 500 Composite Stock Index ("S&P 500") and the Standard & Poor's 500 Aerospace & Defense Index ("S&P 500 Aerospace & Defense"):

FIVE YEAR COMPARISON OF CUMULATIVE TSR⁽¹⁾



(1) This performance graph is not deemed to be filed with the SEC or subject to the liabilities of Section 18 of the Exchange Act, and should not be deemed to be incorporated by reference into any other previous or future filings by us under the Securities Act or the Exchange Act.

Recent Sales of Unregistered Securities

During fiscal 2024, we did not issue or sell any unregistered securities.

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Issuer Purchases of Equity Securities

The following table sets forth information with respect to repurchases by us of our common stock during the fiscal quarter ended January 3, 2025:

Period*	Total number of shares purchased	Average price paid per share	Total number of shares purchased as part of publicly announced plans or programs ⁽¹⁾	Maximum approximate dollar value of shares that may yet be purchased under the plans or programs ⁽¹⁾ (\$ in millions)
Month No. 1 (September 28, 2024 - November 1, 2024)				
Repurchase program ⁽¹⁾	—	\$ —	—	\$3,422
Employee transactions ⁽²⁾	2,042	\$ 243.33	—	—
Month No. 2 (November 2, 2024 - November 29, 2024)				
Repurchase program ⁽¹⁾	60,000	\$ 227.72	60,000	\$3,407
Employee transactions ⁽²⁾	5,294	\$ 245.69	—	—
Month No. 3 (November 30, 2024 - January 3, 2025)				
Repurchase program ⁽¹⁾	115,000	\$ 225.10	115,000	\$3,381
Employee transactions ⁽²⁾	1,412	\$ 239.47	—	—
Total	183,748		175,000	\$3,381

*Periods represent our fiscal months.

(1)On January 28, 2021 and October 21, 2022, we announced that our Board approved share repurchase authorizations under our repurchase program of \$6.0 billion and \$3.0 billion, respectively. Our repurchase program does not have an expiration date and authorizes us to repurchase shares of our common stock through open market purchases, private transactions, transactions structured through investment banking institutions or any combination thereof.

(2)Represents shares of our common stock delivered to us in satisfaction of the tax withholding obligation of holders of restricted stock units (“RSUs”) and performance share units (“PSUs”) that vested during the quarter. Our equity incentive plans provide that the value of shares delivered to us to pay the exercise price of stock options or to cover tax withholding obligations shall be the closing price of our common stock on the date the relevant transaction occurs.

ITEM 6. [RESERVED.]

ITEM 7. MANAGEMENT’S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS

OF OPERATIONS.

The following Management's Discussion and Analysis ("MD&A") is intended to assist in an understanding of our financial condition and results of operations for fiscal 2024 compared with fiscal 2023. A discussion of fiscal 2023 compared to fiscal 2022 can be found in *Part II. Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations* included in our Annual Report on Form 10-K for the fiscal year ended December 29, 2023 (our "Fiscal 2023 Form 10-K"). This MD&A is provided as a supplement to, should be read in conjunction with and is qualified in its entirety by reference to, our Consolidated Financial Statements and accompanying Notes appearing elsewhere in this Report. Except for the historical information contained herein, the discussions in this MD&A contain forward-looking statements that involve risks and uncertainties. Our future results could differ materially from those discussed herein. Factors that could cause or contribute to such differences include, but are not limited to, those discussed in *Part I. Item 1A. Risk Factors* of this Report. For additional information, see *Part I. Item 1. Business - Cautionary Statement Regarding Forward-Looking Statements* of this Report.

OVERVIEW

We are the Trusted Disruptor in the defense industry. With customers' mission-critical needs in mind, we deliver end-to-end technology solutions connecting the space, air, land, sea and cyber domains in the interest of global security. We support government customers in more than 100 countries, with our largest customers being various departments and agencies of the U.S. Government, their prime contractors and international allies. Our products and

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services have defense and civil government applications, as well as commercial applications. As of January 3, 2025, we had approximately 47,000 employees, including approximately 18,000 engineers and scientists.

We structure our operations primarily around the products, systems and services we sell and the markets we serve, and we report our financial results in four business segments: SAS, IMS, CS and AR. See *Note 14: Business Segments* in the Notes for further information regarding our business segments.

U.S. and International Budget Environment

The percentage of our revenue that was derived from sales to U.S. Government customers, including foreign military sales funded through the U.S. Government, whether directly or through prime contractors, was 76%, 76% and 74%, in fiscal 2024, 2023 and 2022, respectively.

On March 9, 2024, the President signed the first tranche of GFY 2024 appropriations funding bills into law, which funded six government agencies, including the National Aeronautics and Space Administration, the National Oceanic and Atmospheric Administration, and the Federal Aviation Administration, through the remainder of GFY 2024 which ended on September 30, 2024. A second funding bill, signed into law on March 23, 2024, funded all remaining agencies, including the DoD, through the remainder of GFY 2024. The bill provided approximately \$844 billion in funding for DoD. This was in line with our expectations for 3% growth for defense over GFY 2023 levels and in line with the first year of the Fiscal Responsibility Act of 2023 ("FRA") caps.

On March 11, 2024, the President's Budget Request for GFY 2025 was released. The DoD requested \$850 billion, a 1% topline increase consistent with the FRA caps.

On April 24, 2024, the President signed into law a supplemental GFY 2024 appropriations package that included \$67 billion in funding for key DoD programs, bringing the DoD funding for GFY 2024 to \$911 billion.

Congress has not yet reached a final agreement on GFY 2025 funding. A short-term CR was enacted on December 21, 2024 that will fund the U.S. Government until March 14, 2025. While operating under a CR, government agencies are allocated a portion of GFY 2024 enacted funds, and DoD is prohibited from starting new programs. If Congress does not enact all 12 GFY 2025 appropriations bills by April 30, 2025, a 1% automatic sequestration cut will go into effect as mandated by the FRA.

Further complicating the budget outlook is the need to raise the debt ceiling in 2025. Congressional inaction may lead to a default and potentially create economic instability.

The overall defense spending environment, both in the U.S. and internationally, reflects the continued impacts of global conflicts and geopolitical tensions, and changes to U.S. Government or international spending priorities have and could in the future impact our business.

For a discussion of U.S. Government funding risks and international business risks see "Item 1. Business - International Business," "Item 1A. Risk Factors" and "Item 3. Legal Proceedings" of this Report.

Economic Environment

The macroeconomic environment continues to present challenges, which have impacted our business and may continue to impact our future results. The ongoing uncertainty relates to the impacts of inflation, interest rates and ongoing federal deficits, which could raise the cost of borrowing for the federal government impacting U.S.

Government spending priorities and the demand for our products. For a discussion of inflation-related risks, see "Item 1A. Risk Factors" of this Report.

Operating Environment, Strategic Priorities and Key Performance Measures

As a proven alternative to traditional primes and new entrants, our flexible business model allows us to operate as either a prime, merchant supplier, or subcontractor, offering both commercial pricing and traditional government acquisition approaches. Our products are used across many customer platforms and this platform-agnostic approach gives us a unique advantage in rapidly adapting to the changing threat environment while effectively partnering with new entrants and non-traditional contractors. Customer demand for our solutions remains robust, and we ended fiscal 2024 with backlog of \$34.2 billion, a 5% increase over the prior year. Also in fiscal 2024, we invested \$515 million (2% of total revenue) in company-funded R&D focused on technologies that expand our capabilities across our domains.

In fiscal 2024, we made considerable progress with our LHX NeXt initiative, our targeted three-year program designed to enhance organizational agility and performance by leveraging our scale and relationships across segments, driving operational efficiency and competitiveness for the enterprise. With this program we are investing in enterprise tools and optimized, revamped processes to unlock further opportunities for margin expansion and create additional value for our shareholders.

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Our strategic priorities continue to be performance, growth and innovation. We plan to continue to invest, consistent with profitable growth opportunities, and sustain our culture of innovation, while delivering on our commitments to investors, our customers and on every contract we are awarded. We intend to accomplish this by:

- Building upon our solid foundation and operational rigor to execute for our customers;
- Focusing on profitable growth while securing strategic positions as a prime or subcontractor; and
- Leveraging innovation as a competitive advantage to develop rapid solutions.

We use the following key financial performance measures to manage our business, which are discussed in detail below in the “Operations Review” and “Liquidity and Capital Resources” sections of this MD&A:

- Revenue;
- Operating income and margin; and
- Net cash provided by operating activities.

We use these measures, along with other performance measures that are not defined by U.S. Generally Accepted Accounting Principles (“GAAP”), to assess the success of our business and our ability to create shareholder value. We believe these measures are balanced among long-term and short-term performance, growth and innovation. We also use some of these and other performance metrics for executive compensation purposes.

OPERATIONS REVIEW

Consolidated Results of Operations

(Dollars in millions, except per share amounts)	Fiscal Year Ended	
	January 3, 2025	December 29, 2023
Revenue		
Products	\$ 15,134	\$ 13,694
Services	6,191	5,725
Total revenue	21,325	19,419
Cost of revenue		
Products	(11,019)	(9,711)
Services	(4,782)	(4,595)
Cost of revenue	(15,801)	(14,306)
Gross margin	5,524	5,113
General and administrative expenses	(3,568)	(3,313)
Impairment of goodwill and other assets	(38)	(374)
Operating income	1,918	1,426
Non-service FAS pension income and other, net ⁽¹⁾	354	338
Interest expense, net	(675)	(543)
Income before income taxes	1,597	1,221

Income taxes	(85)	(23)
Effective Tax Rate	5.3 %	1.9 %
Net income	1,512	1,198
Noncontrolling interests, net of income taxes	(10)	29
Net income attributable to L3Harris Technologies, Inc.	<u>\$ 1,502</u>	<u>\$ 1,227</u>
Diluted EPS ⁽²⁾	<u>\$ 7.87</u>	<u>\$ 6.44</u>

(1)"FAS" is defined as Financial Accounting Standards.

(2)"EPS" is defined as Earnings Per Share.

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Revenue. As described in more detail in *Note 13: Acquisitions and Divestitures* and elsewhere in the Notes, during fiscal 2024 and 2023, we completed certain business divestitures. There was no significant revenue attributable to divested businesses.

Products revenue. The following table presents products revenue by segment, net of intersegment:

(In millions)	Fiscal Year Ended	
	January 3, 2025	December 29, 2023
SAS	\$ 4,788	\$ 4,879
IMS	4,270	4,006
CS	4,498	4,057
AR	1,578	752
Total products revenue	<u>\$ 15,134</u>	<u>\$ 13,694</u>

Products revenue for fiscal 2024 increased \$1,440 million, due to the inclusion of a full year of products revenue from AR, rather than a partial year of revenue in fiscal 2023 ("the AR Partial Year") following the July 28, 2023 acquisition of Aerojet Rocketdyne Holdings, Inc. ("AJRD"), as well as increased products revenues of \$441 million and \$264 million at CS and IMS, respectively, partially offset by decreased products revenue of \$91 million at SAS.

Services revenue. The following table presents services revenue by segment, net of intersegment:

(In millions)	Fiscal Year Ended	
	January 3, 2025	December 29, 2023
SAS	\$ 2,029	\$ 1,928
IMS	2,501	2,537
CS	892	960
AR	769	300
Total services revenue	<u>\$ 6,191</u>	<u>\$ 5,725</u>

Services revenue for fiscal 2024 increased \$466 million, from the inclusion of a full year of services revenue from AR rather than the AR Partial Year, as well as increased services revenue of \$101 million at SAS, partially offset by decreased services revenues of \$68 million and \$36 million at CS and IMS, respectively.

See the "Business Segment Results of Operations" discussion below in this MD&A for further information.

Cost of Revenue.

Cost of products revenue. The following table presents cost of products revenue by segment, net of intersegment:

(In millions)	Fiscal Year Ended	
	January 3, 2025	December 29, 2023
SAS	\$ (3,763)	\$ (3,777)
IMS	(3,269)	(3,055)

CS	(2,738)	(2,319)
AR	(1,199)	(558)
Corporate	(50)	(2)
Total cost of products revenue	<u>\$ (11,019)</u>	<u>\$ (9,711)</u>

Cost of products revenue increased \$1,308 million primarily from the inclusion of a full year of cost of products revenue from AR rather than the AR Partial Year and increased cost of products revenue of \$419 million and \$214 million at CS and IMS, respectively.

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Cost of services revenue. The following table presents cost of services revenue by segment, net of intersegment:

(In millions)	Fiscal Year Ended	
	January 3, 2025	December 29, 2023
SAS	\$ (1,615)	\$ (1,554)
IMS	(1,897)	(1,944)
CS	(682)	(845)
AR	(603)	(259)
Corporate	15	7
Total cost of services revenue	<u>\$ (4,782)</u>	<u>\$ (4,595)</u>

Cost of services revenue increased \$187 million, primarily from the inclusion of a full year of cost of services revenue from AR rather than the AR Partial Year and increased cost of services revenue of \$61 million at SAS, partially offset by decreased cost of services revenue of \$163 million and \$47 million at CS and IMS, respectively.

Gross Margin. Gross margin for fiscal 2024 increased compared to fiscal 2023, largely due to the increases in revenue noted above and a favorable net change in estimate at completion ("EAC") adjustments which increased gross margin by \$124 million, partially offset by a higher mix of lower margin revenue, primarily in our CS segment. Gross margin as a percentage of revenue remained flat compared to fiscal 2023. For discussion of operating income by segment see "Business Segment Results of Operations" below in this MD&A for further information.

General and Administrative ("G&A") Expenses. The following table presents the components of G&A expenses:

(In millions)	Fiscal Year Ended	
	January 3, 2025	December 29, 2023
Amortization of acquisition-related intangibles	\$ (779)	\$ (687)
LHX NeXt implementation costs ⁽¹⁾	(267)	(115)
Merger, acquisition, and divestiture-related expenses	(102)	(174)
Business divestiture-related losses, net ⁽²⁾	(19)	(51)
Company-funded R&D costs	(515)	(480)
Selling and marketing	(445)	(450)
Other G&A expenses ⁽³⁾	(1,441)	(1,356)
G&A expenses	<u>\$ (3,568)</u>	<u>\$ (3,313)</u>

(1) Costs associated with transforming multiple functions, systems and processes to increase agility and competitiveness, including third-party consulting, workforce optimization and incremental IT expenses for implementation of new systems.

(2) See Note 13: *Acquisitions and Divestitures* in the Notes for further information.

(3) Includes other segment G&A expenses such as payroll and benefits, outside services, facilities, insurance and other expenses, as well as

unallocated corporate expenses, such as a portion of management and administration, legal, environmental, compensation, retiree benefits and other corporate G&A expenses and eliminations.

G&A expenses increased \$255 million for fiscal 2024 compared with fiscal 2023 primarily due to increases in LHX NeXt implementation costs, including \$42 million related to employee severance charges and \$110 million for third-party consulting expenses, incremental IT expenses for implementation of new systems and other costs. G&A expenses also increased from higher amortization of acquisition-related intangibles, partially offset by a decrease in merger, acquisition, and divestiture-related expenses. Additionally, other G&A expenses increased \$85 million primarily due to increases of \$97 million in our AR segment from the AR Partial Year and \$86 million in corporate, primarily from increases related to corporate-led initiatives and a \$15 million legal reserve, partially offset by decreases in other G&A costs of \$84 million and \$15 million in our SAS and CS segments, respectively, primarily from LHX NeXt driven cost savings.

Impairment of Goodwill and Other Assets. In fiscal 2024, we recognized a \$14 million non-cash charge for impairment of goodwill in connection with the divestiture of our antenna and related businesses ("Antenna disposal group") and a \$24 million non-cash charge for impairment of other assets at CS associated with the Tactical Data Links ("TDL") acquisition. In fiscal 2023, we recognized a \$296 million non-cash charge for impairment of goodwill in connection with the pending divestiture of our CAS disposal group and \$78 million of other asset impairments associated with in-process R&D, customer contracts and a facility closure.

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Non-service FAS Pension Income and Other, Net. The following table presents the components of non-service FAS pension income and other, net:

(In millions)	Fiscal Year Ended	
	January 3, 2025	December 29, 2023
Non-service FAS pension income ⁽¹⁾	\$ 322	\$ 310
Other, net ⁽²⁾	32	28
Non-service FAS pension income and other, net	\$ 354	\$ 338

(1)Includes interest cost, expected return on plan assets, amortization of net actuarial gain, and amortization of prior service (credit) cost components of net periodic benefit income under our defined benefit plans. See *Note 9: Retirement Benefits* in the Notes for more information on the composition of non-service FAS pension income.

(2)Other, net primarily includes changes in the market value of our rabbi trust assets, gains and losses on our equity investments in nonconsolidated affiliates and royalty income.

Interest Expense, Net. Our net interest expense increased \$132 million in fiscal 2024 compared with fiscal 2023 primarily due to a full year of interest on the \$3.25 billion aggregate principal amount of fixed-rate debt issued in July 2023 in connection with the AJRD acquisition, the issuance of \$2.25 billion aggregate principal amount of long-term fixed-rate debt in March 2024 and higher average outstanding notes under our commercial paper program ("CP Program") during fiscal 2024, partially offset by repayment of the entire outstanding \$2.25 billion, three-year senior unsecured term loan facility ("Term Loan 2025") in March 2024. See the "Liquidity and Capital Resources" discussion below in this MD&A and *Note 8: Debt and Credit Arrangements* in the Notes for further information.

Income Taxes. Our effective tax rate increased to 5.3% in fiscal 2024 compared with 1.9% in fiscal 2023. Our effective tax rate for both years benefited from R&D credits, tax deductions for foreign derived intangible income ("FDII") and favorable resolution of specific audit uncertainties. The year-over-year increase in the rate is the result of favorable impacts of divestitures and internal restructuring in fiscal 2023, partially offset by favorable adjustments to our valuation allowance position as a result of our ability to utilize certain state tax credits in fiscal 2024. See *Note 7: Income Taxes* in the Notes for further information.

Diluted EPS. Diluted EPS increased 22% in fiscal 2024 compared with fiscal 2023 primarily due to higher net income from the combined effects of reasons noted in the sections above, notably the absence of a prior year CAS disposal group goodwill impairment and an increase in fiscal 2024 gross margin, partially offset by increases in G&A expenses and interest expense, net.

Business Segment Results of Operations

SAS. Our SAS segment includes space payloads, sensors and full-mission solutions; classified intelligence and cyber; airborne combat systems, and mission networks for air traffic management operations. See "Item 1. Business" of this Report for a description of the sectors in SAS.

Fiscal Year Ended

(Dollars in millions)	January 3, 2025	December 29, 2023	% Inc/(Dec)
Revenue	\$ 6,869	\$ 6,856	—%
Operating income	812	756	7%
Operating margin	11.8 %	11.0 %	

SAS segment revenue remained flat in fiscal 2024 compared with fiscal 2023 due to higher revenues of \$138 million in Intel & Cyber, primarily from program growth and \$82 million in Mission Networks from higher volumes, offset by lower revenues of \$217 million in Airborne Combat Systems, from lower revenue of \$115 million associated with the divestiture of the Antenna disposal group and the remaining decrease primarily from lower F-35 related volume as TR-3 development transitions from development to a more gradual production ramp. At January 3, 2025 and December 29, 2023, SAS segment ending backlog was \$9.4 billion and \$9.5 billion, respectively.

SAS segment operating income increased in fiscal 2024 compared with fiscal 2023, primarily due to LHX NeXt driven cost savings realized during fiscal 2024, higher volume in Mission Networks and \$46 million from the monetization of legacy end of life assets, aligned with our transformation and value creation priorities, in addition to the impact of a \$27 million non-cash charge for impairment of other assets which occurred during fiscal 2023. Such increase was partially offset by unfavorable EAC adjustments from program execution on classified fixed-price development programs in Space Systems that are in the later stages of completion.

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IMS. Our IMS segment includes ISR; passive sensing and targeting; electronic attack; autonomy; power and communications; networks; sensors; aviation products; and pilot training operations. See "Item 1. Business" of this Report for a description of the sectors in IMS.

(Dollars in millions)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	% Inc/(Dec)
Revenue	\$ 6,842	\$ 6,630	3%
Operating income	838	459	83%
Operating margin	12.2 %	6.9 %	

IMS segment revenue increased in fiscal 2024 compared with fiscal 2023 primarily due to higher revenues of \$73 million in Defense Electronics from higher demand for advanced electronics, \$56 million in ISR from higher aircraft missionization volume, \$49 million in Commercial Aviation Solutions from higher volume, \$31 million in Global Optical Systems from higher commercial revenue for airborne electro-optical sensors and \$27 million in Maritime from volume on classified programs. At January 3, 2025 and December 29, 2023, IMS segment ending backlog was \$10.5 billion and \$9.7 billion, respectively.

IMS segment operating income increased in fiscal 2024 compared with fiscal 2023 primarily due to a \$296 million non-cash charge for impairment of goodwill associated with the CAS disposal group in fiscal 2023, in addition to improved program performance of \$69 million, higher overall revenue volumes and LHX NeXt driven cost savings realized in fiscal 2024.

CS. Our CS segment includes tactical communications with global communications solutions; broadband communications; integrated vision solutions; and public safety radios, system applications and equipment. See "Item 1. Business" of this Report for a description of the sectors in CS.

(Dollars in millions)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	% Inc/(Dec)
Revenue	\$ 5,459	\$ 5,070	8%
Operating income	1,324	1,229	8%
Operating margin	24.3 %	24.2 %	

CS segment revenue increased in fiscal 2024 compared with fiscal 2023 primarily due to higher revenues of \$208 million in Tactical Communications and \$95 million in Integrated Vision Solutions associated with increased domestic and international demand for our resilient communication equipment, related waveforms, and night vision devices and \$86 million in Broadband Communications from higher volumes. At January 3, 2025 and December 29, 2023, CS segment ending backlog was \$7.3 billion and \$6.3 billion, respectively.

CS segment operating income increased in fiscal 2024 compared with fiscal 2023 primarily due to LHX NeXt driven cost savings realized during fiscal 2024, partially offset by a higher mix of domestic radios related to

competitive IDIQ contracts and a \$24 million non-cash charge for impairment of other assets at Broadband Communications related to the TDL acquisition.

AR. Our AR segment includes missile solutions with propulsion technologies for strategic defense, missile defense, and hypersonic and tactical systems; and space propulsion and power systems for national security space and exploration missions. See "Item 1. Business" of this Report for a description of the sectors in AR.

(Dollars in millions)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	% Inc/(Dec)
Revenue	\$ 2,347	\$ 1,052	123%
Operating income	294	122	141%
Operating margin	12.5 %	11.6 %	

AR segment revenue and operating income increased in fiscal 2024 compared with fiscal 2023 primarily due to the AR Partial Year. At January 3, 2025, AR segment ending backlog was \$7.0 billion and \$7.2 billion, respectively.

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Unallocated Corporate Expenses. Unallocated corporate expenses include the portion of corporate costs not included in management's evaluation of segment operating performance.

(Dollars in millions)	Fiscal Year Ended	
	January 3, 2025	December 29, 2023
Unallocated corporate department expense ⁽¹⁾	(123)	(62)
Amortization of acquisition-related intangibles ⁽²⁾	(853)	(779)
Additional cost of revenue related to the fair value step-up in inventory sold	—	(30)
Merger, acquisition, and divestiture-related expenses	(102)	(174)
Business divestiture-related losses, net ⁽³⁾	(19)	(51)
Impairment of goodwill and other assets ⁽⁴⁾	(14)	(39)
LHX NeXt implementation costs ⁽⁵⁾	(267)	(115)
FAS/CAS operating adjustment ⁽⁶⁾	28	110
Total unallocated corporate expense	<u>\$ (1,350)</u>	<u>\$ (1,140)</u>

(1)The increase in unallocated corporate department expense is primarily from increases related to corporate-led initiatives and a \$15 million legal reserve.

(2)Includes amortization of intangible assets acquired in connection with business combinations. Because our acquisitions benefit the entire Company, the amortization was not allocated to any segment.

(3)See *Note 13: Acquisitions and Divestitures* in the Notes for further information.

(4)For fiscal 2024, includes a non-cash charge for impairment of goodwill related to our Antenna disposal group divestiture. For fiscal 2023, includes a \$21 million non-cash charge for impairment of in-process R&D associated with a facility closure and an \$18 million non-cash charge for impairment of a customer contract. See *Note 13: Acquisitions and Divestitures* and *Note 6: Goodwill and Intangible Assets* in the Notes for further information.

(5)Includes costs associated with transforming multiple functions, systems and processes to increase agility and competitiveness, including third-party consulting, workforce optimization and incremental IT expenses for implementation of new systems. For further information on our LHX NeXt initiative and implementation costs see *Note 14: Business Segments* in the Notes and the "General and Administrative Expenses" discussion above in this MD&A.

(6)Represents the difference between U.S. Government Cost Accounting Standards ("CAS") pension cost and the service cost component of net periodic benefit income under our defined benefit plans. See *Note 1: Significant Accounting Policies* in the Notes for additional information regarding the FAS/CAS operating adjustment.

LIQUIDITY AND CAPITAL RESOURCES

We prioritize cash flow generation through our commitment to operational excellence, efficient balance sheet

management and continuous cost reduction efforts. We consistently assess various capital deployment options, considering both our long-term outlook and the evolving market conditions, recognizing the importance of adaptability as market dynamics change over time.

Our primary capital deployment priorities involve a focus on funding the business, including investing in training, facilities and digital infrastructure, debt repayment to be achieved through the prioritization of capital allocation and returning cash to our shareholders through dividends and share repurchases.

Capital Resources

As of January 3, 2025, we had cash and cash equivalents of \$615 million, of which \$300 million was held by our foreign subsidiaries, a significant portion of which we believe can be repatriated to the U.S. with minimal tax cost. Additionally, we have two credit facilities and a CP Program, supported by amounts available under the credit facilities.

Credit Facilities. At January 3, 2025, we had no outstanding borrowings under our credit facilities, had available borrowing capacity of \$2,985 million, net of outstanding borrowings under our CP Program, and were in compliance with all covenants under both of the following:

2024 Credit Facility. On January 26, 2024, we established a new \$1.5 billion, 364-day senior unsecured revolving credit facility ("2024 Credit Facility") by entering into a 364-day credit agreement with a syndicate of lenders which matured on January 24, 2025 ("2024 Credit Agreement"). The 2024 Credit Agreement replaced the prior \$2.4 billion 364-Day Credit Agreement ("2023 Credit Agreement").

2022 Credit Facility. On July 29, 2022, we established a \$2.0 billion, 5-year senior unsecured revolving credit facility (the "2022 Credit Facility") under a Revolving Credit Agreement (the "2022 Credit Agreement") entered into with a syndicate of lenders.

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In fiscal 2025, we expect to refinance the 2022 Credit Agreement to increase the capacity and extend the maturity of the existing facility. Additionally, in fiscal 2025, we expect to establish a new 364-day senior unsecured revolving credit facility by entering into a 364-day credit agreement with a syndicate of lenders.

CP Program. At January 3, 2025, we had \$515 million in outstanding notes under our CP Program. Under the CP Program, we may issue unsecured commercial paper notes up to a maximum aggregate amount of \$3.0 billion. From time to time, we use borrowings under the CP Program for general corporate purposes, including the funding of acquisitions, debt repayment, dividend payments and repurchases of our common stock. See the "Financing Activities" discussion below in this MD&A for further information about our CP Program.

Cash Flow

The following table provides a summary of our cash flow information:

(In millions)	Fiscal Year Ended	
	January 3, 2025	December 29, 2023
Cash and cash equivalents, beginning of period	\$ 560	\$ 880
Operating Activities:		
Net income	1,512	1,198
Non-cash adjustments	1,576	1,162
Changes in working capital	66	286
Other, net	(595)	(550)
Net cash provided by operating activities	\$ 2,559	\$ 2,096
Net cash used in investing activities	(263)	(7,021)
Net cash (used in) provided by financing activities	(2,224)	4,594
Effect of exchange rate changes on cash and cash equivalents	(17)	11
Net increase (decrease) in cash and cash equivalents	\$ 55	\$ (320)
Cash and cash equivalents, end of period	\$ 615	\$ 560

Operating Activities. The \$463 million increase in net cash provided by operating activities in fiscal 2024 compared with fiscal 2023 was primarily due to an increase in net income, excluding the impact of non-cash adjustments, and tax planning strategies, partially offset by \$220 million less cash provided by working capital (i.e., receivables, contract assets, inventories, accounts payable and contract liabilities), primarily due to timing. Cash flow from operations was positive in all of our business segments in fiscal 2024.

Investing Activities. Our primary investing activities include net cash paid for acquired businesses, capital

expenditures and cash proceeds from sales of businesses.

The \$6,758 million decrease in net cash used in investing activities in fiscal 2024 compared with fiscal 2023 was primarily due to the \$6,688 million cash used for the acquisitions of TDL and AJRD in fiscal 2023 and an increase of \$202 million in net cash proceeds from the sale of businesses in fiscal 2024 (see “Divestitures” section below), partially offset by \$100 million of contributions to our rabbi trust assets in fiscal 2024.

Divestitures. During fiscal 2024, we completed the divestitures of our Antenna disposal group and Aerojet Ordnance Tennessee, Inc. (“AOT disposal group”) for net cash proceeds of \$170 million and \$103 million, respectively. During fiscal 2023, we completed the divestiture of Visual Information Solutions for net cash proceeds of \$71 million. See *Note 13: Acquisitions and Divestitures* in the Notes for further information.

Financing Activities. Our primary financing activities include issuances of long-term debt and commercial paper, exercises of employee stock options, repayments of long-term debt and commercial paper, dividend payments and repurchases of common stock.

The \$6,818 million change in net cash used in financing activities in fiscal 2024 compared with net cash provided by financing activities in fiscal 2023 was primarily due to a decrease in net proceeds from long-term debt and an increase in net repayments of commercial paper of \$4,741 million and \$2,683 million, respectively, partially offset by a decrease in repayments of long-term debt of \$550 million and an increase in proceeds from exercises of employee stock options of \$109 million.

Long-term debt. During fiscal 2024, we closed the issuance and sale of \$2.25 billion aggregate principal amount of the new long-term fixed-rate debt consisting of the 5.05% 2029 Notes, the 5.25% 2031 Notes, and the 5.35%

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2034 Notes (collectively, the “March Issued 2024 Notes”) and closed the issuance and sale of \$600 million aggregate principal amount of the of the 5.50% Notes due 2054 (“5.50% 2054 Notes”).

We used the proceeds from the March Issued 2024 Notes to repay the entire \$2.25 billion outstanding balance of Term Loan 2025 and net proceeds from the 5.50% 2054 Notes to repay borrowings under our CP Program and intend to use such proceeds to repay the \$600 million in aggregate principal amount of 3.832% notes due April 2025 (“3.832% 2025 Notes”) upon maturity. Additionally, in fiscal 2024, we repaid the \$350 million aggregate principal amount of our 3.95% notes, due May 2024 (“3.95% 2024 Notes”).

During fiscal 2023, we drew \$2.25 billion in long-term debt on Term Loan 2025 and utilized the proceeds to fund the TDL acquisition, including a portion of associated transaction and integration costs, and to repay the entire outstanding \$250 million aggregate principal amount of our Floating Rate Notes due March 2023. Additionally, we closed the issuance and sale of \$3.25 billion aggregate principal amount of fixed-rate debt consisting of the 5.4% 2027 Notes, the 5.4% 2033 Notes and the 5.6% 2053 Notes (collectively, the “AJRD Notes”). The AJRD Notes were used to fund a portion of the purchase price for the AJRD acquisition, and to pay related fees and expenses.

We repaid the entire outstanding \$800 million aggregate principal amount of our 3.85% notes, due June 2023 (“3.85% 2023 Notes”) through cash.

CP program. During fiscal 2024, we had a maximum outstanding balance of \$2,799 million and a daily average outstanding balance of \$2,100 million under our CP Program. We expect balances under the CP Program to remain elevated as compared to historical norms through fiscal 2025.

Dividends. Information concerning our dividends is set forth above under “Item 5. Market for Registrant’s Common Equity, Related Stockholder Matters and Issuer Purchases of Equity Securities” of this Report.

Common stock repurchases. During fiscal 2024, we repurchased 2.5 million shares of our common stock under our share repurchase program for \$554 million. At January 3, 2025, we had a remaining unused authorization under our repurchase program of \$3,381 million.

During fiscal 2023, we repurchased 2.5 million shares of our common stock under our share repurchase program for \$518 million.

The level and timing of our repurchases depends on a number of factors, including our financial condition, capital requirements, cash flows, results of operations, future business prospects and other factors our Board and management may deem relevant. The timing, volume and nature of repurchases are also subject to market conditions, applicable securities laws and other factors and are at our discretion and may be suspended or discontinued at any time. Additional information regarding our repurchase program is set forth above under “Item 5. Market for Registrant’s Common Equity, Related Stockholder Matters and Issuer Purchases of Equity Securities” of this Report.

Cash Requirements

Total Fixed-Rate Debt. At January 3, 2025, we had fixed-rate debt, which reflects our total long-term debt, including current portion but excluding finance leases, of \$11.5 billion, of which \$610 million is due within the next 12 months. The majority of our fixed-rate debt has been incurred in connection with merger and acquisition activity. Additionally, we have outstanding interest on fixed-rate debt of \$4.9 billion, of which \$534 million is due within the next 12 months. See *Note 8: Debt and Credit Arrangements* in the Notes for further information regarding our fixed-rate debt.

Purchase Obligations. At January 3, 2025, we had purchase obligations of approximately \$9.2 billion, of which approximately 60% are due within the next 12 months. Our purchase obligations mainly consist of outstanding commitments on open purchase orders made to suppliers, subcontractors and other outsourcing partners under U.S. Government contracts and managed service agreements. Our risk associated with these purchase obligations is generally limited to the termination liability provisions within such contracts. As such, we do not believe there to be a material liquidity risk associated with outstanding purchase obligations.

Operating and finance lease commitments. At January 3, 2025, we had operating and finance lease commitments of \$1.2 billion, of which \$199 million is due within the next 12 months. See *Note 11: Leases* in the Notes for further information regarding our lease commitments.

Defined Benefit Pension Contributions. With respect to our U.S. qualified defined benefit pension plans, we intend to contribute annually no less than the required minimum funding thresholds. In fiscal 2024, we made approximately \$30 million of contributions to our U.S. qualified defined benefit pension plans. We expect to make

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approximately \$23 million of contributions to these plans in fiscal 2025 and may consider voluntary contributions thereafter.

Future required contributions primarily will depend on the actual annual return on plan assets and the discount rate used to measure the benefit obligation at the end of each year. Depending on these factors, and the resulting funded status of our pension plans, the level of future statutory required minimum contributions could be material. We had net defined benefit plan assets of \$789 million as of January 3, 2025 compared with \$66 million as of December 29, 2023. The improvement in funded status as of January 3, 2025 is primarily due to more favorable than expected return on plan assets and decreased pension obligations resulting from higher discount rates. See *Note 9: Retirement Benefits* in the Notes for further information regarding our pension plans.

Commercial Commitments

We have entered into commercial commitments in the normal course of business including surety bonds, standby letter of credit agreements and other arrangements with financial institutions and customers primarily relating to the guarantee of future performance on certain contracts to provide products and services to customers or to obtain insurance policies with our insurance carriers. See *Note 15: Legal Proceedings, Commitments and Contingencies* in the Notes for additional information.

Liquidity Assessment

Given our current cash position, outlook for funds generated from operations, credit ratings, available credit facilities, cash needs and debt structure, we have not experienced to date, and do not expect to experience, any material issues with liquidity for the next 12 months and in the longer term, although we can give no assurances concerning our future liquidity, particularly in light of our overall level of debt, U.S. Government budget uncertainties and the state of global commerce and general political and global financial uncertainty.

Based on our current business plan and revenue prospects, we believe that our existing cash, funds generated from operations, availability under our senior unsecured credit facilities and our CP Program and access to the public and private debt and equity markets will be sufficient to provide for our anticipated working capital requirements, capital expenditures, dividend payments, repurchases under our share repurchase program and repayments of our debt securities at maturity for the next 12 months and the reasonably foreseeable future thereafter. Our capital expenditures for fiscal 2025 are expected to be approximately 2% of revenue.

CRITICAL ACCOUNTING ESTIMATES

Preparation of this Report in accordance with GAAP requires us to make estimates and assumptions that affect the reported amount of assets, liabilities, revenue, expenses and backlog as well as disclosure of contingent assets and liabilities. While the following is not intended to be a comprehensive list of our accounting estimates, we

consider the estimates discussed below as critical to an understanding of our financial statements because their application places the most significant demands on our judgment, with financial reporting results dependent on estimates about the effect of matters that are inherently uncertain and may change in subsequent periods. Specific risks for these critical accounting estimates are described in the following paragraphs. The impact and any associated risks described in the following paragraphs related to these estimates on our business operations are discussed throughout this MD&A where such estimates affect our reported and expected financial results. Senior management has discussed the development and selection of the critical accounting estimates and the related disclosure included herein with the Audit Committee of our Board. Actual results may differ from those estimates.

Revenue Recognition

A significant portion of our business is derived from development and production contracts. Revenue and profit related to development and production contracts are generally recognized over-time, typically using the percentage of completion ("POC") cost-to-cost method of revenue recognition, whereby we measure our progress towards completion of the performance obligation based on the ratio of costs incurred to date to estimated costs at completion under the contract. Because costs incurred represent work performed, we believe this method best depicts the transfer of control of the asset to the customer. Under the POC cost-to-cost method of revenue recognition, a single estimated profit margin is used to recognize profit for each performance obligation over its period of performance.

Recognition of profit on a contract requires estimates of the total cost at completion and transaction price and the measurement of progress towards completion. Due to the long-term nature of many of our contracts, developing the estimated total cost at completion and total transaction price often requires judgment. Factors that must be considered in estimating the cost of the work to be completed include: the nature and complexity of the work to be performed, subcontractor performance, the cost and availability of purchased materials and services, labor cost and availability and the risk and impact of delayed performance. Factors that must be considered in estimating the total

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transaction price include contractual cost or performance incentives (such as incentive fees, award fees and penalties) and other forms of variable consideration as well as our historical experience and our expectation for performance on the contract. These variable amounts generally are awarded upon achievement of certain negotiated performance metrics, program milestones or cost targets and can be based upon customer discretion. We include such estimated amounts in the transaction price to the extent it is probable that a significant reversal of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is resolved.

At the outset of each contract, we gauge its complexity and perceived risks and establish an estimated total cost at completion in line with these expectations. We follow a standard EAC process in which we review the progress and performance on our ongoing contracts. If we successfully retire risks associated with the technical, schedule and cost aspects of a contract, we may lower our estimated total cost at completion commensurate with the retirement of these risks. Conversely, there are many reasons estimated contract costs can increase, including: (i) supply chain disruptions, inflation and labor issues; (ii) design or other development challenges; and (iii) program execution challenges (including from technical or quality issues and other performance concerns). Additionally, as the contract progresses, our estimates of total transaction price may increase or decrease if, for example, we receive incentive or award fees that are higher or lower than expected.

When changes in estimated total costs at completion or in estimated total transaction price are determined, the related impact on operating income is recognized on a cumulative basis. Cumulative EAC adjustments represent the cumulative effect of the changes on current and prior periods; revenue and operating margins in future periods are recognized as if the revised estimates had been used since contract inception. Any anticipated losses on these contracts are fully recognized in the period in which the losses become evident. In fiscal 2024 and fiscal 2023, earnings were impacted by recognition of net favorable EAC adjustments of \$39 million and net unfavorable EAC adjustments of \$85 million, respectively.

During fiscal 2024, we recognized approximately \$100 million in unfavorable EAC adjustments related to three classified fixed-price development programs in Space Systems, however, there were no individual EAC adjustments that were material to our results of operations on a consolidated or segment basis in fiscal 2024 or 2023.

We recognize revenue from numerous contracts with multiple performance obligations. For these contracts, we allocate the transaction price to each performance obligation based on the relative standalone selling price of the product or service underlying each performance obligation. The standalone selling price represents the amount for which we would sell the product or service to a customer on a standalone basis (i.e., not sold as a bundled sale with

any other products or services). The allocation of transaction price among separate performance obligations may impact the timing of revenue recognition but will not change the total revenue recognized on the contract. A substantial majority of our revenue is derived from contracts with the U.S. Government, including foreign military sales contracts. These contracts are subject to the Federal Acquisition Regulation ("FAR") and the prices of our contract deliverables are typically based on our estimated or actual costs plus margin. As a result, the standalone selling prices of the products and services in these contracts are typically equal to the selling prices stated in the contract, thereby eliminating the need to allocate (or reallocate) the transaction price to the multiple performance obligations. In our non-U.S. Government contracts, when standalone selling prices are not directly observable, we also generally use the expected cost plus margin approach to determine standalone selling price. In determining the appropriate margin under the cost plus margin approach, we consider historical margins on similar products sold to similar customers or within similar geographies where objective evidence is available. We may also consider our cost structure and profit objectives, the nature of the proposal, the effects of customization of pricing, our practices used to establish pricing of bundled products, the expected technological life of the product, margins earned on similar contracts with different customers and other factors to determine the appropriate margin.

Defined Benefit Plans

Certain of our current and former employees participate in defined benefit plans in the U.S., Canada and United Kingdom, which are sponsored by L3Harris. See *Note 9: Retirement Benefits* in the Notes for additional information related to our defined benefit plans.

Significant Assumptions

The determination of the projected benefit obligation ("PBO") and recognition of net periodic benefit income related to defined benefit plans depend on various assumptions, including discount rates, expected return on plan assets, rate of future compensation increases, mortality, termination and other factors.

We develop assumptions using relevant experience, in conjunction with market-related data for each plan.

Assumptions are reviewed annually with third-party experts and adjusted as appropriate. Actual results that differ

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from our assumptions are accumulated and generally amortized for each plan to the extent required over the estimated future life expectancy or, if applicable, the average remaining service period of the plan's active participants.

The following table presents the significant assumptions used to determine the PBO:

	January 3, 2025		December 29, 2023	
	Pension	Other Benefits	Pension	Other Benefits
Discount rate	5.46 %	5.38 %	4.91 %	4.87 %

The following table presents the significant assumptions used to determine net periodic benefit income:

	Fiscal Year Ended			
	January 3, 2025		December 29, 2023	
	Pension	Other Benefits	Pension	Other Benefits
Discount rate to determine service cost	4.92 %	5.00 %	5.18 %	5.26 %
Discount rate to determine interest cost	4.80 %	4.78 %	5.08 %	5.06 %
Expected return on plan assets	7.45 %	7.50 %	7.46 %	7.50 %

Discount Rate. The discount rate is used to calculate the present value of expected future benefit payments at the measurement date. An increase in the discount rate decreases the PBO and generally decreases our net periodic benefit income. A decrease in the discount rate increases the PBO and generally increases our net periodic benefit income. The discount rate assumption is based on current investment yields of high-quality fixed income investments during the retirement benefits maturity period. The pension discount rate is determined by considering an interest rate yield curve comprising AAA/AA bonds, with maturities between zero and thirty years, developed by the plan's actuaries. Annual benefit payments are then discounted to present value using this yield curve to develop a single discount rate matching the plan's characteristics.

Sensitivity Analysis. The sensitivity of the PBO to changes in the discount rate varies depending on the magnitude and direction of the change in the discount rate. We estimate that a 25 basis point change in the discount rate of our combined U.S. defined benefit pension plans would have the following impact on our PBO at January 3, 2025 and net periodic benefit income for the next twelve months:

(In millions)	25 Basis	
	Point Increase	Point Decrease
PBO	\$ (155)	\$ 161
Net periodic benefit income	\$ 7	\$ (8)

Expected Return on Plan Assets. Substantially all of our plan assets are managed on a commingled basis in a master investment trust. We determine our expected return on plan assets by evaluating both historical returns and estimates of future returns. Specifically, we consider the plan's actual historical annual return on assets over the past 15, 20 and 25 years and historical broad market returns over long-term timeframes based on our strategic allocation, which is detailed in *Note 9: Retirement Benefits* in the Notes. Future returns are based on independent estimates of long-term asset class returns. Based on this approach, the weighted average long-term annual rate of return on assets was estimated to be 7.45% for both fiscal 2024 and 2025.

Sensitivity Analysis. We estimate that a 25 basis point change in the expected return on plan assets of our combined U.S. defined benefit pension plans would have the following impact on net periodic benefit income for the next twelve months:

(In millions)	25 Basis	
	Point Increase	Point Decrease
Net periodic benefit income	\$ (20)	\$ 20

Goodwill

We test our goodwill for impairment annually as of the first business day of our fourth fiscal quarter, which was September 30 in fiscal 2024, or under certain circumstances more frequently, such as when events or circumstances indicate there may be impairment or when we reorganize our reporting structure such that the composition of one or more of our reporting units is affected. We test goodwill for impairment at a level within the Company referred to as the reporting unit, which is our business segment level or one level below the business

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segment. Some of our segments are comprised of several reporting units. Allocation of goodwill to several reporting units could make it more likely that we will have an impairment charge in the future. An impairment charge to any one of our reporting units could have a material impact on our financial condition and results of operations. The process of evaluating the potential impairment of goodwill is highly subjective and requires significant judgment. To test goodwill for impairment, we may perform both qualitative and quantitative assessments. If we elect to perform a qualitative assessment for a certain reporting unit, we evaluate events and circumstances impacting the reporting unit to determine the probability that goodwill is impaired. If we determine it is more-likely-than-not that the fair value of the reporting unit is less than its carrying amount, we perform a quantitative assessment.

Our qualitative assessment of the recoverability of goodwill, whether performed annually or based on specific events or circumstances, considers various macroeconomic, industry-specific and company-specific factors. These factors include: (i) deterioration in the general economy; (ii) deterioration in the environment in which we operate; (iii) increase in materials, labor or other costs; (iv) negative or declining cash flows; (v) changes in management, changes in strategy or significant litigation; (vi) changes in the composition or carrying amount of net assets or an expectation of disposing all or a portion of the reporting unit; or (vii) a sustained decrease in share price. If we perform a quantitative assessment for a certain reporting unit, we calculate the fair value of that reporting unit and compare the fair value to the reporting unit's net book value. We estimate fair values of our reporting units based on projected cash flows. Values derived from projected cash flows are corroborated through review of revenue and/or earnings multiples applied to the latest twelve months' revenue and earnings of our reporting units. Projected cash flows are based on our best estimate of future revenues, operating costs and balance sheet metrics reflecting our view of the financial and market conditions of the underlying business; and the resulting cash flows are discounted using an appropriate discount rate that reflects the risk in the forecasted cash flows. The revenues and earnings multiples applied to the revenues and earnings of our reporting units are based on current multiples of revenues and earnings for similar businesses, and based on revenues and earnings multiples paid for recent acquisitions of similar businesses made in the marketplace. We then assess whether any implied control premium, based on a comparison of fair value based purely on our stock price and outstanding shares with fair value determined by using all of the above-described models, is reasonable. If the fair value of a reporting unit exceeds its carrying amount, goodwill of the reporting unit is considered not impaired. If the carrying amount of a reporting unit

exceeds its fair value, an impairment loss is recognized in an amount equal to that excess.

Fiscal 2024 Impairment Tests. We performed our annual impairment test of all of our reporting units' goodwill as of September 30, 2024 and concluded that for each of our reporting units no impairment existed.

Business realignment. Effective for fiscal 2024, to better align our businesses, we adjusted our IMS segment by realigning our Electro Optical and Maritime sectors, which are also reporting units, splitting Electro Optical into two sectors, Global Optical Systems and Defense Electronics, and moving one Electro Optical business to the Maritime sector. Global Optical Systems and Defense Electronics represent one reporting unit. Immediately before and after the realignment, we performed a quantitative impairment assessment under our former and new reporting unit structure. These assessments indicated no impairment existed either before or after the realignment.

Antenna disposal group divestiture. For information related to the Antenna disposal group divestiture, including goodwill allocation, impairment testing and resulting impairment see *Note 6: Goodwill and Intangible Assets* in the Notes.

Fiscal 2023 Impairment Tests. For information related to fiscal 2023 impairment tests and resulting impairments see *Note 6: Goodwill and Intangible Assets* in the Notes.

At-risk goodwill. Based on the fiscal 2024 annual impairment testing, all of our reporting units had clearances above 25%. Based on the fiscal 2023 annual impairment testing, our Broadband reporting unit had clearance of approximately 20% and goodwill of \$2,656 million and our ISR and Electro Optical reporting units had clearances of approximately 6% and goodwill of \$3,186 million and \$2,193 million, respectively.

An impairment of goodwill could result from a number of circumstances, including different assumptions used in determining the fair value of the reporting units; changes to U.S. Government spending priorities or ability to win competitively awarded contracts; an inability to meet our forecast; the rescission of significant contract awards as a result of competitors protesting or challenging contracts awarded to us; or an increase in interest rates without a corresponding increase in future revenue.

Goodwill-Related Fair Value Estimates. Fair value determinations described above under the heading "Goodwill" in this Critical Accounting Estimates section of this MD&A were determined based on a combination of market-based valuation techniques, utilizing quoted market prices, comparable publicly reported transactions, and

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projected discounted cash flows. The process of evaluating the potential impairment of goodwill is highly subjective and requires significant judgment. Material changes in these estimates could occur and result in additional impairments in future periods.

Business Combinations

We account for business combinations using the acquisition method of accounting, whereby identifiable assets acquired and liabilities assumed are measured at their estimated fair value as of the date of acquisition and any excess of the fair value of consideration transferred over the fair values of identifiable assets and liabilities is recorded as goodwill. See *Note 13: Acquisitions and Divestitures* in the Notes for additional information.

Income Taxes

We record deferred tax assets and liabilities for differences between the tax basis of assets and liabilities and amounts reported in our Consolidated Balance Sheet, as well as operating loss and tax credit carryforwards. We follow very specific and detailed guidelines in each tax jurisdiction regarding the recoverability of any tax assets recorded on the Consolidated Balance Sheet and provide necessary valuation allowances as required. Future realization of deferred tax assets ultimately depends on the existence of sufficient taxable income of the appropriate character (for example, ordinary income or capital gain) within the carryback or carryforward periods available under the tax law. We regularly review our deferred tax assets for recoverability based on historical taxable income, projected future taxable income, the expected timing of the reversals of existing temporary differences and tax planning strategies. We have not made any material changes in the methodologies used to determine our tax valuation allowances during fiscal 2024.

Our Consolidated Balance Sheet as of January 3, 2025 included deferred tax assets of \$120 million and deferred tax liabilities of \$942 million. For all jurisdictions in which we have net deferred tax assets, we expect that our existing levels of pre-tax earnings are sufficient to generate the amount of future taxable income needed to realize these tax assets. Our valuation allowance related to our deferred tax assets, which is reflected in our Consolidated Balance Sheet, was \$238 million as of January 3, 2025. Although we make reasonable efforts to ensure the accuracy of our deferred tax assets, if we continue to operate at a loss in certain jurisdictions, or are unable to generate sufficient future taxable income, or if there is a material change in the actual effective tax rates or time period within which the underlying temporary differences become taxable or deductible, or if the potential

impact of tax planning strategies changes, we could be required to increase the valuation allowance against all or a significant portion of our deferred tax assets resulting in a substantial increase in our effective tax rate and a material adverse impact on our operating results.

The evaluation of tax positions taken in a filed tax return, or planned to be taken in a future tax return or claim, involves inherent uncertainty and requires the use of judgment. We evaluate our income tax positions and record tax benefits for all years subject to examination based on our assessment of the facts and circumstances as of the reporting date. For tax positions where it is more likely than not that a tax benefit will be realized, we record the largest amount of tax benefit with a greater than 50% probability of being realized upon ultimate settlement with the applicable taxing authority, assuming the taxing authority has full knowledge of all relevant information. For income tax positions where it is not more likely than not that a tax benefit will be realized, we do not recognize a tax benefit in our Consolidated Balance Sheet.

As of January 3, 2025, we had \$758 million of unrecognized tax benefits, of which \$666 million would favorably impact our future tax rates in the event that the tax benefits are eventually recognized.

It is reasonably possible that there could be a significant change to our unrecognized tax benefits during the course of the next twelve months as ongoing tax examinations continue, other tax examinations commence or various statutes of limitations expire. However, an estimate of the range of possible changes is not practicable for the remaining unrecognized tax benefits because of the significant number of jurisdictions in which we do business and the number of open tax periods under various states of examination. See *Note 7: Income Taxes* in the Notes for additional information.

Impact of Recently Adopted and Issued Accounting Pronouncements

See *Note 1: Significant Accounting Policies* in the Notes for information relating to the impact of recently adopted and issued accounting pronouncements.

ITEM 7A. QUANTITATIVE AND QUALITATIVE DISCLOSURES ABOUT MARKET RISK.

Foreign Currency Risk

We are exposed to foreign currency risks that arise in normal course of our business operations. These risks include the translation of local currency balances of foreign subsidiaries into U.S. dollars and transactions denominated in currencies other than a subsidiary's functional currency. Assets and liabilities of international subsidiaries that use local currency as the functional currency, are translated at current rates of exchange and income and expense items are translated at the weighted average exchange rate for the year. In fiscal 2024, approximately 10% of our business was transacted in local currency environments. At January 3, 2025, the cumulative impact of translating the assets and liabilities of these operations to U.S. Dollars was a \$265 million loss, which is included as a component of shareholders' equity.

Our U.S. and foreign businesses enter into contracts with customers, subcontractors or vendors that are denominated in currencies other than the functional currencies of such businesses. To manage our exposure to currency risk and market fluctuation risk associated with anticipated cash flows that are probable of occurring in the future, we implement foreign currency forward contracts to hedge both balance sheet and off-balance sheet future foreign currency commitments. At January 3, 2025, we had open foreign currency forward contracts with an aggregate notional amount of \$201 million, hedging certain forecasted transactions denominated in U.S. Dollars, Canadian Dollars and Australian Dollars. Notional amounts are used to measure the volume of foreign currency forward contracts and do not represent exposure to foreign currency losses. Factors that could impact the effectiveness of our hedging programs for foreign currency include accuracy of sales estimates, volatility of currency markets and the cost and availability of hedging instruments.

At January 3, 2025, a hypothetical 10% change in currency exchange rates for our foreign currency derivatives held would not have had a material impact on the fair value of such instruments or our results of operations or cash flows. This quantification of exposure to the market risk associated with foreign currency financial instruments does not take into account the offsetting impact of changes in the fair value of our foreign denominated assets, liabilities and firm commitments.

Interest Rate Risk

We have exposure to interest rate risk associated with our financing activities, primarily our long-term debt and short-term debt borrowings. At January 3, 2025, our long-term debt consisted exclusively of fixed-rate debt with a carrying value and estimated fair value of \$11,530 million and \$11,179 million, respectively. The terms of our fixed-rate debt obligations are not puttable to us (i.e., not required to be redeemed by us prior to maturity) and we currently have no plans to refinance or repurchase outstanding fixed-rate debt prior to maturity. As such, fluctuation in market interest rates impact the fair value of our long-term debt but do not impact our statement of operations or cash flow. At January 3, 2025, a hypothetical 10% change in interest rates on our long-term fixed-rate debt obligations would not have had a material impact on the fair value of these obligations. Additionally, at January 3, 2025, we had short-term variable-rate debt outstanding under our CP Program of \$515 million. Due to its short-term nature, the fair value of our short-term debt approximates the carrying value. Outstanding notes under our CP Program bear interest that is variable based on certain short-term indices, thus exposing us to interest-rate risk. At January 3, 2025, a hypothetical 10% change in interest rates on our short-term debt obligations would not have had a material impact on our results of operations or cash flows. We can give no assurances, however, that interest rates will not change significantly or have a material effect on the fair value of our debt obligations or our results of operations or cash flows over the next twelve months. See *Note 8: Debt and Credit Arrangements* in the Notes for information regarding the maturities of our fixed-rate debt obligations and our CP program.

ITEM 8. FINANCIAL STATEMENTS AND SUPPLEMENTARY DATA.

Report of Independent Registered Public Accounting Firm

To the Shareholders and the Board of Directors of L3Harris Technologies, Inc.

Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheets of L3Harris Technologies, Inc. (the Company) as of January 3, 2025 and December 29, 2023, the related consolidated statements of operations, comprehensive income, cash flows and equity for each of the three years in the period ended January 3, 2025, and the related notes (collectively referred to as the "consolidated financial statements"). In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company at January 3, 2025 and December 29, 2023, and the results of its operations and its cash flows for each of the three years in the period ended January 3, 2025, in conformity with U.S. generally accepted accounting principles.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the Company's internal control over financial reporting as of January 3, 2025, based on criteria established in Internal Control-Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 framework), and our report dated February 14, 2025 expressed an unqualified opinion thereon.

Basis for Opinion

These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB. We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the financial statements, whether due to error or fraud, and performing procedures that

respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the financial statements. We believe that our audits provide a reasonable basis for our opinion.

Critical Audit Matters

The critical audit matters communicated below are matters arising from the current period audit of the financial statements that were communicated or required to be communicated to the audit committee and that: (1) relate to accounts or disclosures that are material to the financial statements and (2) involved our especially challenging, subjective or complex judgments. The communication of critical audit matters does not alter in any way our opinion on the consolidated financial statements, taken as a whole, and we are not, by communicating the critical audit matters below, providing separate opinions on the critical audit matters or on the accounts or disclosures to which they relate.

Description of the Matter

Cost estimation for revenue recognition on development and production contracts

As described in the consolidated financial statements, the Company recognized revenue for certain of its development and production contracts over time, typically using a percentage of completion cost-to-cost method, which required estimates of costs at completion for each contract. At the outset of each contract, the Company gauges its complexity and perceived risks and establishes an estimated total cost at completion with these expectations. After establishing the estimated total cost at completion, the Company reviews the progress and performance on its ongoing contracts at least quarterly and updates the estimated total cost at completion. Such estimates are subject to change during the performance of the contract and significant changes in estimates could have a material effect on the Company's results of operations.

Auditing the cost estimation for revenue recognition on development and production contracts where revenue is recognized over time using the percentage of completion cost-to-cost method involved subjective auditor judgment because the Company's development of the estimated total cost at completion requires estimates of the cost of the work to be completed based on the Company's underlying assumptions around achieving the technical, schedule and cost aspects of its contracts. In determining the estimates of the cost of the work to be completed, the Company considered the nature and complexity of the work to be performed, subcontractor performance and the risk and impact of delayed performance. Estimates of total cost at completion are also affected by management's assessment of the current status of the contract and expectation for performance on the contract, as well as historical experience.

How We Addressed the Matter in Our Audit

We obtained an understanding, evaluated the design and tested the operating effectiveness of certain internal controls over the Company's accounting for cost estimation for development and production contracts. For example, we tested certain controls over management's review of the estimate at completion analyses and the significant assumptions underlying the estimated total costs at completion. We also tested certain of management's controls to validate that the data used in the estimate at completion analyses was complete and accurate.

To test the cost estimation for development and production contracts, our audit procedures included, among others, obtaining an understanding of the contract, meeting with program management to confirm our understanding of the risks associated with the arrangement and the current contract performance, review of customer correspondence and contractual milestones and comparing cost estimates to historical cost experience with similar contracts, when applicable. Additionally, we obtained an understanding of the Company's past performance of estimating total costs at completion by reviewing changes in the cost estimates from previous periods and reviewing the overall accuracy of management's cost to completion estimations through lookback analyses.

Description of the Matter

Valuation of Goodwill

At January 3, 2025, the Company's goodwill was \$20.3 billion. As more fully described in the consolidated financial statements, the Company tests goodwill for impairment annually (or under certain circumstances, more frequently) at the reporting unit level using either a qualitative or quantitative assessment. Under the quantitative assessment to test for goodwill impairment, the Company compares the fair value of a reporting unit to its carrying amount, including goodwill. The Company estimates the fair value of its reporting units using a combination of a discounted cash flows analysis and market-based valuation methodologies.

Auditing the Company's quantitative goodwill impairment tests involved subjective auditor judgment due to the significant estimation required in management's determination of the fair value of the reporting units. The significant estimation is primarily due to the sensitivity of the respective fair values to underlying assumptions, particularly at the Aerojet Rocketdyne (AR) reporting unit, including changes in the weighted average cost of capital and projected EBITDA margins. These assumptions relate to the expected future operating performance of the Company's AR reporting unit, are forward-looking, and are sensitive to and affected by economic, industry and company-specific qualitative factors.

How We Addressed the Matter in Our Audit

We obtained an understanding, evaluated the design and tested the operating effectiveness of relevant internal controls over the Company's goodwill impairment review process, including controls over management's review of the significant assumptions used in the valuation models. We also tested management's controls to validate that the data

used in the valuation models was complete and accurate.

To test the estimated fair value of the Company's AR reporting unit, we performed audit procedures that included, among others, assessing the valuation methodologies used by the Company, involving our valuation specialists to assist in testing the significant assumptions discussed above, and testing the completeness and accuracy of the underlying data the Company used in its valuation analyses. For example, we compared the significant assumptions used by management to current industry, market and economic trends, the historical results of the AR reporting unit and other relevant factors. We also assessed the historical accuracy of management's valuation estimates and performed sensitivity analyses of significant assumptions used in the impairment tests to evaluate the change in the fair value of the AR reporting unit resulting from changes in the significant assumptions.

In addition, we reviewed the reconciliation of the fair value of the reporting units based on the annual impairment test to the market capitalization of the Company.

/s/ Ernst & Young LLP

We have served as the Company's auditor since at least 1932, but we are unable to determine the specific year.

Orlando, Florida

February 14, 2025

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CONSOLIDATED STATEMENT OF OPERATIONS

(In millions, except per share amounts)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022
Revenue			
Products	\$ 15,134	\$ 13,694	\$ 12,097
Services	6,191	5,725	4,965
Total revenue	21,325	19,419	17,062
Cost of revenue			
Products	(11,019)	(9,711)	(8,355)
Services	(4,782)	(4,595)	(3,780)
Total cost of revenue	(15,801)	(14,306)	(12,135)
General and administrative expenses	(3,568)	(3,313)	(2,998)
Impairment of goodwill and other assets	(38)	(374)	(802)
Operating income	1,918	1,426	1,127
Non-service FAS pension income and other, net	354	338	425
Interest expense, net	(675)	(543)	(279)
Income before income taxes	1,597	1,221	1,273
Income taxes	(85)	(23)	(212)
Net income	1,512	1,198	1,061

Noncontrolling interests, net of income taxes	(10)	29	1
Net income attributable to L3Harris Technologies, Inc.	\$ 1,502	\$ 1,227	\$ 1,062
Net income per common share attributable to L3Harris Technologies, Inc. common shareholders			
Basic	\$ 7.91	\$ 6.47	\$ 5.54
Diluted	\$ 7.87	\$ 6.44	\$ 5.49

See accompanying Notes to Consolidated Financial Statements.

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CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

(In millions)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022
Net income	\$ 1,512	\$ 1,198	\$ 1,061
Other comprehensive income (loss):			
Foreign currency translation, net of income taxes	(60)	36	(119)
Hedging derivatives, net of income taxes	(12)	10	(8)
Pension and other postretirement benefits, net of income taxes	323	71	(26)
Other comprehensive income (loss) recognized during the period	251	117	(153)
Reclassification adjustments for (gains) losses included in net income	(26)	(27)	11
Other comprehensive income (loss), net of income taxes	225	90	(142)
Total comprehensive income	1,737	1,288	919
Comprehensive (income) loss attributable to noncontrolling interest	(10)	29	1
Total comprehensive income attributable to L3Harris Technologies, Inc.	\$ 1,727	\$ 1,317	\$ 920

See accompanying Notes to Consolidated Financial Statements.

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CONSOLIDATED BALANCE SHEET

(In millions, except shares)

	January 3, 2025	December 29, 2023
Assets		
<i>Current assets</i>		
Cash and cash equivalents	\$ 615	\$ 560
Receivables, net	1,072	1,230
Contract assets	3,230	3,196
Inventories, net	1,330	1,472
Income taxes receivable	379	61
Other current assets	461	430
Assets of business held for sale	1,131	1,106
Total current assets	8,218	8,055
<i>Non-current assets</i>		
Property, plant and equipment, net	2,806	2,862
Goodwill	20,325	19,979
Intangible assets, net	7,639	8,540
Deferred income taxes	120	91
Other non-current assets	2,893	2,160

Total assets	\$ 42,001	\$ 41,687
Liabilities and equity		
<i>Current liabilities</i>		
Short-term debt	\$ 515	\$ 1,602
Current portion of long-term debt, net	640	363
Accounts payable	2,005	2,106
Contract liabilities	2,142	1,900
Compensation and benefits	419	544
Other current liabilities	1,648	1,129
Income taxes payable	29	88
Liabilities of business held for sale	235	272
Total current liabilities	7,633	8,004
<i>Non-current liabilities</i>		
Long-term debt, net	11,081	11,160
Deferred income taxes	942	815
Other long-term liabilities	2,766	2,879
Total liabilities	22,422	22,858
<i>Equity</i>		
Shareholders' Equity:		
Preferred stock, without par value; 1,000,000 shares authorized; none issued	—	—
Common stock, \$1.00 par value; 500,000,000 shares authorized; issued and outstanding 189,794,911 and 189,808,581 shares at January 3, 2025 and December 29, 2023, respectively	190	190
Paid-in capital	15,558	15,553
Retained earnings	3,739	3,220
Accumulated other comprehensive income (loss)	27	(198)
Total shareholders' equity	19,514	18,765
Noncontrolling interests	65	64
Total equity	19,579	18,829
Total liabilities and equity	\$ 42,001	\$ 41,687

See accompanying Notes to Consolidated Financial Statements.

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CONSOLIDATED STATEMENT OF CASH FLOWS

(In millions)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022
Operating Activities			
Net income	\$ 1,512	\$ 1,198	\$ 1,061
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation and amortization	1,289	1,166	938
Share-based compensation	97	89	109
Net periodic benefit income	(286)	(275)	(395)
Share-based matching contributions under defined contribution plans	264	231	216
Impairment of goodwill and other assets	38	374	802
Deferred income taxes	174	(423)	(596)
(Increase) decrease in:			
Receivables, net	128	124	(210)
Contract assets	(194)	62	23
Inventories, net	96	(182)	(310)

Other current assets	(29)	(55)	13
Increase (decrease) in:			
Accounts payable	(90)	87	180
Contract liabilities	126	195	121
Compensation and benefits	(128)	38	(45)
Other current liabilities	155	(88)	(181)
Income taxes	(383)	(333)	499
Other operating activities	(210)	(112)	(67)
Net cash provided by operating activities	2,559	2,096	2,158
Investing Activities			
Net cash paid for acquired businesses	—	(6,688)	—
Capital expenditures	(408)	(449)	(252)
Proceeds from sale of property, plant and equipment, net	1	56	14
Proceeds from sales of businesses	273	71	23
Other investing activities	(129)	(11)	(35)
Net cash used in investing activities	(263)	(7,021)	(250)
Financing Activities			
Proceeds from issuances of long-term debt, net	2,827	7,568	4
Repayments of long-term debt	(2,620)	(3,170)	(14)
Change in commercial paper, maturities under 90 days, net	(567)	623	—
Proceeds from commercial paper, maturities over 90 days	688	1,181	—
Repayments of commercial paper, maturities over 90 days	(1,205)	(205)	—
Proceeds from exercises of employee stock options	133	24	57
Repurchases of common stock	(554)	(518)	(1,083)
Dividends paid	(886)	(868)	(864)
Other financing activities	(40)	(41)	(51)
Net cash (used in) provided by financing activities	(2,224)	4,594	(1,951)
Effect of exchange rate changes on cash and cash equivalents	(17)	11	(18)
Net increase (decrease) in cash and cash equivalents	55	(320)	(61)
Cash and cash equivalents, beginning of period	560	880	941
Cash and cash equivalents, end of period	<u>\$ 615</u>	<u>\$ 560</u>	<u>\$ 880</u>

See accompanying Notes to Consolidated Financial Statements.

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CONSOLIDATED STATEMENT OF EQUITY

(In millions, except per share amounts)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022
Common Stock			
Beginning balance	\$ 190	\$ 191	\$ 194
Shares issued under stock incentive plans	2	1	1
Shares issued under defined contribution plans	1	1	1
Repurchases and retirement of common stock	(3)	(3)	(5)
Ending balance	190	190	191
Paid-in Capital			
Beginning balance	15,553	15,677	16,248
Shares issued under stock incentive plans	131	23	56
Shares issued under defined contribution plans	263	230	215
Share-based compensation expense	97	89	109
Tax withholding payments on share-based awards	(30)	(30)	(45)

Repurchases and retirement of common stock	(455)	(433)	(907)
Other	(1)	(3)	1
Ending balance	15,558	15,553	15,677
Retained Earnings			
Beginning balance	3,220	2,943	2,917
Net income attributable to L3Harris Technologies, Inc.	1,502	1,227	1,062
Repurchases and retirement of common stock	(96)	(82)	(171)
Cash dividends	(886)	(868)	(864)
Other	(1)	—	(1)
Ending balance	3,739	3,220	2,943
Accumulated Other Comprehensive Income (Loss)			
Beginning balance	(198)	(288)	(146)
Other comprehensive income (loss), net of income taxes	225	90	(142)
Ending balance	27	(198)	(288)
Noncontrolling Interests			
Beginning balance	64	101	106
Net income (loss) attributable to noncontrolling interests	10	(29)	(1)
Other	(9)	(8)	(4)
Ending balance	65	64	101
Total Equity	\$ 19,579	\$ 18,829	\$ 18,624
Cash dividends per share	\$ 4.64	\$ 4.56	\$ 4.48

See accompanying Notes to Consolidated Financial Statements.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

NOTE 1: SIGNIFICANT ACCOUNTING POLICIES

Organization — L3Harris Technologies, Inc., together with its subsidiaries, is the Trusted Disruptor in the defense industry. With customers' mission-critical needs in mind, we deliver end-to-end technology solutions connecting the space, air, land, sea and cyber domains in the interest of global security. We support government customers in more than 100 countries, with our largest customers being various departments and agencies of the U.S. Government, their prime contractors and international allies. Our products and services have defense and civil government applications, as well as commercial applications. As of January 3, 2025 we had approximately 47,000 employees.

Principles of Consolidation — Our Consolidated Financial Statements include the accounts of L3Harris Technologies, Inc. and its consolidated subsidiaries. As used in these Notes to the Consolidated Financial Statements, the terms "L3Harris," "Company," "we," "our" and "us" refer to L3Harris Technologies, Inc. and its consolidated subsidiaries. Intercompany transactions and accounts have been eliminated.

Fiscal Year — Our fiscal year ends on the Friday nearest December 31. Fiscal 2024 included 53 weeks. Fiscal 2023 and fiscal 2022 each included 52 weeks.

Use of Estimates — The preparation of financial statements in accordance with GAAP requires us to make estimates and assumptions that affect the amounts reported in the accompanying Consolidated Financial Statements and these Notes and related disclosures. These estimates and assumptions are based on experience and other information available prior to issuance of the accompanying Consolidated Financial Statements and these

Notes. Materially different results can occur as circumstances change and additional information becomes known.

Reclassifications — The classification of certain prior year amounts have been adjusted in our Consolidated Financial Statements and these Notes to conform to current year classifications.

Cash and Cash Equivalents — Cash and cash equivalents include cash at banks and temporary cash investments with a maturity of three or fewer months when purchased. These investments include accrued interest and are carried at the lower of cost or market.

Fair Value Measurements — Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in the principal market (or most advantageous market, in the absence of a principal market) for the asset or liability in an orderly transaction between market participants at the measurement date. Entities are required to maximize the use of observable inputs and minimize the use of unobservable inputs in measuring fair value, and to utilize a three-level fair value hierarchy that prioritizes the inputs used to measure fair value. The three levels of inputs used to measure fair value are as follows:

- Level 1 — Quoted prices in active markets for identical assets or liabilities.
- Level 2 — Observable inputs other than quoted prices included within Level 1, including quoted prices for similar assets or liabilities in active markets; quoted prices for identical or similar assets or liabilities in markets that are not active; and inputs other than quoted prices that are observable or are derived principally from, or corroborated by, observable market data by correlation or other means.
- Level 3 — Unobservable inputs that are supported by little or no market activity, are significant to the fair value of the assets or liabilities and reflect our own assumptions about the assumptions market participants would use in pricing the asset or liability developed using the best information available in the circumstances.

In certain instances, fair value is estimated using quoted market prices obtained from external pricing services.

In obtaining such data from the pricing service, we have evaluated the methodologies used to develop the estimate of fair value in order to assess whether such valuations are representative of fair value, including net asset value ("NAV"). Additionally, in certain circumstances, the NAV reported by an asset manager may be adjusted when sufficient evidence indicates NAV is not representative of fair value.

Financial instruments. The carrying amounts of certain of our financial instruments reflected in our Consolidated Balance Sheet, including cash and cash equivalents, accounts receivable, non-current receivables, notes receivable, accounts payable and short-term debt, approximate their fair values. Fair values for long-term fixed-rate debt are primarily based on quoted market prices for those or similar instruments. See *Note 8: Debt and Credit Arrangements* in these Notes for additional information regarding fair values for our long-term fixed-rate debt. A discussion of fair values for our derivative financial instruments is included under the caption "Financial Instruments and Risk Management" in this Note.

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Accounts Receivable — We record receivables derived from contracts with customers at net realizable value and they generally do not bear interest. This value includes an allowance for estimated uncollectible accounts to reflect any losses anticipated on the accounts receivable balances which is charged to the provision for doubtful accounts. We calculate this allowance at inception based on expected loss over the life of the receivable. We consider historical write-offs by customer, level of past due accounts and economic status of the customer. A receivable is considered delinquent if it is unpaid after the term of the related invoice has expired. Write-offs are recorded at the time a customer receivable is deemed uncollectible. At January 3, 2025 and December 29, 2023, our allowances for collection losses were \$21 million and \$15 million, respectively.

Contract Assets and Liabilities — The timing of revenue recognition, customer billings and cash collections results in accounts receivable, contract assets and contract liabilities at the end of each reporting period. Contract assets mainly represent unbilled amounts typically resulting from revenue recognized exceeding amounts billed to customers for contracts utilizing the POC cost-to-cost revenue recognition method. Contract assets become receivables as we bill customers as work progresses in accordance with agreed-upon contractual terms, either at periodic intervals, upon achievement of contractual milestones or upon deliveries and, in certain arrangements, the customer may withhold payment of a portion of the contract price until contract completion. Contract liabilities include advance payments and billings in excess of revenue recognized, including deferred revenue. Contract assets and liabilities are reported on a contract-by-contract basis at the end of each reporting period.

Contract assets related to amounts withheld by customers until contract completion are not considered a

significant financing component of our contracts because the intent is to protect the customers from our failure to satisfactorily complete our performance obligations. Payments received from customers in advance of revenue recognition are not considered a significant financing component of our contracts because they are utilized to pay for contract costs within a one-year period or are requested by us to ensure the customers meet their payment obligations.

Inventories — Inventories are valued at the lower of cost (determined by average and first-in, first-out methods) or net realizable value. We regularly review inventory quantities on hand and record a provision for excess and obsolete inventory primarily based on our estimated forecast of product demand, anticipated end of product life and production requirements.

Property, Plant and Equipment — Property, plant and equipment, including software capitalized for internal use, is recorded at cost and depreciated on a reasonable and systematic basis, typically the straight-line method, over the estimated useful life of the asset. Estimated useful lives generally range as follows: buildings, including leasehold improvements, between two and 45 years; machinery and equipment between two and 10 years; and software capitalized for internal-use between two and 10 years. We review property, plant and equipment for impairment whenever events or changes in circumstances indicate the carrying amount of the asset may not be recoverable.

Goodwill — We follow the acquisition method of accounting to record the assets and liabilities of acquired businesses at their estimated fair value at the date of acquisition. We initially record goodwill for the amount the consideration transferred exceeds the acquisition-date fair value of net identifiable assets acquired.

We test goodwill for impairment at a level within the Company referred to as the reporting unit, which is our business segment level or one level below the business segment. Goodwill is tested for impairment annually as of the first business day of our fourth fiscal quarter, or under certain circumstances more frequently, such as when events or circumstances indicate there may be impairment. Such events or circumstances may include a significant deterioration in overall economic conditions, changes in the business climate of our industry, a decline in our market capitalization, operating performance indicators, competition, reorganizations of our business or the disposal of all or a portion of a reporting unit.

To test goodwill for impairment, we may perform both qualitative and quantitative assessments. If we elect to perform a qualitative assessment for a certain reporting unit, we evaluate events and circumstances impacting the reporting unit to determine the probability that goodwill is impaired. If we perform a quantitative assessment for a certain reporting unit, we calculate the fair value of that reporting unit and compare the fair value to the reporting unit's net book value. We estimate fair values of our reporting units based on projected cash flows, and sales and/or earnings multiples applied to the latest twelve months' sales and earnings of our reporting units. Projected cash flows are based on our best estimate of future revenues, operating costs and balance sheet metrics reflecting our view of the financial and market conditions of the underlying business; and the resulting cash flows are discounted using an appropriate discount rate that reflects the risk in the forecasted cash flows. Revenue and earnings multiples are based on current multiples of revenues and earnings for similar businesses, and based on revenue and earnings multiples paid for recent acquisitions of similar businesses made in the marketplace. We then assess

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whether any implied control premium, based on a comparison of fair value based purely on our stock price and outstanding shares with fair value determined by using all of the above-described models, is reasonable. If we determine it is more-likely-than-not that the fair value of the reporting unit is less than its carrying amount, we measure any impairment loss by comparing the fair value of each reporting unit to its carrying amount, including goodwill. If the carrying amount of a reporting unit exceeds its fair value, goodwill is considered impaired, and an impairment loss is recognized in an amount equal to that excess.

Intangible Assets — Our finite-lived intangible assets are amortized to expense over their applicable useful lives, either according to the underlying economic benefit as reflected by future net cash inflows or on a straight-line basis depending on the nature of the asset, generally ranging between three to 20 years. We review finite-lived intangible assets for impairment whenever events or changes in circumstances indicate the carrying amount of the asset may not be recoverable. We evaluate the recoverability of such assets based on the expectations of undiscounted cash flows from such assets. If the sum of the expected future undiscounted cash flows is less than the carrying amount of the asset, a loss is recognized for the difference between the fair value and the carrying amount.

Our most significant finite-lived intangible asset is customer relationships that are established through written customer contracts (i.e., revenue arrangements). The fair value for customer relationships is determined, as of the date of acquisition, based on estimates and judgments regarding expectations for the estimated future after-tax

earnings and cash flows arising from the follow-on revenues expected from the customer relationships over the estimated lives, including the probability of expected future contract renewals and revenues, less a contributory assets charge, all of which is discounted to present value.

Indefinite-lived intangible assets are tested annually for impairment, or under certain circumstances, more frequently, such as when events or circumstances indicate there may be an impairment. This testing compares the fair value of the asset to its carrying amount, and, when appropriate, the carrying amount of these assets is reduced to its fair value.

Leases — We recognize right-of-use (“ROU”) assets and lease liabilities in our Consolidated Balance Sheet for operating and finance leases under which we are the lessee. As a practical expedient, leases with a term of twelve months or less (including reasonably certain extension periods) and leases with expected lease payments of less than \$250 thousand are expensed as incurred in the “Cost of revenue” and “General and administrative expenses” line items in our Consolidated Statement of Operations.

ROU assets and lease liabilities are recognized based on the present value of future lease payments, which are primarily base rent. We have some lease payments that are based on an index and changes to the index are treated as variable lease payments and recognized in the “Cost of revenue” and “General and administrative expenses” line items in our Consolidated Statement of Operations in the period in which the obligation for those payments is incurred. Our lease payments also include non-lease components such as real estate taxes and common-area maintenance costs. As a practical expedient, we account for lease and non-lease components as a single component. For certain leases, the non-lease components are variable and are therefore excluded from lease payments to determine the ROU asset. The present value of future lease payments is determined using our incremental borrowing rate at lease commencement over the expected lease term. We use our incremental borrowing rate because our leases do not provide an implicit lease rate. The expected lease term represents the number of years we expect to lease the property, including options to extend or terminate the lease when it is reasonably certain that we will exercise the option.

Operating lease cost and finance lease amortization are recognized on a straight-line basis over the expected lease term in the “Cost of revenue” and “General and administrative expenses” line items in our Consolidated Statement of Operations. Interest on finance lease liabilities is recognized in the “Interest expense, net” line item in our Consolidated Statement of Operations.

Income Taxes — We follow the asset and liability method of accounting for income taxes. We record deferred tax assets and liabilities for differences between the tax basis of assets and liabilities and amounts reported in our Consolidated Balance Sheet, as well as operating loss and tax credit carryforwards. We follow specific and detailed guidelines in each tax jurisdiction regarding the recoverability of any tax assets recorded on the balance sheet and provide necessary valuation allowances as required. We regularly review our deferred tax assets for recoverability based on historical taxable income, projected future taxable income, the expected timing of the reversals of existing temporary differences and tax planning strategies.

We have elected to account for tax on Global Intangible Low-Taxed Income as a current-period expense when incurred.

Foreign Currency Translation — Assets and liabilities of international subsidiaries that use local currency as the functional currency, are translated at current rates of exchange and income and expense items are translated at the weighted average exchange rate for the year. The resulting translation adjustments are recorded as a component of the “Accumulated other comprehensive income (loss)” line item in our Consolidated Balance Sheet.

Share-Based Compensation — We measure compensation cost for all share-based awards (including employee stock options) at fair value and recognize cost over the vesting period, with forfeitures recognized as they occur. It is our practice to issue shares when options are exercised.

Share Repurchases — Repurchased common shares are permanently retired. As we repurchase our common shares, we reduce common stock for the par value and allocate any excess purchase price over par value to paid-in capital and retained earnings. During fiscal 2024, we repurchased 2.5 million shares of our common stock for \$554 million under our repurchase program. At January 3, 2025, we had remaining unused authorization under our repurchase program of \$3,381 million.

Revenue Recognition — We account for a contract when it has approval and commitment from all parties, the rights and payment terms of the parties can be identified, the contract has commercial substance and the collectability of the consideration, or transaction price, is probable. Our contracts are often subsequently modified to include changes in specifications, requirements or price that may create new or change existing enforceable rights

and obligations. We do not account for contract modifications (including unexercised options) or follow-on contracts until they meet the requirements noted above to account for a contract.

We categorize revenue and costs for performance obligations to provide tangible goods as “product” and revenue and costs for performance obligations to provide services for which the principal result is not to produce anything tangible as “service.” In instances where a single performance obligation requires us to deliver products and perform services, we derive the product and service categories presented in our financial statements based upon the predominant nature of each performance. In these cases, we classify the revenue and costs from the entire performance obligation based on the nature of the overall promise made to the customer.

At the inception of each contract, we evaluate the promised products and services to determine whether the contract should be accounted for as having one or more performance obligations. A performance obligation is a promise to transfer a distinct product or service to a customer and represents the unit of accounting for revenue recognition. A substantial majority of our revenue is derived from long-term development and production contracts involving the design, development, manufacture or modification of defense products and related services according to the customers’ specifications. Due to the highly interdependent and interrelated nature of the underlying products and services and the significant service of integration that we provide, which often results in the delivery of multiple units, we account for these contracts as one performance obligation. For contracts that include both development/production and follow-on support services (for example, operations and maintenance), we generally consider the follow-on services distinct in the context of the contract and account for them as separate performance obligations. Additionally, we recognize revenue from contracts to provide multiple distinct products to a customer for which the products can readily be sold to other customers based on their commercial nature and, accordingly, these products are accounted for as separate performance obligations.

Shipping and handling costs incurred after control of a product has transferred to the customer (for example, in free on board shipping arrangements) are treated as fulfillment costs and, therefore, are not accounted for as separate performance obligations. Also, we record taxes collected from customers and remitted to governmental authorities on a net basis such that they are excluded from revenue.

As noted above, our contracts are often subsequently modified to include changes in specifications, requirements or price. Depending on the nature of the modification, we consider whether to account for the modification as an adjustment to the existing contract or as a separate contract. Often, the deliverables in our contract modifications are not distinct from the existing contract due to the significant integration and interrelated tasks provided in the context of the contract. Therefore, such modifications are accounted for as if they are part of the existing contract, and we may be required to recognize a cumulative catch-up adjustment to revenue at the date of the contract modification.

We determine the transaction price for each contract based on our best estimate of the consideration we expect to receive, which includes assumptions regarding variable consideration such as award and incentive fees. These variable amounts are generally awarded upon achievement of certain negotiated performance metrics, program milestones or cost targets and can be based upon customer discretion. We include such estimated amounts in the transaction price to the extent it is probable that a significant reversal of cumulative revenue recognized will not

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occur when the uncertainty associated with the variable consideration is resolved. We estimate variable consideration primarily using the most likely amount method.

For contracts with multiple performance obligations, we allocate the transaction price to each performance obligation based on the relative standalone selling price of the product or service underlying each performance obligation. The standalone selling price represents the amount for which we would sell the product or service to a customer on a standalone basis (i.e., not sold as a bundle with any other products or services). Our contracts with the U.S. Government, including foreign military sales contracts, are subject to the FAR and the prices of our contract deliverables are typically based on our estimated or actual costs plus margin. As a result, the standalone selling prices of the products and services in these contracts are typically equal to the selling prices stated in the contract, thereby eliminating the need to allocate (or reallocate) the transaction price to the multiple performance obligations. In our non-U.S. Government contracts, we also generally use the expected cost plus margin approach to determine standalone selling price. In addition, we determine standalone selling price for certain contracts that are commercial in nature based on observable selling prices.

We recognize revenue for each performance obligation when (or as) the performance obligation is satisfied by transferring control of the promised products or services underlying the performance obligation to the customer.

The transfer of control can occur over-time or at a point in time. A significant portion of our business is derived from development and production contracts. Revenue and profit related to development and production contracts are generally recognized over-time, typically using the POC cost-to-cost method of revenue recognition, whereby we measure our progress towards completion of the performance obligation based on the ratio of costs incurred to date to estimated costs at completion under the contract. Because costs incurred represent work performed, we believe this method best depicts the transfer of control of the asset to the customer. Under the POC cost-to-cost method of revenue recognition, a single estimated profit margin is used to recognize profit for each performance obligation over its period of performance. To a lesser extent, we also recognize revenue from contracts to provide multiple distinct products to a customer that are commercial in nature and can readily be sold to other customers. These performance obligations do not meet the criteria listed below to recognize revenue over-time; therefore, we recognize revenue at a point in time, generally when the products are received and accepted by the customer.

Point-in-Time Revenue Recognition. Our performance obligations are satisfied at a point in time unless they meet at least one of the following criteria, in which case they are satisfied over-time:

- The customer simultaneously receives and consumes the benefits provided by our performance as we perform;
- Our performance creates or enhances an asset (for example, work in process) that the customer controls as the asset is created or enhanced; or
- Our performance does not create an asset with an alternative use to us and we have an enforceable right to payment for performance completed to date.

Over-Time Revenue Recognition. For U.S. Government development and production contracts, there is generally a continuous transfer of control of the asset to the customer as it is being produced based on FAR clauses in the contract that provide the customer with lien rights to work in process and allow the customer to unilaterally terminate the contract for convenience, pay us for costs incurred plus a reasonable profit and take control of any work in process. This also typically applies to our contracts with prime contractors for U.S. Government development and production contracts, when the above-described FAR clauses are flowed down to us by the prime contractors.

Our non-U.S. Government development and production contracts, including international direct commercial contracts and U.S. contracts with state and local agencies, utilities, commercial and transportation organizations, often do not include the FAR clauses described above. However, over-time revenue recognition is typically supported either through our performance creating or enhancing an asset that the customer controls as it is created or enhanced or based on other contractual provisions or relevant laws that provide us with an enforceable right to payment for our work performed to date plus a reasonable profit if our customer were permitted to and did terminate the contract for reasons other than our failure to perform as promised.

For performance obligations to provide services that are satisfied over-time, we recognize revenue either on a straight-line basis, the POC cost-to-cost method or based on the right-to-invoice method (i.e., based on our right to bill the customer), depending on which method best depicts transfer of control to the customer.

Contract Estimates. Under the POC cost-to-cost method of revenue recognition, a single estimated profit margin is used to recognize profit for each performance obligation over its period of performance. Recognition of profit on a contract requires estimates of the total cost at completion and transaction price and the measurement of progress

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towards completion. Due to the long-term nature of many of our contracts, developing the estimated total cost at completion and total transaction price often requires judgment. Factors that must be considered in estimating the cost of the work to be completed include the nature and complexity of the work to be performed, subcontractor performance and the risk and impact of delayed performance. Factors that must be considered in estimating the total transaction price include contractual cost or performance incentives (such as incentive fees, award fees and penalties) and other forms of variable consideration, as well as our historical experience and our expectation for performance on the contract.

At the outset of each contract, we gauge its complexity and perceived risks and establish an estimated total cost at completion in line with these expectations. We follow a standard EAC process in which we review the progress and performance on our ongoing contracts. If we successfully retire risks associated with the technical, schedule and cost aspects of a contract, we may lower our estimated total cost at completion commensurate with the retirement of these risks. Conversely, there are many reasons estimated contract costs can increase, including: (i) supply chain disruptions, inflation and labor issues; (ii) design or other development challenges; and (iii) program execution challenges (including from technical or quality issues and other performance concerns). Additionally, as

the contract progresses, our estimates of total transaction price may increase or decrease if, for example, we receive incentive or award fees that are higher or lower than expected. When changes in estimated total costs at completion or in estimated total transaction price are determined, the related impact on operating income is recognized on a cumulative basis. EAC adjustments represent the cumulative effect of the changes from current and prior periods; revenue and operating margins in future periods are recognized as if the revised estimates had been used since contract inception. Any anticipated losses on these contracts are fully recognized in the period in which the losses become evident.

Net EAC adjustments had the following impact to earnings for the periods presented:

(In millions, except per share amounts)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022
Net EAC adjustments, before income taxes	\$ 39	\$ (85)	\$ 36
Net EAC adjustments, net of income taxes	29	(63)	27
Net EAC adjustments, net of income taxes, per diluted share	0.15	(0.33)	0.14

Revenue recognized from performance obligations satisfied (or partially satisfied) in prior periods was \$210 million, \$118 million and \$110 million in fiscal 2024, 2023 and 2022, respectively.

Bill-and-Hold Arrangements. For certain contracts, the finished product may temporarily be stored at our location under a bill-and-hold arrangement. Revenue is recognized on bill-and-hold arrangements at the point in time when the customer obtains control of the product and all of the following criteria have been met: the arrangement is substantive (for example, the customer has requested the arrangement); the product is identified separately as belonging to the customer; the product is ready for physical transfer to the customer; and we do not have the ability to use the product or direct it to another customer. In determining when the customer obtains control of the product, we consider certain indicators, including whether we have a present right to payment from the customer, whether title and/or significant risks and rewards of ownership have transferred to the customer and whether customer acceptance has been received (in the case of arrangements with customer acceptance provisions).

Backlog. Backlog, which is the equivalent of our remaining performance obligations, represents the future revenue we expect to recognize as we perform on our current contracts. Backlog comprises both funded backlog (i.e., firm orders for which funding is authorized or appropriated) and unfunded backlog (i.e., orders for which funds have not been appropriated and/or incrementally funded). Backlog excludes unexercised contract options and potential orders under ordering-type contracts, such as IDIQ contracts.

At January 3, 2025, our ending backlog was \$34.2 billion, of which \$23.3 billion was funded backlog. We expect to recognize approximately 45% of the revenue associated with this backlog by the end of fiscal 2025 and approximately 75% by the end of fiscal 2026, with the remainder to be recognized thereafter. At December 29, 2023, our ending backlog was \$32.7 billion, of which \$22.0 billion was funded backlog.

Retirement Benefits — We sponsor various pension and other postretirement defined benefit plans. The funded or unfunded position of each defined benefit plan is recorded in our Consolidated Balance Sheet. Funded status is derived by subtracting the respective year-end values of the PBO from the fair value of plan assets. Actuarial gains and losses and prior service credits and costs are recorded, net of income taxes, in the “Accumulated other comprehensive income (loss)” line item in our Consolidated Balance Sheet until they are amortized as a component

of net periodic benefit income in the “Non-service FAS pension income and other, net” line item in our Consolidated Statement of Operations.

The determination of the PBO and the recognition of net periodic benefit income related to defined benefit plans depend on various assumptions, including discount rates, expected return on plan assets, the rate of future compensation increases, mortality, termination and health care cost trend rates. We develop each assumption using relevant Company experience in conjunction with market-related data. Actuarial assumptions are reviewed annually with third-party consultants and adjusted as appropriate. For the recognition of net periodic benefit income, we use a market-related value of plan assets to calculate the expected return on plan assets. The market-related value of plan assets is based on yearly average asset values at the measurement date over the last five years, with investment gains or losses to be phased in over five years. Net actuarial gains and losses are amortized to the net periodic benefit income using the corridor approach, where the net gains and losses in excess of 10% of the greater of the PBO or the market-related value of plan assets are amortized for each plan over the estimated future life expectancy or, if applicable, the average remaining service period of the plan's active participants. The fair value of

plan assets is determined based on market prices or estimated fair value at the measurement date. The measurement date for valuing defined benefit plan assets and obligations is the end of the month closest to our fiscal year end.

Environmental Expenditures — We generally capitalize environmental expenditures that increase the life or efficiency of property or that reduce or prevent environmental contamination. We accrue environmental expenses resulting from existing conditions that relate to past or current operations. Our accruals for environmental expenses are recorded on a site-by-site basis when it is probable a liability has been incurred and the amount of the liability can be reasonably estimated, based on current law and existing technologies available to us. Our accruals for environmental expenses represent the best estimates related to the investigation and remediation of environmental media such as water, soil, soil vapor, air and structures, as well as related legal fees and regulatory agency oversight fees, and are reviewed periodically, at least annually at the year-end balance sheet date, and updated for progress of investigation and remediation efforts and changes in facts and legal circumstances. If the timing and amount of future cash payments for environmental liabilities are fixed or reliably determinable, we generally discount such cash flows in estimating our accrual.

The relevant factors we considered in estimating our potential liabilities under applicable environmental statutes and regulations included some or all of the following as to each site: incomplete information regarding particular sites and other potentially responsible parties; uncertainty regarding the extent of investigation or remediation; our share, if any, of liability for such conditions; the selection of alternative remedial approaches; changes in environmental standards and regulatory requirements; probable insurance proceeds; cost-sharing agreements with other parties; and potential indemnification from successor and predecessor owners of these sites.

Derivative Financial Instruments and Hedging Activities — We recognize all derivatives in our Consolidated Balance Sheet at fair value. These financial instruments are marked-to-market using forward prices and fair value quotes and are categorized in Level 2 of the fair value hierarchy. Derivatives that are not hedges are adjusted to fair value through income. If the derivative qualifies and is designated as a hedge, it must be documented as such at the inception of the hedge. Depending on the nature of the hedge, changes in the fair value of the derivative are either offset against the change in fair value of assets, liabilities or firm commitments through earnings or recognized in other comprehensive income (loss) until the hedged item is recognized in earnings. Gains and losses in accumulated other comprehensive income (loss) are reclassified to earnings when the related hedged item is recognized in earnings. The cash flow impact of our derivatives is included in the same category in our Consolidated Statement of Cash Flows as the cash flows of the related hedged items. We do not hold or issue derivatives for speculative trading purposes.

EPS — EPS is calculated as net income per common share attributable to L3Harris Technologies, Inc. common shareholders divided by our weighted average number of basic or diluted shares outstanding. Potential dilutive common shares primarily consist of employee stock options and restricted and performance unit awards.

Business Segments — We evaluate each of our business segments based on its operating income or loss. Intersegment revenues are generally transferred at cost to the buying segment, and the sourcing segment recognizes a profit that is eliminated. The elimination of intersegment revenues is included in the “other” line item in *Note 14: Business Segments* in these Notes. Corporate expenses are primarily allocated to our business segments using an allocation methodology prescribed by U.S. Government regulations for government contractors. The “Unallocated corporate department expense” line item in *Note 14: Business Segments* in these Notes represents the portion of corporate expenses that are not included in management’s evaluation of segment operating performance or elimination of intersegment profits.

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FAS/CAS Operating Adjustment. We calculate and allocate a portion of our defined benefit plan costs to our U.S. Government contracts in accordance with CAS. However, our Consolidated Financial Statements require we calculate our defined benefit plan costs (net periodic benefit income) in accordance with FAS requirements. The difference between CAS pension cost and the service cost component of net periodic benefit income (“FAS pension service cost”) is reflected in the “FAS/CAS operating adjustment,” which is included as a component of Unallocated corporate department expense line item in *Note 14: Business Segments* in these Notes.

(In millions)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022
FAS pension service cost	\$ (36)	\$ (35)	\$ (46)
Less: CAS pension cost	(64)	(145)	(141)
FAS/CAS operating adjustment	28	110	95

The non-service cost component of net periodic benefit income is included in the “Non-service FAS pension income and other, net” line item in our Consolidated Statement of Operations. See *Note 9: Retirement Benefits* in these Notes for additional information regarding our defined benefit plans and composition of net periodic benefit income.

R&D — Company-funded R&D costs are expensed as incurred and are included in the “General and administrative expenses” line item in our Consolidated Statement of Operations. These costs were \$515 million, \$480 million and \$603 million in fiscal 2024, 2023, and 2022, respectively.

Customer-funded R&D costs are incurred pursuant to contractual arrangements, principally U.S. Government-sponsored contracts requiring us to provide a product or service meeting certain defined performance or other specifications (such as designs), and such contractual arrangements are accounted for principally by the POC cost-to-cost revenue recognition method. Customer-funded R&D is included in the “Revenue” and “Cost of revenue” line items in our Consolidated Statement of Operations.

Recent Accounting Pronouncements — In November 2023, the Financial Accounting Standards Board (“FASB”) issued Accounting Standards Update (“ASU”) 2023-07, Segment Reporting (Topic 280): Improvements to Reportable Segment Disclosures (“ASU 2023-07”) which requires additional segment disclosures on an annual and interim basis, including significant segment expenses that are regularly provided to the chief operating decision maker. The standard does not change how operating segments and reportable segments are determined. ASU 2023-07 is effective for annual reporting periods beginning after December 15, 2023 and interim reporting periods beginning after December 15, 2024 and is required to be applied retrospectively to all periods presented in the consolidated financial statements. We adopted this standard in fiscal 2024 and applied the provisions to our business segment disclosure. See *Note 14: Business Segments* in these Notes for further information. The adoption of 2023-07 did not have any impact on our operating results, financial position, or cash flows.

In December 2023, the FASB issued ASU 2023-09, Income Taxes (Topic 740): Improvements to Income Tax Disclosures (“ASU 2023-09”) which requires disaggregated income tax disclosures on an annual basis, including information on our effective income tax rate reconciliation and income taxes paid. ASU 2023-09 is effective for annual reporting periods beginning after December 15, 2024, and may be applied prospectively or retrospectively. We are evaluating the impact of ASU 2023-09 and expect the standard will only impact our income taxes disclosures with no material impact on our operating results, financial position, or cash flows.

In March 2024, the SEC issued SEC Release Nos. 33-11275 and 34-99678, The Enhancement and Standardization of Climate-Related Disclosures for Investors, which requires climate-related disclosures in annual reports and registration statements. In April 2024, the SEC released an order staying this final rule pending judicial review of all the petitions challenging the rule. If enacted, the rule would require disclosure of material climate-related risks, our governance and risk management of climate-related risks and any material climate-related targets or goals, greenhouse gas emissions as well as disclosure of the financial statement effects, such as costs and losses resulting from severe weather events and other natural conditions. We are evaluating the impact of the rule and related litigation on our disclosures.

In November 2024, the FASB issued ASU 2024-03, Income Statement—Reporting Comprehensive Income—Expense Disaggregation Disclosures (Subtopic 220-40): Disaggregation of Income Statement Expenses (“ASU 2024-03”) which requires disclosure, in the notes to financial statements, of specified information about certain costs and expenses included in each expense caption on the face of the income statement at interim and annual reporting periods. ASU 2024-03 is effective for annual reporting periods beginning after December 15, 2026, and interim reporting periods beginning after December 15, 2027, and should be applied either prospectively to financial

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statements issued for reporting periods after the effective date of this ASU or retrospectively to any or all prior periods presented in the financial statements. We are evaluating the impact of ASU 2024-03 and expect the standard will only impact our disclosures with no material impact on our operating results, financial position, or cash flows.

NOTE 2: EARNINGS PER SHARE

The weighted average number of shares outstanding used to compute basic and diluted EPS are as follows:

(In millions, except per share amounts)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022
Basic weighted-average common shares outstanding	189.8	189.6	191.8
Impact of dilutive share-based awards	0.9	1.0	1.7
Diluted weighted-average common shares outstanding	190.7	190.6	193.5

Diluted EPS excludes the antidilutive impact of 3.3 million, 3.7 million and 0.3 million weighted average share-based awards outstanding in fiscal 2024, 2023 and 2022, respectively.

NOTE 3: CONTRACT ASSETS AND CONTRACT LIABILITIES

Contract assets and contract liabilities are summarized below:

(In millions)	January 3, 2025	December 29, 2023
Contract assets	\$ 3,230	\$ 3,196
Contract liabilities, current	(2,142)	(1,900)
Contract liabilities, non-current ⁽¹⁾	(91)	(94)
Net contract assets	\$ 997	\$ 1,202

(1) The non-current portion of contract liabilities is included as a component of the "Other long-term liabilities" line item in our Consolidated Balance Sheet.

Contract assets and liabilities as of January 3, 2025 and December 29, 2023 were impacted primarily by the timing of contractual billing milestones. In fiscal 2024, 2023 and 2022, we recognized \$1,433 million, \$1,247 million and \$1,057 million, respectively, of revenue related to contract liabilities that were outstanding at the end of the respective prior fiscal year.

NOTE 4: INVENTORIES, NET

Inventories, net are summarized below:

(In millions)	January 3, 2025	December 29, 2023
Finished products	\$ 211	\$ 217
Work in process	332	427
Materials and supplies	787	828
Inventories, net	\$ 1,330	\$ 1,472

NOTE 5: PROPERTY, PLANT AND EQUIPMENT, NET

Property, plant and equipment, net, are summarized below:

(In millions)	January 3, 2025	December 29, 2023
Land	\$ 182	\$ 184
Software capitalized for internal use	795	716
Buildings	1,633	1,605
Machinery and equipment	3,032	2,816
	5,642	5,321
Less: accumulated depreciation and amortization	(2,836)	(2,459)

Property, plant and equipment, net	\$	2,806	\$	2,862
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Depreciation and amortization expense related to property, plant and equipment was \$429 million, \$389 million and \$342 million in fiscal 2024, 2023 and 2022, respectively.

There were no impairments of property, plant and equipment in fiscal 2024, 2023 or 2022.

NOTE 6: GOODWILL AND INTANGIBLE ASSETS

Goodwill

Changes in the carrying amount of goodwill, by business segment, were as follows:

(In millions)	SAS	IMS	CS	AR	Total
Balance at December 30, 2022	\$ 5,778	\$ 7,709	\$ 3,796	**	\$ 17,283
Reallocation of goodwill in business realignment	327	(327)	—	—	—
Goodwill increase from acquisitions ⁽¹⁾	—	—	1,143	2,365	3,508
Goodwill decrease from divestitures	(9)	—	—	—	(9)
Assets of business held for sale	—	(534)	—	—	(534)
Impairment of goodwill	—	(296)	—	—	(296)
Currency translation adjustments	14	12	1	—	27
Balance at December 29, 2023	6,110	6,564	4,940	2,365	19,979
Goodwill from AJRD acquisition	—	—	—	537	537
Goodwill decrease from divestitures ⁽²⁾	(79)	—	—	(50)	(129)
Impairment of goodwill	(14)	—	—	—	(14)
Currency translation adjustments	(18)	(28)	(2)	—	(48)
Balance at January 3, 2025	\$ 5,999	\$ 6,536	\$ 4,938	\$ 2,852	\$ 20,325

**Our AR segment, which is also the AR reporting unit, was established in connection with the AJRD acquisition and consists of assets, liabilities and operations assumed. As such, there is no comparable prior year information. See *Note 13: Acquisitions and Divestitures* in these Notes for further information.

(1) CS: Goodwill recognized in connection with the TDL acquisition is included in our Broadband reporting unit within our CS segment. AR: Goodwill recognized in connection with the AJRD acquisition is included within the AR Reporting unit, which is also our AR segment.

(2) SAS: Goodwill (net of impairment) derecognized in connection with the Antenna disposal group divestiture. See discussion under "Goodwill Impairments" below. AR: Goodwill derecognized in connection with the AOT disposal group divestiture. See *Note 13: Acquisitions and Divestitures* in these Notes for further information.

At January 3, 2025 and December 29, 2023, accumulated goodwill impairment losses totaled \$80 million, \$1,126 million and \$355 million in our SAS, IMS, and CS segments, respectively. There are no accumulated impairment losses in our AR segment.

Reallocation of Goodwill in Business Realignments. To better align our businesses, we adjusted our reporting within our business segments and goodwill reporting units as follows:

Fiscal 2024. We realigned our Electro Optical and Maritime sectors in our IMS segment, which are also reporting units, splitting Electro Optical into two sectors, Global Optical Systems and Defense Electronics, and moving one Electro Optical business to the Maritime sector. Global Optical Systems and Defense Electronics represent one reporting unit. Immediately before and after the realignment, we performed a quantitative impairment assessment under our former and new reporting unit structure. These assessments indicated no impairment existed either before or after the realignment.

Fiscal 2023. We transferred our Agile Development Group ("ADG") business (a reporting unit) from our IMS segment to our SAS segment (also a reporting unit). In connection with the realignment, we reduced our reporting units from nine to eight as the ADG reporting unit and all \$327 million of associated goodwill was absorbed by our existing SAS reporting unit given the economic similarities of the two reporting units. Immediately before the realignment, we performed a qualitative impairment assessment over our SAS reporting unit and a quantitative impairment assessment over our ADG reporting unit. Immediately after the realignment, we performed a quantitative impairment assessment over the SAS reporting unit. These assessments indicated no impairment existed either before or after the realignment.

Goodwill Impairments. We assess goodwill for impairment annually or under certain circumstances more frequently, such as when events or circumstances indicate there may be impairment.

Fiscal 2024. As described in more detail in *Note 13: Acquisitions and Divestitures* in these Notes, during the quarter ended June 28, 2024, we completed the divestiture of Antenna disposal group. As the Antenna disposal group represents the disposal of a portion of the SAS reporting unit, which is also the SAS segment, we assigned \$93 million of goodwill to the Antenna disposal group on a relative fair value basis. In connection with the preparation of our financial statements for the quarter and two quarters ended June 28, 2024, we performed a quantitative impairment assessment on goodwill assigned to the Antenna disposal group and a qualitative impairment assessment on the goodwill assigned to the retained businesses of the reporting unit. As a result of these tests, we determined that the fair value of the Antenna disposal group was below its carrying value and accordingly recorded a non-cash charge for impairment of \$14 million included in the “Impairment of goodwill and other assets” line item in our Consolidated Statement of Operations.

Fiscal 2023. As described in more detail in *Note 13: Acquisitions and Divestitures* in these Notes, during the quarter ended December 29, 2023, we entered into a definitive agreement to sell our CAS disposal group, which includes both the CTS and Commercial Aviation reporting units. As of November 27, 2023, the date of the agreement, the fair value less costs to sell the CAS disposal group was \$834 million, inclusive of considerations related to noncontrolling interest and accumulated other comprehensive income.

In connection with the preparation of our financial statements for fiscal 2023, we evaluated the facts and circumstances which impacted the agreed upon selling price of the CAS disposal group and identified interim indicators of impairment within both reporting units subsequent to our annual impairment testing date of October 2, 2023. Specifically, supply chain-related operational challenges which negatively impact cash flows over the short-term forecast period were assessed in combination with our long-term portfolio shaping strategy to dispose of non-core businesses. As a result, we performed quantitative impairment tests for both reporting units as of November 27, 2023, utilizing an income approach aligned to market prices for the two reporting units, as specified in the definitive agreement. As a result of these tests, we determined that the fair value of the CTS reporting unit was above carrying value, while the fair value of the Commercial Avionics reporting unit was below its carrying value, and concluded goodwill related to the Commercial Aviation reporting unit was impaired. Therefore we recorded a non-cash charge for impairment of \$296 million associated with the Commercial Aviation reporting unit in the “Impairment of goodwill and other assets” line item in our Consolidated Statement of Operations.

The carrying amounts of the CAS disposal group assets (including \$534 million of goodwill) and liabilities were classified as held for sale in our Consolidated Balance Sheet at December 29, 2023.

Fiscal 2022. During fiscal 2022, we determined that goodwill related to our Broadband, ADG and Electro Optical reporting units was impaired and we recorded non-cash impairment charges of \$355 million, \$313 million and \$134 million, respectively, in the “Impairment of goodwill and other assets” line item in our Consolidated Statement of Operations. See *Note 9: Goodwill* in our Fiscal 2022 Form 10-K for further information on our fiscal 2022 goodwill impairments.

Intangible Assets

Intangible assets, net, are summarized below:

(In millions)	January 3, 2025			December 29, 2023		
	Gross Carrying Amount	Accumulated Amortization	Net Carrying Amount	Gross Carrying Amount	Accumulated Amortization	Net Carrying Amount
Customer relationships	\$ 8,817	\$ (3,470)	\$ 5,347	\$ 8,892	\$ (2,733)	\$ 6,159
Developed technologies	849	(482)	367	856	(413)	443
Trade names	185	(64)	121	185	(50)	135

Other, including contract backlog	3	(2)	1	4	(4)	—
Total finite-lived intangible assets	9,854	(4,018)	5,836	9,937	(3,200)	6,737
Trade name — indefinite-lived	1,803	—	1,803	1,803	—	1,803
Total intangible assets, net	<u>\$ 11,657</u>	<u>\$ (4,018)</u>	<u>\$ 7,639</u>	<u>\$ 11,740</u>	<u>\$ (3,200)</u>	<u>\$ 8,540</u>

Amortization expense for intangible assets was \$853 million, \$779 million and \$605 million in fiscal 2024, 2023 and 2022, respectively.

Future estimated amortization expense for intangible assets is as follows:

	(In millions)
2025	\$ 768
2026	671
2027	562
2028	489
2029	433
Thereafter	2,913
Total	<u>\$ 5,836</u>

In-process R&D Impairment. During fiscal 2023, we closed a facility, which triggered an evaluation of the in-process R&D related to the operations of the closed facility for impairment. As a result, we recorded a \$21 million non-cash charge for the impairment of in-process R&D intangible assets which is included in the “Impairment of goodwill and other assets” line item in our Consolidated Statement of Operations for fiscal 2023.

NOTE 7: INCOME TAXES

Income Tax Provision

Our provisions for current and deferred income taxes are as follows:

(In millions)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022
Current:			
United States	\$ (166)	\$ 328	\$ 633
International	72	50	82
State and local	5	66	98
Total current income taxes	(89)	444	813
Deferred:			
United States	244	(380)	(523)
International	(34)	10	(61)
State and local	(36)	(51)	(17)
Total deferred income taxes	174	(421)	(601)
Total income taxes	<u>\$ 85</u>	<u>\$ 23</u>	<u>\$ 212</u>

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A reconciliation of the U.S. statutory income tax rate to our effective income tax rate is as follows:

(In millions)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022
U.S. statutory income tax rate	21.0 %	21.0 %	21.0 %
State taxes	2.1	1.4	2.2
International income	0.4	—	—
Non-deductible goodwill impairment	—	3.6	14.2

R&D tax credit	(10.4)	(12.5)	(13.0)
FDII deduction	(2.1)	(4.4)	(5.1)
Changes in valuation allowance	(2.3)	0.2	0.1
Impact of divestitures and reorganizations	1.2	(8.5)	(1.3)
Share-based compensation ⁽¹⁾	(0.6)	0.2	(0.2)
Settlement of tax audits	(3.4)	(1.1)	(0.7)
Other items	(0.6)	2.0	(0.5)
Effective income tax rate	5.3 %	1.9 %	16.7 %

(1)Includes non-deductible share-based compensation and excess tax benefits from share-based compensation.

As of January 3, 2025, we estimate our outside basis difference in foreign subsidiaries that are considered indefinitely reinvested to be approximately \$1.5 billion. The outside basis difference is comprised predominantly of purchase accounting adjustments and to a lesser extent, undistributed earnings and other equity adjustments. In the event of a disposition of the foreign subsidiaries or a distribution, we may be subject to incremental U.S. income taxes, subject to an adjustment for foreign tax credits, and withholding taxes or income taxes payable to the foreign jurisdictions. As of January 3, 2025, the determination of the amount of unrecognized deferred tax liability related to the outside basis difference is not practicable.

Purchase of Tax Credits

Section 6418 of the Internal Revenue Code permits, in certain circumstances, the sale of federal income tax credits generated from renewable and alternative energy sources. During the year ended January 3, 2025, we entered into a binding agreement for the purchase of tax credits totaling \$200 million for the 2024 tax year for a net purchase price of \$191 million, allowing us to reduce our 2024 federal income taxes payable by the \$200 million. We have recorded a liability to the seller for the amount owed in the "Other current liabilities" line of the Consolidated Balance Sheet. We have recorded an income tax benefit of \$9 million for the difference between the amount paid or to be paid to the seller and the reduction to our taxes payable in the "Income taxes" line of the Consolidated Statement of Operations.

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Deferred Income Tax Assets (Liabilities)

The components of deferred income tax assets (liabilities) were as follows:

(In millions)	January 3, 2025	December 29, 2023
Deferred tax assets, net:		
Accruals	\$ 396	\$ 334
Tax loss and credit carryforwards ⁽¹⁾	249	211

Operating lease obligation	212	243
Capitalized research and experimental expenditures	1,694	1,125
Other	461	380
Valuation allowance ⁽²⁾	(238)	(240)
Deferred tax assets, net	2,774	2,053
Deferred tax liabilities:		
Property, plant and equipment	(216)	(252)
Acquired intangibles	(1,974)	(2,143)
Operating lease ROU asset	(188)	(219)
Deferred revenue on long-term contracts ⁽³⁾	(913)	—
Other	(305)	(163)
Deferred tax liabilities	(3,596)	(2,777)
Net deferred tax liabilities	<u>\$ (822)</u>	<u>\$ (724)</u>

(1)At January 3, 2025, primarily includes operating loss and credit carryforwards of \$81 million and \$165 million, respectively, which have expiration dates ranging from less than one year to no expiration date. A significant portion of the carryforwards are either indefinite or begin expiring in 2035.

(2)Valuation allowance established to offset certain domestic and foreign deferred tax assets due to the uncertainty regarding our ability to realize these assets in the future. The net change in our valuation allowance in fiscal 2024 and 2023 was a decrease of \$2 million and \$3 million, respectively.

(3)Based on recent IRS guidance, we made a method change to defer taxable income for long-term contracts accounted for under the POC cost-to-cost method that include deferred R&D expenses, resulting in a \$913 million reduction in our current income taxes (current payable) and corresponding increase to our deferred income taxes (deferred tax liability).

Net deferred tax assets (liabilities) were classified as follows in our Consolidated Balance Sheet:

(In millions)	January 3, 2025	December 29, 2023
Deferred income tax assets	\$ 120	\$ 91
Deferred income tax liabilities	(942)	(815)
Net deferred tax liabilities	<u>\$ (822)</u>	<u>\$ (724)</u>

Income before income taxes of our international subsidiaries was \$191 million, \$205 million and \$95 million in fiscal 2024, 2023 and 2022, respectively.

We paid \$102 million, \$715 million and \$309 million in income taxes, net of refunds received, in fiscal 2024, 2023 and 2022, respectively.

Tax Uncertainties

A reconciliation of the beginning and ending amounts of unrecognized tax benefits is as follows:

(In millions)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022
Balance at beginning of fiscal year	\$ 652	\$ 613	\$ 587
Additions based on tax positions taken during current	120	99	124

period			
Additions based on tax positions taken during prior period	23	8	4
Additions from tax positions related to acquired entities	92	86	—
Decreases based on tax positions taken during prior period	(113)	(133)	(76)
Decreases from lapse in statutes of limitations	(9)	(11)	(6)
Decreases from settlements	(7)	(10)	(20)
Balance at end of fiscal year ⁽¹⁾	<u>\$ 758</u>	<u>\$ 652</u>	<u>\$ 613</u>

(1)Includes unrecognized tax benefits that would favorably impact our future tax rates in the event that the tax benefits are eventually recognized of \$666 million and \$509 million at January 3, 2025 and December 29, 2023, respectively.

We recognize accrued interest and penalties related to unrecognized tax benefits in our income tax provision. In fiscal 2024, 2023 and 2022, we recognized \$29 million, \$20 million and \$12 million, respectively. At January 3, 2025 and December 29, 2023, accrued interest and penalties related to unrecognized tax benefits was \$109 million and \$80 million, respectively, which is included in the “Other long-term liabilities” line item in our Consolidated Balance Sheet.

We file numerous separate and consolidated income tax returns reporting our financial results and, where appropriate, those of our subsidiaries and affiliates, in the U.S. federal jurisdiction and various state, local and foreign jurisdictions. Pursuant to the Compliance Assurance Process, the Internal Revenue Service (“IRS”) is examining our federal tax returns for fiscal 2021, 2022, and 2023. Legacy L3’s federal tax returns for calendar years 2017 and 2018 are currently under IRS examination and refund claims related to calendar years 2012, 2013, 2015 and 2016 have been filed with the IRS. In addition, legacy AJRD refund claims related to calendar year 2019 and 2020 have been filed with the IRS.

We are currently under examination or contesting proposed adjustments by various state and international tax authorities for fiscal years ranging from 2013 through 2022. It is reasonably possible that there could be a significant change to our unrecognized tax benefit balance during the course of the next twelve months as these examinations continue, other tax examinations commence or various statutes of limitations expire. An estimate of the range of possible changes is not practicable for the remaining unrecognized tax benefits because of the significant number of jurisdictions in which we do business and the number of open tax periods under various stages of examination.

NOTE 8: DEBT AND CREDIT ARRANGEMENTS

Long-Term Debt

Long-term debt, net, is summarized below:

(In millions)	January 3, 2025	December 29, 2023
Variable-rate debt:		

Term Loan 2025	\$	—	\$	2,250
Fixed-rate debt: ⁽¹⁾				
3.95% 2024 Notes		—		350
3.832% notes, due April 2025 ⁽²⁾⁽³⁾		600		600
7.00% debentures, due January 2026 ⁽⁴⁾		100		100
3.85% notes, due December 2026 ⁽²⁾		550		550
5.40% notes, due January 2027 (“5.40% 2027 Notes”) ⁽²⁾⁽³⁾⁽⁵⁾		1,250		1,250
6.35% debentures, due February 2028 ⁽²⁾		26		26
4.40% notes, due June 2028 ⁽²⁾⁽³⁾		1,850		1,850
5.05% notes, due June 2029 (“5.05% 2029 Notes”) ⁽²⁾⁽³⁾		750		—
2.90% notes, due December 2029 ⁽²⁾		400		400
1.80% notes, due January 2031 ⁽²⁾⁽³⁾		650		650
5.25% notes, due June 2031 (“5.25% 2031 Notes”) ⁽²⁾⁽³⁾		750		—
5.40% notes, due July 2033 (“5.40% 2033 Notes”) ⁽²⁾⁽³⁾⁽⁵⁾		1,500		1,500
5.35% notes, due June 2034 (“5.35% 2034 Notes”) ⁽²⁾⁽³⁾		750		—
4.854% notes, due April 2035 ⁽²⁾⁽³⁾		400		400
6.15% notes, due December 2040 ⁽²⁾⁽³⁾		300		300
5.054% notes, due April 2045 ⁽²⁾⁽³⁾		500		500
5.60% notes, due July 2053 (“5.60% 2053 Notes”) ⁽²⁾⁽³⁾⁽⁵⁾		500		500
5.50% notes, due August 2054 (“5.50% 2054 Notes”) ⁽²⁾⁽³⁾		600		—
Total variable and fixed-rate debt		11,476		11,226
Financing lease obligations and other debt		288		300
Long-term debt, including the current portion of long-term debt		11,764		11,526
Plus: unamortized bond premium		38		51
Less: unamortized discounts and issuance costs		(81)		(54)
Long-term debt, including the current portion of long-term debt, net		11,721		11,523
Less: current portion of long-term debt, net		(640)		(363)
Total long-term debt, net	\$	11,081	\$	11,160

(1) All fixed-rate notes and debentures rank equally in right of payment.

(2) We may redeem these notes, in whole or in part, at our option, at a pre-determined redemption price pursuant to their terms prior to the applicable maturity date.

(3) Upon change of control combined with a below-investment-grade rating event, we may be required to make an offer to repurchase these notes at a pre-determined price pursuant to their terms.

(4) The debentures are not redeemable prior to maturity.

(5) Collectively, the “AJRD Notes.”

The maturities of long-term debt, including the current portion of long-term debt and excluding finance lease obligations, for the five years following the end of fiscal 2024 and, in total thereafter, are: \$610 million in fiscal 2025; \$659 million in fiscal 2026; \$1,254 million in fiscal 2027; \$1,880 million in fiscal 2028; \$1,154 million in fiscal 2029; and \$5,973 million thereafter.

Long-Term Debt Issuances. On March 13, 2024, we closed the issuance and sale of March Issued 2024 Notes.

The March Issued 2024 Notes were used to repay Term Loan 2025, including related fees and expenses, which had an outstanding balance of \$2.25 billion at December 29, 2023. Interest on the March Issued 2024 Notes is payable semi-annually in arrears on June 1 and December 1 of each year, commencing on December 1, 2024.

On August 2, 2024, we closed the issuance and sale of \$600 million aggregate principal amount of the 5.50% 2054 Notes, and used the net proceeds to repay borrowings under our CP Program. Interest on the 5.50% 2054 Notes is payable semi-annually in arrears on February 15 and August 15 of each year, commencing on February 15, 2025.

We incurred debt issuance costs of \$20 million and \$7 million for the March Issued 2024 Notes and 5.50%

2054 Notes, respectively, which are being amortized over the life of each respective note. Such amortization is included as a component of the “Interest expense, net” line item in our Consolidated Statement of Operations.

Long-Term Debt Repayments

Fiscal 2024. On March 14, 2024, we repaid the entire outstanding \$2.25 billion drawn on Term Loan 2025, which at time of repayment had a variable interest rate of 6.7%, with proceeds from the issuance of the March Issued 2024 Notes, which bear fixed interest rates between 5.05% and 5.35%. Additionally, during the quarter ended June 28, 2024, we repaid the \$350 million aggregate principal amount of our 3.95% 2024 Notes.

Fiscal 2023. On March 14, 2023, we repaid the entire outstanding \$250 million aggregate principal amount of our Floating Rate Notes due March 2023 through a \$250 million draw on Term Loan 2025. On June 15, 2023, we repaid the entire outstanding \$800 million aggregate principal amount of our 3.85% 2023 Notes through cash on hand and the issuance of commercial paper during fiscal 2023.

Commercial Paper Program

On January 26, 2024, we lowered the maximum amount available under our CP Program to \$3.0 billion from \$3.9 billion in accordance with the terms of the CP Program. At January 3, 2025, our CP Program was supported by amounts available under the 2022 Credit Agreement and the 2024 Credit Agreement.

The commercial paper notes are sold at par less a discount representing an interest factor or, if interest bearing, at par, and the maturities vary but may not exceed 397 days from the date of issue. The commercial paper notes will rank at least pari passu with all other unsecured and unsubordinated indebtedness.

At January 3, 2025 and December 29, 2023, we had \$515 million and \$1,599 million in outstanding notes under our CP Program, respectively, which is included as a component of the “Short-term debt” line item in our Consolidated Balance Sheet. The outstanding notes under our CP Program had a weighted-average interest rate of 4.70% and 5.95% at January 3, 2025 and December 29, 2023, respectively.

Fair Value of Debt

The following table presents the carrying amounts and estimated fair values of our long-term debt:

(In millions)	January 3, 2025		December 29, 2023	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Term Loan 2025 ⁽¹⁾	\$ —	\$ —	\$ 2,250	\$ 2,250
All other long-term debt, net (including current portion) ⁽²⁾	11,721	11,467	9,273	9,199
Long-term debt, including the current portion of long-term debt, net	<u>\$ 11,721</u>	<u>\$ 11,467</u>	<u>\$ 11,523</u>	<u>\$ 11,449</u>

(1)The carrying value of Term Loan 2025 approximates fair value due to its variable interest rate.

(2)The fair value was estimated using a market approach based on quoted market prices for our debt traded in the secondary market. If long-term debt were measured at fair value in our consolidated balance sheet, it would be categorized as Level 2 within the fair value hierarchy.

The fair value of our short-term debt approximates the carrying value due to its short-term nature. If measured at fair value, the commercial paper would be classified as level 2 and other short-term debt would be classified as level 3 within the fair value hierarchy.

Credit Agreements

On January 26, 2024, we established a new \$1.5 billion, 364-day senior unsecured revolving credit facility by entering into a 364-day credit agreement maturing no later than January 24, 2025 with a syndicate of lenders. The 2024 Credit Agreement, which matured on January 24, 2025, replaced the 2023 Credit Agreement.

At our election, borrowings under the 2024 Credit Agreement, which were designated in U.S. Dollars, bore interest at the sum of the term secured overnight financing rate or the Base Rate (as defined in the 2024 Credit Agreement), plus an applicable margin that varied based on the ratings of our senior unsecured long-term debt securities (“Senior Debt Ratings”). In addition to interest payable on the principal amount of indebtedness

revolving credit facility.

At January 3, 2025, we had no outstanding borrowings under our credit facility, had available borrowing capacity of \$2,985 million, net of outstanding notes under our CP Program, and were in compliance with all covenants under the 2024 Credit Agreement and the 2022 Credit Agreement.

At December 29, 2023, we had no outstanding borrowings under our credit facility, had available borrowing capacity of \$2,801 million, net of outstanding notes under our CP Program, and were in compliance with all covenants under the 2023 Credit Agreement and the 2022 Credit Agreement.

Interest Paid

Total interest paid was \$654 million, \$489 million and \$296 million in fiscal 2024, 2023 and 2022, respectively.

NOTE 9: RETIREMENT BENEFITS

Defined Contribution Plans

We sponsor numerous defined contribution savings plans, which allow our eligible employees to contribute a portion of their pre-tax and/or after-tax income in accordance with specified guidelines. The plans include several match contribution formulas which require us to match a percentage of the employee contributions up to certain limits, generally totaling 6.0% of employee eligible pay. Matching contributions, net of forfeitures, charged to expense were \$276 million, \$267 million and \$226 million in fiscal 2024, 2023 and 2022, respectively.

Deferred Compensation Plans

We also sponsor certain non-qualified deferred compensation plans. The following table provides the fair value of our deferred compensation plan investments and liabilities by category and by fair value hierarchy level:

(In millions)	January 3, 2025		December 29, 2023	
	Total	Level 1	Total	Level 1
Assets				
Deferred compensation plan assets: ⁽¹⁾				
Equity and fixed income securities	\$ 219	\$ 219	\$ 106	\$ 106
Investments measured at NAV:				
Corporate-owned life insurance	41		37	
Total fair value of deferred compensation plan assets	<u>\$ 260</u>		<u>\$ 143</u>	
Liabilities				
Deferred compensation plan liabilities: ⁽²⁾				
Equity securities and mutual funds	\$ 10	\$ 10	\$ 18	\$ 18
Investments measured at NAV:				
Common/collective trusts and guaranteed investment contracts	357		274	
Total fair value of deferred compensation plan liabilities	<u>\$ 367</u>		<u>\$ 292</u>	

(1)Represents diversified assets held in rabbi trusts primarily associated with our non-qualified deferred compensation plans, which are measured at fair value and included in the "Other current assets" and "Other non-current assets" line items in our Consolidated Balance Sheet. In fiscal 2024, we contributed \$100 million to our rabbi trust assets.

(2)Primarily represents obligations to pay benefits under certain non-qualified deferred compensation plans, which we include in the "Compensation and benefits" and "Other long-term liabilities" line items in our Consolidated Balance Sheet. Under these plans, participants designate investment options (including stock and fixed-income funds), which serve as the basis for measurement of the notional value of their accounts.

Defined Benefit Plans

We sponsor various defined benefit pension plans for eligible employees in the U.S., Canada and United Kingdom. Our largest plans are generally closed to new entrants. Benefits for most participants under the terms of

these plans are based on the employee's years of service and compensation. We fund these plans as required by statutory regulations and through voluntary contributions. Some of our employees also participate in other postretirement defined benefit plans ("Other Benefits") such as health care and life insurance plans. Our largest defined benefit plan is the Consolidated Pension Plan, with 85% and 86% of total plan assets and PBO, respectively, as of January 3, 2025.

During fiscal 2024, we reduced our defined benefit pension plan benefit obligations by approximately \$333 million by purchasing group annuity policies and transferring approximately \$333 million of pension plan assets to an insurance company. There was no gain or loss as a result of this transaction.

Funded Status. The following table summarizes the funded status of our defined benefit plans:

(In millions)	January 3, 2025			December 29, 2023		
	Pension	Other Benefits	Total	Pension	Other Benefits	Total
Change in benefit obligation						
PBO at beginning of fiscal year	\$ 8,563	\$ 231	\$ 8,794	\$ 7,494	\$ 228	\$ 7,722
Service cost	34	2	36	33	2	35
Interest cost	394	10	404	386	11	397
Actuarial (gain) loss	(374)	(4)	(378)	280	(1)	279
Benefits paid ⁽¹⁾	(967)	(22)	(989)	(568)	(23)	(591)
Expenses paid	(19)	—	(19)	(34)	—	(34)
Currency translation adjustment	(24)	(1)	(25)	10	—	10
Acquisitions ⁽²⁾	—	—	—	960	14	974
Other	(12)	(1)	(13)	2	—	2
PBO at end of fiscal year	<u>\$ 7,595</u>	<u>\$ 215</u>	<u>\$ 7,810</u>	<u>\$ 8,563</u>	<u>\$ 231</u>	<u>\$ 8,794</u>
Change in plan assets						
Plan assets at beginning of fiscal year	\$ 8,595	\$ 265	\$ 8,860	\$ 7,411	\$ 242	\$ 7,653
Actual return on plan assets	700	22	722	1,004	37	1,041
Employer contributions	45	9	54	20	9	29
Benefits paid ⁽¹⁾	(967)	(22)	(989)	(568)	(23)	(591)
Expenses paid	(19)	—	(19)	(34)	—	(34)
Currency translation adjustment	(31)	—	(31)	12	—	12
Acquisitions ⁽²⁾	—	—	—	749	—	749
Other	2	—	2	1	—	1
Plan assets at end of fiscal year	<u>\$ 8,325</u>	<u>\$ 274</u>	<u>\$ 8,599</u>	<u>\$ 8,595</u>	<u>\$ 265</u>	<u>\$ 8,860</u>
Funded status at end of fiscal year	<u>\$ 730</u>	<u>\$ 59</u>	<u>\$ 789</u>	<u>\$ 32</u>	<u>\$ 34</u>	<u>\$ 66</u>

(1)Fiscal 2024 includes approximately \$333 million associated with the purchase of group annuity policies and transfer of plan assets to an insurance company. The transaction is reflected in this caption as settlement accounting had not been met.

(2)PBO assumed and plan assets acquired in the AJRD acquisition. Net defined benefit plan liability is included in our "Other long-term liabilities" and "Compensation and benefits" line items in "Acquisition of AJRD" section of *Note 13: Acquisitions and Divestitures*.

Actuarial gains in the PBO as of January 3, 2025 were primarily the result of higher discount rates. Actuarial losses in the PBO as of December 29, 2023 were primarily the result of lower discount rates.

The following table summarizes amounts recognized in our Consolidated Balance Sheet:

January 3, 2025	December 29, 2023
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(In millions)	Pension	Other Benefits	Total	Pension	Other Benefits	Total
Assets of business held for sale	\$ 8	\$ —	\$ 8	\$ 4	\$ —	\$ 4
Other non-current assets	873	113	986	193	96	289
Compensation and benefits	(12)	(6)	(18)	(12)	(7)	(19)
Other long-term liabilities	(139)	(48)	(187)	(153)	(55)	(208)

The following table summarizes pre-tax amounts recognized in the “Accumulated other comprehensive income (loss)” line item in our Consolidated Balance Sheet:

	January 3, 2025			December 29, 2023		
(In millions)	Pension	Other Benefits	Total	Pension	Other Benefits	Total
Actuarial (gain) loss	\$ (245)	\$ (86)	\$ (331)	\$ 162	\$ (98)	\$ 64
Net prior service (credit) cost	(144)	2	(142)	(157)	4	(153)
Total recognized in accumulated other comprehensive income (loss), pre-tax	\$ (389)	\$ (84)	\$ (473)	\$ 5	\$ (94)	\$ (89)

The following table provides information for our defined benefit plans with PBO in excess of plan assets:

	January 3, 2025		December 29, 2023	
(In millions)	Pension	Other Benefits	Pension	Other Benefits
PBO	154	55	226	62
Fair value of plan assets	3	—	60	—

Accumulated Benefit Obligation (“ABO”): The ABO for all defined benefit pension plans was \$7,585 million and \$8,563 million at January 3, 2025 and December 29, 2023, respectively. The following table provides information for our defined benefit plans with ABO in excess of plan assets:

	January 3, 2025		December 29, 2023	
(In millions)	Pension	Other Benefits	Pension	Other Benefits
ABO	\$ 153	N/A	\$ 225	N/A
Fair value of plan assets	3	N/A	60	N/A

“Non-service FAS pension income and other, net” line item in our Consolidated Statement of Operations. The following table provides the components of net periodic benefit income and other amounts recognized in other comprehensive income:

(In millions)	Fiscal Year Ended					
	January 3, 2025		December 29, 2023		December 30, 2022	
	Pension	Other Benefits	Pension	Other Benefits	Pension	Other Benefits
Net periodic benefit income						
<i>Operating</i>						
Service cost	\$ 34	\$ 2	\$ 33	\$ 2	\$ 44	\$ 2
<i>Non-operating</i>						
Interest cost	394	10	386	11	220	7
Expected return on plan assets	(660)	(20)	(633)	(20)	(624)	(20)
Amortization of net actuarial (gain) loss	(4)	(17)	(9)	(20)	9	(7)
Amortization of prior service (credit) cost	(26)	1	(26)	1	(27)	1
Non-service cost periodic benefit income	(296)	(26)	(282)	(28)	(422)	(19)
Net periodic benefit income	\$ (262)	\$ (24)	\$ (249)	\$ (26)	\$ (378)	\$ (17)
Other changes in plan assets and benefit obligations recognized in other comprehensive income						
Net actuarial (gain) loss	\$ (414)	\$ (7)	\$ (90)	\$ (18)	\$ 42	\$ (34)
Prior service (credit) cost	(14)	—	—	—	8	—
Amortization of net actuarial gain (loss)	4	17	9	20	(9)	7
Amortization of prior service credit (cost)	26	(1)	26	(1)	27	(1)
Currency translation adjustment	4	—	—	—	1	—
Total change recognized in other comprehensive income	(394)	9	(55)	1	69	(28)
Total impact from net periodic benefit income and changes in other comprehensive income	\$ (656)	\$ (15)	\$ (304)	\$ (25)	\$ (309)	\$ (45)

Assumptions. The following table presents the weighted-average assumptions used to determine the benefit obligation:

	January 3, 2025		December 29, 2023	
	Pension ⁽¹⁾	Other Benefits	Pension	Other Benefits
Discount rate	5.46 %	5.38 %	4.91 %	4.87 %
Rate of future compensation increase	3.01 %	N/A	3.01 %	N/A
Cash balance interest crediting rate	4.50 %	N/A	4.50 %	N/A

(1) Key assumptions for our Consolidated Pension Plan include a discount rate of 5.49%, cash balance interest crediting rate of 4.50% and a 4.25% interest crediting rate for the frozen pension equity benefit.

	Fiscal Year Ended					
	January 3, 2025		December 29, 2023		December 30, 2022	
	Pension ⁽¹⁾	Other Benefits	Pension	Other Benefits	Pension	Other Benefits
Discount rate to determine service cost	4.92 %	5.00 %	5.18 %	5.26 %	2.69 %	2.91 %
Discount rate to determine interest cost	4.80 %	4.78 %	5.08 %	5.06 %	2.27 %	2.06 %
Expected return on plan assets	7.45 %	7.50 %	7.46 %	7.50 %	7.44 %	7.50 %
Rate of future compensation increase	3.01 %	N/A	3.01 %	N/A	3.01 %	N/A
Cash balance interest crediting rate	4.50 %	N/A	4.00 %	N/A	3.50 %	N/A

(1)Key assumptions for our Consolidated Pension Plan include expected return on plan assets of 7.50%, which is being maintained at 7.50% for fiscal 2025.

The expected long-term rate of return on plan assets reflects the expected returns for each major asset class in which the plans invest, the weight of each asset class in the strategic allocation, the correlations among asset classes and their expected volatilities. Our expected rate of return on plan assets is estimated by evaluating both historical returns and estimates of future returns. Specifically, the determination of the expected long-term rate of return takes into consideration: (1) the plan's actual historical annual return on assets over the past 15-, 20- and 25-year time periods, (2) historical broad market returns over long-term timeframes weighted by the plan's strategic allocation and (3) independent estimates of future long-term asset class returns, weighted by the plan's strategic allocation. Based on this approach, the long-term expected annual rate of return on assets is estimated at 7.50% for fiscal 2025 for the U.S. defined benefit pension plans. The weighted average long-term expected annual rate of return on assets for all defined benefit pension plans is estimated to be 7.45% for fiscal 2025.

The assumed composite rate of future increases in the per capita healthcare costs (the healthcare trend rate) is 8.23% for fiscal 2025, decreasing ratably to 4.53% by fiscal 2035.

Investment Policy. The investment strategy for managing defined benefit plan assets is to seek an optimal rate of return relative to an appropriate level of risk. We manage substantially all defined benefit plan assets on a commingled basis in a master investment trust. In making these asset allocation decisions, we take into account recent and expected returns and volatility of returns for each asset class, the expected correlation of returns among the different investments, as well as anticipated funding and cash flows. To enhance returns and mitigate risk, we diversify our investments by strategy, asset class, geography and sector and engage a large number of managers to gain broad exposure to the markets.

The following table provides the current strategic target asset allocation ranges by asset category:

	Target Asset Allocation		
Equity investments	30 %	—	45%
Fixed income investments	30 %	—	50%
Alternative investments	10 %	—	30%
Cash and cash equivalents	0 %	—	10%

Fair Value of Plan Assets. The following is a description of the valuation techniques and inputs used to measure fair value for major categories of investments as reflected in the table that follows such description:

- Domestic and international equities, which include common and preferred shares, domestic listed and foreign listed equity securities, open-ended and closed-ended mutual funds, real estate investment trusts and exchange traded funds, are generally valued at the closing price reported on the major market exchanges on which the individual securities are traded at the measurement date. Because these assets are traded predominantly on liquid, widely traded public exchanges, equity securities are categorized as Level 1 assets.
- Private equity funds are typically limited partnership investment structures. Private equity funds are valued using a market approach based on NAV calculated by the funds and are not publicly available. Private equity funds generally have liquidity restrictions that extend for ten or more years. At January 3, 2025 and December 29, 2023, our defined benefit plans had future unfunded commitments totaling \$539 million and \$550 million, respectively, related to private equity fund investments.
- Real asset funds are typically limited partnership investment structures. Real asset funds are valued using a market approach based on NAV calculated by the funds and are not publicly available. Real asset funds generally permit redemption on a quarterly basis with 90 or fewer days-notice. At each of January 3, 2025 and December 29, 2023, our defined benefit plans had no future unfunded commitments related to real asset fund investments.
- Hedge funds, which include equity long/short, event-driven, fixed-income arbitrage and global macro strategies, are typically limited partnership investment structures. Limited partnership interests in hedge funds are valued using a market approach based on NAV calculated by the funds and are not publicly available. Hedge funds generally permit redemption on a quarterly or more frequent basis with 90 or fewer days' notice. At each of January 3, 2025 and December 29, 2023, our defined benefit plans had no future unfunded commitments related to hedge fund investments.
- Fixed income investments, which include U.S. Government securities, investment and non-investment-grade corporate bonds and securitized bonds, are generally valued using pricing models that use verifiable, observable market data such as interest rates, benchmark yield curves and credit spreads, bids provided by brokers or dealers or quoted prices of securities with similar characteristics. Fixed income investments are generally categorized as Level 2 assets. Fixed income funds valued at the closing price reported on the major market exchanges on which the individual fund is traded are categorized as Level 1 assets.
- Cash and cash equivalents are primarily comprised of short-term money market funds valued at cost, which approximates fair value, or valued at quoted market prices of identical instruments. Cash and cash equivalents currency are categorized as Level 1 assets; cash equivalents, such as money market funds or short-term commingled funds, are categorized as Level 2 assets.
- Certain investments that are valued using the NAV per share (or its equivalent) as a practical expedient are not categorized in the fair value hierarchy and are included in the table to permit reconciliation of the fair value hierarchy to the aggregate defined benefit plan assets.

The following tables provide the fair value of plan assets held by our defined benefit plans by asset category and by fair value hierarchy level:

(In millions)	January 3, 2025			
	Total	Level 1	Level 2	Level 3
Asset category				
Equities:				
Domestic equities	\$ 1,048	\$ 1,048	\$ —	\$ —
International equities	968	968	—	—
Real estate investment trusts	186	186	—	—
Fixed income:				
Corporate bonds	1,685	—	1,642	43
Government securities	698	—	698	—
Securitized assets	79	—	79	—
Fixed income funds	132	4	128	—
Cash and cash equivalents	498	14	484	—
Other	53	—	—	53
Total	5,347	\$ 2,220	\$ 3,031	\$ 96
Investments measured at NAV:				
Equity funds	1,389			
Fixed income funds	106			
Hedge funds	219			
Private equity funds	1,127			
Real asset funds	323			
Other	2			
Total investments measured at NAV	3,166			
Receivables, net	86			
Total fair value of plan assets	\$ 8,599			
(In millions)	December 29, 2023			
	Total	Level 1	Level 2	Level 3
Asset category				
Equities:				
Domestic equities	\$ 1,294	\$ 1,294	\$ —	\$ —
International equities	1,138	1,138	—	—
Real estate investment trusts	214	214	—	—
Fixed income:				
Corporate bonds	1,457	—	1,331	126
Government securities	485	—	485	—
Securitized assets	164	—	164	—
Fixed income funds	137	4	133	—
Cash and cash equivalents	545	18	527	—
Other	61	—	—	61
Total	5,495	\$ 2,668	\$ 2,640	\$ 187
Investments measured at NAV:				
Equity funds	1,529			
Fixed income funds	3			
Hedge funds	396			
Private equity funds	1,019			
Real asset funds	379			
Other	2			
Total investments measured at NAV	3,328			
Receivables, net	37			
Total fair value of plan assets	\$ 8,860			

Contributions. Funding requirements under IRS rules are a major consideration in making contributions to our defined benefit plans. With respect to U.S. qualified pension plans, we intend to contribute annually not less than the required minimum funding thresholds.

The Employee Retirement Income Security Act of 1974, as amended by the Pension Protection Act of 2006 and further amended by the Worker, Retiree, and Employer Recovery Act of 2008, the Moving Ahead for Progress in the 21st Century Act ("MAP-21") and applicable Internal Revenue Code regulations mandate minimum funding thresholds. The Highway and Transportation Funding Act of 2014, the Bipartisan Budget Act of 2015, the American Rescue Plan Act of 2021 and the Infrastructure Investment and Jobs Act further extended the interest rate stabilization provision of MAP-21. In fiscal 2024, we made approximately \$30 million of contributions to our U.S. qualified defined benefit pension plans. As a result of prior voluntary contributions, we made no material contributions to our U.S. qualified defined benefit pension plans in fiscal 2023 or 2022. We expect to make contributions of approximately \$23 million to these plans during fiscal 2025, and may consider voluntary contributions thereafter.

Estimated Future Benefit Payments. The following table provides the projected timing of payments for benefits earned to date and benefits expected to be earned for future service by current active employees under our defined benefit plans:

(In millions)	Pension	Other Benefits ⁽¹⁾	Total
Fiscal Years:			
2025	\$ 627	\$ 22	\$ 649
2026	613	21	634
2027	612	21	633
2028	608	20	628
2029	603	19	622
2030 — 2034	2,867	83	2,950

(1) Projected payments for Other Benefits reflect net payments from the Company, which include subsidies that reduce the gross payments by less than 1%.

Multi-employer Benefit Plans

Certain of our businesses participate in multi-employer defined benefit pension plans. We make cash contributions to these plans under the terms of collective-bargaining agreements that cover union employees based on a fixed rate per hour of service worked by the covered employees. The risks of participating in these multi-employer plans are different from single-employer plans in the following aspects: (1) assets contributed to the multi-employer plan by one employer may be used to provide benefits to employees of other participating employers, (2) if a participating employer stops contributing to the plan, the unfunded obligations of the plan may be borne by the remaining participating employers and (3) if we choose to stop participating in some of our multi-employer plans, we may be required to pay those plans an amount based on the underfunded status of the plan, referred to as a withdrawal liability. Cash contributed and expenses recorded for our multi-employer plans were not material in fiscal 2024, 2023 or 2022.

NOTE 10: SHARE-BASED COMPENSATION

At January 3, 2025, we had stock options and other share-based compensation outstanding under our 2024 Equity Incentive Plan, which was approved by our shareholders on April 19, 2024, as well as under employee equity incentive plans assumed by L3Harris (collectively, the "L3Harris SIPs"). As part of our long-term incentive compensation program, we have made awards to employees in the form of RSUs, PSUs and non-qualified stock options under the L3Harris SIPs. We have also awarded RSUs in the form of deferred units to our non-employee directors. We believe that share-based awards more closely align the interests of participants with those of shareholders.

The following table summarizes the share-based compensation expense recognized in the Consolidated Statement of Operations:

(In millions)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022
Share-based compensation expense	\$ 97	\$ 89	\$ 109
Amounts recognized in our Consolidated Statement of Operations include:			
Cost of revenue	\$ 14	\$ 16	\$ 19
General and administrative expenses	83	73	90
Share-based compensation expense, before income taxes	97	89	109
Income taxes on share-based compensation expense	(20)	(19)	(27)
Share-based compensation expense, net of income taxes	\$ 77	\$ 70	\$ 82

Share-Based Compensation Awards

As of January 3, 2025, a total of 21.2 million shares of common stock remained available under our L3Harris SIPs for future issuance (excluding shares to be issued in respect of outstanding stock options, with each full-value award (e.g., RSUs and PSUs) counting as 4.6 shares against the total remaining for future issuance). During fiscal 2024, we issued an aggregate of 1.3 million shares of common stock under the terms of our L3Harris SIPs, which is net of shares withheld for tax purposes.

RSUs. RSUs granted under our L3Harris SIPs are not transferable until vested and the restrictions generally lapse upon the achievement of continued employment (or board membership) over a specified time period.

The grant-date fair value of these awards was based on the closing price of our common stock on the grant date and is amortized to compensation expense over the vesting period. At January 3, 2025, there were 582,326 RSUs outstanding which were payable in shares.

The following table summarizes the activity of RSUs during fiscal 2024:

(In thousands, except per unit amounts)	Units	Weighted-Average Grant-Date Price Per Unit
RSUs outstanding at December 29, 2023	728	\$ 208.78
Granted	158	\$ 211.95
Vested	(227)	\$ 204.42
Forfeited	(77)	\$ 210.18
RSUs outstanding at January 3, 2025	582	\$ 210.28

As of January 3, 2025, there was \$57 million of total unrecognized compensation expense related to these awards under our L3Harris SIPs. This expense is expected to be recognized over a weighted-average period of 1.41 years. The weighted-average grant-date price per unit was \$211.95, \$199.33 and \$225.58 for awards granted in fiscal 2024, 2023 and 2022, respectively. The total fair value of the awards that vested in fiscal 2024, 2023 and 2022 was \$46 million, \$44 million and \$69 million, respectively.

PSUs. At January 3, 2025, all outstanding PSUs granted under our L3Harris SIPs are subject to performance criteria, such as meeting predetermined operating income or earnings per share, return on invested capital targets and market conditions, such as total shareholder return, for a three-year performance period. These awards also generally vest after a three-year performance period. The final determination of the number of shares to be issued in respect of an award is made by our Board or a committee thereof.

The grant-date fair value of awards with market conditions was determined based on a multifactor Monte Carlo valuation model that simulates our stock price and TSR relative to other companies in the S&P 500, less a discount to reflect the delay in payments of cash dividend-equivalents that are made only upon vesting. The fair value of these awards is amortized to compensation expense over the performance period if achievement of the performance measures is considered probable.

The following table summarizes the activity of PSUs during fiscal 2024:

(In thousands, except per unit amounts)

	Units	Weighted-Average Grant-Date Price Per Unit
PSUs outstanding at December 29, 2023	480	\$ 222.73
Granted	172	\$ 230.09
Adjustment for achievement of performance measures	8	\$ 195.07
Vested	(190)	\$ 194.99
Forfeited	(45)	\$ 233.38
PSUs outstanding at January 3, 2025	425	\$ 236.42

As of January 3, 2025, there was \$35 million of total unrecognized compensation expense related to these awards under our L3Harris SIPs. This expense is expected to be recognized over a weighted-average period of 1.52 years. The weighted-average grant-date price per unit was \$230.09, \$223.09 and \$258.83 for awards granted in fiscal 2024, 2023 and 2022, respectively. The total fair value of the awards that vested in fiscal 2024, 2023 and 2022 was \$37 million, \$42 million and \$41 million, respectively.

Stock Options. Exercise prices for stock options, including performance stock options, that have been granted under the L3Harris SIPs are equal to or greater than the fair market value of our common stock on the grant date, using the closing stock price of our common stock. Stock options may be exercised for a period of ten years after the date of grant, and stock options, other than performance stock options, generally become exercisable in installments, which are typically 33.3% one year from the grant date, 33.3% two years from the grant date and 33.3% three years from the grant date. In certain instances, vesting and exercisability are also subject to performance criteria.

The grant-date fair value of each stock option award was determined using the Black-Scholes-Merton option-pricing model which used assumptions noted in the following table:

	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022
Expected dividends	2.18%	2.17%	2.00%
Expected volatility	25.29%	28.60%	29.09%
Risk-free interest rates	3.80% - 4.64%	3.48% - 4.27%	1.63% - 4.27%
Expected term (years)	5.06	5.04	5.02

Expected volatility over the expected term of the stock options is based on implied volatility from traded stock options on our common stock and the historical volatility of our stock price. The expected term of the stock options is based on historical observations of our common stock, considering average years to exercise for all stock options exercised and average years to cancellation for all stock options canceled, as well as average years remaining for vested outstanding stock options, which is calculated based on the weighted-average of these three inputs. The risk-free interest rate for periods within the contractual life of the stock option is based on the U.S. Treasury yield curve in effect at the time of grant.

The following table summarizes the stock option activity during fiscal 2024:

	Shares (In thousands)	Weighted Average Exercise Price Per Share	Weighted Average Remaining Contractual Term	Aggregate Intrinsic Value (In millions)
Stock options outstanding at December 29, 2023	3,251	\$ 169.53		
Granted	415	\$ 213.85		
Exercised	(1,026)	\$ 129.18		
Forfeited or expired	(103)	\$ 218.61		
Stock options outstanding at January 3, 2025	2,537	\$ 191.09	5.70	\$ 55
Stock options exercisable at January 3, 2025	1,902	\$ 183.03	4.72	\$ 55

The weighted-average grant-date fair value per share was \$50.99, \$54.63 and \$53.66 for stock options granted in fiscal 2024, 2023 and 2022, respectively. The total intrinsic value of stock options at the time of exercise was \$100 million, \$23 million and \$56 million for stock options exercised in fiscal 2024, 2023 and 2022, respectively.

The following table summarizes the unvested stock option activity during fiscal 2024:

(In thousands, except per share amounts)	Shares	Weighted-Average Grant-Date Fair Value Per Share
Unvested stock options at December 29, 2023	582	\$ 52.72
Granted	415	\$ 50.99
Vested/forfeited, net	(362)	\$ 50.59
Unvested stock options at January 3, 2025	635	\$ 52.54

As of January 3, 2025, there was \$20 million of total unrecognized compensation expense related to unvested stock options granted under our L3Harris SIPs. This expense is expected to be recognized over a weighted-average period of 1.80 years. The total fair value of stock options that vested in fiscal 2024, 2023 and 2022 was \$14 million, \$14 million and \$42 million, respectively.

NOTE 11: LEASES

Our operating and finance leases primarily consist of real estate leases for office space, warehouses, manufacturing, R&D facilities, telecommunication tower space and land and equipment leases.

Lease Costs. Components of lease costs included in our Consolidated Statement of Operations are as follows:

(In millions)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022
Operating lease cost	\$ 164	\$ 163	\$ 151
Short-term and equipment lease cost	31	23	21
Variable lease cost	26	26	25
Other, net ⁽¹⁾	18	11	6
Total lease cost	\$ 239	\$ 223	\$ 203

(1) Consists of finance lease amortization and interest costs as well as sublease income.

See "Leases" section in *Note 1: Significant Accounting Policies* in these Notes for the line items in our Consolidated Statement of Operations where our lease costs are presented.

Balance Sheet Information. ROU assets and lease liabilities included in our Consolidated Balance Sheet are as follows:

(In millions)	January 3, 2025	December 29, 2023
Operating Leases		
Other non-current assets	\$ 659	\$ 743
Assets of business held for sale	25	20
Total operating lease assets	<u>\$ 684</u>	<u>\$ 763</u>
Other current liabilities	\$ 143	\$ 120
Other long-term liabilities	601	705
Liabilities of business held for sale	56	61
Total operating lease liabilities	<u>\$ 800</u>	<u>\$ 886</u>
Finance Leases		
Property, plant and equipment	\$ 234	\$ 243
Accumulated amortization	(36)	(25)
Property, plant and equipment, net	198	218
Assets of business held for sale	4	—
Total finance lease assets	<u>\$ 202</u>	<u>\$ 218</u>
Current portion of long-term debt, net	\$ 31	\$ 8
Long-term debt, net	203	243
Liabilities of business held for sale	4	—
Total finance lease liabilities	<u>\$ 238</u>	<u>\$ 251</u>
Supplemental Lease Information: Other supplemental lease information is as follows:		
	Fiscal Year Ended	
(In millions, except lease term and discount rate)	January 3, 2025	December 29, 2023
Cash paid for amounts included in the measurement of lease liabilities		
Net cash provided by operating activities - operating lease payments	\$ 182	\$ 159
Assets obtained in exchange for new lease obligations		
ROU assets obtained with operating leases	\$ 96	\$ 144
Property, plant and equipment obtained with finance leases	4	68
Weighted average remaining lease term (in years)		
Operating leases	7.59	8.30
Finance leases	16.41	17.69
Weighted average discount rate		
Operating leases	3.72 %	3.86 %
Finance leases	4.43 %	4.32 %

Maturities of non-cancelable operating and finance lease liabilities at January 3, 2025 were as follows:

(In millions)	Operating Leases	Finance Leases
2025	\$ 159	\$ 40
2026	134	18
2027	116	17
2028	110	19
2029	89	18
Thereafter	314	208
Total future lease payments required ⁽¹⁾	922	320
Less: imputed interest	122	82
Total	\$ 800	\$ 238

(1) On January 3, 2025, we had additional future payments on leases of \$228 million that had not yet commenced. These leases will commence between 2025 and 2026, and have lease terms of three to 15 years.

These commitments do not contain any material rent escalations, rent holidays, contingent rent, rent concessions, leasehold improvement incentives or unusual provisions or conditions. We do not consider any individual lease material to our operations.

NOTE 12: ACCUMULATED OTHER COMPREHENSIVE INCOME (LOSS) ("AOCI")

The components of AOCI are summarized below:

(In millions)

	Foreign currency translation	Hedging derivatives	Pension and other postretirement benefits ⁽¹⁾	Total AOCI
Balance at December 29, 2023	\$ (201)	\$ (65)	\$ 68	\$ (198)
Other comprehensive (loss) income, before reclassifications to earnings and income taxes	(60)	(12)	431	359
Income taxes	—	—	(108)	(108)
Other comprehensive (loss) income before reclassifications to earnings, net of income taxes	(60)	(12)	323	251
(Gains) losses reclassified to earnings, before income taxes ⁽²⁾	(4)	11	(46)	(39)
Income taxes	—	—	13	13
(Gains) losses reclassified to earnings, net of income taxes	(4)	11	(33)	(26)
Other comprehensive (loss) income, net of income taxes	(64)	(1)	290	225
Balance at January 3, 2025	\$ (265)	\$ (66)	\$ 358	\$ 27
Balance at December 30, 2022	\$ (237)	\$ (79)	\$ 28	\$ (288)
Other comprehensive income, before reclassifications to earnings and income taxes	36	14	95	145
Income taxes	—	(4)	(24)	(28)
Other comprehensive income before reclassifications to earnings, net of income taxes	36	10	71	117
Losses (gains) reclassified to earnings, before income taxes ⁽²⁾	—	5	(41)	(36)
Income taxes	—	(1)	10	9
Losses (gains) reclassified to earnings, net of income taxes	—	4	(31)	(27)
Other comprehensive income, net of income taxes	36	14	40	90
Balance at December 29, 2023	\$ (201)	\$ (65)	\$ 68	\$ (198)
Balance at December 31, 2021	\$ (118)	\$ (89)	\$ 61	\$ (146)
Other comprehensive loss, before reclassifications to earnings and income taxes	(124)	(10)	(33)	(167)
Income taxes	5	2	7	14
Other comprehensive loss before reclassifications to earnings, net of income taxes	(119)	(8)	(26)	(153)
Losses (gains) reclassified to earnings, before income taxes ⁽²⁾	—	22	(9)	13
Income taxes	—	(4)	2	(2)
Losses (gains) reclassified to earnings, net of income taxes	—	18	(7)	11
Other comprehensive (loss) income, net of income taxes	(119)	10	(33)	(142)
Balance at December 30, 2022	\$ (237)	\$ (79)	\$ 28	\$ (288)

(1) See Note 9: Retirement Benefits in these Notes for further information.

(2) Losses (gains) reclassified to earnings are included in the "Revenue," "Cost of revenue," "Interest expense, net" and "Non-service FAS pension income and other, net" line items in our Consolidated Statement of Operations.

NOTE 13: ACQUISITIONS AND DIVESTITURES**Acquisition of Viasat's TDL**

On January 3, 2023, we completed the acquisition of TDL for a purchase price of \$1,958 million. The acquisition enhances our networking capability and provides access to the ubiquitous Link 16 waveform, better positioning us to enable the DoD integrated architecture goal in JADC2.

On November 22, 2022, we established Term Loan 2025 with a syndicate of lenders, in part, to finance the acquisition.

Net assets and results of operations of TDL are reflected in our financial results commencing on January 3, 2023, the acquisition date, and are reported within our CS segment, with the exception of acquired intangible assets, which are recorded in our corporate headquarters.

We accounted for the acquisition of TDL using the acquisition method of accounting, which required us to measure identifiable assets acquired and liabilities assumed in the acquiree at their fair values as of the acquisition date, with the excess of the consideration transferred over those fair values recorded as goodwill.

As of the acquisition date, the fair value of consideration transferred consisted of the following:

(In millions)	January 3, 2023
Purchase price	\$ 1,958
Estimated net working capital and other adjustments	15
Cash consideration paid	1,973
Settlement of preexisting relationship ⁽¹⁾	1
Fair value of consideration transferred	\$ 1,974

(1) Prior to the acquisition, we had a preexisting relationship with Viasat's TDL business in the normal course of business. As of the acquisition date, our CS segment had a receivable from Viasat's TDL business with a fair value of \$1 million that was settled in connection with the acquisition.

We determined the fair value of assets acquired and liabilities assumed by using available market information and various valuation methods that require judgement related to estimates. Our preliminary fair value estimates and assumptions to measure the assets acquired and liabilities assumed were subject to change as we obtained additional information during the measurement period. We completed our accounting for the acquisition during the fiscal year ended December 29, 2023. The following table summarizes the allocation of the fair value of consideration transferred to assets acquired and liabilities assumed as of the acquisition date and the adjustments recognized during the measurement period:

(In millions)	Preliminary as of January 3, 2023	Measurement Period Adjustments, Net ^{(1),(2)}	Final as of December 29, 2023
Receivables	\$ 28	\$ —	\$ 28
Contract assets	18	11	29
Inventories, net	164	(18)	146
Other current assets	9	—	9
Property, plant and equipment	50	(1)	49
Goodwill	1,014	129	1,143
Other intangible assets	850	(95)	755
Deferred income taxes	33	2	35
Other non-current assets	18	(1)	17
Total assets acquired	<u>\$ 2,184</u>	<u>\$ 27</u>	<u>\$ 2,211</u>
Accounts payable	\$ 20	\$ —	\$ 20
Contract liabilities	28	—	28
Compensation and benefits	2	—	2
Other current liabilities	119	17	136
Other long-term liabilities	41	10	51
Total liabilities assumed	<u>\$ 210</u>	<u>\$ 27</u>	<u>\$ 237</u>
Net assets acquired	<u>\$ 1,974</u>	<u>\$ —</u>	<u>\$ 1,974</u>

(1) Fair value adjustments during the fiscal year ended December 29, 2023 primarily related to refined assumptions in the valuation of customer relationship intangible assets.

(2) Assets acquired include \$11 million of Contract assets that were reclassified from Inventories, net to Contract assets to conform TDL's accounting policies with those of L3Harris, as required under ASC 805. As such, reclassified amounts will not be recognized as revenue in future periods.

Intangible Assets. All intangible assets acquired in the TDL acquisition are subject to amortization. The fair value and weighted-average amortization period of identifiable intangible assets acquired as of the acquisition date is as follows:

	Total (In millions)	Useful Lives (In Years)
Customer relationships:		
Backlog	\$ 83	2
Government programs	323	16
Total customer relationships	406	
Developed technology	349	17
Total identifiable intangible assets acquired	<u>\$ 755</u>	

The fair value of intangible assets is estimated using the relief from royalty method for the acquired developed technology and the multi-period excess earnings method for the acquired customer relationships. Both of these level 3 fair value methods are income-based valuation approaches, which require judgment to estimate appropriate discount rates, royalty rates related to the developed technology intangible assets, revenue growth attributable to the intangible assets and remaining useful lives. The fair value of inventory was estimated using the replacement cost approach and comparative sales method, which require estimates of replacement cost for raw materials and

estimates of expected sales price less costs to complete and dispose of the inventory, plus a profit margin for efforts incurred for the work in progress and finished goods.

Goodwill. The \$1,143 million of goodwill recognized is attributable to the assembled workforce, in addition to synergies expected to be realized through integration with existing CS segment businesses and growth opportunities in the space domain. The acquired goodwill is tax deductible. See *Note 6: Goodwill and Intangible Assets* in these Notes for further information.

Financial Results. The following table includes revenue and income before income taxes of TDL included in our Consolidated Statement of Operations for the acquisition date through December 29, 2023 and the comparable periods of calendar year 2022. The comparable period results do not include any integration synergies or accounting conformity adjustments and are not necessarily indicative of our results of operations that actually would have been obtained had the acquisition of TDL been completed for the period presented, or which may be realized in the future.

(In millions)	Fiscal Year Ended	
	December 29, 2023	December 30, 2022
Revenue	\$ 365	\$ 358
Income before income taxes	131	68

Acquisition-Related Costs. Acquisition-related costs have been expensed as incurred. In connection with the TDL acquisition, we recorded transaction and integration costs of \$15 million and \$78 million in fiscal 2024 and 2023, respectively, which were included in the General and administrative expenses line item in our Consolidated Statement of Operations.

Acquisition of AJRD

On July 28, 2023, we acquired AJRD, a technology-based engineering and manufacturing company that develops and produces missile solutions with technologies for strategic defense, missile defense, and hypersonic and tactical systems, as well as space propulsion and power systems for national security space and exploration missions. The acquisition provides us access to a new market. We acquired 100% percent of AJRD for a total net purchase price of \$4,715 million. The acquisition was financed through the issuance and sale of the AJRD Notes and a draw down under the 2023 Credit Agreement.

Net assets and results of operations of AJRD are reflected in our financial results commencing on July 28, 2023, the acquisition date, and are reported in our AR segment, which is also the AR reporting unit, except for certain assets and liabilities recorded at corporate headquarters.

We accounted for the acquisition of AJRD using the acquisition method of accounting, which required us to measure identifiable assets acquired and liabilities assumed in the acquiree at their fair values as of the acquisition date, with the excess of the consideration transferred over those fair values recorded as goodwill.

As of the acquisition date, the fair value of consideration transferred consisted of the following:

(In millions)	July 28, 2023
Cash consideration paid for AJRD outstanding common stock & equity awards	\$ 4,748
AJRD debt settled by L3Harris	257
Cash consideration paid	5,005
Less cash acquired	(290)
Fair value of consideration transferred	\$ 4,715

We determined the fair value of assets acquired and liabilities assumed by using available market information and various valuation methods that require judgement related to estimates. Our preliminary fair value estimates and assumptions to measure the assets acquired and liabilities assumed were subject to change as we obtained additional information during the measurement period. We completed our accounting for the acquisition during the quarter ended September 27, 2024. The following table summarizes the allocation of the fair value of consideration transferred to assets acquired and liabilities assumed as of the acquisition date and the adjustments recognized during the measurement period:

(In millions)	Preliminary as of July 28, 2023	Measurement Period Adjustments, Net ⁽¹⁾	Final as of September 27, 2024
Receivables	\$ 156	\$ —	\$ 156
Contract assets	338	(137)	201
Inventories, net	14	—	14
Other current assets	114	19	133
Income taxes receivable	3	2	5
Property, plant and equipment	574	10	584
Goodwill	2,348	554	2,902
Intangible assets	2,860	—	2,860
Other non-current assets	609	66	675
Total assets acquired	\$ 7,016	\$ 514	\$ 7,530
Current portion of long-term debt, net	\$ 1	\$ —	\$ 1
Accounts payable	145	—	145
Contract liabilities	310	152	462
Compensation and benefits	116	1	117
Income taxes payable	6	(3)	3
Other current liabilities	278	390	668
Long-term debt, net	41	—	41
Deferred income taxes	398	(52)	346
Other long-term liabilities	1,006	26	1,032
Total liabilities assumed	\$ 2,301	\$ 514	\$ 2,815
Fair value of consideration transferred	\$ 4,715	\$ —	\$ 4,715

(1) Fair value adjustments during the measurement period primarily related to EAC updates for circumstances existing at the acquisition date, including updates to the forward loss provision and off-market customer contract reserve described below, refinements to the fair value of fixed assets, as well as corresponding adjustments to the deferred tax liability account which was partially offset by the release of a portion of the uncertain tax position previously recorded by AJRD.

Intangible Assets. All intangible assets acquired in the AJRD acquisition are subject to amortization. The fair value and weighted-average amortization period of identifiable intangible assets acquired as of the acquisition date are as follows:

	Total (in millions)	Useful Lives (in years)
Customer relationships:		
Backlog	\$ 355	3
Government programs	2,385	15 - 20
Total customer relationships	2,740	
Trade names	120	15
Total identifiable intangible assets acquired	\$ 2,860	

The fair value of intangible assets is estimated using the relief from royalty method for the acquired trade names and the multi-period excess earnings method for the acquired customer relationships. Both of these level 3 fair value methods are income-based valuation approaches, which require judgment to estimate appropriate discount

rates, royalty rates related to the trade names intangible assets, revenue growth attributable to the intangible assets and remaining useful lives.

Forward Loss Provision. In connection with the acquisition, we recorded a forward loss provision of \$363 million which was included in "Other current liabilities" line item in our Consolidated Balance Sheet. Since the completion of the acquisition of AJRD, we have undertaken significant operational efforts to further understand the root cause of identified preexisting manufacturing and supply chain challenges resulting in delivery delays, primarily related to certain Missile Solutions programs. We have identified operational activities necessary to remedy these challenges and inefficiencies and the incremental costs required as compared to its initial estimates and actual costs incurred. The incremental forward loss provisions relate to the increased cost estimates of labor and material to remedy the underlying preexisting technical and supply chain challenges. These cost increases impacted both cost-type and fixed-price contracts in proportions that are consistent with the ratio of the overall AJRD revenue by contract type. The forward loss provisions will be recognized as a reduction to cost of sales as we incur actual costs associated with these estimates in satisfying the associated performance obligations. There will be no net impact on our Consolidated Statement of Operations. We recognized \$125 million and \$8 million of amortization related to the forward loss provision in fiscal 2024 and 2023, respectively.

Off-market Customer Contracts. In connection with the acquisition, we identified certain customer contractual obligations as of the acquisition date with economic returns that are higher or lower than could be realized in market transactions and have recorded assets or liabilities for the acquisition date fair value of the off-market components. The acquisition date fair value of the off-market components is a net liability of \$183 million, consisting of \$48 million and \$135 million included in the "Other current liabilities" and "Other long-term liabilities" line items in our Consolidated Balance Sheet, respectively, and excludes any amounts already recognized in forward loss provisions (see discussion in the preceding paragraph). Provisions to off-market customer contracts relate to labor and material cost increases primarily associated with supply chain and manufacturing challenges and inefficiencies. These cost increases impacted both cost-type and fixed-price contracts in proportions that are consistent with the ratio of the overall AJRD revenue by contract type. We measured the fair value of these components as the amount by which the terms of the contract with the customer deviates from the terms that a market participant could have achieved at the acquisition date. The off-market components of these contracts will be recognized as an increase to revenue as we incur costs to satisfy the associated performance obligations. We recognized \$58 million and \$14 million of amortization related to off-market contract liabilities in fiscal 2024 and 2023, respectively.

Goodwill. The \$2,902 million of goodwill recognized is attributable to AJRD's market presence as one of the two primary providers of advanced propulsion and power systems for nearly every major U.S. Government space and missile program, the assembled workforce and established operating infrastructure. The acquired goodwill is not tax deductible. See Note 6: *Goodwill and Intangible Assets* in these Notes for further information.

Financial Results. See Note 14: *Business Segments* in these Notes for the AR segment financial results for fiscal 2024.

Acquisition-Related Costs. Acquisition-related costs have been expensed as incurred and are included in the "General and administrative expenses" line item in our Consolidated Statement of Operations. In connection with the AJRD acquisition, we recorded transaction and integration costs of \$78 million and \$83 million for fiscal 2024 and 2023, respectively.

Pending Divestiture of CAS Disposal Group

During the quarter ended December 29, 2023, we entered into a definitive agreement to sell our CAS disposal group ("CAS agreement") for a cash purchase price of \$700 million, with additional contingent consideration of up to \$100 million, subject to customary purchase price adjustments and closing conditions as set forth in the agreement. On November 20, 2024, we entered into an amendment to the CAS agreement ("CAS amendment one") that, among other matters, accelerated the contingent consideration so that it becomes payable at closing, resulting in an upfront cash purchase price of \$800 million, subject to customary purchase price adjustments and closing conditions as set forth in the agreement, and revised certain purchase price adjustment provisions to remove a cap on working capital payments due to us upon closing. CAS amendment one expired on January 4, 2025, prior to us completing the sale. Subsequent to our fiscal 2024 year end, on January 8, 2025, we entered into a second amendment to the CAS agreement ("CAS amendment two") that includes the same terms as CAS amendment one. The transaction is expected to close in fiscal 2025, subject to the satisfaction of closing conditions as set forth in the CAS agreement.

The CAS disposal group, which is part of our IMS segment, provides integrated aircraft avionics, pilot training and data analytics services for the commercial aviation industry. Income or loss before income taxes attributable to

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L3Harris Technologies, Inc. was income of \$121 million, loss of \$208 million and income of \$88 million for fiscal 2024, 2023 and 2022, respectively.

The carrying amounts of the assets and liabilities of the CAS disposal group classified as held for sale in our Consolidated Balance Sheet were as follows:

(In millions)	January 3, 2025	December 29, 2023
Receivables, net	\$ 99	\$ 80
Contract assets	40	43
Inventories, net	153	145
Other current assets	20	33
Property, plant and equipment, net	47	41
Goodwill	533	534
Intangible assets, net	263	263
Other non-current assets	49	40
Valuation allowance	(73)	(73)
Total assets held for sale	\$ 1,131	\$ 1,106
Current portion of long-term debt	\$ 1	\$ —
Accounts payable	85	111
Contract liabilities	47	48
Compensation and benefits	6	11
Other current liabilities	35	38
Long-term debt, net	3	—
Other long-term liabilities	58	64
Total liabilities held for sale	\$ 235	\$ 272

In connection with the preparation of our financial statements for fiscal 2023, we concluded that goodwill related to the CAS disposal group was impaired and we recorded a non-cash impairment charge of \$296 million, which is included in the "Impairment of goodwill and other assets" line item in our Consolidated Statement of Operations. See *Note 6: Goodwill and Intangible Assets* in these Notes for additional information. Additionally, in fiscal 2023 we recognized a pre-tax loss of \$77 million included in the "General and administrative expenses" and "Noncontrolling interests, net of income taxes" line items in our Consolidated Statement of Operations.

During the three quarters ended September 27, 2024, we recorded an additional valuation allowance due to an increase in the carrying value of the CAS disposal group, and additional remaining estimated costs to sell which resulted in additional pre-tax losses of \$44 million, inclusive of amounts attributable to noncontrolling interest. As of January 3, 2025, the fair value less costs to sell of the CAS disposal group was \$896 million, inclusive of consideration related to noncontrolling interest and accumulated other comprehensive income. As a result, in the quarter ended January 3, 2025, we recorded a \$15 million reversal of the previously recognized pre-tax losses in our Consolidated Statement of Operations to reduce the cumulative pre-tax losses associated with the CAS disposal group to \$106 million. The pre-tax losses and the amount attributable to noncontrolling interest, after tax, are included in the "General and administrative expenses" and "Noncontrolling interests, net of income taxes" line items, in our Consolidated Statement of Operations.

Completed Divestitures

AOT Disposal Group. On January 3, 2025, we completed the divestiture of our AOT disposal group, which produces high performance specialty metal components for defense, aerospace, and commercial products, for cash proceeds of \$103 million. The operating results of the AOT disposal group were reported in our AR segment through the date of divestiture. In connection with the sale, we recognized a pre-tax gain of \$19 million included in the "General and administrative expenses" line item in our Consolidated Statement of Operations. The carrying amounts of assets and liabilities included in the AOT disposal group sale on January 3, 2025 were \$112 million and \$28 million, respectively.

Antenna Disposal Group. On May 31, 2024, we completed the divestiture of our Antenna disposal group, which provides a variety of airborne and ground-based antennas and test equipment for cash proceeds of \$170 million and a \$25 million note receivable, included in the "Other non-current assets" line item in our Consolidated Balance Sheet at January 3, 2025. The operating results of the Antenna disposal group were reported in our SAS segment through the date of divestiture.

The carrying amounts of assets and liabilities included in the Antenna disposal group sale on May 31, 2024 were \$265 million and \$65 million, respectively. In connection with the sale, we recorded a non-cash charge for impairment of goodwill of \$14 million and a pre-tax loss of \$9 million included in the "Impairment of goodwill and other assets" and "General and administrative expenses" line items, respectively, in our Consolidated Statement of Operations for fiscal 2024. See *Note 6: Goodwill and Intangible Assets* in these Notes for additional information related to goodwill allocated to the Antenna disposal group and related impairment.

Visual Information Solutions ("VIS"). During fiscal 2023, we completed the divestiture of VIS for net cash proceeds of \$71 million (after selling costs and purchase price adjustments) and recognized a pre-tax gain of \$26 million included in the "General and administrative expenses" line item in our Consolidated Statement of Operations. The operating results of VIS were reported in the SAS segment through the date of divestiture.

Divestiture and Asset Sale. During fiscal 2022, we completed one business divestiture and one asset sale from our IMS segment for combined net cash proceeds of \$23 million and recognized a pre-tax gain of \$8 million associated with the asset sale included in the "General and administrative expenses" line item in our Consolidated Statement of Operations.

Fair Value of Businesses

For purposes of allocating goodwill to the disposal groups that represent a portion of a reporting unit, we determine the fair value of each disposal group based on the respective negotiated selling price, and the fair value of the retained businesses of the respective reporting unit based on a combination of market-based and income based valuation techniques, utilizing quoted market prices, comparable publicly reported transactions and projected discounted cash flows. These fair value determinations are categorized as Level 3 in the fair value hierarchy due to their use of internal projections and unobservable measurement inputs. See *Note 1: Significant Accounting Policies* in these Notes for additional information regarding the fair value hierarchy and see *Note 6: Goodwill and Intangible Assets* in these Notes for additional information regarding the impairment of goodwill related to our business divestitures.

NOTE 14: BUSINESS SEGMENTS

We structure our operations primarily around the products, systems and services we sell and the markets we serve and report our financial results in the following four reportable segments:

SAS: including satellite space payloads, sensors and full-mission solutions; classified intelligence and cyber; airborne combat systems; and mission networks for air traffic management operations; and

IMS: including multi-mission ISR systems; passive sensing and targeting; electronic attack platforms; autonomy; power and communications; networks; sensors; and the CAS disposal group, which includes aviation products and pilot training operations; and

CS: including tactical communications with global communications solutions; broadband communications; integrated vision solutions; and public safety radios, system applications and equipment; and

AR: including missile solutions with propulsion technologies for strategic defense, missile defense, and hypersonic and tactical systems; and space propulsion and power systems for national security space and exploration missions.

Chief Operating Decision Maker ("CODM")

Our CODM is Christopher E. Kubasik, Chair and CEO. Each of our business segments are regularly reviewed by the CODM through periodic financial reporting packages to assess the segments performance, allocate resources and regularly communicate with segment management, who are part of the CODM's executive staff.

Business Segment Financial Information

The following tables present revenue, expenses and operating income by segment:

	Fiscal Year Ended January 3, 2025						
(In millions)	SAS	IMS	CS	AR	Other ⁽¹⁾	Total	
Revenue	\$ 6,869	\$ 6,842	\$ 5,459	\$ 2,347	\$ (192)	\$ 21,325	
Cost of Revenue	(5,430)	(5,237)	(3,490)	(1,802)	158	(15,801)	
Other Segment Costs ⁽²⁾	(627)	(767)	(645)	(251)	34	(2,256)	
Unallocated corporate department expense						(1,350)	
Operating income	\$ 812	\$ 838	\$ 1,324	\$ 294	\$ —	\$ 1,918	
Non-service FAS pension income and other, net						354	
Interest expense, net						(675)	
Income before income taxes						\$ 1,597	
	Fiscal Year Ended December 29, 2023						
(In millions)	SAS	IMS	CS	AR	Other ⁽¹⁾	Total	
Revenue	\$ 6,856	\$ 6,630	\$ 5,070	\$ 1,052	\$ (189)	\$ 19,419	
Cost of Revenue	(5,380)	(5,086)	(3,217)	(817)	194	(14,306)	
Other Segment Costs ⁽²⁾	(720)	(1,085)	(624)	(113)	(5)	(2,547)	
Unallocated corporate department expense						(1,140)	
Operating income	\$ 756	\$ 459	\$ 1,229	\$ 122	\$ —	\$ 1,426	
Non-service FAS pension income and other, net						338	
Interest expense, net						(543)	
Income before income taxes						\$ 1,221	
	Fiscal Year Ended December 30, 2022						
(In millions)	SAS	IMS	CS	AR	Other ⁽¹⁾	Total	
Revenue	\$ 6,384	\$ 6,626	\$ 4,217	**	\$ (165)	\$ 17,062	
Cost of revenue	(4,810)	(4,893)	(2,598)	**	166	(12,135)	
Other Segment Costs ⁽²⁾	(909)	(1,239)	(952)	**	(1)	(3,101)	
Unallocated corporate department expense						(699)	
Operating income	\$ 665	\$ 494	\$ 667	**	\$ —	\$ 1,127	
Non-service FAS pension income and other, net						425	
Interest expense, net						(279)	
Income before income taxes						\$ 1,273	

** Our AR segment was established in the quarter ended September 29, 2023 in connection with the AJRD acquisition. As such, there is no fiscal 2022 information.

(1) Includes corporate headquarters and intersegment eliminations

(2) Other segment costs include Impairment of goodwill and other assets, company-funded R&D costs, selling and marketing costs, and other G&A expenses, which includes a portion of capital expenditure and depreciation and amortization costs that are disaggregated by segment under the "Disaggregation of Revenue" heading below in this Note.

Unallocated Corporate Expense. Total unallocated corporate expense includes corporate items such as a portion of management and administration, legal, environmental, compensation, retiree benefits, other corporate expenses and eliminations and the FAS/CAS operating adjustment. Total unallocated corporate expense also includes the portion of corporate costs not included in management's evaluation of segment operating performance, such as amortization of acquisition-related intangibles; additional cost of revenue related to the fair value step-up in inventory sold; merger, acquisition, and divestiture-related expenses; asset group and business divestiture-related (losses) gains, net and related impairment of goodwill; impairment of other assets; LHX NeXt implementation costs; and other items.

LHX NeXt Initiative. LHX NeXt is our initiative to transform multiple functions, systems and processes to increase agility and competitiveness. The LHX NeXt effort is expected to continue for the next two years with one-time costs for workforce optimization, incremental IT expenses for implementation of new systems, third party consulting and other costs.

Disaggregation of Revenue

We disaggregate revenue for all four business segments by customer relationship, contract type and geographical region. We believe these categories best depict how the nature, amount, timing and uncertainty of revenue and cash flows are affected by economic factors.

(In millions)	Fiscal Year Ended			
	January 3, 2025			
	SAS	IMS	CS	AR
Revenue By Customer Relationship				
Prime contractor	\$ 4,307	\$ 4,341	\$ 3,801	\$ 602
Subcontractor ⁽¹⁾	2,511	2,429	1,589	1,745
Intersegment	51	72	69	—
Total segment	\$ 6,869	\$ 6,842	\$ 5,459	\$ 2,347
Revenue By Contract Type				
Fixed-price ⁽²⁾	\$ 4,293	\$ 5,378	\$ 4,566	\$ 1,389
Cost-reimbursable	2,525	1,392	824	958
Intersegment	51	72	69	—
Total segment	\$ 6,869	\$ 6,842	\$ 5,459	\$ 2,347
Revenue By Geographical Region				
United States	\$ 5,971	\$ 4,926	\$ 3,741	\$ 2,299
International	847	1,844	1,649	48
Intersegment	51	72	69	—
Total segment	\$ 6,869	\$ 6,842	\$ 5,459	\$ 2,347

(1)Our subcontractor revenues includes products and services to contractors whose customers are the end user.

(2)Includes revenue derived from time-and-materials contracts.

(In millions)	Fiscal Year Ended			
	December 29, 2023			
	SAS	IMS	CS	AR
Revenue By Customer Relationship				
Prime contractor	\$ 4,252	\$ 4,196	\$ 3,420	\$ 250
Subcontractor ⁽¹⁾	2,555	2,347	1,597	802
Intersegment	49	87	53	—
Total segment	\$ 6,856	\$ 6,630	\$ 5,070	\$ 1,052
Revenue By Contract Type				
Fixed-price ⁽²⁾	\$ 4,257	\$ 5,020	\$ 4,289	\$ 632
Cost-reimbursable	2,550	1,523	728	420
Intersegment	49	87	53	—
Total segment	\$ 6,856	\$ 6,630	\$ 5,070	\$ 1,052
Revenue By Geographical Region				
United States	\$ 5,933	\$ 4,816	\$ 3,482	\$ 1,015
International	874	1,727	1,535	37
Intersegment	49	87	53	—
Total segment	\$ 6,856	\$ 6,630	\$ 5,070	\$ 1,052

(1)Our subcontractor revenues includes products and services to contractors whose customers are the end user.

(2)Includes revenue derived from time-and-materials contracts.

(In millions)	Fiscal Year Ended			
	December 30, 2022			
	SAS	IMS	CS	AR
Revenue By Customer Relationship				
Prime contractor	\$ 4,005	\$ 4,301	\$ 2,829	**
Subcontractor ⁽¹⁾	2,330	2,254	1,343	**
Intersegment	49	71	45	**
Total segment	\$ 6,384	\$ 6,626	\$ 4,217	\$ —
Revenue By Contract Type				
Fixed-price ⁽²⁾	\$ 3,811	\$ 5,060	\$ 3,552	**
Cost-reimbursable	2,524	1,495	620	**
Intersegment	49	71	45	**
Total segment	\$ 6,384	\$ 6,626	\$ 4,217	\$ —
Revenue By Geographical Region				
United States	\$ 5,623	\$ 4,796	\$ 2,735	**
International	712	1,759	1,437	**
Intersegment	49	71	45	**
Total segment	\$ 6,384	\$ 6,626	\$ 4,217	\$ —

**Our AR segment was established in the quarter ended September 29, 2023 in connection with the AJRD acquisition. As such, there is no fiscal 2022 information.

(1)Our subcontractor revenues includes products and services to contractors whose customers are the end user.

(2)Includes revenue derived from time-and-materials contracts.

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(In millions)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022

Geographical Information for Operations

Revenue from U.S. operations	\$ 19,614	\$ 17,537	\$ 15,373
Revenue from international operations	1,711	1,882	1,689

Our products are produced principally in the U.S. with international revenue derived primarily from exports. No revenue earned from any individual foreign country exceeded 5% of our total revenue in fiscal 2024, 2023 and 2022.

Revenue from U.S. Government customers, including foreign military sales funded through the U.S. Government, whether directly or through prime contractors, by all segments as a percentage of total revenue were 76%, 76% and 74% in fiscal 2024, 2023 and 2022, respectively. Revenue from services in fiscal 2024 was 30%, 37%, 16% and 33% of total revenue in our SAS, IMS, CS and AR segments, respectively.

Revenue from products and services where the end consumer is located outside the U.S., including foreign military sales funded through the U.S. Government, whether directly or through prime contractors, was \$4,388 million (21% of our revenue), \$4,173 million (21% of our revenue) and \$3,908 million (23% of our revenue) in fiscal 2024, 2023 and 2022, respectively. Export revenue and revenue from international operations in fiscal 2024 was principally from the EMEA and APAC regions and Canada.

Other selected financial information by business segment and geographical area is summarized below:

(In millions)	Fiscal Year Ended		
	January 3, 2025	December 29, 2023	December 30, 2022

Capital Expenditures

SAS	\$ 140	\$ 151	\$ 133
IMS	118	149	45
CS	50	39	36
AR	49	31	**
Corporate	51	79	38
Total capital expenditures	\$ 408	\$ 449	\$ 252

Depreciation and Amortization

SAS	\$ 130	\$ 115	\$ 112
IMS	65	73	76
CS	56	54	47
AR	48	29	**
Corporate	990	895	703
Total depreciation and amortization	\$ 1,289	\$ 1,166	\$ 938

Geographical Information for Operations

Long-lived assets of U.S. operations	\$ 2,639	\$ 2,678	\$ 1,896
Long-lived assets of international operations	167	184	208

**Our AR segment was established in the quarter ended September 29, 2023 in connection with the AJRD acquisition. As such, there is no fiscal 2022 information.

In addition to depreciation and amortization expense related to property, plant and equipment, "Depreciation and Amortization" in the table above also includes \$860 million, \$777 million and \$596 million of amortization related to intangible assets, debt premium, debt discount, debt issuance costs and other items in fiscal 2024, 2023 and 2022, respectively.

Assets by Business Segment

Total assets by business segment are as follows:

(In millions)	January 3, 2025	December 29, 2023
Total Assets		
SAS	\$ 8,705	\$ 9,085
IMS	10,749	10,631
CS	7,060	7,084
AR	4,466	4,208
Corporate ⁽¹⁾	11,021	10,679
Total Assets	\$ 42,001	\$ 41,687

(1) Identifiable intangible assets acquired in connection with business combinations were recorded as corporate assets because they benefit the entire Company. Intangible asset balances recorded as corporate assets were \$7,639 million and \$8,540 million at January 3, 2025 and December 29, 2023, respectively. Corporate assets also consisted of cash, income taxes receivable, deferred income taxes, deferred compensation plan assets, buildings and equipment, real estate held for development and leasing, investments, as well as any assets of businesses held for sale.

NOTE 15: LEGAL PROCEEDINGS, COMMITMENTS AND CONTINGENCIES

From time to time, as a normal incident of the nature and kind of businesses in which we are or were engaged, various claims or charges are asserted and litigation or arbitration is commenced by or against us arising from or related to matters, including but not limited to: product liability; personal injury; patents, trademarks, trade secrets or other intellectual property; labor and employment disputes; commercial or contractual disputes; strategic acquisitions or divestitures; the prior sale or use of former products allegedly containing asbestos or other restricted materials; breach of warranty; or environmental matters. Claimed amounts against us may be substantial, but may not bear any reasonable relationship to the merits of the claim or the extent of any real risk of court or arbitral awards. We record accruals for losses related to those matters against us that we consider to be probable and that can be reasonably estimated. Gain contingencies, if any, are recognized when they are realized and legal costs generally are expensed when incurred. At January 3, 2025, our accrual for the potential resolution of lawsuits, claims or proceedings that we consider probable of being decided unfavorably to us was not material. We cannot at this time estimate the reasonably possible loss or range of loss in excess of our accrual due to the inherent uncertainties and speculative nature of contested proceedings. Although it is not feasible to predict the outcome of these matters with certainty, based on available information, in the opinion of management, settlements, arbitration awards and final judgments, if any, that are considered probable of being rendered against us in litigation or arbitration in existence at January 3, 2025 were reserved against or would not have a material adverse effect on our financial condition, results of operations, cash flows or equity.

Tax Audits

Our tax filings are subject to audit by taxing authorities in jurisdictions where we conduct or conducted business. These audits may result in assessments of additional taxes that are subsequently resolved with the authorities or ultimately through legal proceedings. We believe we have adequately accrued for any ultimate amounts that are likely to result from these audits; however, final assessments, if any, could be different from the amounts recorded in our Consolidated Financial Statements. Additional information regarding audits and examinations by taxing authorities of our tax filings is set forth in *Note 7: Income Taxes* in these Notes.

U.S. Government Business

We are engaged in supplying products and services to various departments and agencies of the U.S. Government. We are therefore dependent on Congressional appropriations and administrative allotment of funds and may be affected by changes in U.S. Government policies. U.S. Government development and production contracts typically involve long lead times for design and development, are subject to significant changes in contract scheduling and may be unilaterally modified or canceled by the U.S. Government. Often these contracts call for successful design and production of complex and technologically advanced products or systems. We may participate in supplying products and services to the U.S. Government as either a prime contractor or as a subcontractor to a prime contractor. Disputes may arise between the prime contractor and the U.S. Government or between the prime contractor and its subcontractors and may result in litigation or arbitration between the contracting parties.

Generally, U.S. Government contracts are subject to procurement laws and regulations, including the FAR, which outline uniform policies and procedures for acquiring products and services by the U.S. Government, and specific agency acquisition regulations that implement or supplement the FAR, such as the Defense Federal Acquisition Regulation Supplement. As a U.S. Government contractor, our contract costs are audited and reviewed on a continuing basis by the Defense Contract Audit Agency ("DCAA"). The DCAA also reviews the adequacy of, and a U.S. Government contractor's compliance with, the contractor's business systems and policies, including the contractor's property, estimating, compensation and management information systems. In addition to these routine audits, from time to time, we may, either individually or in conjunction with other U.S. Government contractors, be the subject of audits and investigations by other agencies of the U.S. Government. These audits and investigations are conducted to determine if our performance and administration of our U.S. Government contracts are compliant with applicable contractual requirements and procurement and other applicable federal laws and regulations, including ITAR and FCPA. These investigations may be conducted with or without our knowledge or cooperation. We are unable to predict the outcome of such investigations or to estimate the amounts of resulting claims or other actions that could be instituted against us or our officers or employees. Under present U.S. Government procurement laws and regulations, if indicted or adjudged in violation of procurement or other federal laws, a contractor, such as us, or one or more of our operating divisions or subdivisions, could be subject to fines, penalties, repayments, or compensatory or treble damages. U.S. Government regulations also provide that certain findings against a contractor may lead to suspension or debarment from eligibility for awards of new U.S. Government contracts for a period of time to be determined by the U.S. Government. Suspension or debarment would have a material adverse effect on us because of our reliance on U.S. Government contracts. In addition, our export privileges could be suspended or revoked, which also would have a material adverse effect on us. For further discussion of risks relating to U.S. Government contracts, see "Item 1A. Risk Factors" of this Report.

International

As an international company, we are, from time to time, the subject of investigations relating to our international operations, including under U.S. export control laws (such as ITAR), the FCPA and other similar U.S. and international laws.

Commercial Commitments

In the normal course of business, we have entered into commercial commitments primarily relating to the guarantee of future performance on certain contracts to provide products and services to customers or to obtain insurance policies with our insurance carriers.

At January 3, 2025, we had the following commercial commitments outstanding:

(In millions)	Commercial Commitment Total	Commitments expiring within 1 Year
Surety bonds used for performance	\$ 506	\$ 386
Standby letters of credit used for:		
Advance payments	312	211
Performance	327	198
Financial	62	61
Warranty	1	1
Total standby letters of credit	702	471
Total commitments	\$ 1,208	\$ 857

The surety bonds and standby letters of credit used for performance are primarily related to our Public Safety business sector. As is customary in bidding for and completing network infrastructure projects for public safety systems, contractors are required to procure surety bonds and/or standby letters of credit for bids, performance, warranty and other purposes (collectively, "Performance Bonds"). Such Performance Bonds normally have maturities of up to three years and are standard in the industry as a way to provide customers a mechanism to seek redress if a contractor does not satisfy performance requirements under a contract.

Typically, a customer is permitted to draw on a Performance Bond if we do not fulfill all terms of a project contract. In such an event, we would be obligated to reimburse the financial institution that issued the Performance Bond for the amounts paid.

Environmental Matters

We are subject to numerous U.S. federal, state, local and international environmental laws and regulatory requirements and are involved from time to time in investigations or litigation of various potential environmental issues. We or companies we have acquired are responsible, or alleged to be responsible, for environmental investigation and/or remediation of multiple sites, including sites owned by us and third party sites. These sites are in various stages of investigation and/or remediation, and in some cases our liability is considered de minimis. Notices from the U.S. Environmental Protection Agency or equivalent state or international environmental agencies allege that several sites formerly or currently owned and/or operated by us or companies we have acquired, and other properties or water supplies that may be or have been impacted from those operations, contain disposed or recycled materials or wastes and require environmental investigation and/or remediation. These sites include instances of being identified as a potentially responsible party ("PRP") under the Comprehensive Environmental Response, Compensation and Liability Act (commonly known as the "Superfund Act"), the Resource Conservation and Recovery Act and/or equivalent state and international laws, and in some instances, our liability and proportionate share of costs that may be shared among other PRPs have not been determined largely due to uncertainties as to the nature and extent of site conditions and our involvement.

As of January 3, 2025, we were named, and continue to be named, as a potentially responsible party at 111 sites where future liabilities could exist. These sites included 13 sites owned by us, 71 sites associated with our former and current locations or operations and 27 hazardous waste treatment, storage or disposal facility sites not owned by us that contain hazardous substances allegedly attributable to us from past operations.

Based on an assessment of relevant factors, we estimated that our liability under applicable environmental statutes and regulations for identified sites was \$637 million and \$613 million, respectively, as of January 3, 2025 and December 29, 2023. The current portion of our estimated environmental liability is included in the "Other current liabilities" line item and the non-current portion is included in the "Other long-term liabilities" line item in our Consolidated Balance Sheet. Some of these environmental costs are eligible for future recovery in the pricing of our products and services to the U.S. Government. We consider the recovery probable based on U.S. Government contracting regulations. As of January 3, 2025 and December 29, 2023, we had an asset for the recoverable portion of these reserves of \$462 million and \$432 million, respectively. The current and non-current portion of the recoverable costs are included as a component of the "Other current assets" and "Other non-current assets" line items, respectively, in our Consolidated Balance Sheet.

ITEM 9. CHANGES IN AND DISAGREEMENTS WITH ACCOUNTANTS ON ACCOUNTING AND FINANCIAL DISCLOSURE.

Not applicable.

ITEM 9A. CONTROLS AND PROCEDURES.

Evaluation of Disclosure Controls and Procedures

Pursuant to Rule 13a-15 under the Exchange Act, management, with the participation of our principal executive officer (CEO) and principal financial officer (CFO), carried out an evaluation of the Company's disclosure controls and procedures as of January 3, 2025. Based on this evaluation, the CEO and CFO concluded that as of January 3, 2025, our disclosure controls and procedures were designed at a reasonable assurance level and were effective to provide reasonable assurance that information required to be disclosed in our reports filed or submitted under the Exchange Act is recorded, processed, summarized and reported within the time periods specified in SEC rules and forms, and that such information is accumulated and communicated to management, including our CEO and CFO, as appropriate, to allow timely decisions regarding required disclosures.

Management's Report on Internal Control Over Financial Reporting

The Company's management is responsible for establishing and maintaining adequate internal control over financial reporting as such term is defined in Rules 13a-15(f) and 15d-15(f) under the Securities Exchange Act of 1934, as amended. The Company's internal control over financial reporting is designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with U.S. generally accepted accounting principles.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Our management, with the participation of our CEO and CFO, assessed the effectiveness of the Company's internal control over financial reporting as of January 3, 2025. In making this assessment, management used the criteria set forth by the Committee of Sponsoring Organizations of the Treadway Commission (COSO) in *Internal Control-Integrated Framework* (2013 framework). Based on this assessment, management concluded that the Company's internal control over financial reporting was effective as of January 3, 2025.

The Company's independent registered public accounting firm, Ernst & Young LLP, has issued a report on the effectiveness of the Company's internal control over financial reporting. This report appears on the following page of this Report.

Changes in Internal Control Over Financial Reporting

Other than changes related to incorporating our controls and procedures with respect to AJRD operations, there have been no changes in our internal control over financial reporting that occurred during the quarter ended January 3, 2025 that have materially affected, or are reasonably likely to materially affect, our internal control over financial reporting.

Report of Independent Registered Public Accounting Firm

To the Shareholders and the Board of Directors of L3Harris Technologies, Inc.

Opinion on Internal Control Over Financial Reporting

We have audited L3Harris Technologies, Inc.'s internal control over financial reporting as of January 3, 2025, based on criteria established in Internal Control—Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 framework) (the COSO criteria). In our opinion, L3Harris Technologies, Inc. (the Company) maintained, in all material respects, effective internal control over financial reporting as of January 3, 2025, based on the COSO criteria.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the consolidated balance sheets of the Company as of January 3, 2025 and December 29, 2023, the related consolidated statements of operations, comprehensive income, cash flows and equity for each of the three years in the period ended January 3, 2025, and the related notes and our report dated February 14, 2025 expressed an unqualified opinion thereon.

Basis for Opinion

The Company's management is responsible for maintaining effective internal control over financial reporting and for its assessment of the effectiveness of internal control over financial reporting included in the accompanying Management's Report on Internal Control Over Financial Reporting. Our responsibility is to express an opinion on the Company's internal control over financial reporting based on our audit. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audit in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether effective internal control over financial reporting was maintained in all material respects.

Our audit included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, testing and evaluating the design and operating effectiveness of internal control based on the assessed risk, and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion.

Definition and Limitations of Internal Control Over Financial Reporting

A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

/s/ Ernst & Young LLP

Orlando, Florida

February 14, 2025

ITEM 9B. OTHER INFORMATION.**Securities Trading Plans of Directors and Executive Officers**

We require all executive officers and directors to effect purchase and sale transactions in L3Harris securities pursuant to a trading plan (each, a “10b5-1 Plan”) intended to satisfy the requirements of Rule 10b5-1 under the Exchange Act (“Rule 10b5-1”). We limit executive officers to a single 10b5-1 Plan in effect at any time, subject to limited exceptions in accordance with Rule 10b5-1.

The following table includes the material terms (other than with respect to the price) of each 10b5-1 Plan adopted or terminated by our executive officers and directors during the quarter ended January 3, 2025:

Name and title	Date of adoption of 10b5-1 Plan⁽¹⁾	Scheduled expiration date of 10b5-1 Plan⁽²⁾	Aggregate number of shares of common stock to be purchased or sold⁽³⁾
Christopher E. Kubasik Chair and CEO	November 26, 2024	March 25, 2025	Up to 112,138 shares underlying options expiring in 2027
Jonathan P. Rambeau President, IMS	December 3, 2024	March 14, 2025	Up to 3,178 shares
Edward J. Zoiss President, SAS	December 6, 2024	June 6, 2025	Up to 20,579 shares including 9,012 shares of underlying options expiring in 2028

(1) Transactions under each Rule 10b5-1 Plan commence no earlier than 90 days after adoption, or such later date as required by Rule 10b5-1.

(2) Each Rule 10b5-1 Plan may expire on such earlier date as all transactions are completed.

(3) Each Rule 10b5-1 Plan provides for shares to be sold on multiple predetermined dates.

ITEM 9C. DISCLOSURE REGARDING FOREIGN JURISDICTIONS THAT PREVENT INSPECTIONS.

Not applicable.

PART III**ITEM 10. DIRECTORS, EXECUTIVE OFFICERS AND CORPORATE GOVERNANCE.**

Information regarding our directors, executive officers and corporate governance is included in our Proxy Statement for our 2025 Annual Meeting of Shareholders scheduled to be held on April 18, 2025 (our “2025 Proxy Statement”), which is expected to be filed within 120 days after the end of our fiscal 2024.

Directors. The information required by this Item with respect to our directors and corporate governance is incorporated herein by reference to the discussion under the headings *Proposal 1: Election of Directors and Corporate Governance* in our 2025 Proxy Statement.

Identification of Executive Officers. Certain information regarding our executive officers is included in Part I of this Report under the heading “Information about our Executive Officers” in accordance with General Instruction G(3) of Form 10-K.

Code of Ethics. All of our directors and employees, including our Chief Executive Officer, Chief Financial Officer, Principal Accounting Officer and other senior accounting and financial officers, are required to abide by our Code of Conduct. Our Code of Conduct is posted on our website at <https://www.l3harris.com/resources/other/l3harris-code-conduct> and is also available free of charge by written request to our Director of Ethics and Compliance, L3Harris Technologies, Inc., 1025 West NASA Boulevard, Melbourne, Florida 32919. We intend to disclose on the Code of Conduct section of our website at <https://www.l3harris.com/resources/other/l3harris-code-conduct> any amendment to, or waiver from, our Code of Conduct that is required to be disclosed to shareholders, within four business days following such amendment or waiver. The information required by this Item with respect to codes of ethics is incorporated herein by reference to the discussion under the heading *Code of Conduct* in our 2025 Proxy Statement.

Insider Trading Policies. We have adopted an Insider Trading Policy, which governs the purchase, sale, and/or other dispositions of our securities by directors, officers and employees and other covered persons and is designed to promote compliance with insider trading laws, rules and regulations, and listing standards applicable to us. A copy of our Insider Trading Policy is filed as Exhibit 19 to this Report.

ITEM 11. EXECUTIVE COMPENSATION.

The information required by this Item with respect to compensation of our directors and executive officers is incorporated herein by reference to the discussions under the headings *Director Compensation and Benefits*, *Compensation Discussion and Analysis*, *Compensation Committee Report*, *Compensation Tables*, *CEO Pay Ratio* and *Pay Versus Performance* in our 2025 Proxy Statement.

ITEM 12. SECURITY OWNERSHIP OF CERTAIN BENEFICIAL OWNERS AND MANAGEMENT AND RELATED STOCKHOLDER MATTERS.

The following table provides information about our common stock that may be issued, whether upon the exercise of options, warrants and rights or otherwise, under our existing equity compensation plans, as of January 3, 2025:

Plan Category	Number of securities to be issued upon exercise of outstanding options, warrants and rights (a) ⁽²⁾	Weighted-average exercise price of outstanding options, warrants and rights (b) ⁽²⁾	Number of securities remaining available for future issuance under equity compensation plans (excluding securities reflected in column (a)) (c)
Equity compensation plans approved by shareholders ⁽¹⁾	3,544,971	\$191.09	21,172,833
Equity compensation plans not approved by shareholders	—	—	—
Total	3,544,971	191.09	21,172,833

(1) Consists of awards under the L3Harris SIPs.

(2) Under the L3Harris SIPs, in addition to stock options, we have granted share-based compensation awards in the form of PSUs, RSUs and other similar types of share-based awards. As of January 3, 2025, there were awards outstanding under those plans with respect to 1,008,116 shares, consisting of awards of (i) 582,326 RSUs and (ii) 425,790 PSUs, for which all 1,008,116 were payable in shares but for which no shares were yet issued and outstanding. The 3,544,971 shares to be issued upon exercise of outstanding options, warrants and rights as listed in column (a) consisted of shares to be issued in respect of the exercise of 2,536,855 outstanding stock options and awards of 1,008,116 PSUs and RSUs payable in shares. Because there is no exercise price associated with awards of PSUs or RSUs, all of which are granted to employees at no cost, such awards are not included in the weighted-average exercise price calculation in column (b). See *Note 10: Share-Based Compensation* in the Notes for a general description of our share-based incentive plans.

The other information required by this Item with respect to security ownership of certain of our beneficial owners and management is incorporated herein by reference to the discussions under the headings *Principal Shareholders* and *Shares Owned By Directors, Nominees and Executive Officers* in our 2025 Proxy Statement.

ITEM 13. CERTAIN RELATIONSHIPS AND RELATED TRANSACTIONS, AND DIRECTOR INDEPENDENCE.

The information required by this Item is incorporated herein by reference to the discussions under the headings *Director Independence Standards* and *Related Person Transactions* in our 2025 Proxy Statement.

ITEM 14. PRINCIPAL ACCOUNTING FEES AND SERVICES.

The information required by this Item is incorporated herein by reference to the discussion under the heading

PART IV

ITEM 15. EXHIBITS, FINANCIAL STATEMENT SCHEDULES.

The following documents are filed as a part of this Report:

	<u>Page</u>
Financial Statements	
The following consolidated financial statements of L3Harris Technologies, Inc. are included in Item 8 of this Report at the page numbers referenced below:	
Consolidated Statement of Operations <u>— Fiscal Years Ended</u> January 3, 2025, December 29, 2023 and December 30, 2022	<u>39</u>
Consolidated Statement of Comprehensive Income <u>— Fiscal Years Ended</u> January 3, 2025, December 29, 2023 and December 30, 2022	<u>40</u>
Consolidated Balance Sheet <u>—</u> January 3, 2025 and December 29, 2023	<u>41</u>
Consolidated Statement of Cash Flows <u>— Fiscal Years Ended</u> January 3, 2025, December 29, 2023 and December 30, 2022	<u>42</u>
Consolidated Statement of Equity — Fiscal Years Ended January 3, 2025, December 29, 2023 and December 30, 2022	<u>43</u>
<u>Notes to</u> Consolidated Financial Statements	<u>44</u>
The following report of L3Harris Technologies, Inc.'s independent registered public accounting firm with respect to the above referenced consolidated financial statements and their report on internal controls over financial reporting are included in Item 8 and Item 9A of this Report at the page numbers referenced below:	
<u>Report of Independent Registered Public Accounting Firm (PCAOB ID: 42) on the</u> Consolidated Financial Statements	<u>36</u>
<u>Report of Independent Registered Public Accounting Firm on the Effectiveness of Internal Control Over Financial Reporting</u>	<u>90</u>

Financial Statement Schedules

All schedules are omitted because they are not applicable, the amounts are not significant or the required information is shown in the Consolidated Financial Statements or the Notes thereto.

Exhibits

The following exhibits are filed herewith or are incorporated herein by reference to exhibits previously filed with the SEC:

- (3)(a) Restated Certificate of Incorporation of L3Harris Technologies, Inc. (1995), as amended, incorporated herein by reference to Exhibit 4(a) to the L3Harris Technologies, Inc.'s Registration Statement on Form S-8, Registration No. 333-279040 filed with the SEC on May 1, 2024.
- (3)(b) By-Laws of L3Harris Technologies, Inc., as amended and restated effective December 8, 2022, incorporated herein by reference to Exhibit 3.1 to the L3Harris Technologies, Inc.'s Current Report on Form 8-K filed with the SEC on December 13, 2022. (Commission File Number 1-3863)
- (4)(a) (i) Indenture, dated as of May 1, 1996, between L3Harris Technologies, Inc. (formerly known as Harris Corporation) and The Bank of New York, as Trustee, relating to unlimited amounts of debt securities which may be issued from time to time by L3Harris Technologies, Inc. (formerly known as Harris Corporation) when and as authorized by L3Harris Technologies, Inc.'s (formerly known as Harris Corporation) Board of Directors or a Committee of the Board, incorporated herein by reference to Exhibit 4 to L3Harris Technologies, Inc.'s (formerly known as Harris Corporation) Registration Statement on Form S-3, Registration Statement No. 333-03111, filed with the SEC on May 3, 1996.
- (ii) Instrument of Resignation from Trustee and Appointment and Acceptance of Successor Trustee, dated as of November 1, 2002 (effective November 15, 2002), among L3Harris Technologies, Inc.

(formerly known as Harris Corporation), JP Morgan Chase Bank, as Resigning Trustee, and The Bank of New York, as Successor Trustee, incorporated herein by reference to Exhibit 99.4 to L3Harris Technologies, Inc.'s (formerly known as Harris Corporation) Quarterly Report on Form 10-Q for the fiscal quarter ended September 27, 2002. (Commission File Number 1-3863)

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(iii) Supplemental Indenture, dated June 2, 2015, among L3Harris Technologies, Inc. (formerly known as Harris Corporation), Exelis Inc. and The Bank of New York Mellon (as successor to Chemical Bank), to the Indenture dated as of May 1, 1996 between L3Harris Technologies, Inc. (formerly known as Harris Corporation) and The Bank of New York (as successor to Chemical Bank), incorporated herein by reference to Exhibit 4.2 to L3Harris Technologies, Inc.'s (formerly known as Harris Corporation) Current Report on Form 8-K filed with the SEC on June 2, 2015. (Commission File Number 1-3863)

**4(b) (i) Indenture, dated as of October 1, 1990, between L3Harris Technologies, Inc. (formerly known as Harris Corporation) and U.S. Bank National Association (as successor to National City Bank), as Trustee, relating to unlimited amounts of debt securities which may be issued from time to time by L3Harris Technologies, Inc. (formerly known as Harris Corporation) when and as authorized by L3Harris Technologies, Inc.'s (formerly known as Harris Corporation) Board of Directors or a Committee of the Board, incorporated herein by reference to Exhibit 4 to L3Harris Technologies, Inc. (formerly known as Harris Corporation) Registration Statement on Form S-3, Registration Statement No. 33-35315, filed with the SEC on June 8, 1990.

(ii) Supplemental Indenture, dated June 2, 2015, among L3Harris Technologies, Inc. (formerly known as Harris Corporation), Exelis Inc. and U.S. Bank National Association (as successor to National City Bank), to the Indenture dated as of October 1, 1990 between L3Harris Technologies, Inc. (formerly known as Harris Corporation) and U.S. National Association (as successor to National City Bank), incorporated herein by reference to Exhibit 4.1 to L3Harris Technologies, Inc.'s (formerly known as Harris Corporation) Current Report on Form 8-K filed with the SEC on June 2, 2015. (Commission File Number 1-3863)

(4)(c) (i) Indenture, dated as of September 3, 2003, between L3Harris Technologies, Inc. (formerly known as Harris Corporation) and The Bank of New York Mellon Trust Company, N.A., as successor to The Bank of New York, as Trustee, relating to unlimited amounts of debt securities which may be issued from time to time by L3Harris Technologies, Inc. (formerly known as Harris Corporation) when and as authorized by L3Harris Technologies, Inc.'s (formerly known as Harris Corporation) Board of Directors or a Committee of the Board, incorporated herein by reference to Exhibit 4(b) to L3Harris Technologies, Inc.'s (formerly known as Harris Corporation) Registration Statement on Form S-3, Registration Statement No. 333-108486, filed with the SEC on September 3, 2003

(ii) Instrument of Resignation of Trustee, Appointment and Acceptance of Successor Trustee, dated as of June 2, 2009, among L3Harris Technologies, Inc. (formerly known as Harris Corporation), The Bank of New York Mellon (formerly known as The Bank of New York) and The Bank of New York Mellon Trust Company, N.A., as to Indenture dated as of September 3, 2003, incorporated herein by reference to Exhibit 4(m) to L3Harris Technologies, Inc.'s (formerly known as Harris Corporation) Registration Statement on Form S-3, Registration Statement No. 333-159688, filed with the SEC on June 3, 2009

(iii) Supplemental Indenture, dated June 2, 2015, among L3Harris Technologies, Inc. (formerly known as Harris Corporation), Exelis Inc. and The Bank of New York Mellon Trust Company, N.A. (as successor to The Bank of New York), to the Indenture dated as of September 3, 2003 between L3Harris Technologies, Inc. (formerly known as Harris Corporation) and The Bank of New York Mellon Trust Company, N.A. (as successor to The Bank of New York), incorporated herein by reference to Exhibit 4.3 to L3Harris Technologies, Inc.'s (formerly known as Harris Corporation) Current Report on Form 8-K filed with the SEC on June 2, 2015. (Commission File Number 1-3863)

(4)(d) (i) Subordinated Indenture, dated as of September 3, 2003, between L3Harris Technologies, Inc. (formerly known as Harris Corporation) and The Bank of New York Mellon Trust Company, N.A., as successor to The Bank of New York, as Trustee, relating to unlimited amounts of debt securities which may be issued from time to time by L3Harris Technologies, Inc. (formerly known as Harris Corporation) when and as authorized by the L3Harris Technologies, Inc.'s (formerly known as Harris Corporation) Board of Directors or a Committee of the Board, incorporated herein by reference to Exhibit 4(c) to the L3Harris Technologies, Inc.'s (formerly known as Harris Corporation) Registration Statement on Form S-3, Registration Statement No. 333-108486, filed with the SEC on September 3, 2003

[\(ii\) Instrument of Resignation of Trustee, Appointment and Acceptance of Successor Trustee, dated as of June 2, 2009, among L3Harris Technologies, Inc. \(formerly known as Harris Corporation\), The Bank of New York Mellon \(formerly known as The Bank of New York\) and The Bank of New York Mellon Trust Company, N.A., as to Subordinated Indenture dated as of September 3, 2003, incorporated herein by reference to Exhibit 4\(n\) to L3Harris Technologies, Inc.'s \(formerly known as Harris Corporation\)](#)

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[Registration Statement on Form S-3, Registration Statement No. 333-159688, filed with the SEC on June 3, 2009](#)

(4)(e) Pursuant to Regulation S-K, Item 601(b)(4)(iii)(A), L3Harris Technologies, Inc. by this filing agrees, upon request, to furnish to the SEC a copy of other instruments defining the rights of holders of long-term debt of L3Harris Technologies, Inc.

(4)(f) [Description of L3Harris Technologies, Inc.'s Securities, incorporated herein by reference to Exhibit 4\(x\) to the L3Harris Technologies, Inc.'s Annual Report on Form 10-K filed for the fiscal year ended December 30, 2022 \(Commission File Number 1-3863\)](#)

*(10)(a) [Form of Director and Officer Indemnification Agreement, for use on or after June 29, 2019, incorporated herein by reference to Exhibit 10.5 to L3Harris Technologies, Inc.'s Current Report on Form 8-K filed with the SEC on July 1, 2019. \(Commission File Number 1-3863\)](#)

*(10)(b) [L3Harris Technologies, Inc. Executive Change in Control Severance Plan, effective as of July 21, 2023, incorporated herein by reference to Exhibit 10.1 to L3Harris Technologies, Inc.'s Current Report on Form 8-K filed with the SEC on July 24, 2023. \(Commission File Number 1-3863\)](#)

*(10)(c) [L3Harris Technologies, Inc. Severance Pay Plan, effective as of March 1, 2020, incorporated herein by reference to Exhibit 10.2 to L3Harris Technologies, Inc.'s Current Report on Form 8-K filed with the SEC on March 4, 2020. \(Commission File Number 1-3863\)](#)

*(10)(d) [L3Harris Technologies, Inc. Annual Incentive Plan \(Amended and Restated Effective as of August 28, 2020\), incorporated herein by reference to Exhibit 10.1 to L3Harris Technologies, Inc.'s Current Report on Form 8-K filed with the SEC on September 1, 2020. \(Commission File Number 1-3863\)](#)

*(10)(e) (i) [2015 Equity Incentive Plan, incorporated herein by reference to Exhibit 10.1 to L3Harris Technologies, Inc.'s \(formerly known as Harris Corporation\) Current Report on Form 8-K filed with the SEC on October 28, 2015. \(Commission File Number 1-3863\)](#)

(ii) [Non-Employee Director Share Unit Agreement Terms and Conditions \(as of June 29, 2019\), incorporated herein by reference to Exhibit 10\(f\)\(x\) to L3Harris Technologies, Inc.'s Transition Report on Form 10-KT for the fiscal year ended January 3, 2020. \(Commission File Number 1-3863\)](#)

(iii) [L3Harris Technologies, Inc. Restricted Unit Award Agreement Terms and Conditions \(as of February 5, 2020\), incorporated herein by reference to Exhibit 10.3 to L3Harris Technologies, Inc.'s Quarterly Report on Form 10-Q for the fiscal quarter ended April 3, 2020. \(Commission File Number 1-3863\)](#)

(iv) [L3Harris Technologies, Inc. Performance Unit Award Agreement Terms and Conditions \(as of February 28, 2020\), incorporated herein by reference to Exhibit 10.4 to L3Harris Technologies, Inc.'s Quarterly Report on Form 10-Q for the fiscal quarter ended April 3, 2020. \(Commission File Number 1-3863\)](#)

(v) [L3Harris Technologies, Inc. Stock Option Award Agreement Terms and Conditions \(as of February 28, 2020\), incorporated herein by reference to Exhibit 10.5 to L3Harris Technologies, Inc.'s Quarterly Report on Form 10-Q for the fiscal quarter ended April 3, 2020. \(Commission File Number 1-3863\)](#)

*(10)(f) (i) [L3Harris Technologies, Inc. 2015 Equity Incentive Plan \(Amended and Restated Effective as of August 28, 2020\), incorporated herein by reference to Exhibit 10.2 to L3Harris Technologies, Inc.'s Current Report on Form 8-K filed with the SEC on September 1, 2020. \(Commission File Number 1-3863\)](#)

(ii) [L3Harris Technologies, Inc. Restricted Unit Award Agreement Terms and Conditions \(as of February 23, 2023\), incorporated herein by reference to Exhibit 10.1 to L3Harris Technologies, Inc.'s Quarterly Report on Form 10-Q for the fiscal quarter ended March 31, 2023. \(Commission File Number 1-3863\)](#)

(iii) [L3Harris Technologies, Inc. Performance Unit Award Agreement Terms and Conditions \(as of February 23, 2023\), incorporated herein by reference to Exhibit 10.2 to L3Harris Technologies, Inc.'s Quarterly Report on Form 10-Q for the fiscal quarter ended March 31, 2023. \(Commission File Number 1-3863\)](#)

(iv) [L3Harris Technologies, Inc. Stock Option Award Agreement Terms and Conditions \(as of February 23, 2023\), incorporated herein by reference to Exhibit 10.3 to L3Harris Technologies, Inc.'s Quarterly Report on Form 10-Q for the fiscal quarter ended March 31, 2023. \(Commission File Number 1-3863\)](#)

*10(g) (i) [L3Harris Technologies, Inc. 2024 Equity Incentive Plan, incorporated herein by reference to Exhibit 4\(d\) to L3Harris Technologies, Inc.'s Registration Statement on Form S-8, Registration No. 333-279040, filed with the SEC on May 1, 2024. \(Commission File Number 1-3863\)](#)

(ii) [L3Harris Technologies, Inc. 2024 Performance Unit Award Agreement Terms and Conditions \(Effective April 19, 2024\), incorporated herein by reference to Exhibit 10.2 to L3Harris Technologies, Inc. Quarterly Report on Form 10-Q for the fiscal year ended December 29, 2023, filed with the SEC on July 26, 2024. \(Commission File Number 1-3863\)](#)

(iii) [L3Harris Technologies, Inc. 2024 Restricted Unit Award Agreement Terms and Conditions \(Effective April 19, 2024\), incorporated herein by reference to Exhibit 10.3 to L3Harris Technologies, Inc. Quarterly Report on Form 10-Q for the fiscal year ended December 29, 2023, filed with the SEC on July 26, 2024. \(Commission File Number 1-3863\)](#)

(iv) [L3Harris Technologies, Inc. 2024 Stock Option Award Agreement Terms and Conditions \(Effective April 19, 2024\), incorporated herein by reference to Exhibit 10.4 to L3Harris Technologies, Inc. Quarterly Report on Form 10-Q for the fiscal year ended December 29, 2023, filed with the SEC on July 26, 2024. \(Commission File Number 1-3863\)](#)

*10(h) (i) [L3Harris Retirement Savings Plan \(Amended and Restated Effective January 1, 2025\).](#)

(ii) [Amendment Number One to the L3Harris Retirement Savings Plan \(Amended and Restated Effective January 1, 2025\), dated February 12, 2025.](#)

*(10)(i) (i) [L3Harris Excess Retirement Savings Plan, as amended and restated effective June 1, 2024, incorporated herein by reference to Exhibit 10.7 to L3Harris Technologies, Inc.'s Quarterly Report on Form 10-Q for the fiscal quarter ended June 28, 2024, filed with the SEC on July 26, 2024. \(Commission File Number 1-3863\)](#)

(ii) [Amendment Number One to the L3Harris Excess Retirement Savings Plan \(Amended and Restated Effective January 1, 2020\), dated December 14, 2020, incorporated herein by reference to Exhibit 10.4 to L3Harris Technologies, Inc.'s Quarterly Report on Form 10-Q for the fiscal quarter ended April 2, 2021. \(Commission File Number 1-3863\)](#)

*(10)(k) [L3Harris Technologies, Inc. 2019 Non-Employee Director Deferred Compensation Plan, incorporated herein by reference to Exhibit 10\(j\) to L3Harris Technologies, Inc.'s Transition Report on Form 10-KT for the fiscal year ended January 3, 2020. \(Commission File Number 1-3863\)](#)

*(10)(l) (i) [Amended and Restated Master Trust Agreement and Declaration of Trust, made as of December 2, 2003, by and between L3Harris Technologies, Inc. \(formerly known as Harris Corporation\) and The Northern Trust Company, incorporated herein by reference to Exhibit 10\(c\) to L3Harris Technologies, Inc.'s \(formerly known as Harris Corporation\) Quarterly Report on Form 10-Q for the fiscal quarter ended January 2, 2004. \(Commission File Number 1-3863\)](#)

(ii) [Amendment to the L3Harris Technologies, Inc. \(formerly known as Harris Corporation\) Master Trust, dated May 21, 2009, incorporated herein by reference to Exhibit 10\(m\)\(ii\) to L3Harris Technologies, Inc.'s \(formerly known as Harris Corporation\) Annual Report on Form 10-K for the fiscal year ended July 3, 2009. \(Commission File Number 1-3863\)](#)

(iii) [Amendment to the L3Harris Technologies, Inc. \(formerly known as Harris Corporation\) Master Trust, dated December 8, 2009 and effective December 31, 2009, incorporated herein by reference to Exhibit 4\(e\)\(iii\) to L3Harris Technologies, Inc.'s \(formerly known as Harris Corporation\) Registration Statement on Form S-8, Registration Statement No. 333-163647, filed with the SEC on December 10, 2009](#)

(iv) [Amendment to the L3Harris Technologies, Inc. \(formerly known as Harris Corporation\) Master Trust, dated and effective May 3, 2010, incorporated herein by reference to Exhibit 4\(e\)\(iv\) to L3Harris Technologies, Inc.'s \(formerly known as Harris Corporation\) Registration Statement on Form S-8, Registration Statement No. 333-222821, filed with the SEC on February 1, 2018](#)

*(10)(m) (i) [Master Rabbi Trust Agreement, amended and restated as of December 2, 2003, by and between L3Harris Technologies, Inc. \(formerly known as Harris Corporation\) and The Northern Trust Company, incorporated herein by reference to Exhibit 10\(d\) to L3Harris Technologies, Inc.'s \(formerly known as](#)

[Harris Corporation\) Quarterly Report on Form 10-Q for the fiscal quarter ended January 2, 2004. \(Commission File Number 1-3863\)](#)

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[\(ii\) First Amendment to the L3Harris Technologies, Inc. \(formerly known as Harris Corporation\) Master Rabbi Trust Agreement, dated September 24, 2004, incorporated herein by reference to Exhibit 10\(b\) to L3Harris Technologies, Inc.'s \(formerly known as Harris Corporation\) Quarterly Report on Form 10-Q for the fiscal quarter ended October 1, 2004. \(Commission File Number 1-3863\)](#)

[\(iii\) Second Amendment to the L3Harris Technologies, Inc. \(formerly known as Harris Corporation\) Master Rabbi Trust Agreement, dated as of December 8, 2004, incorporated herein by reference to Exhibit 10.5 to L3Harris Technologies, Inc.'s \(formerly known as Harris Corporation\) Current Report on Form 8-K filed with the SEC on December 8, 2004. \(Commission File Number 1-3863\)](#)

[\(iv\) Third Amendment to the L3Harris Technologies, Inc. \(formerly known as Harris Corporation\) Master Rabbi Trust Agreement, dated January 15, 2009 and effective January 1, 2009, incorporated herein by reference to Exhibit 10\(i\) to L3Harris Technologies, Inc.'s \(formerly known as Harris Corporation\) Quarterly Report on Form 10-Q for the fiscal quarter ended January 2, 2009. \(Commission File Number 1-3863\)](#)

[\(v\) Fourth Amendment to the L3Harris Technologies, Inc. \(formerly known as Harris Corporation\) Master Rabbi Trust Agreement, dated October 27, 2010 and effective as of August 28, 2010, incorporated herein by reference to Exhibit 10\(n\) to L3Harris Technologies, Inc.'s \(formerly known as Harris Corporation\) Quarterly Report on Form 10-Q for the fiscal quarter ended October 1, 2010. \(Commission File Number 1-3863\)](#)

[\(vi\) Fifth Amendment to the L3Harris Technologies, Inc. \(formerly known as Harris Corporation\) Master Rabbi Trust Agreement, dated and effective as of February 28, 2019, incorporated herein by reference to Exhibit 10 to L3Harris Technologies, Inc.'s \(formerly known as Harris Corporation\) Quarterly Report on Form 10-Q for the fiscal quarter ended March 29, 2019. \(Commission File Number 1-3863\)](#)

[*10\(n\) Summary of Annual Compensation of L3Harris Technologies, Inc., Non-Employee Directors effective as of January 1, 2024, incorporated herein by reference to Exhibit 10.2 to L3Harris Technologies, Inc.'s Current Report on Form 8-K filed with the SEC on July 24, 2023. \(Commission File Number 1-3863\)](#)

[**10\(o\) Revolving Credit Agreement, dated as of July 29, 2022, by and among L3Harris Technologies, Inc. and the other parties thereto, incorporated herein by reference to Exhibit 10.1 to L3Harris Technologies, Inc.'s Current Report on Form 8-K filed with the SEC on August 4, 2022. \(Commission File Number 1-3863\)](#)

[*10\(p\) Offer Letter, dated August 12, 2022, between L3Harris Technologies, Inc. and Jon Rambeau incorporated herein by reference to Exhibit 10\(b\)\(b\) to L3Harris Technologies, Inc.'s Annual Report on Form 10-K for fiscal year-ended December 30, 2022. \(Commission File Number 1-3863\)](#)

[***10\(q\) 364-Day Credit Agreement, dated January 26, 2024, by and among L3Harris Technologies, Inc. and the other parties thereto, incorporated herein by reference to Exhibit 10.2 to L3Harris Technologies, Inc.'s Quarterly Report on Form 10-Q filed with the SEC on April 26, 2024 \(Commission File Number 1-3863\)](#)

[***10\(r\) Form of Commercial Paper Dealer Agreement, dated March 14, 2023, between L3Harris Technologies, Inc. and the Dealer party thereto, incorporated herein by reference to Exhibit 10.2 to L3Harris Technologies, Inc.'s Current Report on Form 8-K filed with the SEC on March 16, 2023 \(Commission File Number 1-3863\)](#)

[*10\(s\) Offer Letter, dated November 30, 2023, between L3Harris Technologies, Inc. and Kenneth L. Bedingfield, incorporated herein by reference to Exhibit 10\(z\) to L3Harris Technologies, Inc.'s Annual Report of Form 10-K for the fiscal year ended December 29, 2023. \(Commission File Number 1-3863\)](#)

[*10\(t\) Offer Letter, November 4, 2022, between L3Harris Technologies, Inc. and Samir B. Mehta, incorporated herein by reference to Exhibit 10\(a\)\(a\)\(i\) to L3Harris Technologies, Inc.'s Annual Report on Form 10-K for the fiscal year ended December 29, 2023. \(Commission File Number 1-3863\)](#)

[*10\(u\) Letter Agreement, dated February 23, 2024, between L3Harris Technologies, Inc. and Christopher E. Kubasik, incorporated herein by reference to Exhibit 10.1 to L3Harris Technologies, Inc.'s Current Report on Form 8-K filed with the SEC on February 23, 2024. \(Commission File Number 1-3863\)](#)

- (19) [Insider Trading Policy.](#)
(21) [Subsidiaries of the Registrant.](#)
(23) [Consent of Ernst & Young LLP, Independent Registered Public Accounting Firm.](#)

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- (24) [Power of Attorney.](#)
(31.1) [Rule 13a-14\(a\)/15d-14\(a\) Certification of Chief Executive Officer.](#)
(31.2) [Rule 13a-14\(a\)/15d-14\(a\) Certification of Chief Financial Officer.](#)
(32) [Section 1350 Certifications.](#)
(97) [Incentive-Based Compensation Recovery Policy, incorporated herein by reference to Exhibit 97 to L3Harris Technologies, Inc.'s Annual Report on Form 10-K for the fiscal year ended December 29, 2023. \(Commission File Number 1-3863\).](#)
(101) The financial information from L3Harris Technologies, Inc.'s Annual Report on Form 10-K for the period from December 31, 2022 to December 29, 2023 formatted in Inline XBRL (Extensible Business Reporting Language) includes: (i) the Consolidated Balance Sheet, (ii) the Consolidated Statement of Operations, (iii) the Consolidated Statement of Comprehensive Income, (iv) the Consolidated Statement of Changes in Stockholders Equity, (v) the Consolidated Statement of Cash Flows and (vi) the Notes to the Consolidated Financial Statements.
(104) Cover Page Interactive Data File formatted in Inline XBRL and contained in Exhibit 101.

* Management contract or compensatory plan or arrangement.

** Paper filing.

*** Schedules have been omitted pursuant to Item 601(a)(5) of Regulation S-K. L3Harris Technologies, Inc. hereby undertakes to furnish supplementally copies of any of the omitted schedules upon request by the SEC.

ITEM 16. FORM 10-K SUMMARY.

None.

SIGNATURES

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

L3HARRIS TECHNOLOGIES, INC.

(Registrant)

Date: February 14, 2025

By:

/s/ Christopher E. Kubasik

Christopher E. Kubasik

Chair and Chief Executive Officer

Pursuant to the requirements of the Securities Exchange Act of 1934, this report has been signed below by the following persons on behalf of the registrant and in the capacities and on the dates indicated.

<u>Signature</u>	<u>Title</u>	<u>Date</u>
/s/ CHRISTOPHER E. KUBASIK Christopher E. Kubasik	Chair and Chief Executive Officer (Principal Executive Officer)	February 14, 2025
/s/ KENNETH L. BEDINGFIELD Kenneth L. Bedingfield	Senior Vice President, Chief Financial Officer and President, Aerojet Rocketdyne	February 14, 2025
/s/ JOHN P. CANTILLON John P. Cantillon	Vice President, Principal Accounting Officer (Principal Accounting Officer)	February 14, 2025
* Sallie B. Bailey	Director	February 14, 2025
* Thomas A. Dattilo	Director	February 14, 2025
* Roger B. Fradin	Director	February 14, 2025
* Joanna L. Geraghty	Director	February 14, 2025
* Kirk S. Hachigian	Director	February 14, 2025
* Harry B. Harris, Jr.	Director	February 14, 2025
* Lewis Hay III	Director	February 14, 2025
* Rita S. Lane	Director	February 14, 2025
* Robert B. Millard	Director	February 14, 2025
* David S. Regnery	Director	February 14, 2025
* Edward A. Rice, Jr.	Director	February 14, 2025

*	Director	February 14, 2025
William H. Swanson		
*	Director	February 14, 2025
Christina L. Zamarro		
* By Christoph T. Feddersen pursuant to a Power of Attorney executed by the Directors listed above, which has been filed with this Annual Report on Form 10-K.		
Date: February 14, 2025	By: <u>/s/ Christoph T. Feddersen</u>	
		Christoph T. Feddersen, Attorney-in-Fact

[\(Back To Top\)](#)

Section 2: EX-10.H I (EX-10.H I)

Exhibit 10(h)(i)

L3HARRIS RETIREMENT SAVINGS PLAN
(AMENDED AND RESTATED EFFECTIVE JANUARY 1, 2025)

L3Harris Retirement Savings Plan
(Amended and Restated Effective January 1, 2025)

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ARTICLE 1

TITLE

The title of this Plan shall be the "L3Harris Retirement Savings Plan." This Plan is an amendment and restatement of the L3Harris Retirement Savings Plan in effect as of December 31, 2024. This amendment and restatement shall be effective as of January

1, 2025.

The rights and benefits of any Participant whose employment with all Employers and Affiliates terminates on or after January 1, 2025, and the rights and benefits of any Beneficiary of any such Participant, shall be determined solely by reference to the terms of the Plan as amended and restated herein, as such plan may be amended from time to time.

The Plan is designated as a “profit sharing plan” within the meaning of U.S. Treasury Regulation section 1.401-1(a)(2) (ii). In addition, the portion of the Plan invested in the L3Harris Stock Fund is designated as an “employee stock ownership plan” within the meaning of section 4975(e)(7) of the Code and, as such, is designed to invest primarily in “qualifying employer securities” within the meaning of section 4975(e)(8) of the Code.

Certain provisions of the Plan applicable solely to a specified group of Employees are set forth in an Appendix hereto, all of which Appendices are incorporated herein and considered to be part of this Plan. The provisions of an Appendix which modify the Plan’s terms with respect to the Employees covered thereby shall be construed in a manner that harmonizes the Appendix with the other provisions of the Plan to the maximum extent possible, and to the extent that the Plan’s other terms are not expressly inconsistent with the terms of an Appendix, the Employees who participate in the Plan pursuant to such Appendix shall be governed by the Plan’s other terms.

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ARTICLE 2
DEFINITIONS

As used herein, the following words and phrases shall have the following respective meanings when capitalized:

Account. The aggregate of a Participant’s subaccounts described in Section 8.1 and such other subaccounts that may be established from time to time on behalf of a Participant, to be credited with contributions made by or on behalf of the Participant, adjusted for earnings and losses, and debited by distributions to and withdrawals of the Participant and expenses.

Administrative Committee. The Employee Benefits Committee of the Company or any successor thereto that is appointed pursuant to Section 13.1 to administer the Plan. Reference herein to the Administrative Committee also shall include any person or entity to whom the Administrative Committee has delegated any of its authority pursuant to Section 13.3 to the extent of the delegation.

Affiliate. (a) A corporation that is a member of the same controlled group of corporations (within the meaning of section 414(b) of the Code) as an Employer, (b) a trade or business (whether or not incorporated) under common control (within the meaning of section 414(c) of the Code) with an Employer, (c) any organization (whether or not incorporated) that is a member of an affiliated service group (within the meaning of section 414(m) of the Code) that includes an Employer, a corporation described in clause (a) of this definition or a trade or business described in clause (b) of this definition, or (d) any other entity that is required to be aggregated with an Employer pursuant to Regulations promulgated under section 414(o) of the Code.

After-Tax Account. The subaccount established pursuant to Section 8.1 to which (i) any after-tax contributions made for the benefit of a Participant pursuant to Section 5.1 and (ii) any amounts that are attributable to after-tax contributions made to a qualified defined contribution plan with respect to a Participant that are transferred or merged into this Plan, are credited, in each case as adjusted for earnings and losses thereon. Notwithstanding the foregoing, a Participant's After-Tax Account shall exclude any after-tax contributions within the Plan attributable to participation in a money purchase pension plan, which after-tax contributions shall be part of the Participant's Money Purchase Pension Account.

Beneficiary. A person entitled under Section 9.7 to receive benefits in the event of the death of a Participant. For the avoidance of doubt, any designation of a beneficiary under the Exelis Retirement Savings Plan in effect at the time of the merger of that plan into this Plan shall be void and of no effect.

Board. The Board of Directors of the Company.

Break in Service. A period other than a period included in an Employee's Service; provided, however, that a Break in Service shall not include a period of absence from employment not in excess of 24 consecutive months because of (a) the Employee's pregnancy, (b) the birth of the Employee's child, (c) the placement of a child with the Employee in connection with the Employee's adoption of such child or (d) the need of the Employee to care for any such child for a period beginning immediately following such birth or placement. The immediately preceding sentence shall not apply unless the Employee timely furnishes to the Administrative Committee or its delegate such information as it may reasonably require to establish the reason for such absence and its duration.

Change in Control. For the purposes hereof, a “Change in Control” shall be deemed to have occurred if:

(i) any “person” (as such term is defined in Section 3(a)(9) of the Securities Exchange Act of 1934, as amended (the “Exchange Act”) and as used in Sections 13(d)(3) and 14(d)(2) of the Exchange Act) is or becomes a “beneficial owner” (as defined in Rule 13d-3 under the Exchange Act), directly or indirectly, of securities of the Company representing 20% or more of the combined voting power of the Company’s then outstanding securities eligible to vote for the election of the Board (the “Company Voting Securities”); *provided, however*, that the event described in this paragraph (i) shall not be deemed to be a Change in Control by virtue of any of the following acquisitions: (a) by the Company or any Subsidiary, (b) by any employee benefit plan sponsored or maintained by the Company or any Subsidiary, (c) by any underwriter temporarily holding securities pursuant to an offering of such securities, or (d) pursuant to a Non-Control Transaction (as defined in paragraph (iii));

(ii) individuals who, on January 1, 2025, constitute the Board (the “Incumbent Directors”) cease for any reason to constitute at least a majority of the Board, *provided* that any person becoming a director subsequent to January 1, 2025, whose appointment, election or nomination for election was approved by a vote of at least two-thirds of the Incumbent Directors who remain on the Board (either by a specific vote or by approval of the proxy statement of the Company in which such person is named as a nominee for director, without objection to such nomination) shall also be deemed to be an Incumbent Director; *provided, however*, that no individual initially elected or nominated as a director of the Company as a result of an actual or threatened election contest with respect to directors or any other actual or threatened solicitation

of proxies or consents by or on behalf of any person other than the Board shall be deemed to be an Incumbent Director;

(iii) there is consummated a merger, consolidation, share exchange or similar form of corporate reorganization of the Company or any such type of transaction involving the Company or any of its Subsidiaries that requires the approval of the Company’s shareholders (whether for such transaction or the issuance of securities in the transaction or otherwise) (a “Business Combination”), unless immediately following such Business Combination: (a) more than 60% of the total voting power of the company resulting from such Business Combination (including, without limitation, any company which directly or indirectly has beneficial ownership of 100% of the Company Voting Securities) eligible to elect directors of such company is represented by shares that were Company Voting Securities immediately prior to such Business Combination (either by remaining outstanding or being converted), and such voting power

is in substantially the same proportion as the voting power of such Company Voting Securities immediately prior to the Business Combination, (b) no person (other than any publicly traded holding company resulting from such Business Combination, or any employee benefit plan sponsored or maintained by the Company (or the company resulting from such Business Combination)) becomes the beneficial owner, directly or indirectly, of 20% or more of the total voting power of the outstanding voting securities eligible to elect directors of the company resulting from such Business Combination, and (c) at least a majority of the members of the board of directors of the company resulting from such Business Combination were Incumbent Directors at the time of the Board's approval of the execution of the initial agreement providing for such Business Combination (any Business Combination which satisfies the conditions specified in (a), (b) and (c) shall be deemed to be a "Non-Control Transaction");

(iv) the shareholders of the Company approve a plan of complete liquidation or dissolution of the Company; or

(v) the Company consummates a direct or indirect sale or other disposition of all or substantially all of the assets of the Company and its Subsidiaries.

Notwithstanding the foregoing, a Change in Control of the Company shall not be deemed to occur solely because any person acquires beneficial ownership of more than 20% of the Company Voting Securities as a result of the acquisition of Company Voting Securities by the Company which reduces the number of Company Voting Securities outstanding; *provided*, that if after such acquisition by the Company such person becomes the beneficial owner of additional Company Voting Securities that increases the percentage of outstanding Company Voting Securities beneficially owned by such person, a Change in Control of the Company shall then occur.

For the purposes of this definition of "Change in Control" the term "Subsidiary" shall mean any entity of which the Company owns or controls, either directly or indirectly, 50% or more of the outstanding shares of stock normally entitled to vote for the election of directors or of comparable equity participation and voting power.

Code. The Internal Revenue Code of 1986, as amended, and the rules and Regulations promulgated thereunder.

References to any section of the Code shall include any successor provision thereto.

Company. L3Harris Technologies, Inc., a Delaware corporation, and any successor thereto.

Compensation. Except as otherwise provided in an Appendix for a specified group of Participants, the following items of remuneration which a Participant is paid for work or

personal services performed for an Employer: (a) salary or wages, including lump sum merit increases; (b) commission paid pursuant to a sales incentive plan; (c) hazard or hardship pay, overtime premium, additional compensation in lieu of overtime premium, shift differential, or any half, double, or triple time or other contractual adders; (d) cost-of-living adjustments; (e) compensation for vacation, paid time off or sick time off taken; (f) except as provided in the immediately following paragraph, compensation in lieu of vacation or paid time off; (g) any bonus or incentive compensation payable in the form of cash pursuant to an Employer's Annual Incentive Plan or other similar plan or award program adopted from time to time by an Employer; (h) any differential wage payment (within the meaning of Section 3401(h)(2) of the Code) paid with respect to a period during which the Participant is performing service in the uniformed services while on active duty for more than 30 days and (i) holiday pay, regardless of whether for a named holiday or floating holiday or for taking the holiday or compensation in lieu thereof (and regardless of whether paid in a lump sum or otherwise); provided, however, that Compensation also shall include any remuneration which would have been paid to the Participant for work or personal services performed for an Employer but for the Participant's election to have his or her compensation reduced pursuant to a qualified cash or deferred arrangement described in section 401(k) of the Code, a cafeteria plan described in section 125 of the Code or an arrangement providing qualified transportation fringes described in section 132(f) of the Code; provided further that the remuneration described in this paragraph shall be Compensation for purposes of the Plan only if it is paid on or before the later of (i) 2 ½ months after the Participant's severance from employment and (ii) the last day of the Plan Year during which the Participant's severance from employment occurs (the "Timing Limitation"), except that the Timing Limitation shall not apply to payments to a Participant who does not perform services for

an Employer at the time of payment by reason of Qualified Military Service to the extent that such payments do not exceed the amounts such Participant would have received if the Participant had continued to perform services for the Employer rather than entering Qualified Military Service.

Notwithstanding the foregoing, and except as otherwise provided in an Appendix for a specified group of Participants, the following items also shall be excluded from “Compensation”: (1) any extraordinary compensation of a recurring or non-recurring nature, including one-time recognition awards and rewards under a referral program of an Employer; (2) any award made or amount paid pursuant to the Company’s Equity Incentive Plan or any predecessor or successor thereto, including, but not limited to, performance shares, stock options, restricted stock, stock appreciation rights or other stock-based awards or dividend equivalents; (3) severance pay, separation pay, special retirement pay or parachute payments; (4) retention bonuses or completion bonuses, unless authorized by the Administrative Committee in a uniform and nondiscriminatory manner to be included in Compensation; (5) reimbursement or allowances with respect to expenses incurred in connection with employment, such as tax equalization, reimbursement for moving expenses, mileage or expense allowance or education expenses; (6) indirect compensation such as employer-paid group insurance premiums or contributions under this Plan or any other qualified employee benefit plan, other than contributions described in the immediately preceding paragraph; (7) compensation in lieu of vacation, paid time off or sick time off that is paid in a lump sum, regardless of whether paid at or following termination of employment, during employment due to Company restrictions on carryover of vacation, paid time off or sick time off, or otherwise; or (8) nonqualified deferred compensation. For the avoidance of doubt, compensation which is attributable to the conversion of certain accrued

vacation and paid time off to a deferred lump-sum amount, shall be considered nonqualified deferred compensation for purposes of the Plan and shall be excluded from “Compensation”.

Notwithstanding any provision herein to the contrary, the Compensation of a Participant taken into account for any purpose under the Plan shall not exceed \$350,000 (as adjusted pursuant to section 401(a)(17)(B) of the Code). In addition, in the Plan Year in which an Eligible Employee becomes a Participant, only Compensation received on or after the date he or she becomes a Participant shall be taken into account under the Plan. Finally, in no event shall Compensation for purposes of this Plan include any amount that is not “compensation” within the meaning of section 415(c)(3) of the Code and Treasury Regulation section 1.415(c)-2.

Designated Roth Account. The subaccount established pursuant to Section 8.1 to which (i) any designated Roth contributions made for the benefit of a Participant pursuant to Section 4.1 and (ii) any amounts that are attributable to designated Roth contributions made to a qualified defined contribution plan with respect to a Participant that are transferred or merged into this Plan, are credited, in each case as adjusted for earnings and losses thereon. For the avoidance of doubt, the Designated Roth Account shall not

include In-Plan Roth Conversions (as defined in Section 4.8).

Designated Roth Conversion Account. The subaccount established pursuant to Section 8.1 to which (i) In-Plan Roth Conversions (as defined in Section 4.8) and (ii) any amounts that are attributable to in-plan Roth conversions pursuant to section 402A(c)(4) under a qualified defined contribution plan that are transferred or merged into this Plan, are credited, in each case as adjusted for earnings and losses thereon.

Disability. A Participant's total and permanent physical or mental disability, as evidenced by the Participant's eligibility for disability benefits under Title II or Title XVI of the

Federal Social Security Act. A Participant's Disability shall be deemed to occur as of the effective date determined by the Social Security Administration.

Effective Date. The effective date of this amendment and restatement of the Plan, which, with respect to the Company and any other Employer as of December 31, 2024, shall, except as otherwise provided herein, be January 1, 2025 and, with respect to an entity that becomes an Employer on or after January 1, 2025, shall be the effective date as of which the Plan is adopted by such entity.

Eligible Cash Balance Pension Participant. A Participant who is an Eligible Employee; who began accruing a cash balance benefit under the Harris Corporation Salaried Retirement Plan effective January 1, 2017 or under a defined benefit pension plan maintained by L3 Technologies, Inc. or a subsidiary thereof effective January 1, 2020; and who continues to be eligible to accrue such cash balance benefit under such plan.

Eligible Employee. An Employee other than an Employee (a) the terms of whose employment are subject to a collective bargaining agreement which does not provide for the participation of such Employee in the Plan; (b) who does not receive any Compensation payable in United States dollars; (c) who is not treated as an Employee of an Employer on such Employer's payroll records (notwithstanding any determination by a court or administrative agency that such individual is an Employee); (d) who is not a United States citizen or a resident alien and who provides services in a location other than the United States; (e) who is eligible to participate in, or will be eligible to participate in after satisfaction of applicable age, service or entry date requirements, any other United States tax-qualified defined contribution plan sponsored or maintained by the Company or any of its subsidiaries or (f) who renders services primarily in Puerto Rico, or whose primary mailing address recorded in the Employer's payroll

records is in Puerto Rico. No individual who renders services for an Employer shall be an Eligible Employee if such individual renders services pursuant to an agreement or arrangement (written or oral) (1) that such services are to be rendered by the individual as an independent contractor; (2) with an entity, including a leasing organization, that is not an Employer or Affiliate or (3) that contains a waiver of participation in the Plan. No reclassification of an individual's status with an Employer, for any reason, without regard to whether initiated by a court, governmental agency or otherwise and without regard to whether the Employer agrees with such reclassification, shall result in the person being regarded as an Eligible Employee during any retroactive period.

Eligible Profit Sharing Participant. For any Plan Year, a Participant who has completed a Year of Service on or prior to the last day of the applicable Plan Year and (a) who is actively employed as an Eligible Employee on the last day of such Plan Year; (b) was actively employed as an Eligible Employee during such Plan Year but is not actively employed on the last day of such Plan Year due to Leave of Absence or a period of Qualified Military Service; or (c) was actively employed as an Eligible Employee during such Plan Year but terminated employment during such Plan Year (1) on or after the attainment of age 55, (2) due to death or Disability, (3) as a result of a Reduction in Force or (4) as a result of a transfer from employment with an Employer to employment with an Affiliate that is not an Employer.

Eligible Retirement Plan. Any of (i) an individual retirement account described in section 408(a) of the Code (including a Roth IRA described in section 408A of the Code), (ii) an individual retirement annuity described in section 408(b) of the Code (including a Roth IRA described in section 408A of the Code, and excluding any endowment contract), (iii) an employees' trust described in section 401(a) of the Code which is exempt from tax under section

501(a) of the Code, (iv) an annuity plan described in section 403(a) of the Code, (v) an eligible deferred compensation plan described in section 457(b) of the Code which is maintained by a state, political subdivision of a state or any agency or instrumentality of a state or political subdivision of a state which agrees to account separately for amounts transferred into such plan and (vi) an annuity contract described in section 403(b) of the Code.

Eligible Rollover Recipient. Either (i) an Employee, other than an Eligible Employee, with an Account balance in the Plan or (ii) an Eligible Employee.

Employee. An individual whose relationship with an Employer is, under common law, that of an employee.

Employer. The Company or any other entity that, with the consent of the Administrative Committee, elects to participate in the Plan in the manner described in Section 14.1, including any successor entity that is substituted for an Employer pursuant to Section 14.4. If an Employer withdraws from participation in the Plan pursuant to Section 14.2, or terminates its participation in the Plan pursuant to Section 17.3, it shall thereupon cease to be an Employer. An entity automatically shall cease being an Employer as of the date it ceases to be an Affiliate, unless the Administrative Committee consents to such entity's continued participation in the Plan.

ERISA. The Employee Retirement Income Security Act of 1974, as amended, and the rules and Regulations promulgated thereunder. References to any section of ERISA shall include any successor provision thereto.

Fringe Account. The subaccount established pursuant to Section 8.1 to which (i) any fringe contributions made for the benefit of a Participant pursuant to Section 4.4 and (ii) any amounts that are attributable to fringe contributions made to a qualified defined contribution plan

with respect to a Participant that are transferred or merged into this Plan, are credited, in each case as adjusted for earnings and losses thereon.

Highly Compensated Employee. For a Plan Year, any Employee who (a) is a 5%-owner (as determined under section 416(i)(1) of the Code) at any time during the current Plan Year or the preceding Plan Year or (b) for the preceding Plan Year, was paid compensation in excess of \$155,000 (as adjusted in accordance with section 414(q)(1)(B) of the Code) from an Employer or Affiliate and was a member of the "top-paid group" (as defined in section 414(q)(3) of the Code).

Hour of Service. Each hour for which an Employee is paid or entitled to payment for the performance of duties for an Employer.

Investment Committee. The Investment Committee of the Company. Reference herein to the Investment Committee also shall include any person or entity to whom the Investment Committee has delegated any of its authority pursuant to Section 13.3 to the extent of the delegation.

L3Harris Stock. Common stock of the Company.

L3Harris Stock Fund. An investment option, the assets of which consist primarily of shares of L3Harris Stock.

Leave of Absence. A period of interruption of the active employment of an Employee granted by an Employer or Predecessor Company with the understanding that the Employee will return to active employment at the expiration of such period (or such extension thereof granted by the Employer or Predecessor Company).

Matching Account. The subaccount established pursuant to Section 8.1 to which (i) any matching contributions made for the benefit of a Participant pursuant to Section 4.2 and

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(ii) any amounts that are attributable to matching contributions made to a qualified defined contribution plan with respect to a Participant that are transferred or merged into this Plan, are credited, in each case as adjusted for earnings and losses thereon.

Maximum Contribution Percentage. The maximum percentage of a Participant's Compensation for a payroll period that may be contributed to the Plan pursuant to Section 5.1(a), as determined from time to time by the Administrative Committee. The Administrative Committee in its sole discretion may establish different Maximum Contribution Percentages with respect to Participants who are not Highly Compensated Employees for a given Plan Year and Participants who are Highly Compensated Employees for such Plan Year, and with respect to classes of Highly Compensated Employees for a given Plan Year.

Maximum Deferral Percentage. The maximum percentage of a Participant's Compensation for a payroll period that may be contributed to the Plan pursuant to Section 4.1(a), as determined from time to time by the Administrative Committee. The Administrative Committee in its sole discretion may establish different Maximum Deferral Percentages with respect to Participants who are not Highly Compensated Employees for a given Plan Year and Participants who are Highly Compensated Employees for such Plan Year, and with respect to classes of Highly Compensated Employees for a given Plan Year.

Money Purchase Pension Account. The subaccount established pursuant to Section 8.1 attributable to contributions to a money purchase pension plan and earnings thereon that were transferred to the Plan in connection with the merger of a qualified defined contribution plan into the Plan, as adjusted for earnings and losses thereon.

Other Employer Contribution Account. The subaccount established pursuant to Section 8.1 to which any employer contributions (other than matching contributions) made for

the benefit of a Participant pursuant to Appendix 8 are credited, as adjusted for earnings and losses thereon.

Participant. An Eligible Employee who has satisfied the requirements set forth in Section 3.1 or an applicable Appendix.

An individual shall cease to be a Participant upon the complete distribution of his or her vested Account.

Plan. The plan herein set forth (including any schedules or appendices), as from time to time amended.

Plan Year. The calendar year.

Predecessor Company. Any entity (a) of which an Affiliate is a successor by reason of having acquired all or substantially all of its business and assets or (b) from which an Affiliate acquired a business formerly conducted by such entity; provided, however, that in the case of any such entity that continues to conduct a trade or business subsequent to the acquisition by an Affiliate referred in (a) or (b) above, the status of such entity as a Predecessor Company relates only to the period of time prior to the date of such acquisition.

Pre-Tax Account. The subaccount established pursuant to Section 8.1 to which (i) any pre-tax contributions made for the benefit of a Participant pursuant to Section 4.1 and (ii) any amounts that are attributable to pre-tax contributions made to a qualified defined contribution plan with respect to a Participant that are transferred or merged into this Plan, are credited, in each case as adjusted for earnings and losses thereon.

Prior Company Contribution Account. The subaccount established pursuant to Section 8.1 attributable to (i) Company Matching Contributions that were made under the Exelis Retirement Savings Plan prior to January 1, 2012; (ii) Company “Floor Contributions” that were made under the Exelis Retirement Savings Plan prior to January 1, 2012; (iii) any other company

or employer contributions that were made to the Exelis Retirement Savings Plan or any predecessor plan thereto prior to October 31, 2011, or any other amounts attributable to company or employer contributions transferred or merged into the Exelis Retirement Savings Plan or any predecessor plan thereto; (iv) any amounts attributable to company or employer contributions, other than safe harbor matching contributions, merged into this Plan from the Aerojet Rocketdyne Retirement Savings Plan; or (v) Company “Base Contributions” that were made for the benefit of a Participant pursuant to Appendix 7 of this Plan (or a predecessor thereto) with

respect to service prior to April 28, 2017, in the case of each of (i) through (v), as adjusted for earnings and losses thereon.

Profit Sharing Account. The subaccount established pursuant to Section 8.1 to which (i) any profit sharing contributions made for the benefit of a Participant pursuant to Section 4.3 and (ii) any amounts that are attributable to profit sharing contributions made to a qualified defined contribution plan with respect to a Participant that are transferred or merged into this Plan, are credited, in each case as adjusted for earnings and losses thereon.

QNEC Account. The subaccount established pursuant to Section 8.1 to which (i) any “qualified nonelective contributions” within the meaning of section 401(m)(4)(C) of the Code made for the benefit of a Participant under the Plan and (ii) any amounts that are attributable to qualified nonelective contributions made to a qualified defined contribution plan with respect to a Participant that are transferred or merged into this Plan, are credited, in each case as adjusted for earnings and losses thereon.

Qualified Military Service. An individual’s service in the uniformed services (as defined in 38 U.S.C. § 4303) if such individual is entitled to reemployment rights under USERRA with respect to such service.

Reduction in Force. An involuntary reduction in force, as defined in the Company’s Severance Pay Plan.

Regulations. Written regulations promulgated by the Department of Labor construing Title I of ERISA or by the Internal Revenue Service construing the Code.

Rollover Account. The subaccount established pursuant to Section 8.1 to which (i) any rollover contributions made by or for the benefit of an Eligible Rollover Recipient pursuant to Section 5.2 and (ii) any amounts that are attributable to rollover contributions made to a qualified defined contribution plan with respect to a Participant that are transferred or merged into this Plan, are credited, in each case as adjusted for earnings and losses thereon. Rollovers attributable to after-tax contributions and rollovers attributable to designated Roth contributions shall be accounted for separately from other amounts in the Rollover Account.

Safe Harbor Matching Contributions Account. The subaccount established pursuant to Section 8.1 to which (i) any safe harbor matching contributions made for the benefit of a Participant under the Plan and (ii) any amounts that are attributable to safe harbor matching contributions made to a qualified defined contribution plan with respect to a Participant that are transferred or merged into this Plan, are credited, in each case as adjusted for earnings and losses thereon.

Savings Account. The subaccount established pursuant to Section 8.1 to which any savings contributions under the Plan as in effect prior to July 1, 1983 are credited, as adjusted for earnings and losses thereon.

Service. The aggregate of the periods during which an Employee is employed by an Employer and any periods of employment or service taken into account pursuant to Sections 11.3 and 11.4, subject to the following:

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(a) An Employee shall be deemed to be employed by an Employer during (1) any period of absence from employment by an Employer that is of less than twelve months' duration, (2) the first twelve months of any period of absence from employment by an Employer for any reason other than the Employee's quitting, retiring, being discharged or death, and (3) any period of absence from employment by an Employer due to or necessitated by the Employee's Qualified Military Service, provided that the Employee returns to the employ of an Employer within the period prescribed by USERRA.

(b) An Employee's period of employment by an entity other than an Affiliate that becomes a Predecessor Company shall be included as Service only to the extent expressly provided in the documents effecting the acquisition or otherwise required by law.

(c) Effective January 1, 2020, an individual's period of employment by Aviation Communication & Surveillance Systems, LLC ("ACSS") shall be included as Service to the same extent it would have been had such period of service been as an Employee.

(d) An Employee's period of employment by an entity in which the Company owns less than 80% but more than 1% of the outstanding equity interest (a "joint venture") shall be included as Service if (1) the Company or its delegate designates employment with the joint venture as eligible for service credit under the Plan; (2) such Employee was employed by an Affiliate prior to such Employee's employment by the joint venture and was not employed by any person or entity other than an Affiliate (an "unrelated employer") between such Employee's employment by an Affiliate and the joint venture; and (3) such Employee returns to employment with an Affiliate following the Employee's termination of employment with the joint venture without having been

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employed by an unrelated employer between such Employee's employment by the joint venture and an Affiliate.

Service shall be computed in terms of completed years, completed months and completed days.

Spouse. A person who is legally married to a Participant under the laws of any domestic or foreign jurisdiction that has the legal authority to sanction marriages. For the avoidance of doubt, the term "Spouse" shall not include a person who, with a Participant, is in a domestic partnership, civil union or other similar formal relationship recognized by applicable law.

Trust. The trust described in Section 7.1 and created by agreement between the Company and the Trustee.

Trust Fund. All money and property of every kind with respect to the Plan held by the Trustee pursuant to the terms of the agreement governing the Trust.

Trustee. The person or entity appointed by the Investment Committee and serving as trustee of the Trust or, if there is more than one such trustee acting at a particular time, all of such trustees collectively.

USERRA. The Uniformed Services Employment and Reemployment Rights Act of 1994, as amended.

Valuation Date. Each day on which the New York Stock Exchange is open for trading and any other day determined by the Administrative Committee.

Year of Service. A period of Service of 365 days.

ARTICLE 3

PARTICIPATION

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Section 3.1. Eligibility for Participation. Each Eligible Employee who was a Participant immediately before the Effective Date shall continue to be a Participant as of the Effective Date. Except as otherwise provided in an Appendix for a specified group of Employees, each other Eligible Employee shall become a Participant on the day he or she first performs an Hour of Service.

Section 3.2. Election of Pre-Tax Contributions, Designated Roth Contributions and After-Tax Contributions. (a) Participant Election. A Participant who desires to make pre-tax contributions, designated Roth contributions or after-tax contributions to the Plan shall make an election, in accordance with procedures prescribed by the Administrative Committee, specifying the Participant's chosen rate of such contributions. Such election shall authorize the Participant's Employer to reduce the Participant's Compensation by the amount of any such pre-tax contributions, shall authorize the Participant's Employer to make regular payroll deductions of any such designated Roth contributions or after-tax contributions, and shall evidence the Participant's acceptance and agreement to all provisions

of the Plan. The Administrative Committee in its discretion may permit Participants (or a subset of Participants) to make separate deferral or contribution elections with respect to (i) their Compensation that is bonus or incentive compensation (in its entirety or a particular category thereof, as determined by the Administrative Committee) and (ii) their Compensation that is not such bonus or incentive compensation. Any election made pursuant to this Section 3.2(a) shall be effective only with respect to Compensation not currently available to the Participant as of the effective date of such election and shall be effective as soon as administratively practical after the date on which the election is received.

(a) Deemed Election. Except as otherwise provided in a Schedule or an Appendix for a specified group of Employees, a Participant who does not at the time and in the manner prescribed by the Administrative Committee elect otherwise (including for this purpose a reemployed Eligible Employee who does not elect otherwise following the Eligible Employee's reemployment date) shall be deemed to have elected to make pre-tax contributions to the Plan each payroll period at the rate of 6% of the Participant's Compensation for such payroll period and to have authorized the Participant's Employer to reduce his or her Compensation by the amount thereof. Any deemed election described in this Section 3.2(b) shall be effective only with respect to Compensation not currently available to the Participant as of the effective date of the deemed election and shall be effective thirty-five (35) days following the date that the Participant first performs an Hour of Service, or as soon as administratively practicable thereafter.

(b) This Section 3.2(b) shall not apply to an Employee hired prior to August 5, 2024 who at the time of hire (i) was scheduled by an Employer to regularly work fewer than 30 hours per week or (ii) was designated on Employer payroll records as a temporary employee, intern, or co-op employee.

Section 3.3. Transfers to Affiliates. If a Participant is transferred from one Employer to another Employer or from an Employer to an Affiliate that is not an Employer, such transfer shall not terminate the Participant's participation in the Plan, and such Participant shall continue to participate in the Plan until an event occurs which would have entitled the Participant to a complete distribution of the Participant's vested interest in his or her Account had the Participant continued to be employed by an Employer until the occurrence of such event. Notwithstanding the foregoing, a Participant shall not be entitled to make pre-tax contributions,

designated Roth contributions or after-tax contributions, or to receive under the Plan allocations of matching contributions, profit sharing contributions, fringe contributions or other employer contributions during any period of employment by an Affiliate that is not an Employer, and periods of employment by an Affiliate that is not an Employer shall be taken into account only to the extent set forth in Section 11.3. Payments that are received by a Participant from an Affiliate that is not an Employer shall not be treated as Compensation for any purpose under the Plan.

ARTICLE 4

PRE-TAX, DESIGNATED ROTH, MATCHING, PROFIT SHARING, FRINGE AND OTHER EMPLOYER CONTRIBUTIONS

Section 4.1. Pre-Tax Contributions and Designated Roth Contributions. (a) Initial Election. Subject to the limitations set forth in Article 6, each Employer shall make a pre-tax contribution and/or a designated Roth contribution for each payroll period on behalf of each Participant who is an Eligible Employee of such Employer in an amount equal to a whole percentage of such Participant's Compensation for such payroll period as elected by the Participant pursuant to Section 3.2. The percentage of Compensation so designated by a Participant for a payroll period may not be less than 1% and may not be more than the Maximum Deferral Percentage with respect to such Participant. Notwithstanding the foregoing, the aggregate of a Participant's pre-tax contributions and designated Roth contributions for a payroll period pursuant to this Section 4.1(a) and a Participant's after-tax contributions for a payroll period pursuant to Section 5.1(a) may not exceed an amount equal to the Maximum Deferral Percentage with respect to such Participant.

(a) Changes in the Rate or Suspension of Pre-Tax Contributions and Designated Roth Contributions. A Participant's pre-tax contributions and designated Roth contributions pursuant to Section 4.1(a) shall continue in effect at the rate elected by the

Participant pursuant to Section 3.2 until the Participant changes or suspends such election. A Participant may change or suspend such election at such time and in such manner as may be prescribed by the Administrative Committee, provided that only the last change made by a Participant during a payroll period shall be effectuated. Such change or suspension shall be effective as soon as administratively practicable after the date on which the change or suspension is received. A Participant who has suspended pre-tax contributions or designated Roth contributions pursuant to this subsection may resume pre-tax contributions or designated Roth contributions by making an election at such time and in such manner as may be prescribed by the Administrative Committee.

(b) Catch-Up Contributions. Each Participant who (i) is eligible to make pre-tax contributions or designated Roth contributions under the Plan and (ii) will attain age 50 before the end of the Plan Year shall be eligible to have pre-tax contributions and/or designated Roth contributions made on his or her behalf in addition to those described in Sections 4.1(a) and (b) (“catch-up contributions”). Catch-up contributions shall be elected, made, suspended, resumed and credited in accordance with and subject to the rules and limitations of section 414(v) of the Code and such other rules and limitations prescribed by the Administrative Committee from time to time; provided, however, that (i) the amount of catch-up contributions made on behalf of a Participant during a Plan Year shall not exceed the maximum amount permitted under section 414(v)(2) of the Code for the calendar year (\$7,500 for 2025), without giving effect to any catch-up contribution amounts available solely to participants ages 60 to 63 under section 109 of the Secure 2.0 Act of 2022 and (ii) the amount of catch-up contributions made on behalf of a Participant for a payroll period shall not exceed the percentage of the Participant’s Compensation that is established from time to time by the Administrative

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Committee. Catch-up contributions shall not be taken into account for purposes of Sections 6.1 and 6.3, and the Plan shall not be treated as failing to satisfy its provisions implementing the requirements of section 401(k)(3), 401(k)(11), 401(k)(12), 410(b) or 416 of the Code, as applicable, by reason of the making of catch-up contributions.

(c) Designation of Contributions as Pre-Tax Contributions or Designated Roth Contributions. Elections by Participants to commence, change, suspend or resume contributions under this Section 4.1 shall designate (i) the portion of such contributions that are to be pre-tax contributions excludable from the Participant’s gross income pursuant to section 402(g) of the Code and (ii) the portion of such contributions that are to be designated Roth contributions includable in the Participant’s gross income pursuant to section 402A of the Code. Subject to Section 4.8, such designations shall be irrevocable with respect to contributions made pursuant to such elections.

Section 4.2. Matching Contributions. (a) In General. Subject to the limitations set forth in Article 6, and except as otherwise provided in an Appendix for a specified group of Employees, each Employer shall make a matching contribution for each payroll period on behalf of each of its Eligible Employees who has been credited with one Year of Service. Except as otherwise provided in an Appendix for a specified group of Employees, the rate of such matching contribution shall equal 100% of the aggregate of (i) the pre-tax contribution and/or designated Roth contribution made on behalf of such Participant pursuant to Section 4.1(a) and (ii)

the after-tax contribution made on behalf of such Participant pursuant to Section 5.1(a); provided, however, that pre-tax, designated Roth and after-tax contributions in excess of 6% of a Participant's Compensation for a payroll period shall not be considered for purposes of matching contributions. Notwithstanding the foregoing, in the case of an Eligible Cash Balance Pension

Participant, pre-tax, designated Roth and after-tax contributions in excess of 5% of his or her Compensation for a payroll period shall not be considered for purposes of matching contributions under this Section 4.2(a).

(a) Contributions Not Eligible for Match. Notwithstanding the foregoing, and except as otherwise provided in Appendix 8, an Employer shall not make a matching contribution with respect to any catch-up contribution made pursuant to Section 4.1(c).

Section 4.3. Profit Sharing Contributions. Subject to the limitations set forth in Article 6, each Plan Year the Employers in their discretion may make a profit sharing contribution to the Trust in such amount as the Employers in their discretion may determine. Such discretionary profit sharing contribution shall be allocated pursuant to Section 8.6 among Eligible Profit Sharing Participants for the Plan Year.

Section 4.4. Fringe Contributions. Subject to the limitations set forth in Article 6, each Plan Year the Employers in their discretion may make, (i) on behalf of a Participant who is covered by the Davis-Bacon Act (40 U.S.C. Section 276(a) et seq., as amended) or the McNamara-O'Hara Service Contract Act (41 U.S.C. Section 351 et seq., as amended), a fringe contribution that shall be an amount equal to the fringe rate determined under the prevailing wage determination for services performed under the aforesaid acts, less any fringe benefit provided outside of the Plan or (ii) on behalf of a Participant who is subject to a collective bargaining agreement or similar contract, a fringe contribution in the amount determined by the Employer which shall be in lieu of certain fringe benefits.

Section 4.5. Other Employer Contributions. The Employers shall make such other employer contributions as set forth in an Appendix hereto.

Section 4.6. Deposit of Contributions. An Employer shall deliver to the Trustee any pre-tax contributions and designated Roth contributions as soon as administratively practicable after the date such contributions otherwise would have been paid to the Participants as cash compensation, but in no event later than the 15th business day of the month following the month during which such contributions otherwise would have been paid to the Participants. Except with respect to true-up or catch-up matching contributions made pursuant to an Appendix hereto, an Employer shall deliver to the Trustee any matching contributions concurrently with the delivery of the pre-tax contributions, designated Roth contributions or after-tax contributions to which such matching contributions relate. An Employer shall deliver to the Trustee any profit sharing contribution, fringe contributions, true-up or catch-up matching contributions or other employer contributions for a Plan Year no later than the date prescribed by the Code, including any authorized extensions thereof, for filing such Employer's federal income tax return for the tax year that coincides with the Plan Year.

Section 4.7. Form of Contributions. Except as provided in Section 5.2(a) with respect to rollover contributions, contributions to the Plan (pursuant to this Article 4 or otherwise) shall be made in cash, shares of L3Harris Stock or a combination thereof at the discretion of the Company.

Section 4.8. In-Plan Roth Conversions An "Eligible Converttee," as defined in this Section, may, at any time, elect to transfer all or any portion of his or her vested Account, other than his or her Roth In-Plan Conversion Excluded Account, from its existing subaccount to such Eligible Converttee's Designated Roth Conversion Account, to the extent permitted by section 402A(c)(4) of the Code (including section 402A(c)(4)(E) of the Code), and with the tax consequences set forth in section 402A(c)(4) of the Code (an "In-Plan Roth Conversion"). For

this purpose the Participant's "Roth In-Plan Conversion Excluded Account" means (i) the Participant's Account attributable to his or her Designated Roth Account, (ii) the Participant's Account attributable to his or her Money Purchase Pension Account and (iii) prior to the date that such amounts are distributable under the Plan, the Participant's Account attributable to his or her Fringe Account, Ocean Systems Hourly Account, Profit Sharing Account, QNEC Account, and Safe Harbor Matching Contributions Account.

Notwithstanding any provision of the Plan to the contrary, the Eligible Converttee shall continue to have the same withdrawal, distribution and loan options with respect to amounts attributable to such In-Plan Roth Conversion as he or she had prior to having converted such amounts, subject to any restrictions on rollover described in Section 9.6. For purposes of this Section, an "Eligible Converttee" is a Participant, a Beneficiary who is the surviving Spouse of such Participant or an alternate payee (within the meaning of section 414(p) of

the Code) who is a Spouse or former Spouse of such Participant.

ARTICLE 5

AFTER-TAX AND ROLLOVER CONTRIBUTIONS

Section 5.1. After-Tax Contributions. (a) Initial Election. Subject to the limitations set forth in Article 6, each Participant may elect in accordance with Section 3.2 to make an after-tax contribution of Compensation for each payroll period by payroll deduction. The percentage of Compensation so designated for a payroll period shall be a whole percentage not less than 1% and not more than the Maximum Contribution Percentage with respect to such Participant. Notwithstanding the foregoing, the aggregate of a Participant's pre-tax contributions and designated Roth contributions for a payroll period pursuant to Section 4.1(a) and a Participant's after-tax contributions for a payroll period pursuant to this Section 5.1(a) may not exceed an amount equal to the Maximum Contribution Percentage with respect to such

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Participant. An Employer shall deliver to the Trustee any after-tax contributions as soon as administratively practicable after the date such contributions otherwise would have been paid to the Participants as cash compensation, but in no event later than the 15th business day of the month following the month during which such contributions otherwise would have been paid to the Participants.

(a) Changes in the Rate or Suspension of After-Tax Contributions. A Participant's after-tax contributions pursuant to Section 5.1(a) shall continue in effect at the rate elected by the Participant pursuant to Section 3.2 until the Participant changes or suspends such election. A Participant may change or suspend such election at such time and in such manner as may be prescribed by the Administrative Committee, provided that only the last change made by a Participant during a payroll period shall be effectuated. Such change or suspension shall be effective as soon as administratively practicable after the date on which the change or suspension is received. A Participant who has suspended after-tax contributions pursuant to this subsection may resume after-tax contributions by making an election at such time and in such manner as may be prescribed by the Administrative Committee.

Section 5.2. Rollover Contributions. (a) Requirements for Rollover Contributions. If an Eligible Rollover Recipient receives an "eligible rollover distribution" (within the meaning of section 402(c)(4) of the Code) from an Eligible Retirement Plan, then the Eligible Rollover Recipient may contribute to the Plan an amount that does not exceed the amount of such eligible rollover distribution (including the proceeds from the sale of any property received as part of such eligible rollover distribution). A rollover contribution may be in the form of cash or, with the consent of the Administrative Committee or its delegate, a promissory note

evidencing an outstanding loan balance.

(a) Delivery of Rollover Contributions. Any rollover contribution made pursuant to this Section shall be delivered by the Eligible Rollover Recipient to the Trustee on or before the 60th day after the day on which the Eligible Rollover Recipient receives the distribution (or on or before such later date as may be prescribed by law) or shall be transferred to the Trustee on behalf of the Eligible Rollover Recipient directly from the trust from which the eligible rollover distribution is made. Any such contribution must be accompanied by any information or documentation in connection therewith requested by the Administrative Committee or the Trustee. Notwithstanding the foregoing, the Administrative Committee shall not permit a rollover contribution if in its judgment accepting such contribution would cause the Plan to violate any provision of the Code or Regulations.

ARTICLE 6

LIMITATIONS ON CONTRIBUTIONS

Section 6.1. Annual Limit on Pre-Tax Contributions and Designated Roth Contributions. (a) General Rule.

Notwithstanding the provisions of Section 4.1, the aggregate of pre-tax contributions and designated Roth contributions made on behalf of a Participant for any calendar year pursuant to such Section and pursuant to any other plan or arrangement described in section 401 (k) of the Code which is maintained by an Employer or Affiliate shall not exceed the dollar limitation in effect for such calendar year under section 402(g) of the Code, except to the extent permitted under Section 4.1(c) of the Plan and section 414(v) of the Code with respect to “catch-up contributions.”

(a) Excess Pre-Tax Contributions and Designated Roth Contributions.

(1) Characterization as After-Tax Contributions. Except to the extent set forth in Section 4.1(c) of the Plan and section 414(v) of the Code with respect

to “catch-up contributions,” if for any calendar year the pre-tax contributions and designated Roth contributions to the Plan reach the limit imposed by subsection (a) of this Section for such calendar year, any contributions under the Plan

during the calendar year that exceed such limit shall be characterized as after-tax contributions. The Participant's pre-tax contributions shall be recharacterized up to the extent pre-tax contributions were made to the Plan for the Plan Year and, to the extent that the Participant's contributions to be recharacterized exceed such pre-tax contributions, the Participant's designated Roth contributions made to the Plan for the Plan Year shall be recharacterized.

(2) Distribution. Notwithstanding the foregoing, and except to the extent set forth in Section 4.1(c) of the Plan and section 414(v) of the Code with respect to "catch-up contributions," if for any calendar year the aggregate of the pre-tax contributions and the designated Roth contributions to the Plan plus elective deferrals contributed under other plans or arrangements described in section 401(k), 403(b), 408(k) or 408(p) of the Code for the Participant exceed the section 402(g) limit for such calendar year and are not characterized as after-tax contributions, because of the limitation set forth in Section 5.1 on the amount of after-tax contributions that may be made to the Plan or otherwise, such Participant shall, pursuant to such rules and at such time following such calendar year as determined by the Administrative Committee, be allowed to submit a written request that the excess deferrals, plus any income and minus any loss allocable thereto, be distributed to the Participant. The amount of any income or loss allocable to such excess deferrals shall be determined pursuant to Regulations.

Such amount of excess deferrals, as adjusted for income or loss, shall be distributed to the Participant no later than April 15 following the calendar year for which such contributions were made. Any excess deferrals that are distributed in accordance with this subsection (b)(2) shall not be treated as "annual additions" for purposes of Section 6.3. The amount of excess deferrals that may be distributed under this subsection (b)(2) with respect to a Participant for a calendar year shall be reduced by any amounts previously distributed pursuant to Section 6.2(d)(1) with respect to such Participant for such year. Such distributed excess deferrals shall be treated as pre-tax contributions up to the extent pre-tax contributions were made to the Plan for the Plan Year and, to the extent that such distributed excess deferrals exceed such pre-tax contributions, such excess deferrals shall be treated as distributions of designated Roth contributions made to the Plan for the Plan Year. Pre-tax contributions or designated Roth contributions with respect to which a matching contribution was not made shall be distributed before pre-tax contributions or designated Roth contributions with respect to which a matching contribution was made. Any matching contributions attributable to excess

deferrals that are distributed pursuant to this Section 6.1(b), as adjusted for income or loss, shall be forfeited.

Section 6.2. Limits on Contributions for Highly Compensated Employees.

(a) Actual Deferral Percentage Test Imposed by Section 401(k)(3) of the Code. Notwithstanding the provisions of Section 4.1, if the pre-tax contributions and designated Roth contributions made pursuant to Section 4.1 for a Plan Year fail, or in the judgment of the Administrative Committee are likely to fail, to satisfy both of the tests set forth in paragraphs (1)

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and (2) of this subsection, the adjustments prescribed in Section 6.2(d)(1) shall be made. Any pre-tax contributions or designated Roth contributions which are “catch-up contributions” described in Section 4.1(c) shall not be considered to be pre-tax contributions or designated Roth contributions for purposes of determining whether the tests set forth in paragraphs (1) and (2) of this subsection are satisfied or for purposes of making any adjustments prescribed by Section 6.2(d)(1).

(1) The HCE average deferral percentage for such year does not exceed the product of the NHCE average deferral percentage for such year and 1.25.

(2) The HCE average deferral percentage for such year (i) does not exceed the NHCE average deferral percentage for such year by more than two percentage points and (ii) does not exceed the product of the NHCE average deferral percentage for such year and 2.0.

(b) Actual Contribution Percentage Test Imposed by Section 401(m) of the Code. Notwithstanding the provisions of Sections 4.2 and 5.1, if the aggregate of the matching contributions made pursuant to Section 4.2 and the after-tax contributions made pursuant to Section 5.1 for a Plan Year fail, or in the judgment of the Administrative Committee are likely to fail, to satisfy both of the tests set forth in paragraphs (1) and (2) of this subsection, the adjustments prescribed in Section 6.2(d)(2) shall be made.

(1) The HCE average contribution percentage for such year does not exceed the product of the NHCE average contribution percentage for such year and 1.25.

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(2) The HCE average contribution percentage for such year (i) does not exceed the NHCE average

contribution percentage for such year by more than two percentage points and (ii) does not exceed the product of the NHCE average contribution percentage for such year and 2.0.

(c) Definitions and Special Rules. For purposes of this Section, the following definitions and special rules shall apply:

(1) The “actual deferral percentage test” refers collectively to the tests set forth in paragraphs (1) and (2) of subsection (a) of this Section relating to pre-tax contributions and designated Roth contributions. The actual deferral percentage test shall be satisfied if either of such tests are satisfied.

(2) The “HCE average deferral percentage” for a Plan Year is a percentage determined for the group of Eligible Employees who are eligible to make pre-tax contributions or designated Roth contributions for the current Plan Year and who are Highly Compensated Employees for the current Plan Year. Such percentage shall be equal to the average of the ratios, calculated separately for each such Eligible Employee to the nearest one-hundredth of one percent, of the employer contributions for the benefit of such Eligible Employee for the current Plan Year (if any) to the total compensation for the current Plan Year paid to such Eligible Employee. For this purpose, “employer contributions” shall mean pre-tax contributions and designated Roth contributions (including excess deferrals), but excluding any pre-tax contributions and designated Roth contributions that are taken into account under the actual contribution percentage

test (provided that the actual deferral percentage test is satisfied both with and without exclusion of such contributions).

(3) The “NHCE average deferral percentage” for a Plan Year is a percentage determined for the group of Eligible Employees who were eligible to make pre-tax contributions or designated Roth contributions for the immediately preceding Plan Year and who were not Highly Compensated Employees for the immediately preceding Plan Year. Such percentage shall be equal to the average of the ratios, calculated separately for each such Eligible Employee to the nearest one-hundredth of one percent, of the employer contributions for the benefit of such Eligible Employee for the immediately preceding Plan Year (if any) to the total compensation for the immediately preceding Plan Year paid to such Eligible Employee. For this purpose, “employer contributions” shall mean pre-tax contributions and designated Roth contributions (including excess deferrals), but excluding (i) excess deferrals that arise solely from pre-tax contributions and designated Roth contributions made under this Plan or other plans maintained by the Employers

and Affiliates and (ii) any pre-tax contributions and designated Roth contributions that are taken into account under the actual contribution percentage test (provided that the actual deferral percentage test is satisfied both with and without exclusion of such pre-tax contributions and designated Roth contributions). Notwithstanding the foregoing, in the event of a “plan coverage change” during a Plan Year (as such term is defined in Treasury Regulation §1.401(k)-2(c)(4)(iii) (A)), the “NHCE average deferral percentage” for such Plan

Year shall be determined in accordance with Treasury Regulation §1.401(k)-2(c)(4).

(4) The “actual contribution percentage test” refers collectively to the tests set forth in paragraphs (1) and (2) of subsection (b) of this Section relating to matching contributions and after-tax contributions. The actual contribution percentage test shall be satisfied if either of such tests are satisfied.

(5) The “HCE average contribution percentage” for a Plan Year is a percentage determined for the group of Eligible Employees who are eligible to have matching contributions, after-tax contributions, or in the discretion of the Administrative Committee and to the extent permitted under rules prescribed by the Secretary of the Treasury or otherwise under the law, pre-tax contributions and designated Roth contributions, made for their benefit for the current Plan Year and who are Highly Compensated Employees for the current Plan Year. Such percentage shall be equal to the average of the ratios, calculated separately for each such Eligible Employee to the nearest one-hundredth of one percent, of the matching contributions, after-tax contributions and, in the discretion of the Administrative Committee and to the extent permitted under rules prescribed by the Secretary of the Treasury or otherwise under the law, pre-tax contributions and designated Roth contributions, made for the benefit of such Eligible Employee for the current Plan Year (if any) to the total compensation for the current Plan Year paid to such Eligible Employee.

(6) The “NHCE average contribution percentage” for a Plan Year is a percentage determined for the group of Eligible Employees who were eligible to

have matching contributions, after-tax contributions, or in the discretion of the Administrative Committee and to the extent permitted under rules prescribed by the Secretary of the Treasury or otherwise under the law, pre-tax contributions and designated Roth contributions, made for their benefit for the immediately preceding Plan Year and who were not Highly Compensated Employees for the immediately preceding Plan Year. Such percentage shall be equal to the average of the ratios, calculated separately for each such Eligible Employee to the nearest one-hundredth of one percent, of the matching contributions, after-tax contributions and, in the discretion of the Administrative Committee and to the extent permitted under rules prescribed by the Secretary of the Treasury or otherwise under the law, pre-tax contributions and designated Roth contributions, made for the benefit of such Eligible Employee for the immediately preceding Plan Year (if any) to the total compensation for the immediately preceding Plan Year paid to such Eligible Employee. Notwithstanding the foregoing, in the event of a “plan coverage change” during a Plan Year (as such term is defined in Treasury Regulation §1.401(m)-2(c)(4)(iii)(A)), the “NHCE average contribution percentage” for such Plan Year shall be determined in accordance with Treasury Regulation §1.401(m)-2(c)(4).

(7) The term “compensation” shall have the meaning set forth in section 414(s) of the Code or, in the discretion of the Administrative Committee, any other meaning in accordance with the Code for these purposes. In any event, the term “compensation” shall not include any amount excludable under Treasury Regulation section 1.415(c)-2(g)(5)(ii).

(8) If the Plan and one or more other plans of an Employer to which pre-tax contributions, designated Roth contributions, matching contributions or employee contributions (as such terms are defined for purposes of section 401(m) of the Code), or qualified nonelective contributions (as such term is defined in section 401(m)(4)(C) of the Code), are made are treated as one plan for purposes of section 410(b) of the Code, such plans shall be treated as one plan for purposes of this Section. If a Highly Compensated Employee participates in the Plan and one or more other plans of an Employer to which any such contributions are made, all such contributions shall be aggregated for purposes of this Section.

(d) Adjustments to Comply with Limits.

(1) Adjustments to Comply with Actual Deferral Percentage Test. The Administrative Committee shall

cause to be made such periodic computations as it shall deem necessary or appropriate to determine whether the actual deferral percentage test will be satisfied during a Plan Year, and, if it appears to the Administrative Committee that such test will not be satisfied, the Administrative Committee shall take such steps as it deems necessary or appropriate to adjust the pre-tax contributions and designated Roth contributions made pursuant to Section 4.1 for all or a portion of the remainder of such Plan Year for the benefit of some or all of the Highly Compensated Employees to the extent necessary in order for the actual deferral percentage test to be satisfied. If, after the end of the Plan Year, the Administrative Committee determines that, notwithstanding any adjustments made pursuant to the preceding sentence, the actual deferral percentage test was not satisfied, the Administrative Committee shall calculate a

total amount by which pre-tax contributions and designated Roth contributions must be reduced in order to satisfy such test in the manner prescribed by section 401(k)(8)(B) of the Code (the “excess contributions amount”). The amount of pre-tax contributions and designated Roth contributions to be reduced for each Participant who is a Highly Compensated Employee shall be determined by first reducing the pre-tax contributions and designated Roth contributions of each Participant whose actual dollar amount of pre-tax contributions and designated Roth contributions for such Plan Year is highest until such reduced dollar amount equals the next highest actual dollar amount of pre-tax contributions and designated Roth contributions made for such Plan Year on behalf of any Highly Compensated Employee or until the total reduction equals the excess contributions amount. If further reductions are necessary, then the pre-tax contributions and designated Roth contributions on behalf of each Participant who is a Highly Compensated Employee and whose actual dollar amount of pre-tax contributions and designated Roth contributions for such Plan Year is the highest (determined after the reduction described in the preceding sentence) shall be reduced in accordance with the preceding sentence. Such reductions shall continue to be made to the extent necessary so that the total reduction equals the excess contributions amount. The portion of a Participant’s pre-tax contributions and designated Roth contributions to be reduced in accordance with this Section 6.2(d)(1) shall be recharacterized as an after-tax contribution, and the Participant shall be notified of such recharacterization and the tax consequences thereof no later than 2½ months after the end of the Plan Year. The amount of a

Participant's pre-tax contributions and designated Roth contributions to be reduced in accordance with this Section shall be reduced by any excess deferrals previously distributed to such Participant pursuant to Section 6.1 in order to comply with the limitations of section 402(g) of the Code. The amount of any income or loss allocable to any such reductions shall be determined pursuant to the applicable Regulations promulgated by the U.S. Treasury Department. The Participant's pre-tax contributions shall be recharacterized up to the extent pre-tax contributions were made to the Plan for the Plan Year and, to the extent that the Participant's excess contributions exceed such pre-tax contributions, the Participant's designated Roth contributions made to the Plan for the Plan Year shall be recharacterized.

(2) Adjustments to Comply with Actual Contribution Percentage Test. The Administrative Committee shall cause to be made such periodic computations as it shall deem necessary or appropriate to determine whether the average contribution percentage test will be satisfied during a Plan Year, and, if it appears to the Administrative Committee that such test will not be satisfied, the Administrative Committee shall take such steps as it deems necessary or appropriate to adjust the matching contributions and the after-tax contributions made pursuant to Section 4.2 and 5.1, respectively, for all or a portion of the remainder of such Plan Year on behalf of some or all of the Highly Compensated Employees to the extent necessary in order for the average contribution percentage test to be satisfied. If the Administrative Committee determines that, notwithstanding any adjustments made pursuant to the preceding sentence, the

average contribution percentage test was or will not satisfied, the Administrative Committee shall, in its discretion, (1) allocate a qualified nonelective contribution pursuant to Section 6.2(e) or (2) reduce the matching contributions and after-tax contributions made on behalf of each Participant who is a Highly Compensated Employee and whose actual dollar amount of matching contributions and after-tax contributions for such Plan Year is the highest in the same manner described in subparagraph (1) of this paragraph to the extent necessary to comply with the average contribution

percentage test. The reduction described in the preceding sentence shall be made first with respect to a Participant's after-tax contributions in excess of six percent of Compensation, second with respect to any remaining after-tax contributions and any matching contributions attributable thereto, and third with respect to any other matching contributions. With respect to contributions to be so reduced, no later than 2½ months after the end of the Plan Year (or if correction by such date is administratively impracticable, no later than the last day of the subsequent Plan Year), the Administrative Committee shall cause to be distributed to each such Participant the amount of such reductions made with respect to vested matching contributions to which such Participant would be entitled under the Plan if such Participant had terminated service on the last day of the Plan Year for which such contributions are made (or on the date of the Participant's actual termination of employment, if earlier) and with respect to after-tax contributions (plus any income and minus any loss allocable thereto), and any remaining amount of such reductions (plus any income and minus any loss allocable thereto) shall be forfeited. Any amounts forfeited pursuant to this

paragraph shall be treated in the same manner as forfeitures described in Section 9.2(b). The amount of any such income or loss allocable to any such reduction to be so distributed or forfeited shall be determined pursuant to applicable Regulations promulgated by the U.S. Treasury Department.

(e) Qualified Nonelective Contributions. Subject to the limitations set forth in Sections 6.3 and 6.4, and to the extent permitted by Regulations or other pronouncements of the Internal Revenue Service, for purposes of satisfying the actual contribution percentage test set forth in Section 6.2(b), the Employers may contribute for a Plan Year such amount, if any, as may be designated as a "qualified nonelective contribution" within the meaning of section 401(m)(4)(C) of the Code. Any such qualified nonelective contribution to the Plan must be contributed no later than the last day of the Plan Year immediately following the Plan Year to which it relates. Any such qualified nonelective contribution to the Plan shall be allocated to the Accounts of those Participants who are not Highly Compensated Employees for the Plan Year with respect to which such qualified nonelective contribution is made and who are actively employed by the contributing Employer on the last day of the Plan Year with respect to which such qualified nonelective contribution is made, beginning with the Participant with the lowest Compensation for such Plan Year and allocating the maximum amount that may be taken into account under Treasury Regulation §1.401(m)-2(a)(6)(v) (and that is permissible under Section 6.3) before allocating any portion of such qualified nonelective contribution to the Participant with the next lowest Compensation

for the Plan Year.

Section 6.3. Maximum Annual Additions under Section 415 of the Code. Notwithstanding any other provision of the Plan, the amounts allocated to the Account of each Participant for any limitation year shall be limited so that the aggregate annual additions for such

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year to the Participant's Account and to the Participant's accounts in all other defined contribution plans maintained by an employer shall not exceed the lesser of:

- (i) \$70,000 (as adjusted pursuant to section 415(d) of the Code); and
- (ii) 100% of the Participant's compensation for such limitation year (or such other percentage of compensation set forth in section 415(c) of the Code).

The "annual additions" to a Participant's Account and to the Participant's account in any other defined contribution plan maintained by an employer is the sum for such limitation year of:

- (a) the amount of employer contributions (including pre-tax contributions and designated Roth contributions) allocated to the Participant's account, excluding, however, (X) pre-tax contributions and designated Roth contributions that are "catch-up contributions" made pursuant to section 414(v) of the Code, (Y) excess deferrals that are distributed in accordance with section 402(g) of the Code and (Z) restorative payments (within the meaning of Treasury Regulation section 1.415(c)-1(b)(2)(ii)(C)),
- (b) the amount of forfeitures allocated to the Participant's account,
- (c) the amount of contributions by the Participant to any such plan, but excluding any rollover contributions or loan repayments,
- (d) the amount allocated on behalf of the Participant to any individual medical benefit account (as defined in section 415(l) of the Code) or, if the Participant is a key employee within the meaning of section 419A(d)(3) of the Code, to any post-retirement medical benefits account established pursuant to section 419A(d)(1) of the Code, and
- (e) the amount of mandatory employee contributions within the meaning of section 411(c)(2)(C) of the Code by such Participant to a defined benefit plan, regardless of whether such plan is subject to the requirements of section 411 of the Code.

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For purposes of this Section, the “limitation year” shall be the Plan Year, the term “compensation” shall have the meaning set forth in Treasury Regulation section 1.415(c)-2(d)(4), the term “defined contribution plan” shall have the meaning set forth in Treasury Regulation section 1.415(c)-1(a)(2), and a Participant’s employer shall include entities that are members of the same controlled group (within the meaning of section 414(b) of the Code as modified by section 415(h) of the Code) or affiliated service group (within the meaning of section 414(m) of the Code) as the Participant’s employer or under common control (within the meaning of section 414(c) of the Code as modified by section 415(h) of the Code) with the Participant’s employer or such entities.

For the purpose of determining the manner in which contributions to the Plan for a particular payroll are to be limited in order to comply with the requirements of this Section 6.3, the maximum permissible amount of pre-tax contributions, designated Roth contributions and after-tax contributions shall be credited to the Participant’s Account prior to the crediting of any matching contributions attributable thereto.

Section 6.4. Other Limitations on Employer Contributions. The contributions of the Employers for a Plan Year shall not exceed the maximum amount for which a deduction is allowable to such Employers for federal income tax purposes for the tax year that coincides with the Plan Year.

Any contribution made by an Employer by reason of a good faith mistake of fact, or the portion of any contribution made by an Employer that exceeds the maximum amount for which a deduction is allowable to such Employer for federal income tax purposes by reason of a good faith mistake in determining the maximum allowable deduction, shall upon the request of such Employer be returned by the Trustee to the Employer. An Employer’s request and the

return of any such contribution must be made within one year after such contribution was mistakenly made or after the deduction of such excess portion of such contribution was disallowed, as the case may be. The amount to be returned to an Employer pursuant to this paragraph shall be the excess of (i) the amount contributed over (ii) the amount that would have been contributed had there not been a mistake of fact or a mistake in determining the maximum allowable deduction. Earnings attributable to the mistaken contribution shall not be returned to the Employer, but losses attributable thereto shall reduce the amount to be so returned. If the return to the Employer of the amount attributable to the mistaken contribution would cause the balance of any Participant’s Account as of the date such amount is

to be returned (determined as if such date coincided with the close of a Plan Year) to be reduced to less than what would have been the balance of such Account as of such date had the mistaken amount not been contributed, the amount to be returned to the Employer shall be limited so as to avoid such reduction.

ARTICLE 7

TRUST AND INVESTMENT FUNDS

Section 7.1. Trust. A Trust shall be created by the execution of a trust agreement between the Company or its delegate (acting on behalf of the Employers) and the Trustee. All contributions under the Plan shall be paid to the Trustee. The Trustee shall hold all monies and other property received by it and invest and reinvest the same, together with the income therefrom, on behalf of the Participants collectively in accordance with the provisions of the trust agreement. The Trustee shall make distributions from the Trust Fund at such time or times to such person or persons and in such amounts as the Administrative Committee directs in accordance with the Plan. The Trust may be a master trust, provided that the portion of the Trust

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attributable to the Plan shall be separately accounted for and all Plan assets shall be utilized exclusively for the Plan.

Section 7.2. Investments. (a) In General. The Investment Committee shall establish an investment policy for the Plan. The Investment Committee shall cause the Trustee to establish and maintain three or more separate investment funds exclusively for the collective investment and reinvestment as directed by Participants of amounts credited to their Accounts. Additional investment funds may be established as determined by the Investment Committee from time to time in its sole discretion. The Investment Committee, in its sole discretion, may appoint investment managers to provide services in connection with the investment funds established under the Plan.

(a) L3Harris Stock Fund. In addition to the investment funds established at the direction of the Investment Committee pursuant to Section 7.2(a), the Trustee shall establish and maintain a L3Harris Stock Fund. The assets of the L3Harris Stock Fund shall be invested primarily in shares of L3Harris Stock. The assets of the L3Harris Stock Fund also may be invested in short-term liquid investments. Each Participant's interest in the L3Harris Stock Fund shall be represented by units of participation, and each such unit shall represent a proportionate interest in all the assets of such fund. The Trustee is authorized to purchase shares of L3Harris Stock on the open market. Except as permitted by section 401(a)(35) of the Code, restrictions (either direct or indirect) or conditions will not be imposed on investment in the L3Harris Stock Fund if such restrictions or conditions are not imposed on investment in the other investment funds available under the Plan.

(b) Self-Directed Brokerage Account. In addition to the investment funds established pursuant to Sections 7.2(a) and (b), a Participant may establish a self-directed

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brokerage account, subject to the terms and conditions set forth in this Plan and such other terms and conditions as deemed appropriate by the Administrative Committee or Investment Committee from time to time. In no event shall L3Harris Stock be a permitted investment in the self-directed brokerage account.

ARTICLE 8

PARTICIPANT ACCOUNTS AND INVESTMENT ELECTIONS

Section 8.1. Participant Accounts. The Administrative Committee shall establish and maintain, or cause the Trustee or such other agent as the Administrative Committee may select to establish and maintain, a separate Account for each Participant. Such Account shall be solely for accounting purposes, and no segregation of assets of the Trust Fund among the separate Accounts shall be required. Each Account shall consist of the following subaccounts (and such other subaccounts as may be established by or at the direction of the Administrative Committee from time to time):

- (a) a Pre-Tax Account;
- (b) a Designated Roth Account;
- (c) a Matching Account;
- (d) a Profit Sharing Account;
- (e) an After-Tax Account;
- (f) a Rollover Account;
- (g) a Savings Account;
- (h) a QNEC Account;
- (i) a Safe Harbor Matching Contributions Account;
- (j) a Fringe Account;

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- (k) a Prior Company Contribution Account;
- (l) a Money Purchase Pension Account;
- (m) an Other Employer Contribution Account; and
- (n) a Designated Roth Conversion Account.

The Administrative Committee shall establish and maintain, or cause the Trustee or such other agent as the Administrative Committee may select to establish and maintain, investment subaccounts with respect to each investment fund described in Section 7.2 to which amounts contributed under the Plan shall be credited according to each Participant's investment elections pursuant to Section 8.2. All such investment subaccounts shall be solely for accounting purposes, and there shall be no segregation of assets within the investment funds among the separate investment subaccounts.

Section 8.2. Investment Elections. (a) Initial Election. Each Participant shall make, in the manner prescribed by the Administrative Committee, an investment election that shall apply to the investment of contributions made for a Participant's benefit and any earnings on such contributions, subject to such limitations set forth herein or imposed by the Administrative Committee from time to time. The Administrative Committee in its discretion shall determine whether a single investment election shall apply to a Participant's entire Account or whether a Participant may make separate investment elections applicable to various sources of contributions under the Plan. A Participant's election shall specify that such contributions be invested either (i) wholly in one of the funds maintained by the Trustee pursuant to Section 7.2, or (ii) divided among two or more of such funds in increments of 1% (or such larger percentage established by the Administrative Committee from time to time). Unless otherwise determined by the Investment Committee, during any period in which no direction as to the investment of a

Participant's Account is on file with the Administrative Committee (a "Default Period"), contributions made for a Participant's benefit shall be invested in an age-appropriate LifeCycle Fund (or, if the Employers have no record of the Participant's age, in the LifeCycle Retirement Fund until such Participant's age can be determined, at which time all such contributions made for such Participant's benefit during the Default Period shall be transferred to an age-appropriate LifeCycle Fund). A Participant may enroll in a managed account program under which investment professionals will monitor the Participant's Account and manage all investment elections and transactions.

(a) Change of Election. A Participant may change his or her investment election as of any Valuation Date, subject to such limitations as the Administrative Committee from time to time may impose (including restrictions on investment election changes that apply solely to a particular investment fund or option). A Participant's investment election change shall be limited to the investment funds or options then maintained by the Trustee pursuant to Section 7.2. A change in investment election made pursuant to this Section shall apply to a Participant's existing Account or contributions made for the benefit of the Participant after such change, or both. Any such change shall specify that such Account or contributions be invested either (i) wholly in one of the funds or options maintained by the Trustee pursuant to Section 7.2 or (ii) divided among two or more of such funds or options in increments of 1% (or such larger percentage established by the Administrative Committee from time to time) or, solely with respect to a Participant's existing Account, in fixed dollar amounts. A Participant's change of investment election must be made in the manner and subject to the rules prescribed by the Administrative Committee, including rules regarding the time by which such an election must be made in order to be effective for a particular Valuation Date. In the absence of an affirmative

election by a Participant to the contrary, the Administrative Committee may deem a Participant to have made an investment election change (e.g., an election to liquidate a fund investment) in accordance with procedures established by the Administrative Committee and communicated to Participants.

(b) Special Rules Concerning the L3Harris Stock Fund. A Participant may not elect to invest in the L3Harris Stock Fund more than 20% of the aggregate contributions newly made for his or her benefit, and a Participant may not transfer any portion of the Participant's existing Account from investment in funds other than the L3Harris Stock Fund to investment in the L3Harris Stock Fund if following such transfer more than 20% of the Participant's existing Account would be invested in the L3Harris Stock Fund. Notwithstanding the foregoing, a Participant (other than a Participant who participates in the Plan pursuant to Appendix 3 hereto) may elect to invest in the L3Harris Stock Fund up to 100% of the matching contributions newly made for his or her benefit pursuant to Section 4.2.

(c) Special Rules Concerning the Self-Directed Brokerage Account. Notwithstanding any provision of the Plan to the contrary, (i) a Participant may not elect to invest in the self-directed brokerage account more than 95% of the aggregate contributions newly made for his or her benefit and (ii) a Participant may not transfer any portion of the Participant's existing Account

from investment in funds other than the self-directed brokerage account to investment in the self-directed brokerage account if following such transfer more than 95% of the Participant's existing Account would be invested in the self-directed brokerage account. Any transfer to the self-directed brokerage account shall be in an amount that is no less than \$500 (for the avoidance of doubt, such \$500 minimum investment shall not apply to new contributions directly invested in the self-directed brokerage account). Notwithstanding the foregoing, new

contributions may be directly invested in the self-directed brokerage account only following the Participant's establishment of the account and transfer to the account from other investment funds of an investment of no less than \$500.

(e) ERISA Section 404(c) Plan. The Plan is intended to meet the requirements of section 404(c) of ERISA and the Regulations thereunder, and the provisions of the Plan shall be construed and interpreted to meet such requirements.

Section 8.3. Valuation of Funds and Plan Accounts. The value of an investment fund as of any Valuation Date shall be the market value of all assets (including any uninvested cash) held by the fund on such Valuation Date as determined by the Trustee, reduced by the amount of any accrued liabilities of the fund on such Valuation Date. The Trustee's determination of market value shall be binding and conclusive upon all parties. The value of a Participant's Account as of any Valuation Date shall be the sum of the values of his or her investment subaccounts in each of the subaccounts described in Section 8.1.

Section 8.4. Valuation of Units within the L3Harris Stock Fund. As soon as practicable after the close of business on each Valuation Date, the Trustee shall determine the value of the L3Harris Stock Fund on such Valuation Date in the manner prescribed in Section 8.3, and the value so determined shall be divided by the total number of L3Harris Stock Fund participating units allocated to the investment subaccounts of Participants. The resulting quotient shall be the value of a participating unit in the L3Harris Stock Fund as of such Valuation Date and shall constitute the "price" of a participating unit as of such Valuation Date. Participating units shall be credited, at the price so determined, to the investment subaccounts of Participants with respect to contributions or transfers to such investment subaccounts on their behalf on such Valuation Date. The price of such participating units shall be debited to the investment

subaccounts of Participants with respect to divestitures from such investment subaccounts on their behalf on such Valuation Date. The value of all participating units credited to Participants' investment subaccounts shall be redetermined in a similar manner as of each Valuation Date.

Section 8.5. Allocation of Contributions Other than Profit Sharing Contributions. Any pre-tax contribution, designated Roth contribution, matching contribution, safe harbor matching contribution, fringe contribution, other employer contribution, after-tax contribution, rollover contribution or qualified nonelective contribution shall be allocated to the Pre-Tax Account, Designated Roth Account, Matching Account, Safe Harbor Matching Contributions Account, Fringe Account, Other Employer Contribution Account, After-Tax Account, Rollover Account or QNEC Account, as applicable, of the Participant for whom such contribution is made on or as soon as practicable after the Valuation Date coinciding with or next following the date on which such contribution is delivered to the Trustee. Notwithstanding any provision of this Article 8 to the contrary, any Designated Roth Account or Designated Roth Conversion Account shall be maintained in a manner that satisfies the separate accounting requirement, and any Regulations or other requirements promulgated, under section 402A of the Code.

Section 8.6. Allocation of Profit Sharing Contributions. Any profit sharing contribution made by the Employers pursuant to Section 4.3 for a Plan Year shall be allocated among the Eligible Profit Sharing Participants in the proportion that the Compensation of each Eligible Profit Sharing Participant for such Plan Year bears to the total Compensation of all Eligible Profit Sharing Participants for such Plan Year; provided, however, that in the Plan Year during which a Participant becomes an Eligible Profit Sharing Participant, only Compensation received on or after the date he or she becomes an Eligible Profit Sharing Participant shall be

taken into account for purposes of this Section 8.6. Any such contribution shall be allocated to the Profit Sharing Accounts of Eligible Profit Sharing Participants as of the last day of the Plan Year but credited as of the Valuation Date coinciding with or next following the date on which the profit sharing contribution is delivered to the Trustee.

Section 8.7. Correction of Error. If it comes to the attention of the Administrative Committee that an error has been made in any of the allocations prescribed by this Article 8, appropriate adjustment shall be made to the Accounts of all Participants and Beneficiaries that are affected by such error, except that, unless otherwise required by law, no adjustment need be made with respect to any Participant or Beneficiary whose Account has been distributed in full prior to the discovery of such error.

Section 8.8. Accelerated Vesting during Employment. A Participant's entire Account shall become fully vested and

nonforfeitable on the date that the Participant attains age 55 if the Participant is employed by an Employer or an Affiliate on such date. In addition, a Participant who commences employment with the Employers and Affiliates after attainment of age 55 shall be fully vested in his or her entire Account.

ARTICLE 9

WITHDRAWALS AND DISTRIBUTIONS

Section 9.1. Withdrawals Prior to Termination of Employment. (a) Withdrawals from After-Tax Account and Savings Account. As of any Valuation Date, a Participant may withdraw all or any portion of his or her After-Tax Account or Savings Account; provided, however, that (i) only one such withdrawal may be made in any three-month period; (ii) such withdrawal shall be in the form of a lump sum payment; (iii) a Participant may not withdraw any amount from his or her Savings Account until the entire balance of his or her

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After-Tax Account has been withdrawn; and (iv) a Participant's election under the Plan to make after-tax contributions, if any, shall be suspended, and no after-tax contributions or matching contributions attributable to after-tax contributions shall be allocated to the Participant's Account, for a period of three months after the date of such withdrawal from the Participant's After-Tax Account. At the expiration of such three-month suspension period, a Participant may elect to resume after-tax contributions to the Plan at the time and in the manner prescribed by the Administrative Committee. For the avoidance of doubt, the three-month suspension of after-tax contributions (and related matching contributions) described in this Section 9.1(a) shall apply if, during employment, a Participant withdraws, pursuant to this Section 9.1(a), all or any portion of his or her Designated Roth Conversion Account attributable to after-tax contributions or savings contributions that are not distributable except pursuant to this Section 9.1(a).

(a) Hardship Withdrawals. Subject to the provisions of this subsection, a Participant who has taken all loans currently available to the Participant under Article 10 and under all other plans of the Employers and Affiliates, has taken all withdrawals (other than hardship withdrawals) currently available to the Participant under this Section 9.1, under Section 9.11 or otherwise under this Plan and under all other plans of deferred compensation, whether qualified or nonqualified, of the Employers and Affiliates and has incurred a financial hardship may withdraw as of any Valuation Date all or any portion of the combined balance of his or her (i) Pre-Tax Account, (ii) Designated Roth Account, (iii) vested Profit Sharing Account and (iv) Fringe Account.

(1) The amount of such withdrawal shall not exceed the amount needed to satisfy the financial hardship,

including amounts necessary to pay any federal, state or local income taxes or any penalties reasonably anticipated to

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result from the hardship withdrawal. The determination of the existence of a financial hardship and the amount required to be distributed to satisfy such hardship shall be made in a non-discriminatory and objective manner. A financial hardship shall be deemed to exist if and only if the Participant certifies (in writing or by an electronic medium, as determined by the Administrative Committee) that (A) the financial need is on account of one or more of the following and (B) the Participant has insufficient cash or other liquid assets reasonably available to satisfy the financial need:

- (i) expenses for (or necessary to obtain) medical care that would be deductible under section 213 (d) of the Code determined without regard to the limitations in section 213(a) (relating to the applicable percentage of adjusted gross income and the recipients of the medical care) provided that, if the recipient of the medical care is not listed in section 213(a), the recipient is a primary Beneficiary;
- (ii) costs directly related to the purchase of a principal residence for the Participant (excluding mortgage payments);
- (iii) payment of tuition, room and board and related educational fees for up to the next 12 months of post-secondary education for the Participant, or the Participant's Spouse, children, dependents (as defined in section 152 of the Code,

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- and without regard to sections 152(b)(1), (b)(2) and (d)(1)(B)) or primary Beneficiary;
- (iv) payments necessary to prevent the eviction of the Participant from the Participant's principal residence or foreclosure of the mortgage on that residence;
- (v) payments for burial or funeral expenses for the Participant's deceased parent, Spouse, children, dependents (as defined in section 152 of the Code, and without regard to section 152(d)(1)(B))

or primary Beneficiary;

- (vi) expenses for the repair of damage to the Participant's principal residence that would qualify for the casualty deduction under section 165 of the Code (determined without regard to whether the loss exceeds 10% of adjusted gross income, and effective January 1, 2019, determined without regard to section 165(h)(5)); and
- (vii) expenses and losses (including loss of income) incurred by the Participant on account of a disaster declared by the Federal Emergency Management Agency (FEMA) under the Robert T. Stafford Disaster Relief and Emergency Assistance Act, Public Law 100-707, provided that the Participant's principal residence or principal place of employment at the time of the disaster was located in an

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area designated by FEMA for individual assistance with respect to the disaster.

(2) The Participant shall be required to submit any supporting documentation as may be requested by the Administrative Committee.

(3) Any hardship withdrawal pursuant to this Section 9.1(b) shall be in the form of a lump sum payment.

(4) Amounts distributed to a Participant pursuant to this Section 9.1(b) shall be withdrawn first from the Participant's Pre-Tax Account, second from the vested portion of the Participant's Profit Sharing Account, third from the Participant's Fringe Account and last from the Participant's Designated Roth Account, and shall not be taken from the next source until the previous source has been depleted.

(b) Withdrawals On or After Age 59½. As of any Valuation Date, a Participant who has attained age 59½ may withdraw all or any portion of his or her vested Account. Notwithstanding the foregoing, if the Participant is married, the Participant's Spouse must consent in writing (or by such other method permitted by the Internal Revenue Service) to the withdrawal of the Participant's Money Purchase Pension Account pursuant to this Section 9.1(c) and such consent must be witnessed by a notary public. Any withdrawal pursuant to this Section 9.1(c) shall be made at the Participant's election in any form of payment provided under Section 9.3(c).

(c) Withdrawals from Rollover Account. As of any Valuation Date, a Participant may withdraw all or any portion of his or her Rollover Account. Any withdrawal pursuant to this Section 9.1(d) shall be in the form of a lump sum payment.

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(d) Military Leave Withdrawals. As of any Valuation Date, a Participant who is performing service in the uniformed services (as described in Section 3401(h)(2)(A) of the Code) while on active duty for more than 30 days may withdraw all or any portion of his or her Pre-Tax Account and Designated Roth Account. Any withdrawal pursuant to this Section 9.1(e) shall be in the form of a lump sum payment. A Participant who receives such a withdrawal shall be prohibited from making any pre-tax contributions or designated Roth contributions under Section 4.1 or after-tax contributions under Section 5.1 until the first payroll period commencing coincident with or next following the date which is six months after the date such withdrawal was made (or such earlier date as may be permitted by applicable Regulations). At the expiration of such suspension period, a Participant may elect to resume contributions to the Plan at the time and in the manner prescribed by the Administrative Committee.

(e) Qualified Reservist Distributions. As of any Valuation Date, a Participant who was ordered or called to active duty for a period in excess of 179 days or for an indefinite period may withdraw all or any portion of his or her Pre-Tax Account and Designated Roth Account; provided that the distribution is made during the period beginning on the date of such order or call and ending at the close of the active duty period. Any withdrawal pursuant to this Section 9.1(f) shall be in the form of a lump sum payment.

(f) Domestic Abuse Victim Distributions. As of any Valuation Date, a Participant who has been the victim of domestic abuse during the preceding one-year period may withdraw from the Participant's vested Account an amount that does not exceed the lesser of (i) \$10,000 (as adjusted for cost-of-living adjustments under Code section 72(t)(2)(K)(vii)), and (ii) 50% of the Participant's vested Account, as reduced by any domestic abuse victim distributions under any other plan of an Employer or Affiliate during such period (a "Domestic Abuse

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Withdrawal"). Notwithstanding the foregoing, no amount of the Participant's Money Purchase Pension Account shall be available to be withdrawn pursuant to a Domestic Abuse Withdrawal. "Domestic abuse" for this purpose means physical, psychological, sexual,

emotional or economic abuse by a spouse or domestic partner, including efforts to control, isolate, humiliate, or intimidate the victim, or to undermine the victim's ability to reason independently, including by means of abuse of the victim's child or another family member living in the household. The Administrative Committee shall be permitted to rely on the Participant's reasonable representation regarding eligibility for a Domestic Abuse Withdrawal.

(g) To the extent permitted by applicable law, and in accordance with uniform rules set forth by the Administrative Committee, an Eligible Rollover Recipient may repay to the Plan all or any portion of a Domestic Abuse Withdrawal received pursuant to this Section 9.1(g). Any such repayment must occur within the three-year period beginning on the day following receipt of such withdrawal, and shall be deemed to be a rollover contribution under Section 5.2 of the Plan and, except as otherwise set forth in this Section 9.1(g), subject to the Plan's rules applicable to rollover contributions.

(h) Withdrawals from Prior Company Contribution Account. As of any Valuation Date, a Participant may withdraw all or any portion of his or her Prior Company Contribution Account. Any withdrawal pursuant to this Section 9.1(h) shall be made in a lump sum.

(i) Conditions Applicable to All Withdrawals. A Participant's request for a withdrawal pursuant to this Section 9.1 shall be made at such time and in such manner as may be prescribed by the Administrative Committee. The amount available for withdrawal pursuant to this Section 9.1 shall be reduced by the amount of any loan made pursuant to Article 10 that is

outstanding at the time of withdrawal, and no withdrawal pursuant to this Section 9.1 shall be permitted to the extent that such withdrawal would cause the aggregate amount of such outstanding loan to exceed the limits described in Section 10.1. The amount available for withdrawal under this Section 9.1 is subject to reduction in the sole discretion of the Administrative Committee to take into account the investment experience of the Trust Fund between the date of the withdrawal election and the date of the withdrawal.

(j) Repayment of Withdrawal from Exelis Retirement Savings Plan. If a Participant made a withdrawal under the Exelis Retirement Savings Plan prior to September 30, 1996, as a result of which he or she forfeited all or a portion of the value of the Participant's "Company Contribution Account" under such plan at such time, he or she shall be permitted to repay in full the amounts previously withdrawn from the Participant's "Company Contribution Account" by providing to the Administrative Committee prior written notice on a form approved by the Administrative Committee for such purpose. Such repayment may be made at any time provided the Participant is then eligible for the Plan and further provided the Participant has not incurred a Break in Service of five

consecutive years. Such repayment amounts shall be deposited into the Participant’s Prior Company Contribution Account.

Section 9.2. Distribution of Account upon Termination of Employment. (a) Termination of Employment under Circumstances Entitling Participant to Full Distribution of Account. Effective with respect to terminations occurring on or after January 1, 2020, if a Participant’s employment with all Employers and Affiliates terminates under any of the following circumstances, then the Participant or his or her designated Beneficiary, as the case may be, shall be entitled to receive the Participant’s entire Account:

- (1) on or after the date the Participant attains age 55;

- (2) on account of the Participant’s death;
- (3) on account of the Participant’s Disability; or
- (4) on or after the date the Participant is credited with at least three Years of Service (or such other number of Years of Service required for full vesting as set forth in an Appendix or Schedule hereto).

(a) For purposes of this Section 9.2(a), a Participant who dies while performing Qualified Military Service with respect to an Employer shall be treated as if the Participant had resumed employment in accordance with his or her reemployment rights under chapter 43 of title 38, United States Code, on the day preceding the Participant’s death and then terminated employment on account of the Participant’s death.

(b) Termination of Employment under Circumstances Resulting in Partial Forfeiture of the Participant’s Account. If a Participant’s employment with all Employers and Affiliates terminates under circumstances other than those set forth in Section 9.2(a), then the Participant shall be entitled to receive (i) the entire balance of the Participant’s Pre-Tax Account, Designated Roth Account, After-Tax Account, Rollover Account, Savings Account, QNEC Account, Safe Harbor Matching Contributions Account, Fringe Account, Prior Company Contribution Account, Designated Roth Conversion Account and Money Purchase Pension Account and (ii) a percentage of the balance of the Participant’s Matching Account and Profit Sharing Account, which percentage shall be determined as follows by reference to the Participant’s Years of Service as of the date of the Participant’s termination of employment:

(c) Participant with an Hour of Service on or after January 1, 2020

<u>Years of Service</u>	<u>Percentage</u>
Less than 1	0%
At least 1 but less than 2	25%

At least 2 but less than 3	50%
3 or more	100%

(d)

(e) Participant without an Hour of Service on or after January 1, 2020

<u>Years of Service</u>	<u>Percentage</u>
Less than 1	0%
At least 1 but less than 2	25%
At least 2 but less than 3	50%
At least 3 but less than 4	75%
4 or more	100%

Notwithstanding the foregoing, (i) the portion of a Participant's Account attributable to cash dividends in respect of the L3Harris Stock Fund shall be 100% nonforfeitable; (ii) the Account of a Participant who was an employee of Exelis Inc. or a subsidiary thereof on or before December 31, 2015, who was not subject to a collective bargaining agreement and who did not participate in the Exelis Retirement Savings Plan pursuant to Appendix 6 thereto shall be 100% nonforfeitable; and (iii) if an individual participates in this Plan pursuant to an Appendix hereto, the vesting schedule applicable to such Participant shall be the schedule set forth in such Appendix, to the extent inconsistent with this Section 9.2(b).

In the event of the sale or disposition of a business or the sale of substantially all of the assets of a trade or business, the Account of a Participant affected by such sale may become 100% nonforfeitable, irrespective of the Participant's Years of Service, if expressly provided in the documents effecting the transaction or otherwise authorized by the Company or the Administrative Committee.

Any portion of a Participant's Matching Account and Profit Sharing Account which the Participant is not entitled to receive pursuant to this Section 9.2(b) shall be charged to such accounts and forfeited as of the earlier of (i) the date the Participant's vested Account is

distributed and (ii) the date the Participant incurs a Break in Service of five consecutive years. If a Participant who receives a distribution of the Participant's vested Account is reemployed prior to incurring a Break in Service of five consecutive years, then such forfeiture

shall be reinstated as prescribed in Section 11.2(b). Amounts forfeited by a Participant pursuant to this Section shall be used, in the order determined by the Administrative Committee (i) to restore the Accounts of recently located Participants previously employed by such Participant's Employer (or the recently located Beneficiaries of Participants previously employed by such Participant's Employer) whose Accounts were forfeited as described in Section 9.8, (ii) to restore the Accounts of Participants who are reemployed by such Participant's Employer as described in Section 11.2(b), (iii) to fund any matching contributions, profit sharing contributions, fringe contributions or other employer contributions to be allocated to Participants who are reemployed by such Participant's Employer after a period of Qualified Military Service as described in Section 11.5, (iv) to reduce future contributions to the Plan (including qualified nonelective contributions, qualified matching contributions and other corrective contributions, and earnings thereon) by such Participant's Employer and (v) to pay administrative expenses as described in Section 15.1; provided, however, that forfeitures shall be used to pay administrative expenses as described in Section 15.1 only if forfeitures remain after their use to satisfy items (i) through (iv) hereof.

Section 9.3. Time and Form of Distribution upon Termination of Employment. (a) In General. A Participant shall be entitled to a distribution of his or her vested Account upon the Participant's termination of employment with all Employers and Affiliates.

(a) Time of Distribution. A Participant shall be entitled to a distribution of his or her vested Account as soon as administratively practicable after the date of the Participant's

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termination of employment, or, subject to Section 9.4, may defer distribution to a later date, in which case distribution shall occur as soon as administratively practicable after the date of the Participant's distribution election; provided, however, that:

- (1) subject to Section 9.4, a Participant's Account shall not be distributed prior to the Participant's 65th birthday unless the Participant has consented in writing to such distribution;
- (2) if a Participant dies before the commencement of distribution of his or her Account, distributions paid or commencing after the Participant's death shall be completed no later than December 31 of the calendar year which contains the fifth anniversary of the Participant's death, except that (i) if the Participant's Beneficiary is the Participant's Spouse, distribution may be deferred until December 31 of the calendar year in which the Participant would have attained his or her minimum required distribution date and (ii) if the Participant's Beneficiary is a person other than the Participant's Spouse and distributions commence on or before December 31 of the calendar year immediately following the calendar year in which the Participant died, such distributions may be made over a period not longer than the life

expectancy of such Beneficiary; provided, however, that calendar year 2009 shall be disregarded for purposes of this Section 9.3(b)(2) to the extent permitted by section 401(a)(9)(H) of the Code;

(3) if at the time of a Participant's death, distribution of his or her Account has commenced, the remaining portion of the Participant's Account shall be paid at least as rapidly as under the method of distribution being used prior to

the Participant's death, as determined pursuant to Regulation section 1.401(a)(9)-2;

(4) unless a Participant files a written election to defer distribution, distribution shall be made to a Participant by payment in a single lump sum no later than 60 days after the end of the Plan Year which contains the latest of (i) the date of the Participant's termination of employment, (ii) the tenth anniversary of the date the Participant commenced participation in the Plan and (iii) the Participant's 65th birthday; provided, however, that if the Participant does not elect a distribution prior to the latest to occur of the events listed above, the Participant shall be deemed to have elected to defer such distribution until a date no later than April 1 of the calendar year following the calendar year in which the Participant attains age 73 (or age 72 in the case of Participants who attained age 70 1/2 on or after January 1, 2020 and age 72 prior to January 1, 2023, or age 70 1/2 in the case of Participants who attained age 70 1/2 prior to January 1, 2020); and

(5) with respect to a Participant who continues in employment after attaining age 73 (or age 72 in the case of Participants who attained age 70 1/2 on or after January 1, 2020 and age 72 prior to January 1, 2023, or age 70 1/2 in the case of Participants who attained age 70 1/2 prior to January 1, 2020), distribution of the Participant's Account shall commence no later than the Participant's required beginning date. For purposes of this paragraph, the term "required beginning date" shall mean (A) with respect to a Participant who is a 5%-owner (within the meaning of section 416(i) of the Code), April 1 of the calendar year

following the calendar year in which the Participant attains age 73 (or age 72 in the case of Participants who attained age 70 1/2 on or after January 1, 2020 and age 72 prior to January 1, 2023, or age 70 1/2 in the case of Participants who attained age 70 1/2 prior to January 1, 2020) and (B) with respect to any other Participant, April 1 of the calendar year following the calendar year in which the Participant terminates employment with all Employers and Affiliates.

Distributions made under this paragraph shall be made in accordance with Section 9.3(d).

(b) Form of Distribution. Except as otherwise provided in Appendix 1 hereto, any distribution to which a Participant (or in the event of the Participant's death, his or her Beneficiary) becomes entitled upon the Participant's termination of employment shall be distributed by the Trustee by whichever of the following methods the Participant (or Beneficiary) elects:

- (1) an amount not greater than the vested balance of the Participant's Account;
- (2) substantially equal periodic installment payments, payable not less frequently than annually and not more frequently than monthly, designated by a fixed dollar amount, fixed period, fixed percentage or life expectancy, as elected by the Participant (or Beneficiary); provided, however, that the installment period shall not exceed the life expectancy of the Participant or, to the extent permitted by Regulation section 1.401(a)(9)-5, the joint and last survivor expectancy of the Participant and the Participant's Beneficiary; or
- (3) a combination of (1) and (2).

In accordance with procedures established by the Administrative Committee, a Participant (or Beneficiary) may change his or her election with respect to the form of distribution, or elect to cancel installment payments, at any time before or after distribution of benefits commences.

(c) Required Minimum Distributions. Notwithstanding any provision of the Plan to the contrary, all distributions under the Plan will be made in accordance with the minimum distribution requirements of section 401(a)(9) of the Code and the final Regulations promulgated thereunder, including without limitation the incidental death benefit requirements of section 401(a)(9)(G) of the Code and the requirements of Treasury Regulation section 1.401(a)(9), to the extent applicable.

Section 9.4. Payment of Small Account Balances. Notwithstanding any provision of Section 9.3 to the contrary and subject to Section 9.6, if a Participant's vested Account does not exceed \$7,000 at the time of a Participant's termination of

employment or at any time thereafter, then such Account shall be distributed as soon as practicable thereafter in the form of a lump sum payment to the Participant.

In the event that a Participant is subject to the immediately preceding paragraph, has a vested Account that exceeds \$1,000 (determined separately for the portion of the Account that is a designated Roth balance and the portion of the Account that is not a designated Roth balance) and fails to make an affirmative election to either receive the lump sum payment directly in cash or have it directly rolled over pursuant to the provisions of Section 9.6 within such election period as shall be prescribed by the Administrative Committee, the Administrative Committee shall direct the Trustee to transfer such lump sum payment in a direct rollover (separately for the portion of the Account that is a designated Roth balance and the portion of the Account that is not a designated Roth balance) to an individual retirement plan (within the

meaning of section 7701(c)(37) of the Code) selected by the Administrative Committee (an “Automatic Rollover”). The Automatic Rollover provisions of this paragraph shall not apply to a distribution to a Participant who has attained age 62. The provisions of this paragraph are intended to comply with the requirements of section 401(a)(30) of the Code and shall be interpreted consistent therewith.

For the avoidance of doubt, the provisions of this Section 9.4 shall not apply to a Beneficiary.

Section 9.5. Medium and Order of Withdrawal or Distribution. (a) Medium of Withdrawal or Distribution. All withdrawals and distributions under the Plan shall be made in cash; provided, however, that a Participant or Beneficiary may elect, in accordance with procedures established by the Administrative Committee, to receive the vested portion of his or her Account that is invested in the L3Harris Stock Fund, if any, in shares of L3Harris Stock (with fractional shares distributed in cash).

(a) Order of Withdrawal or Distribution. To the extent not otherwise set forth in Section 9.1, any withdrawal or distribution under the Plan shall be charged against a Participant’s contribution and investment subaccounts in the order determined by the Administrative Committee. Amounts invested in a Participant’s self-directed brokerage account are not available as a source of withdrawal or distribution; provided, however, that (i) in kind rollovers to an individual retirement account shall be permitted in accordance with procedures, and subject to any restrictions, determined by the Administrative Committee and (ii) a Participant may reallocate his or her balance in the self-directed brokerage account to the other investment options under the Plan as provided in Section 8.2 to permit such amounts to be available for withdrawal or distribution.

Section 9.6. Direct Rollover Option. In the case of a distribution that is an “eligible rollover distribution” within the meaning of section 402(c)(4) of the Code, a Participant, a Beneficiary or a Spouse or former Spouse who is an alternate payee under a qualified domestic relations order, as defined in section 414(p) of the Code, may elect that all or any portion of such distribution to which he or she is entitled shall be directly transferred from the Plan to an Eligible Retirement Plan. Notwithstanding the foregoing, (i) any portion of an eligible rollover distribution that consists of after-tax contributions may be transferred only to (X) an individual retirement account or annuity described in section 408(a) or (b) of the Code or (Y) a qualified plan described in section 401(a) or 403(a) of the Code or an annuity contract described in section 403(b) of the Code that agrees to account separately for amounts so transferred; (ii) a Participant’s Designated Roth Account or Designated Roth Conversion Account may be transferred only to another designated Roth contributions account under an applicable retirement plan described in section 402A(e)(1) of the Code or to a Roth IRA described in section 408A of the Code, and only to the extent the rollover is permitted by the rules of section 402(c)(2) of the Code; and (iii) if the distributee is a nonspouse Beneficiary, the eligible rollover distribution may be transferred only to an individual retirement account or annuity described in section 408(a) or (b) of the Code and only if such account or annuity has been established for the purpose of receiving such distribution on behalf of the nonspouse Beneficiary and will be treated as an inherited individual retirement account or annuity pursuant to the provisions of section 402(c)(11) of the Code.

Section 9.7. Designation of Beneficiary. (a) In General. Each Participant shall have the right to designate a Beneficiary or Beneficiaries (who may be designated contingently or successively and that may be an entity other than a natural person) to receive any distribution

to be made under the Plan upon the death of such Participant or, in the case of a Participant who dies after his or her termination of employment but prior to the distribution of the entire amount to which he or she is entitled under the Plan, any undistributed balance to which such Participant would have been entitled. No such designation of a Beneficiary other than a Participant’s Spouse shall be effective if the Participant was married on the date of his or her death unless such designation was consented to in writing (or by such other method permitted by the Internal Revenue Service) by the Participant’s Spouse, acknowledging the effect of such consent and

witnessed by a notary public or, prior to October 1, 1993, a Plan representative, or it is established to the satisfaction of the Administrative Committee that such consent could not be obtained because the Participant's Spouse could not be located or because of the existence of other circumstances as the Secretary of the Treasury may prescribe as excusing the requirement of such consent. Subject to the immediately preceding sentence, a Participant may from time to time, without the consent of any Beneficiary, change or cancel any such designation. Such designation and each change thereof shall be made in the manner prescribed by the Administrative Committee and shall be filed with the Administrative Committee. If (i) no Beneficiary has been named by a deceased Participant, (ii) a Beneficiary designation is not effective pursuant to the second sentence of this section or (iii) all Beneficiaries designated by a Participant have predeceased the Participant, then any undistributed Account of the deceased Participant shall be distributed by the Trustee (a) to the surviving Spouse of such deceased Participant, if any, (b) if none, to the then living descendants, if any, of the deceased Participant, per stirpes, (c) if none, to the deceased Participant's parents in equal shares if both are surviving, or if only one parent is surviving, to the one surviving parent, or (d) if none, to the estate of such deceased Participant. The divorce of a Participant shall be deemed to revoke any prior

designation of the Participant's former Spouse as a Beneficiary if written evidence of such divorce shall be received by the Administrative Committee before distribution of the Participant's Account has been made in accordance with such designation.

(a) Successor Beneficiaries. A Beneficiary who has been designated in accordance with Section 9.7(a) may name a successor beneficiary or beneficiaries in the manner prescribed by the Administrative Committee. Unless otherwise set forth in the applicable form pursuant to which a Participant designates a Beneficiary or the instructions thereto, if such Beneficiary dies after the Participant and before distribution of the entire amount of the Participant's benefit under the Plan in which the Beneficiary has an interest, then any remaining amount shall be distributed, as soon as practicable after the death of such Beneficiary, in the form of a lump sum payment to the successor beneficiary or beneficiaries or, if there is no such successor beneficiary, to the estate of such deceased Beneficiary.

Section 9.8. Missing Persons. If following the date on which pursuant to Section 9.3(b) or 9.4 a Participant's Account may be distributed without the Participant's consent, the Administrative Committee in the exercise of reasonable diligence has been unable to locate the person or persons entitled to the Participant's Account, then the Participant's Account shall be forfeited; provided, however, that to the extent required by law the Plan shall reinstate and pay to such person or persons the amount so forfeited

upon a claim for such amount made by such person or persons. The amount to be so reinstated shall be obtained from the total amount that shall have been forfeited under the Plan during the Plan Year that the claim for such forfeited benefit is made, and shall not include any earnings or losses from the date of the forfeiture under this Section. If the amount to be reinstated exceeds the amount of such forfeitures, the Employer in respect of whose Eligible Employee the claim for forfeited benefit is

made shall make a contribution in an amount equal to such excess. To the extent the forfeitures under this Section exceed any claims for forfeited benefits made pursuant to this Section, such excess shall be utilized, as determined by the Administrative Committee, in a manner set forth in Section 9.2(b).

Section 9.9. Distributions to Minor and Disabled Distributees. Any distribution that is payable to a distributee who is a minor or to a distributee who has been legally determined to be unable to manage his or her affairs by reason of illness or mental incompetency may be made to, or for the benefit of, any such distributee at such time consistent with the provisions of this Plan and in such of the following ways as the legal representative of such distributee shall direct: (a) directly to any such minor distributee if, in the opinion of such legal representative, he or she is able to manage his or her affairs, (b) to such legal representative, (c) to a custodian under a Uniform Gifts to Minors Act for any such minor distributee, or (d) as otherwise directed by such legal representative. Neither the Administrative Committee nor the Trustee shall be required to oversee the application by any third party other than the legal representative of a distributee of any distribution made to or for the benefit of such distributee pursuant to this Section, and distributions made pursuant to this Section 9.9 shall operate as a complete discharge of the Plan, Trust, Trustee, Employers, Administrative Committee and other Plan fiduciaries with respect to such amounts.

Section 9.10. Payment of Group Welfare Program Premiums. The Administrative Committee may, in its sole discretion, permit a Participant who (i) is eligible to be included in any contributory group welfare program maintained or sponsored by an Employer, (ii) elects to be covered under such contributory group welfare program and (iii) is receiving benefits under the Plan in monthly installments to direct that a specified portion of the

installment payments be withheld and paid by the Trustee on the Participant's behalf to the Employer as the Participant's contribution under such contributory group welfare program. Such direction by a Participant, if permitted by the Administrative Committee, shall be made at the time and in the manner prescribed by the Administrative Committee. Any such direction may be revoked by a Participant upon at least 15 days' prior written notice to the Administrative Committee (or such other period of prior written notice acceptable to the Administrative Committee). Any withholding and payment of welfare program costs on behalf of a Participant shall be made in accordance with Treasury Regulation section 1.401(a)-13.

Section 9.11. Dividends in Respect of the L3Harris Stock Fund. Dividends in respect of the L3Harris Stock Fund, if any, shall be allocated to the Accounts of Participants and Beneficiaries invested in the L3Harris Stock Fund, based upon their proportionate share of the L3Harris Stock Fund as of such date as may be determined by the Administrative Committee on or before each dividend record date. Cash dividends shall be reinvested in the L3Harris Stock Fund unless the Participant or Beneficiary elects, at the time and in the manner prescribed by the Administrative Committee, to receive a cash distribution in an amount equal to such dividend. Any such cash distribution shall be made at the time determined by the Administrative Committee not later than 90 days after the end of the Plan Year in which the dividend was paid. Dividends in respect of the L3Harris Stock Fund in a form other than cash shall be invested in the L3Harris Stock Fund.

ARTICLE 10

LOANS

Section 10.1. Making of Loans. Subject to the provisions of this Article 10, the Administrative Committee shall establish a loan program whereby any Participant who is an

Employee may request, by such method prescribed by the Administrative Committee, to borrow funds from the Participant's Pre-Tax Account, Designated Roth Account, After-Tax Account, Savings Account, Rollover Account and QNEC Account, and which loan program hereby is incorporated into this Plan by reference. The principal balance of such loan, when aggregated with the outstanding balances of all other loans of the Participant from plans maintained by the Employers and Affiliates, shall not exceed the least of:

(a) \$50,000, reduced by the excess, if any, of (x) the highest outstanding loan balance of the Participant under all plans maintained by the Employers and Affiliates during the period beginning one year and one day prior to the date on which such loan

is made and ending on the day prior to the date on which such loan is made, over (y) the outstanding loan balance from all such plans on the date on which such loan is made;

(b) fifty percent (50%) of the vested portion of the Participant's Account as of the Valuation Date coinciding with or immediately preceding the date on which the loan is made; and

(c) the aggregate value of the Participant's Pre-Tax Account, Designated Roth Account, After-Tax Account, Savings Account, Rollover Account and QNEC Account as of the Valuation Date coinciding with or immediately preceding the date on which the loan is made.

Section 10.2. Restrictions. An application for a loan shall be made at the time and in the manner prescribed by the Administrative Committee. The action of the Administrative Committee or its delegate in approving or disapproving a request for a loan shall be final. Any loan under the Plan shall be subject to the terms, conditions and restrictions set forth in the loan program established by the Administrative Committee.

Section 10.3. Default. If any loan or portion of a loan made to a Participant under the Plan, together with the accrued interest thereon, is in default, the Trustee, upon direction from the Administrative Committee, shall take appropriate steps to collect the outstanding balance of the loan and to foreclose on the security; provided, however, that the Trustee shall not levy against any portion of the Participant's Account until such time as a distribution from such Account otherwise could be made under the Plan. Subject to any corrective action permitted by the Internal Revenue Service, default shall occur (i) if the Participant fails to make any scheduled loan payment by the last day of the calendar quarter following the calendar quarter in which such payment is due (or within such other grace period as permitted under applicable law and by the Administrative Committee) or (ii) upon the occurrence of any other event that is considered a default event under the loan program established by the Administrative Committee. On the date a Participant is entitled to receive a distribution of his or her Account pursuant to Article 9, any defaulted loan or portion thereof, together with the accrued interest thereon, shall be charged to the Participant's Account after all other adjustments required under the Plan, but before any distribution pursuant to Article 9.

Section 10.4. Applicability. Notwithstanding the foregoing, for purposes of this Article 10, any Participant or Beneficiary who is a "party in interest" as defined in section 3(14) of ERISA may apply for a loan from the Plan, regardless of such Participant's or Beneficiary's employment status. As a condition of receiving a loan from the Plan, such a Participant or Beneficiary who

is not an Employee shall consent to have such loan repaid in substantially equal installments at the times and in the manner determined by the Administrative Committee, but not less frequently than quarterly.

ARTICLE 11

SPECIAL PARTICIPATION AND DISTRIBUTION RULES

Section 11.1. Change of Employment Status. If an Employee who is not an Eligible Employee becomes an Eligible Employee, then the Employee shall become a Participant as of the date such Employee becomes an Eligible Employee, provided that the Eligible Employee has satisfied any eligibility period set forth in an Appendix applicable to such Eligible Employee, if any.

Section 11.2. Reemployment of a Terminated Participant. (a) Participation. If a terminated Participant is reemployed as an Eligible Employee, then the terminated Participant again shall become a Participant as of the date of the terminated Participant's reemployment. If a terminated Participant is receiving installment payments pursuant to Section 9.3(c), such payments shall be suspended upon such terminated Participant's reemployment unless such Participant has attained age 59½ on or before the date of such reemployment.

(a) Restoration of Forfeitures. If a terminated Participant is reemployed prior to incurring a Break in Service of five consecutive years, and, at or after the Participant's termination of employment, any portion of the Participant's Account was forfeited pursuant to Section 9.2(b), then an amount equal to the portion of the Participant's Account that was forfeited shall be credited to the Participant's Account as soon as administratively practicable after the Participant is reemployed. Any amount to be restored pursuant to this subsection shall be obtained from the total amounts that have been forfeited pursuant to Sections 9.2(b) and 9.8 during the Plan Year in which such Participant is reemployed from the Accounts of Participants employed by the same Employer as the reemployed Participant. If the aggregate amount to be so restored to the Accounts of Participants who are Employees of a particular Employer exceeds the

amount of such forfeitures, such Employer shall make a contribution in an amount equal to such excess. Any such contribution shall be

made without regard to whether or not the limitations set forth in Article 6 will be exceeded by such contribution.

Section 11.3. Employment by Affiliates. If an individual is employed by an Affiliate that is not an Employer, then any period of such employment shall be taken into account under the Plan solely for the purposes of (i) measuring such individual's Service and (ii) determining when such individual has terminated his or her employment for purposes of Article 9, to the same extent it would have been had such period of employment been as an Employee.

Section 11.4. Leased Employees. If an individual who performed services as a leased employee (defined as any person (other than an Employee of an Employer) who pursuant to an agreement between an Employer and a leasing organization has performed services for the Employer (or for the Employer and related persons determined in accordance with section 414(n)(6) of the Code) on a substantially full-time basis for a period of at least one year, where such services are performed under the primary direction or control of the Employer) of an Employer or an Affiliate becomes an Employee, or if an Employee becomes such a leased employee, then any period during which such services were so performed shall be taken into account under the Plan solely for the purposes of (i) satisfying any eligibility period set forth in an Appendix applicable to such individual, if any, (ii) measuring such individual's Service and (iii) determining when such individual has terminated his or her employment for purposes of Article 9, to the same extent it would have been had such period of service been as an Employee. This Section shall not apply to any period of service during which such a leased employee was covered by a plan described in section 414(n)(5) of the Code.

Section 11.5. Reemployment of Veterans. The provisions of this Section shall apply in the case of the reemployment (or deemed reemployment) by an Employer of an Eligible Employee, within the period prescribed by USERRA, after the Eligible Employee's completion of a period of Qualified Military Service. The provisions of this Section are intended to provide such Eligible Employee with the rights required by USERRA and section 414(u) of the Code, and shall be interpreted in accordance with such intent. Notwithstanding any provisions of this Plan to the contrary, contributions, benefits and service credit with respect to Qualified Military Service will be provided in accordance with section 414(u) of the Code.

(a) Make-Up of Pre-Tax, Designated Roth and After-Tax Contributions. Such Eligible Employee shall be entitled to make contributions under the Plan ("make-up participant contributions"), in addition to any pre-tax, designated Roth and after-tax contributions which the Eligible Employee elects to have made under the Plan pursuant to Sections 4.1 and 5.1. From time to time while employed by an Employer, such Eligible Employee may elect to contribute such make-up participant contributions during the period

beginning on the date of such Eligible Employee's reemployment and ending on the earlier of:

- (1) the end of the period equal to the product of three and such Eligible Employee's period of Qualified Military Service, and
- (2) the fifth anniversary of the date of such reemployment.

Such Eligible Employee shall not be permitted to contribute make-up participant contributions to the Plan in excess of the amount which the Eligible Employee could have elected to have made under the Plan in the form of pre-tax, designated Roth and after-tax contributions if the Eligible Employee had continued in active employment with his or her Employer during such period of Qualified Military Service. The manner in which an Eligible

Employee may elect to contribute make-up participant contributions pursuant to this subsection (a) shall be prescribed by the Administrative Committee.

(b) Make-Up of Matching Contributions. An Eligible Employee who contributes make-up participant contributions as described in subsection (a) of this Section shall be entitled to an allocation of matching contributions to his or her Account in an amount equal to the amount of matching contributions that would have been allocated to the Account of such Eligible Employee during the period of Qualified Military Service if such make-up participant contributions had been made in the form of pre-tax, designated Roth and after-tax contributions during such period. The amount necessary to make such allocation of matching contributions shall be derived from forfeitures during the Plan Year in which such matching contributions are made, and if such forfeitures are not sufficient for this purpose, then the Eligible Employee's Employer shall make a special contribution to the Plan which shall be utilized solely for purposes of such allocation.

(c) Make-Up of Profit Sharing Contributions, Fringe Contributions and Other Employer Contributions. Upon the timely reemployment of an Eligible Employee following the completion of a period of Qualified Military Service, such Eligible Employee shall be entitled to an allocation of profit sharing contributions, fringe contributions or other employer contributions, as applicable, to his or her Account in an amount equal to the difference between (i) the amount of profit sharing contributions, fringe contributions or other employer contributions, if any, that would have been allocated to the Account of such Eligible Employee during the period of Qualified Military Service if the Eligible Employee had continued in active employment with his or her Employer during such period and (ii) the amount of profit sharing contributions, fringe contributions or other employer contributions that was allocated to the Account of such

Employee during the period of Qualified Military Service pursuant to Section 8.5 or Section 8.6, as applicable. Such allocation shall be made by the Eligible Employee's Employer no later than the later of (i) the date that is 90 days after the date of the Eligible Employee's reemployment and (ii) the date that profit sharing contributions, fringe contributions or other employer contributions, as applicable, normally are due for the Plan Year in which the Qualified Military Service was performed (or, if allocation by such latest date is impossible or unreasonable, as soon as practicable thereafter). The amount necessary to make such allocation of profit sharing contributions, fringe contributions or other employer contributions shall be derived from forfeitures during the Plan Year in which such profit sharing contributions, fringe contributions or other employer contributions are made, and if such forfeitures are not sufficient for this purpose, then the Eligible Employee's Employer shall make a special contribution to the Plan which shall be utilized solely for purposes of such allocation.

(d) Miscellaneous Rules Regarding Make-Up Contributions. For purposes of determining the amount of contributions to be made under this Section, an Eligible Employee's "Compensation" during any period of Qualified Military Service shall be determined in accordance with section 414(u) of the Code. Any contributions made by an Eligible Employee or an Employer pursuant to this Section on account of a period of Qualified Military Service in a prior Plan Year shall not be subject to the limitations prescribed by Sections 6.1, 6.3 and 6.4 of the Plan (relating to sections 402(g), 415, and 404 of the Code) for the Plan Year in which such contributions are made. The Plan shall not be treated as failing to satisfy the nondiscrimination rules of Section 6.2 of the Plan (relating to sections 401(k)(3) and 401(m) of the Code) for any Plan Year solely on account of any make-up contributions made by an Eligible Employee or an

Employer pursuant to this Section. Earnings (or losses) on make-up contributions pursuant to this Section 11.5 shall be credited commencing with the date the contributions are made.

(e) Deemed Reemployment following Death or Disability. In accordance with section 414(u)(9) of the Code, for purposes of crediting Service under the Plan and accrual of contributions under Article 4 or an Appendix hereto, a Participant who dies or suffers a Disability while performing Qualified Military Service with respect to an Employer shall be treated as if the Participant had resumed employment in accordance with his or her reemployment rights under chapter 43 of title 38, United States Code, on the day preceding the Participant's death or Disability, as applicable, and terminated employment on the actual date of his or her death or Disability (and on account of such death or Disability).

ARTICLE 12

SHAREHOLDER RIGHTS WITH RESPECT TO L3HARRIS STOCK

Section 12.1. Voting Shares of L3Harris Stock. The Trustee, or the Company upon written notice to the Trustee, shall furnish to each Participant (and Beneficiary) whose Account is credited with participating units in the L3Harris Stock Fund the date and purpose of each meeting of the shareholders of the Company at which L3Harris Stock is entitled to be voted. The Trustee, or the Company if it has furnished such information to such Participants (and Beneficiaries) with respect to a particular shareholders' meeting, shall request from each such Participant (or Beneficiary) instructions to be furnished to the Trustee (or to a tabulating agent appointed by the Trustee, which may be the Company's transfer agent) regarding the voting at such meeting of L3Harris Stock represented by participating units credited to the Participant's (or Beneficiary's) Account. If the Participant (or Beneficiary) furnishes such instructions to the Trustee or its agent within the time specified in the notification, then the Trustee shall vote

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L3Harris Stock represented by such participating units in accordance with such instructions. All L3Harris Stock represented by participating units credited to Accounts as to which the Trustee or its agent do not receive instructions as specified above and all unallocated L3Harris Stock held in the L3Harris Stock Fund shall be voted by the Trustee proportionately in the same manner as it votes L3Harris Stock as to which the Trustee or its agent has received voting instructions as specified above.

Section 12.2. Tender Offers. (a) Rights of Participants. In the event a tender offer is made generally to the shareholders of the Company to transfer all or a portion of their shares of L3Harris Stock in return for valuable consideration, including, but not limited to, offers regulated by section 14(d) of the Securities Exchange Act of 1934, as amended, the Trustee shall respond to such tender offer in respect of shares of L3Harris Stock held by the Trustee in the L3Harris Stock Fund in accordance with instructions obtained from Participants (or Beneficiaries). Each Participant (or Beneficiary) shall be entitled to instruct the Trustee regarding how to

respond to any such tender offer with respect to the number of shares of L3Harris Stock represented by the participating units in the L3Harris Stock Fund then allocated to his or her Account. Each Participant (or Beneficiary) who does not provide timely instructions to the Trustee shall be presumed to have directed the Trustee not to tender shares of L3Harris Stock represented by the participating units then allocated to his or her Account. A Participant (or Beneficiary) shall not be limited in the number of instructions to tender or withdraw from tender which he or she can give, but a Participant (or Beneficiary) shall not have the right to give instructions to tender or withdraw from tender after a reasonable time established by the Trustee pursuant to subsection (c) of this Section. For purposes of this Section, the shares of L3Harris Stock held in the L3Harris Stock Fund shall be treated as

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allocated to the accounts of Participants in proportion to their respective participating units in the L3Harris Stock Fund as of the immediately preceding record date for ownership of L3Harris Stock for stockholders entitled to tender. The Administrative Committee may direct the Trustee to make a special valuation of the L3Harris Stock Fund in connection with such tender offer. Any securities or other property received by the Trustee as a result of having tendered L3Harris Stock shall be held, and any cash so received shall be invested in short term investments, pending any further action which the Trustee may be required or directed to take pursuant to the Plan. Notwithstanding anything to the contrary, during the period of any public offer for L3Harris Stock, the Trustee shall refrain from making purchases of L3Harris Stock in connection with the Plan and the Trust. In addition to compensation otherwise payable, the Trustee shall be entitled to reasonable compensation and reimbursement for its reasonable out-of-pocket expenses for any services attributable to the duties and responsibilities described in this Section.

(a) Duties of the Administrative Committee. Within a reasonable time after the commencement of a tender offer, the Administrative Committee shall cause the Trustee to provide to each Participant or Beneficiary, as the case may be:

- (1) the offer to purchase as distributed by the offeror to the shareholders of the Company;
- (2) a statement of the number of shares of L3Harris Stock represented by the participating units in the L3Harris Stock Fund allocated to his or her Account; and
- (3) directions as to the means by which instructions with respect to the tender offer can be given.

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The Administrative Committee shall establish, and the Company shall pay for, a means by which instructions with respect to a tender offer expeditiously can be delivered to the Trustee. The Administrative Committee at its election may engage an agent to receive such instructions and transmit them to the Trustee. All such individual instructions shall be confidential and shall not be disclosed to any person, including any Employer.

For purposes of allocating the proceeds of any sale or exchange pursuant to a tender offer, the Trustee shall treat as having been sold or exchanged from each of the Accounts of Participants (and Beneficiaries) who provided timely directions to the Trustee under this Section to tender that number of shares of L3Harris Stock represented by participating units in the L3Harris Stock Fund subject to such directions and the proceeds of such sale or exchange shall be allocated accordingly. Any cash proceeds from the sale or exchange of shares of L3Harris Stock in the L3Harris Stock Fund shall be invested in a commingled fund maintained by the Trustee designated to hold such amounts, and any securities or other property received as a result of such a sale or exchange shall be held by the Trustee, in each case pending investment instructions from the Participants (and Beneficiaries) or the Investment Committee, as the case may be.

(b) Duties of the Trustee. The Trustee shall follow the instructions of the Participants (and Beneficiaries) with respect to the tender offer as transmitted to the Trustee. The Trustee may establish a reasonable time, taking into account the time restrictions of the tender offer, after which it shall not accept instructions of Participants (or Beneficiaries).

ARTICLE 13

ADMINISTRATION

Section 13.1. The Administrative Committee. (a) The most senior human resources officer of the Company shall appoint at least two members to the Administrative Committee. The Administrative Committee shall be the “administrator” of the Plan within the meaning of such term as used in ERISA and shall be responsible for the administration of the Plan. The most senior human resources officer of the Company shall have the right at any time, with or without cause, to remove any member of the Administrative Committee. In addition, any member of the Administrative Committee at any time may resign by giving at least fifteen (15) days’ advance written notice to the most senior human resources officer of the Company (or such shorter period of advance written notice acceptable to the most senior human resources officer of the Company). An Employee who serves on the Administrative Committee

shall be deemed to have resigned from such committee upon the termination of the Employee's employment with the Company and its Affiliates, effective as of the date of the termination of employment. Upon the removal or resignation of any member of the Administrative Committee, or the failure or inability for any reason of any member of the Administrative Committee to act hereunder, the most senior human resources officer of the Company shall appoint a successor member of the Administrative Committee if such removal, resignation, failure or inability causes the Administrative Committee to have fewer than two members. Any successor member of the Administrative Committee shall have all the rights, privileges and duties of the predecessor, but shall not be held accountable for the acts of the predecessor.

(a) Any member of the Administrative Committee may, but need not, be an employee, director, officer or shareholder of an Employer and such status shall not disqualify

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him or her from taking any action hereunder or render him or her accountable for any distribution or other material advantage received by such member under the Plan, provided that no member of the Administrative Committee who is a Participant shall take part in any action of the Administrative Committee or any matter involving solely his or her rights under the Plan.

(b) Promptly after the appointment of the members of the Administrative Committee and promptly after the appointment of any successor member of the Administrative Committee, the Trustee shall be notified in writing as to the names of the persons so appointed as members or successor members.

(c) The Administrative Committee shall have the duty and authority to interpret and construe, in its sole discretion, the terms of the Plan in all respects, including, but not limited to, all questions of eligibility, the status and rights of Participants, distributees and other persons under the Plan, and the manner, time and amount of payment of any distribution under the Plan. Each Employer shall, from time to time, upon request of the Administrative Committee, furnish to the Administrative Committee such data and information as the Administrative Committee shall require in the performance of its duties. All determinations and actions of the Administrative Committee shall be conclusive and binding upon all affected parties, except that the Administrative Committee may revoke or modify a determination or action that it determines to have been in error. Benefits will be paid under the Plan only if the Administrative Committee decides in its sole discretion that the applicant is entitled to the benefits.

(d) The Administrative Committee shall direct the Trustee to make payments of amounts to be distributed from the Trust under Article 9 or an Appendix hereto.

(e) The Administrative Committee may act at a meeting by the vote of a majority of a quorum of its members or without a meeting by the unanimous written consent of its members. The Administrative Committee shall keep records of all of its meetings and forward all necessary communications to the Trustee. The Administrative Committee may adopt such rules and procedures as it deems desirable for the conduct of its affairs and the administration of the Plan, provided that any such rules and procedures shall be consistent with the provisions of the Plan and ERISA.

(f) The members of the Administrative Committee shall discharge their duties with respect to the Plan (i) solely in the interest of the Participants and Beneficiaries, (ii) for the exclusive purpose of providing benefits to the Participants and Beneficiaries and of defraying reasonable expenses of administering the Plan and (iii) with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims.

(g) The members of the Administrative Committee shall not receive any compensation or fee for services as members of the Administrative Committee.

Section 13.2. Named Fiduciaries. The Investment Committee shall be a “named fiduciary” of the Plan within the meaning of such term as used in ERISA solely with respect to its power to appoint certain fiduciaries under the Plan and its management of the assets of the Plan. The Administrative Committee shall be a “named fiduciary” of the Plan within the meaning of such term as used in ERISA solely with respect to its power to appoint certain fiduciaries under the Plan and the exercise of its administrative duties set forth in the Plan that

are fiduciary acts. Each fiduciary has only those duties and responsibilities specifically assigned to such fiduciary under the Plan.

Section 13.3. Allocation and Delegation of Responsibilities. Each of the Administrative Committee and the Investment Committee may allocate its responsibilities among its members and may designate any person, partnership, corporation or another committee to carry out any of its responsibilities with respect to the Plan (in each case irrespective of whether such responsibilities are

fiduciary or settlor in nature).

Section 13.4. Professional and Other Services. The Company may employ counsel (who may be counsel for an Employer) to advise the Administrative Committee and the Investment Committee and their agents and may arrange for clerical and other services as the Administrative Committee and the Investment Committee and their agents may require in carrying out their duties hereunder.

Section 13.5. Indemnification and Expense Reimbursement. To the fullest extent permitted by law, the Employers hereby jointly and severally indemnify the members of the Administrative Committee and the members of the Investment Committee from the effects and consequences of their acts, omissions and conduct in their official capacity, except to the extent that such effects and consequences result from their own willful or gross misconduct or criminal acts. The Employers shall reimburse the members of each of the Administrative Committee and Investment Committee for any necessary expenditures incurred in the discharge of their duties hereunder.

Section 13.6. Claims Procedure. If any Participant, distributee or other person believes he or she is entitled to benefits in an amount greater than those which he or she is receiving or has received, he or she (or his or her duly authorized representative) may file a claim

with the Administrative Committee. Such a claim shall be in writing and state the nature of the claim, the facts supporting the claim, the amount claimed and the address of the claimant. The Administrative Committee shall review the claim and, unless special circumstances require an extension of time, within 90 days after receipt of the claim give written or electronic notice to the claimant of its decision with respect to the claim. If special circumstances require an extension of time, the claimant shall be so advised in writing or by electronic means within the initial 90-day period and in no event shall such an extension exceed 90 days. The extension notice shall indicate the special circumstances requiring an extension of time and the date by which the Administrative Committee expects to render a decision. The notice of the decision of the Administrative Committee with respect to the claim shall be written in a manner calculated to be understood by the claimant and, if the claim is wholly or partially denied, shall set forth the specific reasons for the denial, specific references to the pertinent Plan provisions on which the denial is based, a description of any additional material or information necessary for the claimant to perfect the claim and an explanation of why such material or information is necessary, and an explanation of the claim

review procedure under the Plan and the time limits applicable to such procedure (including a statement of the claimant's right to bring a civil action under section 502(a) of ERISA following the final denial of a claim).

The claimant (or his or her duly authorized representative) may request a review of the denial by filing with the Administrative Committee a written request for such review within 60 days after notice of the denial has been received by the claimant. Within the same 60-day period, the claimant may submit to the Administrative Committee written comments, documents, records and other information relating to the claim. Upon request and free of charge, the claimant also may have reasonable access to, and copies of, documents, records and other

information relevant to the claim. If a request for review is so filed, review of the denial shall be made by the Administrative Committee and the claimant shall be given written or electronic notice of the Administrative Committee's final decision within, unless special circumstances require an extension of time, 60 days after receipt of such request. If special circumstances require an extension of time, the claimant shall be so advised in writing or by electronic means within the initial 60-day period and in no event shall such an extension exceed 60 days. The extension notice shall indicate the special circumstances requiring an extension of time and the date by which the Administrative Committee expects to render a decision. If the appeal of the claim is wholly or partially denied, the notice of the Administrative Committee's final decision shall include specific reasons for the denial, specific references to the pertinent Plan provisions on which the denial is based and a statement that the claimant is entitled, upon request and free of charge, to reasonable access to, and copies of, all relevant documents, records and information. The notice shall be written in a manner calculated to be understood by the claimant and shall notify the claimant of (i) his or her right to bring a civil action under section 502(a) of ERISA and (ii) the limitations period for actions under the Plan as set forth in Section 15.6.

In making determinations regarding claims for benefits, the Administrative Committee shall consider all of the relevant facts and circumstances, including, without limitation, governing plan documents, consistent application of Plan provisions with respect to similarly situated claimants and any comments, documents, records and other information with respect to the claim submitted by the claimant (the "Claimant's Submissions"). The Claimant's Submissions shall be considered by the Administrative Committee without regard to whether the Claimant's Submissions were submitted or considered by the Administrative Committee in the initial benefit determination. In no event shall a Participant, distribute or other person be entitled

to challenge a decision of the Administrative Committee in court or in any administrative proceeding unless and until the claims procedures set forth in this Section 13.6 have been complied with and exhausted.

Section 13.7. Notices to Participants. All notices, reports and statements given, made, delivered or transmitted to a Participant or distributee or any other person entitled to or claiming benefits under the Plan shall be deemed to have been duly given, made, delivered or transmitted when provided via such written or other means as may be permitted by applicable Regulations. A Participant, distributee or other person entitled to or claiming benefits under the Plan is obligated to keep the Administrative Committee informed as to his or her current address at all times.

Section 13.8. Notices to Administrative Committee or Employers. Written directions and notices and other written or electronic communications from Participants, distributees or other persons entitled to or claiming benefits under the Plan to the Administrative Committee or the Employers shall be deemed to have been duly given, made, delivered or transmitted when given, made, delivered or transmitted in the manner and to the location prescribed by the Administrative Committee or the Employers for the giving of such directions, notices and other communications.

Section 13.9. Electronic Media. Notwithstanding any provision of the Plan to the contrary, the use of electronic technologies shall be deemed to satisfy any written notice, consent, delivery, signature or disclosure requirement under the Plan, the Code or ERISA to the extent permitted by the Administrative Committee and permissible under and consistent with applicable law and regulations.

Section 13.10. Records. The Administrative Committee shall keep a record of all of its proceedings with respect to the Plan and shall keep or cause to be kept all books of account, records and other data as may be necessary or advisable in its judgment for the administration of the Plan.

Section 13.11. Reports of Trustee and Accounting to Participants. The Administrative Committee shall keep on file, in such form as it shall deem convenient and proper, all reports concerning the Trust Fund received by it from the Trustee, and, at least once each calendar quarter, each Participant (or, in the event of the death of a Participant, each Beneficiary) shall be provided or have

available a written or electronic benefit statement indicating the balance credited to any Account for such individual. Any Participant or Beneficiary claiming that an error has been made with respect to such balance shall notify the Administrative Committee in writing within ninety (90) days following the delivery of such benefit statement. If no notice of error timely is provided, the benefit statement shall be presumed to be correct.

Section 13.12. Limitations on Investments and Transactions/Conversions. Notwithstanding any provision of the Plan to the contrary:

(a) The Administrative Committee, in its sole and absolute discretion, may temporarily suspend, limit or restrict, in whole or in part, certain Plan transactions, including without limitation, the right to change or suspend contributions and/or the right to receive a distribution, loan or withdrawal from an Account in the event of any conversion, change in recordkeeper, change in investment funds, Plan merger or spinoff or other appropriate event.

(b) The Administrative Committee, in its sole and absolute discretion, may temporarily suspend, limit or restrict, in whole or in part, Plan transactions dealing with

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investments, including without limitation, the right to change investment elections or reallocate Account balances in the event of any conversion, change in recordkeeper, change in investment funds, Plan merger or spinoff or other appropriate event.

(c) In the event of a conversion, change in recordkeeper, change in investment funds, Plan merger or spinoff or other appropriate event, the Administrative Committee, in its sole and absolute discretion, may decide to map investments from a Participant's prior investment fund elections to the then available investment funds under the Plan. In the event that investments are mapped in this manner, the Participant shall be permitted to reallocate funds among the investment funds (in accordance with Article 8 and any relevant rules and procedures adopted for this purpose) after the suspension period (if any) is lifted.

(d) Notwithstanding any provision of the Plan to the contrary, the investment funds shall be subject to, and governed by, (1) all applicable legal rules and restrictions, (2) the rules specified by the investment fund providers in the fund prospectus(es) or other governing documents thereof and/or (3) any rules or procedures adopted by the Administrative Committee governing the transfers of assets into or out of such funds. Such rules, procedures and restrictions in certain cases may limit the ability of a Participant to make transfers into or out of a particular investment fund and/or may result in additional transaction fees or other costs relating to such transfers. In furtherance of, but without limiting the foregoing, the Plan may decline to implement any investment election or instruction

where it deems appropriate.

ARTICLE 14

PARTICIPATION BY EMPLOYERS

Section 14.1. Adoption of Plan. With the consent of the Administrative Committee, any entity may become an Employer under the Plan by (a) taking such action as shall

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be necessary to adopt the Plan and (b) executing and delivering such instruments and taking such other action as may be necessary or desirable to put the Plan and Trust into effect with respect to such entity, as prescribed by the Administrative Committee. The powers and control of the Company, as provided in the Plan and the trust agreement, shall not be diminished by reason of participation of any such adopting entity in the Plan.

Section 14.2. Withdrawal from Participation. An Employer may withdraw from participation in the Plan at any time by filing with the Administrative Committee a duly certified copy of a written instrument duly adopted by the Employer to that effect and giving notice of its intended withdrawal to the Administrative Committee, the Company and the Trustee prior to the effective date of withdrawal.

Section 14.3. Company, Administrative Committee and Investment Committee as Agents for Employers. Each entity which becomes an Employer pursuant to Section 14.1 or Section 14.4 by so doing shall be deemed to have appointed the Company, the Administrative Committee and the Investment Committee as its agents to exercise on its behalf all of the powers and authorities conferred upon the Company, the Administrative Committee and the Investment Committee by the terms of the Plan. The authority of the Company, the Administrative Committee or the Investment Committee to act as such agent shall continue unless and until the portion of the Trust Fund held for the benefit of Employees of the particular Employer and their Beneficiaries is set aside in a separate Trust Fund as provided in Section 17.2.

Section 14.4. Continuance by a Successor. In the event that an Employer other than the Company is reorganized by way of merger, consolidation, transfer of assets or otherwise, so that another entity other than an Employer succeeds to all or substantially all of such Employer's business, such successor entity may, with the consent of the Administrative

Committee, be substituted for such Employer under the Plan by adopting the Plan. Contributions by such Employer automatically shall be suspended from the effective date of any such reorganization until the date upon which the substitution of such successor entity for the Employer under the Plan becomes effective. If, within 90 days following the effective date of any such reorganization, such successor entity shall not have elected to adopt the Plan or the Administrative Committee fails to consent to such adoption, or an Employer adopts a plan of complete liquidation other than in connection with a reorganization, such Employer's participation in the Plan automatically shall be permanently terminated as of the close of business on the 90th day following the effective date of such reorganization or as of the close of business on the date of adoption of such plan of complete liquidation, as the case may be.

If such successor entity is substituted for an Employer as described above, then, for all purposes of the Plan, employment of each Employee with such Employer, including service with and compensation paid by such Employer, shall be considered to be employment with such successor entity.

ARTICLE 15

MISCELLANEOUS

Section 15.1. Expenses. All costs and expenses of administering the Plan and the Trust, including the expenses of the Company, the Administrative Committee and the Investment Committee, the fees of counsel and of any agents for the Company or such committees, investment advisory, recordkeeping and audit fees, the fees and expenses of the Trustee, the fees of counsel for the Trustee and other administrative expenses, shall be paid under the direction of the Administrative Committee from the Trust Fund to the extent such expenses are not paid by the Employers. The Administrative Committee, in its sole discretion, having

regard to the nature of a particular expense, shall determine the portion of such expense that is to be borne by each Employer or the manner in which such expense is to be allocated among Accounts. An Employer may seek reimbursement from the Trust Fund of any expense paid by such Employer that the Administrative Committee determines is properly payable from the Trust Fund.

Section 15.2. Non-Assignability.

(a) In General. No right or interest of any Participant or Beneficiary in the Plan shall be assignable or transferable in

whole or in part, either directly or by operation of law or otherwise, including, but not by way of limitation, execution, levy, garnishment, attachment, pledge or bankruptcy, but excluding devolution by death or mental incompetency, and any attempt to do so shall be void, and no right or interest of any Participant or Beneficiary in the Plan shall be liable for, or subject to, any obligation or liability of such Participant or Beneficiary, including claims for alimony or the support of any Spouse, except as provided below.

(b) Exception for Qualified Domestic Relations Orders. Notwithstanding any provision of the Plan to the contrary, if a Participant's Account under the Plan, or any portion thereof, is the subject of one or more qualified domestic relations orders (as defined in section 414(p) of the Code), such Account or portion thereof shall be paid to the person, at the time and in the manner specified in any such order. The Administrative Committee shall adopt rules and procedures, in accordance with section 414(p) of the Code, relating to its (i) review of any domestic relations order for purposes of determining whether the order is a qualified domestic relations order and (ii) administration of a qualified domestic relations order. A domestic relations order shall not fail to constitute a qualified domestic relations order solely because such

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order provides for distribution to an alternate payee of the benefit assigned to the alternate payee under the Plan prior to the applicable Participant's earliest retirement age (as defined in section 414(p) of the Code) under the Plan.

(c) Other Exception. Notwithstanding any provision of the Plan to the contrary, if a Participant is ordered or required to pay an amount to the Plan pursuant to (i) a judgment in a criminal action, (ii) a civil judgment in connection with a violation (or alleged violation) of Part 4 of Subtitle B of Title I of ERISA or (iii) a settlement agreement between the Secretary of Labor and the Participant in connection with a violation (or alleged violation) of Part 4 of Subtitle B of Title I of ERISA, the Participant's Account under the Plan may, to the extent permitted by law, be offset by such amount.

Section 15.3. Employment Non-Contractual. The Plan confers no right upon an Employee to continue in employment.

Section 15.4. Merger or Consolidation with Another Plan; Transfer Contributions; Transferred Employees;

Divestitures.

(a) The Administrative Committee shall have the right to merge or consolidate all or a portion of the Plan with, or transfer all or part of the assets or liabilities of the Plan to, any other plan; provided, however, that the terms of such merger, consolidation or transfer are such that each Participant, distributee, Beneficiary or other person entitled to receive benefits from the Plan would, if the Plan were to terminate immediately after the merger, consolidation or transfer, receive a benefit equal to or greater than the

benefit such person would be entitled to receive if the Plan were to terminate immediately before the merger, consolidation or transfer.

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(b) Amounts transferred to the Plan pursuant to Subsection (a) above (“Transfer Contributions”) and participation in the Plan by Employees who become eligible for the Plan in anticipation or at the time of a plan merger, consolidation or transfer or in connection with a business acquisition by an Employer (“Transferred Employees”) shall be subject to all terms and conditions of the Plan as in effect from time to time, except to the extent provided on Schedule A or an Appendix to the Plan which may contain additional terms and conditions governing the application of the Plan to the Transfer Contributions and Transferred Employees. The terms of Schedule A and the Appendices hereby are incorporated and made part of the Plan and, in the event of any inconsistency between the terms of the Plan and the terms of Schedule A or an Appendix, Schedule A or the Appendix, as applicable, shall control with respect to the Transfer Contributions and Transferred Employees covered by the Schedule or Appendix; provided, however, that if such inconsistency results from changes made in the provisions of the Plan to comply with applicable law, then such provisions of the Plan shall control.

(c) The Accounts of Employees who will cease to participate in the Plan as a result of a divestiture or similar corporate transaction (such Accounts, “Divestiture Accounts”, and such Employees, “Divestiture Participants”) shall be subject to all terms and conditions of the Plan as in effect from time to time, except to the extent provided on Schedule B to the Plan which may contain additional terms and conditions governing the application of the Plan to the Divestiture Accounts and Divestiture Participants. The terms of Schedule B hereby are incorporated and made part of the Plan and, in the event of any inconsistency between the terms of the Plan and the terms of Schedule B, Schedule B shall control with respect to the Divestiture Accounts and Divestiture Participants covered by the Schedule; provided, however, that if such

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inconsistency results from changes made in the provisions of the Plan to comply with applicable law, then such provisions of the Plan shall control.

Section 15.5. Gender and Plurals. Wherever used in the Plan, words in the masculine gender shall include the

masculine or feminine gender, and, unless the context otherwise requires, words in the singular shall include the plural, and words in the plural shall include the singular.

Section 15.6. Statute of Limitations for Actions under the Plan. Except for actions to which the statute of limitations prescribed by section 413 of ERISA applies, (a) no legal or equitable action relating to a claim under section 502 of ERISA may be commenced later than one (1) year after the claimant receives a final decision from the Administrative Committee in response to the claimant's request for review of an adverse benefit determination and (b) no other legal or equitable action involving the Plan may be commenced later than two (2) years after the date the person bringing the action knew, or had reason to know, of the circumstances giving rise to the action. This provision shall not bar the Plan or its fiduciaries from recovering overpayments of benefits or other amounts incorrectly paid to any person under the Plan at any time or bringing any legal or equitable action against any party.

Section 15.7. Applicable Law. The Plan and all rights hereunder shall be governed by and construed in accordance with the laws of the State of Florida (without regard to principles of conflicts of law) to the extent such laws have not been preempted by applicable federal law. Venue for any action arising under the Plan shall be in Brevard County, Florida.

Section 15.8. Severability. If any provision of the Plan is held illegal or invalid, the illegality or invalidity shall not affect the remaining provisions of the Plan and the Plan shall be construed and enforced as if the illegal or invalid provision had not been included in the Plan.

Section 15.9. No Guarantee. None of the Company, the Employers, the Administrative Committee, the Investment Committee or the Trustee in any way guarantees the Trust from loss or depreciation nor the payment of any benefit that may be or become due to any person from the Trust Fund. Nothing in the Plan shall be deemed to give any Participant, distributee or Beneficiary an interest in any specific part of the Trust Fund or any other interest except the right to receive benefits from the Trust Fund in accordance with the provisions of the Plan and the trust agreement.

Section 15.10. Plan Voluntary. Although it is intended that the Plan shall be continued and that contributions shall be made as herein provided, the Plan is entirely voluntary on the part of the Employers and the continuance of the Plan and the contributions hereunder are not and shall not be regarded as contractual obligations of the Employers.

Section 15.11. Legal Fees. Any award of legal fees in connection with an action involving the Plan shall be calculated pursuant to a method that results in the lowest amount of fees being paid, which amount shall be no more than the amount that is

reasonable. In no event shall legal fees be awarded for work related to: (a) administrative proceedings under the Plan; (b) unsuccessful claims brought by a Participant or any other person; or (c) actions that are not brought under ERISA. In calculating any award of legal fees, there shall be no enhancement for the risk of contingency, nonpayment or any other risk, nor shall there be applied a contingency multiplier or any other multiplier. In any action brought by a Participant or any other person against the Plan, the Administrative Committee, the Investment Committee, any Plan fiduciary, any Employer or their respective affiliates or their or their affiliates' respective officers, directors, trustees, employees, or agents (collectively, the "Plan Parties"), legal fees of the Plan

Parties in connection with such action shall be paid by the Participant or other person bringing the action, unless the court specifically finds that there was a reasonable basis for the action.

ARTICLE 16

TOP-HEAVY PLAN REQUIREMENTS

Section 16.1. Top-Heavy Plan Determination. If as of the determination date (as hereinafter defined) for any Plan Year the aggregate of (a) the account balances under the Plan and all other defined contribution plans in the aggregation group (as hereinafter defined) and (b) the present value of accrued benefits under all defined benefit plans in such aggregation group of all participants in such plans who are key employees (as hereinafter defined) for such Plan Year exceeds 60% of the aggregate of the account balances and the present value of accrued benefits of all participants in such plans as of the determination date, then the Plan shall be a "top-heavy plan" for such Plan Year, and the requirements of Section 16.3 shall be applicable for such Plan Year as of the first day thereof. If the Plan is a top-heavy plan for any Plan Year and is not a top-heavy plan for any subsequent Plan Year, the requirements of Section 16.3 shall not be applicable for such subsequent Plan Year.

Section 16.2. Definitions and Special Rules.

(a) Definitions. For purposes of this Article 16, the following definitions shall apply:

(1) Determination Date. The determination date for all plans in the aggregation group shall be the last day of the preceding Plan Year, and the valuation date applicable to a determination date shall be (i) in the case of a defined contribution plan, the date as of which account balances are determined that coincides with or immediately precedes the determination date, and (ii) in the

case of a defined benefit plan, the date as of which the most recent actuarial valuation for the Plan Year that includes the determination date is prepared, except that if any such plan specifies a different determination or valuation date, such different date shall be used with respect to such plan.

(2) Aggregation Group. The aggregation group shall consist of (a) each plan of an Employer in which a key employee is a participant, (b) each other plan that enables such a plan to be qualified under section 401(a) of the Code, and (c) any other plans of an Employer that the Company designates as part of the aggregation group.

(3) Key Employee. Key employee shall have the meaning set forth in section 416(i) of the Code.

(4) Compensation. Compensation shall have the meaning set forth in Treasury Regulation section 1.415(c)-2(d)(4). Compensation for this purpose shall not include any amount excludable under Treasury Regulation section 1.415(c)-2(g)(5)(ii).

(b) Special Rules. For the purpose of determining the account balance or accrued benefit of a participant, (i) the account balance or accrued benefit of any person who has not performed services for an Employer at any time during the one-year period ending on the determination date shall not be taken into account pursuant to this Section, and (ii) any person who received a distribution from a plan (including a plan that has terminated) in the aggregation group during the one-year period ending on the determination date shall be treated as a participant in such plan, and any such distribution shall be included in such participant's account balance or accrued benefit, as the case may be; provided, however, that in the case of a

distribution made for a reason other than a person's severance from employment, death or disability, clause (ii) of this Section 16.2(b) shall be applied by substituting "five-year period" for "one-year period."

Section 16.3. Minimum Contribution for Top-Heavy Years. Notwithstanding any provision of the Plan to the contrary, for any Plan Year for which the Plan is a top-heavy plan, a minimum contribution shall be made on behalf of each Participant (other than a key employee) who is an Employee on the last day of the Plan Year in an amount equal to the lesser of (i) 3% of such Participant's

compensation during such Plan Year and (ii) the highest percentage at which Employer contributions (including pre-tax contributions) are made on behalf of any key employee for such Plan Year. If during any Plan Year for which this Section 16.3 is applicable a defined benefit plan is included in the aggregation group and such defined benefit plan is a top-heavy plan for such Plan Year, the percentage set forth in clause (i) of the first sentence of this Section 16.3 shall be 5%. The percentage referred to in clause (ii) of the first sentence of this Section 16.3 shall be obtained by dividing the aggregate of Employer contributions made pursuant to Article 4 or any Appendix hereto and pursuant to any other defined contribution plan that is required to be included in the aggregation group (other than a defined contribution plan that enables a defined benefit plan that is required to be included in such group to be qualified under section 401(a) of the Code) during the Plan Year on behalf of such key employee by such key employee's compensation for the Plan Year. Notwithstanding the foregoing, the minimum contribution described in this Section 16.3 for any Plan Year for which the Plan is a top-heavy plan shall not be made under this Plan with respect to any Participant who receives a minimum contribution or minimum benefit for purposes of section 416(c) of the Code under another plan maintained by an Employer or Affiliate.

ARTICLE 17

AMENDMENT, ESTABLISHMENT OF SEPARATE PLAN, PLAN TERMINATION AND CHANGE IN CONTROL

Section 17.1. Amendment. The Administrative Committee may, at any time and from time to time, amend or modify the Plan. Any such amendment or modification shall be in writing, shall become effective as of such date determined by the Administrative Committee, including retroactively to the extent permitted by law, and may apply to Participants in the Plan at the time thereof as well as to future Participants.

Section 17.2. Establishment of Separate Plan. If an Employer withdraws from the Plan pursuant to Section 14.2, then the Administrative Committee shall determine the portion of each of the funds of the Trust Fund that is applicable to the Participants of such Employer and their Beneficiaries and direct the Trustee to segregate such portions in a separate trust. Such separate trust thereafter shall be held and administered as a part of the separate plan of such Employer. The portion of a fund of the Trust Fund applicable to the Participants (and Beneficiaries) of a particular Employer shall be an amount that bears the same ratio to the value of such fund as the total value of the fund accounts of Participants (and Beneficiaries) of such Employer bears to the total value of the fund accounts of all Participants (and Beneficiaries).

Section 17.3. Termination. The Company at any time may terminate the Plan by action of the chief human resources

officer of the Company. An Employer at any time may terminate its participation in the Plan by resolution of its board of directors. In the event of any such termination, or in the event of the partial termination of the Plan with respect to a group of Participants, the Accounts of Participants with respect to whom the Plan is terminated shall become fully vested and thereafter shall not be subject to forfeiture. In the event that an Employer terminates its participation in the Plan, the Administrative Committee shall determine,

in the manner provided in Section 17.2, the portion of each of the funds of the Trust Fund that is applicable to the Participants of such Employer and their Beneficiaries and direct the Trustee to distribute such portions to such Participants and Beneficiaries ratably in proportion to the balances of their respective Accounts.

A complete discontinuance of contributions by an Employer shall be deemed a termination of such Employer's participation in the Plan for purposes of this Section.

Section 17.4. Change in Control. (a) Effect. Notwithstanding any provision of the Plan to the contrary, during the period commencing on the date of a Change in Control and ending at the close of business on the last day of the Plan Year during which the Change in Control occurs (the "Restriction Period"), the Plan may not be terminated, and the Plan may not be amended to:

- (1) revise the definition of Eligible Employee such that fewer Employees are eligible to participate in the Plan, lengthen the service requirement for participation in the Plan, create an age requirement or entry dates for participation in the Plan or otherwise reduce coverage under the Plan;
- (2) reduce the amount of pre-tax contributions, designated Roth contributions or after-tax contributions that a Participant is permitted to make under the Plan; or
- (3) reduce the amount of matching contributions, fringe contributions or other employer contributions required to be made under the Plan.

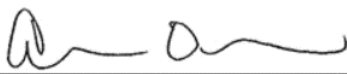
(a) Miscellaneous. Any person who was an Eligible Employee on the day immediately preceding a Change in Control shall be deemed to be an Eligible Employee during the Restriction Period so long as the person is employed by a member of a "controlled group of

corporations” which includes, or by a trade or business that is under common control with (as those terms are defined in sections 414(b) and (c) of the Code), the Company, any corporation which is the survivor of any merger or consolidation to which the Company was a party, or any corporation into which the Company has been liquidated.

Section 17.5. Trust Fund to Be Applied Exclusively for Participants and Their Beneficiaries. Subject only to the provisions of Article 6 and Sections 15.2(b) and (c), and any other provision of the Plan to the contrary notwithstanding, no part of the Trust Fund (or if the Trust is a master trust, no part of the Trust Fund with respect to the Plan) shall be used for or diverted to any purpose not for the exclusive benefit of the Participants and their Beneficiaries, either by operation or termination of the Plan, power of amendment or other means.

IN WITNESS WHEREOF, the Company has caused this instrument to be executed by its duly authorized agent on this 30th day of December, 2024.

L3HARRIS TECHNOLOGIES, INC.

By:  _____

Title: Vice President, Global Benefits, Global Total Rewards

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SCHEDULE A

Special Rules Applying to Transfer Contributions and Transferred Employees

This Schedule A sets forth special rules applying to Transfer Contributions and Transferred Employees (each as defined in Section 15.4 of the Plan). Each of the provisions of the Plan shall be fully applicable to the Transfer Contributions and Transferred Employees, to the extent that such provisions are not inconsistent with this Schedule A. All capitalized terms used in this Schedule A and not otherwise defined herein shall have the meanings assigned to them by the Plan.

1. Encoda Systems, Inc. Profit Sharing Plan and Trust

(a) In General. Effective March 31, 2005, the Encoda Systems, Inc. Profit Sharing Plan and Trust (the “Encoda Plan”) was merged with and into the Plan. The portion of a Participant’s Account attributable to Transfer Contributions from the Encoda Plan shall be designated herein as the “Encoda Plan Account”.

(b) Vesting. A Participant's Encoda Plan Account shall be 100% vested and nonforfeitable.

(c) Age 70 ½ Distributions. A Participant who continues employment after attaining age 70½ will be entitled to elect to commence distribution of his Encoda Plan Account no later than April 1 of the calendar year following the calendar year in which the Participant attains age 70½ even if such Participant remains employed. Distributions under this paragraph will be made in accordance with Section 9.1(c) (age 59½ withdrawals) or Section 9.3(d) (age 70½ minimum distributions), as elected by the Participant.

2. Harris Broadcast Communications Division 401(k) Plan

(a) In General. The Company, Leitch Incorporated ("Leitch"), Optimal Solutions, Inc. ("OSI") and Viewbridge, Inc. ("Viewbridge") formerly participated in the Harris Broadcast Communications Division 401(k) Plan (the "Broadcast Plan"), which plan was frozen as to new contributions and new participants effective June 30, 2007. Effective as of June 30, 2007, Leitch and OSI were liquidated into the Company. Effective July 1, 2007, Viewbridge became an Employer under the Plan. The Broadcast Plan shall be merged with and into the Plan, effective September 30, 2007.

(b) Automatic Enrollment. The provisions of Section 3.2(b) of the Plan with respect to deemed elections to participate in the Plan shall not apply to former participants in the Broadcast Plan who become eligible to participate in the Plan effective July 1, 2007.

(c) Vesting. Former participants in the Broadcast Plan who were hired by Leitch, OSI or Videotek, Inc. prior to January 1, 2006 shall be 100% vested in their Accounts under the Plan.

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(d) In-Service Withdrawal of Certain Profit Sharing Contributions. A former participant in the Videotek, Inc. 401(k) Plan, which plan was merged into the Broadcast Plan effective June 30, 2006 (the "Videotek Plan") who has completed at least 10 Years of Service may elect an in-service withdrawal of an amount not to exceed 50% of the portion of his or her Account attributable to employer non-elective discretionary profit sharing contributions made to the Videotek Plan. Notwithstanding any provision of the Plan to the contrary, for this purpose, a "Year of Service" is a Plan Year during which the Participant is credited with at least 1,000 Hours of Service.

(e) Service. Service shall be credited for purposes of the Plan with Aastra Digital Video and Aastra Telecom U.S., Inc. (in the latter case, provided that the Participant commenced employment by the Company in connection with the acquisition by the Company of the assets of Aastra Telecom U.S., Inc.).

3. Harris Technical Services Corporation 401(k) Plan

(a) In General. Harris Technical Services Corporation ("HTSC") maintained the Harris Technical Services Corporation 401(k) Plan (the "HTSC Plan") on behalf of its Harris Enterprise Services business unit (business unit 00211) (the "HES Business Unit"). The HTSC Plan was frozen as to new contributions and new participants, effective July 31, 2007, and HTSC adopted the Plan on behalf of its HES Business Unit, effective August 1, 2007. The HTSC Plan was merged with and into the Plan, effective October 31, 2007.

(b) Automatic Enrollment. The provisions of Section 3.2(b) of the Plan with respect to deemed elections to participate in the Plan shall not apply to former participants in the HTSC Plan who become eligible to participate in the Plan effective August 1, 2007 (or such later date determined by the Administrative Committee).

(c) Match Eligibility. Former participants in the HTSC Plan who become eligible to participate in the Plan effective August 1, 2007 (or such later date determined by the Administrative Committee) shall be eligible to receive a matching contribution pursuant to Section 4.2 of the Plan, irrespective of whether such participants have completed the service requirement thereunder.

(d) Service. Service with "Resource Consultants, Inc. USPS MTSC (effective March 1, 2004)" shall be credited for purposes of the Plan.

4. **Multimax, Inc. 401(k) Retirement Savings Plan**

(a) In General. Multimax Incorporated (“Multimax”) formerly sponsored the Multimax, Inc. 401(k) Retirement Savings Plan (the “Multimax Plan”), which plan was frozen as to new participants and new contributions effective September 7, 2007. Effective September 8, 2007, Multimax became an Employer under this Plan. The Multimax Plan shall be merged with and into this Plan effective December 31, 2007.

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(b) Match Eligibility. Participants who were employed by Multimax on September 7, 2007 shall be eligible to receive a matching contribution pursuant to Section 4.2 of the Plan effective as of the first day of the calendar month coinciding with or following 30 days of employment with Multimax or any Affiliate thereof.

(c) Vesting. The Profit Sharing Accounts of Participants who were employed by Multimax on September 7, 2007 shall be 100% vested and nonforfeitable. The vested and nonforfeitable percentage of the Matching Accounts of Participants who were employed by Multimax on September 7, 2007 shall be determined as follows by reference to a Participant’s Years of Service as of the date of the Participant’s termination of employment:

<u>Years of Service</u>	<u>Percentage</u>
Less than 1	0%
At least 1 but less than 2	33%
At least 2 but less than 3	66%
3 or more	100%

(d) Service. Service with “Legacy Multimax Inc.” shall be credited for purposes of the Plan.

5. **Crucial Security, Inc. 401(k) Plan**

Crucial Security, Inc. (“Crucial”) maintained the Crucial Security, Inc. 401(k) Plan (the “Crucial Plan”), which plan was frozen as to new participants and new contributions effective April 15, 2009. Effective April 16, 2009, Crucial became an Employer under this Plan. The Crucial Plan was merged with and into this Plan effective August 28, 2009.

6. **Patriot Technologies, LLC 401(k) Plan**

(a) In General. Harris Patriot Healthcare Solutions, LLC (“Harris Patriot”) maintained the Patriot Technologies, LLC 401(k) Plan (the “Patriot Plan”), which plan was frozen as to new participants and new contributions effective November 30, 2009. Effective December 1, 2009, Harris Patriot became an Employer under this Plan. The Patriot Plan was merged with and into this Plan effective June 16, 2010.

(b) Service. For purposes of the Plan, service with Global Technologies Group, Inc. shall be credited to former participants in the Patriot Plan.

7. **CapRock Communications, Inc. 401(k) Plan**

(a) In General. CapRock Communications, Inc. (“CapRock”) maintained the CapRock Communications, Inc. 401(k) Plan (the “CapRock Plan”), which plan was frozen as to new participants and new contributions effective September 30, 2010. Effective October 1, 2010,

CapRock and its subsidiaries (including without limitation, CapRock Government Solutions, Inc.) became Employers under this Plan. The CapRock Plan was merged with and into this Plan effective as of December 31, 2010.

(b) Service. For purposes of the Plan, service with McLeod USA and Arrowhead Global Solutions, Inc. shall be credited to former participants in the Caprock Plan.

(c) Automatic Enrollment. The provisions of Section 3.2(b) of the Plan with respect to deemed elections to participate in the Plan shall not apply to former participants in the CapRock Plan who become eligible to participate in the Plan effective October 1, 2010.

8. **ADP TotalSource Retirement Savings Plan**

(a) In General. Prior to April 4, 2011, Carefx Corporation (“Carefx”) participated in the ADP TotalSource Retirement Savings Plan, a multiple employer defined contribution plan sponsored by ADP TotalSource, Inc. (the “ADP Plan”). Effective as of April 4, 2011, Carefx became an Employer under this Plan. The assets and liabilities of the ADP Plan attributable to the employees and former employees of Carefx were transferred to this Plan in a trust-to-trust transfer effective as of September 1, 2011.

(b) Vesting. Notwithstanding any other provision in this Plan, former participants in the ADP Plan whose accounts under such plan were transferred to this Plan in a trust-to-trust transfer effective as of September 1, 2011 (“Former ADP Plan Participants”) shall be 100% vested in their Matching Accounts under this Plan.

(c) Military Leave Withdrawals. In the case of a military leave withdrawal pursuant to Section 9.1(e) of this Plan, a Former ADP Plan Participant shall be permitted to withdraw not only all or any portion of his or her Pre-Tax Account and Designated Roth Account, but also all or any portion of his or her Account attributable to matching contributions. Except as otherwise set forth in this item (c), any such withdrawal shall be subject to the terms and conditions of Section 9.1(e).

9. **Exelis Retirement Savings Plan**

(a) In General. Exelis Inc. (“Exelis”) maintained the Exelis Retirement Savings Plan, which plan was merged with and into this Plan effective December 31, 2015. Effective January 1, 2016, Exelis and certain subsidiaries of Exelis became Employers under this Plan.

10. **Former Employees of Tait Communications**

(a) In General. Effective on or around August 15, 2016, certain former employees of Tait Communications (the “Former Tait Employees”) became employed by the Company and its affiliates as a result of an agreement between the Company and Tait Communications pursuant to which the Company became the exclusive distributor in North America for certain products co-branded by the Company and Tait Communications.

(b) Service. Service with Tait Communications shall be credited for purposes of the Plan with respect to the Former Tait Employees.

11. **L3 Technologies Master Savings Plan**

(a) In General. L3 Technologies, Inc. (“L3”) maintained the L3 Technologies Master Savings Plan (the “L3 Plan”), which plan was merged with and into this Plan effective December 31, 2019. Effective January 1, 2020, L3 and certain subsidiaries of L3 became

Employers under this Plan.

(b) Automatic Enrollment. The provisions of Section 3.2(b) of the Plan with respect to deemed elections to participate in the Plan shall not apply to employees of L3 and its subsidiaries who became eligible to participate in the Plan effective January 1, 2020 as a result of the plan merger.

(c) Match Eligibility. A former participant in the L3 Plan (an “L3 Participant”) eligible to receive matching contributions under the L3 Plan as of December 31, 2019 shall be eligible to receive matching contributions pursuant to Section 4.2 of the Plan, regardless of whether he or she has been credited with one Year of Service.

(d) Vesting. If an L3 Participant’s employment with all Employers and Affiliates terminates under circumstances other than those set forth in Section 9.2(a), then the L3 Participant shall be entitled to receive the portion of his or her Account attributable to his or her Employer Contribution Account under the L3 Plan (the “L3 Employer Account”) in accordance with the vesting schedule(s) under the L3 Plan in effect on December 31, 2019 applicable to the L3 Employer Account, considering the L3 Participant’s Years of Service as of the date of the L3 Participant’s termination of employment.

In addition, the portion of an L3 Participant’s Account attributable to matching contributions under the L3 Plan made on behalf of an hourly employee of the Ocean Systems Division pursuant to Appendix 20 (the “Ocean Systems Hourly Account”) shall be fully vested upon the L3 Participant’s (i) Disability or (ii) termination of employment by reason of retirement (including early retirement) under the terms of the L3Harris Ocean Systems Pension Plan for Hourly Employees or by reason of a manpower reduction or reorganization by the Employer.

(e) In-Service Withdrawal of Vested L3 Employer Account. An L3 Participant who has attained age 55 may withdraw all or any part of the portion of his or her Account attributable to his or her L3 Employer Account, to the extent vested at the time of withdrawal. Such payment shall be in the form of a lump sum. For the avoidance of doubt, the L3 Employer Account for this purpose shall not include any amount attributable to participation in a money purchase pension plan.

(f) In-Service Withdrawal of Ocean Systems Hourly Account. An L3 Participant who has been credited with five Years of Service may withdraw all or any part of the portion of his or her Account attributable to his or her Ocean Systems Hourly Account, to the extent vested at the time of withdrawal. Such payment shall be in the form of a lump sum.

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(g) Resumption of Contributions following Hardship Suspension. The contribution suspension for any L3 Participant whose contributions under the L3 Plan were suspended due to the Participant’s hardship withdrawal prior to January 1, 2020 shall cease to apply, effective January 1, 2020 (or as soon as practicable thereafter). Following the end of such suspension, contributions to the Plan by the Participant shall not resume until the Participant has affirmatively elected, in the manner prescribed by the Administrative Committee, to resume contributing to the Plan.

(h) Beneficiary. Any designation of a beneficiary under the L3 Plan in effect at the time of the merger of the L3 Plan into this Plan shall remain in full force and effect and govern the L3 Participant’s benefit under this Plan until modified by the L3 Participant in accordance with Plan procedures; provided, however, that in the event that at the time of such merger the L3 Participant had a more recent beneficiary designation under this Plan, that more recent beneficiary designation shall govern until modified by the L3 Participant in accordance with Plan procedures.

12. Autonomous Surface Vehicles, LLC 401(k) Profit Sharing Plan

(a) In General. Autonomous Surface Vehicles, LLC (“ASV”) maintained the Autonomous Surface Vehicles, LLC 401(k) Profit Sharing Plan (the “ASV Plan”), which plan was merged with and into this Plan effective December 31, 2019. Effective January 1, 2020, ASV and any subsidiary thereof became an Employer under this Plan.

(b) Automatic Enrollment. The provisions of Section 3.2(b) of the Plan with respect to deemed elections to participate in the Plan

shall not apply to employees of ASV or any subsidiary thereof who became eligible to participate in the Plan effective January 1, 2020 as result of the plan merger.

(c) Match Eligibility. A former participant in the ASV Plan (an “ASV Participant”) eligible to receive matching contributions under the ASV Plan as of December 31, 2019 shall be eligible to receive matching contributions pursuant to Section 4.2 of the Plan, regardless of whether he or she has been credited with one Year of Service.

(d) Vesting. If an ASV Participant’s employment with all Employers and Affiliates terminates under circumstances other than those set forth in Section 9.2(a), then the ASV Participant shall be entitled to receive the portion of his or her Matching Account and Profit Sharing Account attributable to participation in the ASV Plan in accordance with the following vesting schedule, by reference to the ASV Participant’s Years of Service as of the date of the ASV Participant’s termination of employment:

<u>Years of Service</u>	<u>Percentage</u>
Less than 1	0%
At least 1 but less than 2	50%
2 or more	100%

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(e) In-Service Withdrawal upon Disability. An ASV Participant may elect an in-service withdrawal of all or a portion of his or her Account upon or following his or her Disability. Withdrawal shall be in the form of a lump sum.

(f) Resumption of Contributions following Hardship Suspension. The contribution suspension for any ASV Participant whose contributions under the ASV Plan were suspended due to the Participant’s hardship withdrawal prior to January 1, 2020 shall cease to apply, effective January 1, 2020 (or as soon as practicable thereafter). Following the end of such suspension, contributions to the Plan by the Participant shall not resume until the Participant has affirmatively elected, in the manner prescribed by the Administrative Committee, to resume contributing to the Plan.

(g) Beneficiary. Any designation of a beneficiary under the ASV Plan in effect at the time of the merger of the ASV Plan into this Plan shall be void and of no effect on and after January 1, 2020.

(h) Service. For purposes of the Plan, service with C&C Technologies shall be credited to ASV Participants.

13. **Flight Data Services Inc. 401(k) Profit Sharing Plan and Trust**

(a) In General. Flight Data Services Inc. (“FDS”) maintains the Flight Data Services Inc. 401(k) Profit Sharing Plan and Trust (the “FDS Plan”), which plan will be merged with and into this Plan effective November 1, 2020. Effective April 16, 2020, FDS became an Employer under this Plan.

(b) Automatic Enrollment. The provisions of Section 3.2(b) of the Plan with respect to deemed elections to participate in the Plan shall not apply to Employees of FDS who became eligible to participate in the Plan effective April 16, 2020.

(c) Match Eligibility. A former participant in the FDS Plan (an “FDS Participant”) eligible to receive matching contributions under the FDS Plan as of April 16, 2020 shall be eligible to receive matching contributions pursuant to Section 4.2 of the Plan, regardless of whether he or she has been credited with one Year of Service.

(d) Vesting. The portion of an FDS Participant’s Matching Account and Profit Sharing Account attributable to participation in the FDS Plan shall be fully vested and nonforfeitable at all times.

(e) Beneficiary. Any designation of a beneficiary under the FDS Plan in effect at the time of the merger of the FDS Plan into this Plan shall be void and of no effect on and after November 1, 2020.

14. **Former Employees of Viasat, Inc.**

(a)

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(a) In General. In connection with that transaction contemplated by the Asset Purchase Agreement by and between Viasat, Inc. and the Company dated October 1, 2022 (the “Viasat Purchase Agreement”), certain Transferred Employees, as such term is defined in the Viasat Purchase Agreement (the “Viasat Participants”) will become employed by the Company and its affiliates.

(b)

(c) Match Eligibility. A Viasat Participant shall be eligible to receive matching contributions pursuant to Section 4.2 of the Plan, regardless of whether he or she has been credited with one Year of Service.

(d)

(e) Vesting. The Matching Account and Profit Sharing Account of a Viasat Participant shall be 100% vested and nonforfeitable, regardless of the Years of Service of the Viasat Participant.

(f)

(g) Service. For purposes of the Plan, service with Viasat, Inc. and its subsidiaries shall be credited to Viasat Participants.

(h)

15. **Aerojet Rocketdyne Retirement Savings Plan**

(a) In General. Aerojet Rocketdyne Holdings, Inc. (“AJRD”) maintained the Aerojet Rocketdyne Retirement Savings Plan (the “AJRD Plan”), which plan was merged with and into this Plan effective December 31, 2023. Effective January 1, 2024, AJRD and certain subsidiaries of AJRD became Employers under this Plan.

(b) Automatic Enrollment. The provisions of Section 3.2(b) of the Plan with respect to deemed elections to participate in the Plan shall not apply to employees of AJRD and its subsidiaries who, effective December 12, 2023, had deferral elections in effect under the AJRD Plan (whether pre-tax, designated Roth and/or after-tax elections) with respect to 6% or more of their eligible compensation, in the aggregate (a “6% AJRD Participant”). The deferral elections of 6% AJRD Participants under the AJRD Plan shall be carried forward to this Plan, effective January 1, 2024, unless such an employee modifies such elections at such time and in accordance with such procedures as may be prescribed by the Administrative Committee. The provisions of Section 3.2(b) of the Plan with respect to deemed elections to participate in the Plan shall apply

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to all other employees of AJRD and its subsidiaries; provided, however, that such a deemed election with respect to a participant in the AJRD Plan as of December 12, 2023 other than a 6% AJRD Participant shall be effective as of the first payroll in 2024, as opposed to thirty-five (35) days thereafter. Elections to make catch-up contributions under the AJRD Plan also shall be carried forward to this Plan, effective January 1, 2024, unless an employee modifies such elections at such time and in accordance with such procedures as may be prescribed by the Administrative Committee.

(c) Match Eligibility. A participant in the AJRD Plan as of December 15, 2023 (a “Former AJRD Plan Participant”) shall be eligible

to receive matching contributions pursuant to Section 4.2 of the Plan, regardless of whether he or she has been credited with one Year of Service.

(d) Vesting. Notwithstanding any provision within Section 9.2 of the Plan or any other provision of the Plan to the contrary, a Former AJRD Plan Participant's Matching Account shall be 100% vested and nonforfeitable, regardless of the Years of Service of the Former AJRD Plan Participant. In addition, all other amounts attributable to employer contributions made under the AJRD Plan with respect to a Former AJRD Plan Participant shall be 100% vested and nonforfeitable, regardless of the Years of Service of the Former AJRD Plan Participant.

(e) Military Leave Withdrawal. In the case of a military leave withdrawal pursuant to Section 9.1(e) of the Plan, a Former AJRD Plan Participant shall be permitted to withdraw not only his or her Pre-Tax Account and Designated Roth Account, but also all or any portion of the remainder of his or her Account. Except as otherwise set forth in this item (e), any such withdrawal shall be subject to the terms and conditions of Section 9.1(e).

(f) Beneficiary. Any designation of a beneficiary under the AJRD Plan in effect at the time of the merger of the AJRD Plan into this Plan shall remain in full force and effect and govern the Former AJRD Plan Participant's benefit under this Plan until modified by the Former AJRD Plan Participant in accordance with Plan procedures; provided, however, that in the event that at the time of such merger the Former AJRD Plan Participant had a more recent beneficiary designation under this Plan, that more recent beneficiary designation shall govern until modified by the Former AJRD Plan Participant in accordance with Plan procedures.

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SCHEDULE B

Special Rules Applying to Divestiture Accounts and Divestiture Participants

This Schedule B sets forth special rules applying to Divestiture Accounts and Divestiture Participants (each as defined in Section 15.4 of the Plan). Each of the provisions of the Plan shall be fully applicable to the Divestiture Accounts and Divestiture Participants, to the extent that such provisions are not inconsistent with this Schedule B. All capitalized terms used in this Schedule B and not otherwise defined herein shall have the meanings assigned to them by the Plan.

1. Divestiture of the Broadcast Communications Division

(a) In General. The Company has entered into an Asset Sale Agreement with HBC Solutions, Inc. (formerly known as Gores Broadcast Solutions, Inc.) dated as of December 5, 2012 pursuant to which the Company will sell its Broadcast Communications Division (such agreement, as it may be amended from time to time, the "BCD Asset Sale Agreement"). The Employees who will cease to be employed by the Company as a result of such transaction shall be designated herein as "BCD Employees."

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the "Initial Closing Date" (as such term is defined in the BCD Asset Sale Agreement), the BCD Employees shall be 100% vested in their Accounts under the Plan.

2. Divestiture of the Healthcare Solutions Business Unit

(a) In General. The Company has entered into an Asset Sale Agreement with Nant Health, LLC dated as of June 16, 2015 pursuant to which the Company will sell its Healthcare Solutions Business Unit (such agreement, as it may be amended from time to time, the "HCS Asset Sale Agreement"). The Employees who will cease to be employed by the Company as a result of such transaction shall be designated herein as "HCS Employees."

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the "Closing Date" (as such term is defined in the HCS Asset Sale Agreement), the HCS Employees shall be 100% vested in their Accounts under the Plan.

3. Sale of Blue Falcon I Inc. (i.e., the Aerostructures Business of EDO LLC)

(a) In General. The Company has entered into a Stock Purchase Agreement with Blue Falcon I Inc. and Albany International Corp. dated as of February 27, 2016 pursuant to which the Company will sell the Aerostructures business of EDO LLC (such agreement, as it may be amended from time to time, the “Blue Falcon Purchase Agreement”).

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the “Closing Date” (as such term is defined in the Blue Falcon Purchase Agreement), the “Business

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Employees” and the “Leave Employees” (as each such term is defined in the Blue Falcon Purchase Agreement) shall be 100% vested in their Accounts under the Plan.

4. Divestiture of the Harris CapRock Communications Business

(a) In General. The Company has entered into a Sale Agreement with Speedcast International Limited dated as of November 1, 2016 pursuant to which the Company will sell the Harris CapRock Communications business to Speedcast International Limited (such agreement, as it may be amended from time to time, the “HCC Sale Agreement”).

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the “Initial Closing Date” (as such term is defined in the HCC Sale Agreement), the “Transferred U.S. Employees” (as such term is defined in the HCC Sale Agreement) shall be 100% vested in their Accounts under the Plan.

5. Divestiture of the Critical Networks Government Services Business

(a) In General. The Company has entered into a Sale Agreement with MHVC Acquisition Corp. dated as of January 26, 2017 pursuant to which the Company will sell to MHVC Acquisition Corp. a certain portion of the Company’s government services business operated within its Critical Networks segment (such agreement, as it may be amended from time to time, the “Magnolia Sale Agreement”).

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the “Closing Date” (as such term is defined in the Magnolia Sale Agreement), the “Transferred U.S. Employees” (as such term is defined in the Magnolia Sale Agreement) shall be 100% vested in their Accounts under the Plan.

6. Divestiture of the Night Vision Business

(a) In General. The Company has entered into an Asset Purchase Agreement with Elbit Systems Ltd. dated as of April 4, 2019 pursuant to which the Company will sell to Elbit Systems Ltd. its Night Vision business (such agreement, as it may be amended from time to time, the “Night Vision Sale Agreement”).

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the “Closing Date” (as such term is defined in the Night Vision Sale Agreement), the “Transferred Employees” (as such term is defined in the Night Vision Sale Agreement) shall be 100% vested in their Accounts under the Plan.

7. Divestiture of the Security and Automation Business

(a) In General. The Company has entered into a Sale Agreement with Leidos, Inc. dated as of February 3, 2020 pursuant to which the Company will sell to Leidos, Inc. a certain portion of the Company’s Security and Automation business, including the sale of the Company’s

subsidiary, L3 Security and Detection Systems, Inc. (such agreement, as it may be amended from time to time, the “SDS Sale Agreement”).

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the “Closing Date” (as such term is defined in the SDS Sale Agreement), the “Continuing U.S. Employees” (as such term is defined in the SDS Sale Agreement) shall be 100% vested in their Accounts under the Plan.

8. Divestiture of the EOTECH Business

(a) In General. The Company’s subsidiary, L3 Technologies, Inc., has entered into an Asset Purchase Agreement with Project Echo Holdings, LLC dated as of March 20, 2020 pursuant to which L3 Technologies, Inc. will sell to Project Echo Holdings, LLC certain assets related to L3 Technologies, Inc.’s handheld and tripod mounted electro-optical and applied optics solutions business operated through its EOTECH division and located in Ann Arbor, Michigan (such agreement, as it may be amended from time to time, the “EOTECH Asset Purchase Agreement”).

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the “Closing Date” (as such term is defined in the EOTECH Asset Purchase Agreement), the “Transferred U.S. Employees” (as such term is defined in the EOTECH Asset Purchase Agreement) shall be 100% vested in their Accounts under the Plan.

9. Divestiture of the Combat Vehicle Propulsion Systems Business

(a) In General. The Company has entered into an Asset and Stock Purchase Agreement with RENK AG dated as of March 1, 2021 pursuant to which the Company and certain of its subsidiaries will sell to RENK AG, among other assets, certain assets related to the Company’s tracked combat vehicle propulsion systems business (such agreement, as it may be amended from time to time, the “Combat Propulsion Asset and Stock Purchase Agreement”).

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the “Closing Date” (as such term is defined in the Combat Propulsion Asset and Stock Purchase Agreement), the “Transferred U.S. Employees” (as such term is defined in the Combat Propulsion Asset and Stock Purchase Agreement) shall be 100% vested in their Accounts under the Plan.

10. Divestiture of the Link Military Aviation Training Business

(a) In General. The Company has entered into a Share and Asset Purchase Agreement with CAE USA Inc. and CAE Inc. (collectively, “CAE”) dated as of February 27, 2021 pursuant to which the Company and its subsidiary will sell to CAE, (i) its wholly owned subsidiary, L3 Doss Aviation, Inc. and (ii) certain assets related to the Company’s military aviation training business operated within its Link Training and Simulation division of its Military Training sector of its Aviation Systems segment (such agreement, as it may be amended from time to time, the “Link Purchase Agreement”).

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the “Closing Date” (as such term is defined in the Link Purchase Agreement), the “Continuing U.S. Employees” (as such term is defined in the Link Purchase Agreement) shall be 100% vested in their Accounts under the Plan.

11. Divestiture of L3 Electron Devices, Inc. and the Narda Microwave-West Business

(a) In General. The Company has entered into a Sale Agreement with Alpha Midco, LLC dated as of July 2, 2021 pursuant to which the Company and its subsidiary will sell to Alpha Midco, LLC (i) its wholly-owned subsidiary, L3 Electron Devices, Inc. and (ii) certain assets related to the Company's Narda Microwave-West business operated within the Aerospace Products sector of the Company's Aviation Systems segment (such agreement, as it may be amended from time to time, the "Electron Devices/Narda Sale Agreement").

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the "Closing Date" (as such term is defined in the Electron Devices/Narda Sale Agreement), the "Transferred Employees" (as such term is defined in the Electron Devices/Narda Sale Agreement) shall be 100% vested in their Accounts under the Plan.

12. Divestiture of ESSCO Business

(a) In General. The Company's subsidiary, L3 Technologies, Inc., has entered into a Sale Agreement with Communications & Power Industries LLC dated as of September 1, 2021 pursuant to which L3 Technologies, Inc. will sell its ESSCO business operated within the Aerospace Products sector of its Aviation Systems segment, as conducted through L3 ESSCO, Inc. (such agreement, as it may be amended from time to time, the "ESSCO Sale Agreement").

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the "Closing Date" (as such term is defined in the ESSCO Sale Agreement), the "Continuing U.S. Employees" (as such term is defined in the ESSCO Sale Agreement) shall be 100% vested in their Accounts under the Plan.

13. Divestiture of Narda-MITEQ Business

(a) In General. The Company and certain of its subsidiaries have entered into a Purchase and Sale Agreement with NARDA Holdings, Inc. and NARDA Euro AcquiCo GmbH dated as of August 31, 2021 pursuant to which the Company and such subsidiaries will sell the Company's Narda-MITEQ business operated within the Aerospace Products sector of the Company's Aviation Systems segment (such agreement, as it may be amended from time to time, the "Narda-MITEQ Purchase and Sale Agreement").

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the "Closing Date" (as such term is defined in the Narda-MITEQ Purchase and Sale Agreement), the "Transferred U.S. Employees" (as such term is defined in the Narda-MITEQ Purchase and Sale Agreement) shall be 100% vested in their Accounts under the Plan.

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14. Divestiture of Space & Navigation Business

(a) In General. The Company has entered into a Sale Agreement with EMCORE Corporation and its wholly-owned subsidiary, Ringo Acquisition Sub, Inc., dated as of February 14, 2022 pursuant to which the Company and its subsidiary will sell the Company's Space & Navigation business operated previously within the Precision Engagement Systems sector of its Aviation Systems segment and at the time of sale within the Defense Electronics Systems Division of its Advanced Development Group Sector of the Integrated Mission Systems segment (such agreement, as it may be amended from time to time, the "Space & Navigation Sale Agreement").

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the "Closing Date" (as such term is defined in the Space & Navigation Sale Agreement), the "Transferred Employees" (as such term is defined in the Space & Navigation Sale Agreement) shall be 100% vested in their Accounts under the Plan.

15. Divestiture of L3Harris Geospatial Solutions, Inc. and the Space Systems Geospatial Business

(a) In General. The Company has entered into a Sale Agreement with NV5 Global, Inc. and NV5 Geospatial, Inc. dated as of December 21, 2022 pursuant to which the Company and its subsidiaries are selling the Company's geospatial business operated within the Space Systems sector of the Company's Space and Airborne Systems segment, as conducted in part by its U.S. subsidiary, L3Harris Geospatial Solutions, Inc. (such agreement, as it may be amended from time to time, the "Geospatial Solutions Sale Agreement").

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the “Closing Date” (as such term is defined in the Geospatial Solutions Sale Agreement), the “Continuing U.S. Employees” (as such term is defined in the Geospatial Solutions Sale Agreement) shall be 100% vested in their Accounts under the Plan.

16. Divestiture of Commercial Aviation Solutions (CAS) Business

(a) In General. The Company has entered into a Share and Asset Purchase Agreement with Horizon CTS Buyer, LLC dated as of November 21, 2023 pursuant to which the Company and its subsidiaries are selling the Company’s avionics, data analytics and commercial training solutions businesses (excluding the Mission Networks, Mission Avionics and Advanced Combat Systems sectors) (such agreement, as it may be amended from time to time, the “CAS Purchase Agreement”).

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the “Closing Date” (as such term is defined in the CAS Purchase Agreement), the “Continuing U.S. Employees” (as such term is defined in the CAS Purchase Agreement) shall be 100% vested in their Accounts under the Plan.

17. Divestiture of Electromagnetic/Radio Frequency Business

(a) In General. The Company has entered into a Sale Agreement with Fisica, Inc. dated as of April 4, 2024 pursuant to which the Company and its subsidiary will sell the Company’s

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Electromagnetic/Radio Frequency division (such agreement, as it may be amended from time to time, the “Electromagnetic/Radio Frequency Sale Agreement”).

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of the “Closing Date” (as such term is defined in the Electromagnetic/Radio Frequency Sale Agreement), the “Continuing Employees” (as such term is defined in the Electromagnetic/Radio Frequency Sale Agreement) shall be 100% vested in their Accounts under the Plan.

18. IT Outsourcing to Accenture

(a) In General. The Company has entered into an Agreement with Accenture (such agreement, as it may be amended from time to time, the “Accenture Agreement”), which sets forth the requirements of that certain project in connection with which certain “In-Scope Employees” (as such term is defined in Schedule P – Personnel to the Accenture Agreement) will terminate employment with L3Harris and its subsidiaries on or around June 15, 2024 (the actual date of such termination of employment for each In-Scope Employee, his or her “Employment Termination Date”) and become employed with Accenture (the “Employment Transition”).

(b) Vesting. Notwithstanding any other provision in the Plan, effective as of his or her Employment Termination Date, and provided he or she has accepted an offer of employment with Accenture as of such date, each In-Scope Employee shall be 100% vested in their Accounts under the Plan.

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SCHEDULE C

Special Rules Applying to the CARES Act

This Schedule C sets forth special rules under the Plan in relation to the coronavirus disease 2019. These special rules apply only for the

limited durations specified below. All capitalized terms used in this Schedule C and not otherwise defined herein shall have the meanings assigned to them by the Plan.

A. Definitions.

- (i) CARES Act. Coronavirus Aid, Relief, and Economic Security Act of 2020, as amended.
- (ii) CARES Act Distribution. A distribution from the Plan described in Section B of this Schedule C.
- (iii) CARES Act Loan. A loan from the Plan described in Section C of this Schedule C.
- (iv) COVID-19. The coronavirus disease 2019 or virus SARS-CoV-2.
- (v) Qualified Individual. A Participant, Beneficiary or alternate payee within the meaning of section 414(p) of the Code (solely for purposes of this “Qualified Individual” definition, collectively referenced as a “Participant”) who certifies in the manner required by the Administrative Committee that one or more of the following applies:
 - a. The Participant is diagnosed with COVID-19 by a test approved by the Centers for Disease Control and Prevention (including a test authorized under the Federal Food, Drug, and Cosmetic Act);
 - b. The Participant’s Spouse or dependent (as defined in Code section 152) is diagnosed with COVID-19 by a test approved by the Centers for Disease Control and Prevention (including a test authorized under the Federal Food, Drug, and Cosmetic Act);
 - c. The Participant experienced adverse financial consequences because:
 - (i) The Participant, the Participant’s Spouse or a member of the Participant’s household was quarantined, furloughed or laid off, or had work hours reduced, due to COVID-19;

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- (ii) The Participant, the Participant’s Spouse or a member of the Participant’s household was unable to work due to a lack of childcare due to COVID-19;
- (iii) A business owned and operated by the Participant, the Participant’s Spouse or a member of the Participant’s household closed or reduced hours due to COVID-19; or
- (iv) The Participant, the Participant’s Spouse or a member of the Participant’s household had a reduction in pay (or self-employment income) due to COVID-19 or had a job offer rescinded, or start date for a job delayed, due to COVID-19.

A “member of the Participant’s household” is an individual who shares the Participant’s principal residence.

The Administrative Committee may rely on a Participant’s certification that one or more of conditions (i) through (iv) above apply, provided that the Administrative Committee does not have actual knowledge to the contrary.

- B. CARES Act Distributions. A Participant, Beneficiary or alternate payee within the meaning of section 414(p) of the Code who is a Qualified Individual (in the case of a Participant, regardless of whether the Participant remains employed or has separated from service from the Employers) may request one or more distributions of his or her vested Account, other than his or her Money Purchase Pension Account, to be made on or after April 9, 2020 and prior to December 31, 2020; provided, however, that the aggregate amount of such distributions received by such Qualified Individual during 2020 from all qualified retirement plans maintained by the Employers and Affiliates that shall be considered CARES Act Distributions shall not exceed \$100,000.

Notwithstanding the foregoing, in no event shall any amount described in Q&A-4 of Treasury Regulation section 1.402(c)-2 be considered a CARES Act Distribution for purposes of the Plan.

To the extent permitted by the CARES Act, and in accordance with uniform rules set forth by the Administrative Committee, an Eligible Rollover Recipient may repay a coronavirus-related distribution within the meaning of section 2202(a)(4) of the CARES Act (but only to the extent that the distribution is eligible for tax-free rollover under sections 402(c), 403(a)(4), 403(b)(8), 408(d)(3) or 457(e)(16)) to the Plan (including any portion thereof attributable to designated Roth contributions described in section 402A of the Code) during the three-year period beginning on the day after the date that the Eligible Rollover Recipient received such distribution. Any such repayment shall be deemed to be a rollover contribution under Section 5.2 of the Plan and, except as otherwise set forth in this Schedule C, subject to the Plan's rules applicable to rollover contributions.

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- C. CARES Act Loans. A Participant who is a Qualified Individual may request a loan, other than a principal residence loan, from the Plan during the period beginning on April 20, 2020 and ending on September 22, 2020, which loan shall be subject to each of the provisions of the Plan and the Plan's loan program applicable to loans available under the Plan, except that in determining the maximum principal balance of such loan, (i) \$100,000 shall be substituted for \$50,000 and (ii) one hundred percent (100%) shall be substituted for fifty percent (50%), in each case as it appears in Section 10.1 of the Plan and in the Plan's loan program. For the avoidance of doubt, the number of outstanding CARES Act Loans, when aggregated with the number of outstanding loans under the Plan other than CARES Act Loans, shall not exceed two. CARES Act Loan repayments due prior to January 1, 2021 automatically shall be suspended pursuant to Section D below.
- D. Loan Repayment Suspension. Notwithstanding any provision to the contrary of the Plan or the Plan's loan program, a Participant who is a Qualified Individual and who has an outstanding loan (whether a principal residence loan or otherwise) may elect to suspend loan repayments due on or after April 20, 2020 and prior to January 1, 2021. The period of repayment of any loan for which repayments were suspended pursuant to this Schedule C shall be extended by the period that loan repayments were deferred, and repayments with respect thereto automatically shall be reamortized and recommence in January 2021. Interest shall continue to accrue during the suspension period described in this Section D.
- E. 2020 Required Minimum Distribution Waiver. Notwithstanding any provision in the Plan to the contrary, a Participant or Beneficiary who, but for the enactment of section 401(a)(9)(l) of the Code, would have been required to receive a "required minimum distribution" in 2020 (or paid in 2021 for the 2020 calendar year for a Participant with a "required beginning date" of April 1, 2021) but excluding for this purpose a "required minimum distribution" paid in 2020 for the 2019 calendar year for a Participant with a "required beginning date" of April 1, 2020 ("2020 RMDs") and who would have satisfied that requirement by receiving a distribution that is either (1) equal to the 2020 RMD, or (2) one or more payments (that include the 2020 RMD) in a series of substantially equal periodic payments made at least annually and expected to last for the life (or life expectancy) of the Participant, the joint lives (or joint life expectancies) of the Participant and the Participant's designated Beneficiary, or for a period of at least ten (10) years ("Extended 2020 RMDs"), will not receive such distribution unless the Participant or Beneficiary affirmatively elects to receive such distribution. For the avoidance of doubt, a "required minimum distribution" for the 2019 calendar year for a Participant with a "required beginning date" of April 1, 2020 shall be paid to the Participant without regard to this Section E. Solely for purposes of the direct rollover provisions of the Plan, 2020 RMDs and Extended 2020 RMDs will be treated in 2020 as eligible rollover distributions.
- F. Interpretation. This Schedule C is intended to meet the requirements of the CARES Act, and the Regulations and other applicable guidance promulgated thereunder, and the

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provisions of the Plan and this Schedule C shall be construed and interpreted in accordance with such intent.

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APPENDIX 1

MONEY PURCHASE PENSION ACCOUNTS

This Appendix 1 shall apply solely to a Participant with an Account that is attributable, in total or in part, to a Money Purchase Pension Account (such Participant, a “Money Purchase Participant”).

- A. Form of Distribution. Except as otherwise set forth in this Appendix 1, the Account of a Money Purchase Participant shall be distributed in the form of a single life annuity or, in the case of a Money Purchase Participant who is legally married on his or her annuity commencement date, in the form of a Joint and Survivor Annuity or, if the Money Purchase Participant has died prior to the annuity commencement date, a Pre-Retirement Survivor Annuity. Any annuity payable under this Appendix 1 shall be satisfied by purchase of a nonforfeitable annuity contract for the Money Purchase Participant or Spouse, as applicable.
- B. Joint and Survivor Annuity. The term “Joint and Survivor Annuity” means an annuity for the life of the Money Purchase Participant with a survivor annuity for the life of his or her surviving Spouse which is equal to 50, 75 or 100 percent of the amount of the annuity payable during the joint lives of the Money Purchase Participant and his or her Spouse and which is the actuarial equivalent of a single life annuity for the life of the Money Purchase Participant.

As soon as practicable after a married Money Purchase Participant’s annuity commencement date, the Administrative Committee will provide him or her with election information consisting of:

- (1) a written description of the Joint and Survivor Annuity and the relative financial effect of payment of his or her Account in that form; and
- (2) a notification of the right to waive payment in that form, the rights of his or her Spouse with respect to such waiver and the right to revoke such waiver.

During an election period commencing on the date the Money Purchase Participant receives such election information and ending on the later of the 180th day thereafter or the date as of which his or her benefits are to commence, a Money Purchase Participant may waive payment in the Joint and Survivor Annuity form and elect payment in a form permitted under Section 9.3(c) of the Plan provided that the Money Purchase Participant’s surviving Spouse, if any, has consented in writing to such waiver and the Spouse’s consent acknowledges the effect of such revocation and is witnessed by a notary public. A Money Purchase Participant may, at any time during his or her election period, revoke any prior waiver of the Joint and Survivor Annuity form. A Money Purchase Participant may request, in a writing filed with the Administrative Committee during his or her election period, an explanation, written in nontechnical language, of the terms,

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conditions and financial effect (in terms of dollars per monthly benefit payment) of payment in the Joint and Survivor Annuity form. If not previously provided to the Money Purchase Participant, the Administrative Committee shall provide the Money Purchase Participant with such explanation within 30 days of his or her request, and the Money Purchase

Participant's election period will be extended, if necessary, to include the 180th day following the date on which he or she receives such explanation. No distribution shall be made from the Account until the Money Purchase Participant's election period has terminated. Notwithstanding the foregoing, if the Money Purchase Participant's Account balance does not exceed \$7,000, the Account will be distributed in accordance with Section 9.4 of the Plan.

- C. Pre-Retirement Survivor Annuity. The term "Pre-Retirement Survivor Annuity" means an annuity for the life of the Money Purchase Participant's surviving Spouse, the payments under which must be equal to the amount of benefit that can be purchased with the balance in the Money Purchase Participant's Account as of the date of his or her death. Payment of such benefits will commence as soon as practicable after the date of the Money Purchase Participant's death, unless the surviving Spouse elects a later date. Any election to waive the Pre-Retirement Survivor Annuity must be made by the Money Purchase Participant in writing during the election period described herein and shall require the Spouse's consent in the same manner provided for in paragraph B. The election period to waive the Pre-Retirement Survivor Annuity shall begin on the first day of the Plan Year in which the Money Purchase Participant attains age 35 and end on the date of the Money Purchase Participant's death. In the event a Money Purchase Participant separates from service prior to the beginning of the election period, the election period shall begin on the date of such separation from service. In connection with the election, the Administrative Committee shall provide each Money Purchase Participant, within the period beginning with the first day of the Plan Year in which the Money Purchase Participant attains age 32 and ending with the close of the Plan Year preceding the Plan Year in which the Money Purchase Participant attains age 35, a written explanation of the Pre-Retirement Survivor Annuity containing comparable information to that required pursuant to the provisions of paragraphs B(1) and B(2). If the Money Purchase Participant enters the Plan after such election period has terminated, the Administrative Committee shall provide such explanation no later than one year following the entry of the Money Purchase Participant into the Plan. If the Money Purchase Participant is not married as of the date of his or her death, the Money Purchase Participant's Account shall be distributed to his or her Beneficiary in the form elected by the Beneficiary pursuant to Section 9.3(c) of the Plan. Notwithstanding the foregoing, if the Participant's distributable Account balance does not exceed \$7,000, the Account will be distributed in a lump sum.

APPENDIX 2

FORMER EXELIS INFORMATION SYSTEMS PROFESSIONAL BENEFITS EMPLOYEES' SAVINGS PLAN

This Appendix 2 applies to a Participant who was regularly employed by the Information Systems division of Exelis Inc. under the contracts listed below and who was hired on or after the date set forth below for such person's specific contract but prior to January 1, 2016 (an "Information Systems Participant"). Certain Information Systems Participants previously participated in the Exelis Information Systems Professional Benefits Employees' Savings Plan (the "Professional Employees' Savings Plan"), of which this Plan is a successor. The provisions of this Appendix 2 that modify the Plan's terms shall be construed in a manner that harmonizes this Appendix 2 with the Plan. Capitalized terms not otherwise defined in this Appendix 2 are defined in Article 2 of the Plan.

Contract Name	Effective Date
Business and Financial Management Support (BFMS)	July 15, 2004
Electromagnetic Spectrum Engineering Services (ESES)	August 5, 2005
Engineering, Technical and Programmatic Support Services Electronic Warfare (EW) – Surface and Airborne ("Crane")	March 24, 2007

Advisory and Assistance Services (A&AS) for United States Strategic Command (USSTRATCOM) Systems and Mission Support (“USAMS II”)	March 9, 2009
Commander, Navy Installations Command (CNIC)	August 24, 2009
JTF-GN Cyber Defense, Analysis, Operations and Strategic Planning Support (JTF-GN)	October 2, 2009
JIEDDO Omnibus (Omnibus)	April 1, 2010
Solutions for Intelligence Analysis, US Forces to Afghanistan	September 15, 2010

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Space Communications Network Services (SCNS)	April 11, 2011
Enterprise Communications Support Systems (ECSS)	September 30, 2011
US INSCOM OMNIB III Program	November 12, 2011
Wideband Satellite Operations and Technical Support (WSOTS)	February 1, 2012
JIEDDO Operations Support Services	March 26, 2012
FAA Command and Control Communications Program Support	April 2, 2012
Global Combat Support System – Marine Corps Sustainment Training (GCSS MC Sustainment Training)	October 15, 2013
Deep Space Network (DSN)	January 1, 2014

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Article 9
WITHDRAWALS AND DISTRIBUTIONS

Section 9.1 Withdrawals Prior to Termination of Employment

Notwithstanding any other provision in this Plan, an Information Systems Participant may withdraw all or part of his or her vested Matching Account provided that such matching contributions have been in the Professional Employees' Savings Plan, the Exelis Retirement Savings Plan or this Plan, or a combination thereof, for at least 24 months prior to such withdrawal.

Section 9.2 Vested Share of Account

Notwithstanding any other provision in this Plan, the entire Account of an Information Systems Participant shall be 100% vested and nonforfeitable.

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**APPENDIX 3
ES/IEWS EMPLOYEES**

This Appendix 3 applies to any person employed by the Electronic Systems/Integrated Electronic Warfare Systems divisions of the Company who is a member of the bargaining unit represented by the International Union of Electronic, Electrical, Salaried, Machine and Furniture Workers (I.U.E.)/Communications Workers of America, Local Union 81447, NJ location and who commenced such employment prior to January 1, 2022 (an "ES/IEWS Employee"); provided, however, that only Section 9.1 of this Appendix 3 shall apply to an ES/IEWS Employee who is rehired by an Employer on or after January 1, 2022. Certain ES/IEWS Employees previously participated in the Exelis Avionics Division and Exelis Communications Solutions Bargaining Unit Savings Plan (the "Avionics Savings Plan"), of which this Plan is a successor. Any references in this Appendix 3 to the Avionics Savings Plan shall mean such plan as in effect on December 31, 2014, the date immediately prior to such plan's merger into the Exelis Retirement Savings Plan. The provisions of this Appendix 3 that modify the Plan's terms shall be construed in a manner that harmonizes this Appendix 3 with the Plan. Capitalized terms not otherwise defined in this Appendix 3 are defined in Article 2 of the Plan.

Article 2
DEFINITIONS

Notwithstanding any other provision in the Plan, "Compensation" for purposes of this Appendix 3 means a Participant's W-2 wages, including overtime, shift premium, etc., which is paid during the Plan Year and determined prior to any pre-tax contributions made on behalf of a Participant to the Plan.

Notwithstanding any other provision in the Plan, "Employee" for purposes of this Appendix 3 means an ES/IEWS Employee; provided, however, that an ES/IEWS Employee who is a temporary employee shall not be eligible to participate in the Plan.

For the avoidance of doubt, a Participant who is absent from service due to layoff shall not experience a termination of employment for purposes of this Plan until he or she no longer has recall rights under the Company's applicable layoff policy.

Article 3
PARTICIPATION

An Employee entitled to participate in the Plan pursuant to this Appendix 3 shall become a Participant as of the first day of the month following one month of Service.

The provisions of Section 3.2(b) of the Plan with respect to deemed elections to participate in the Plan shall not apply to an ES/IEWS Employee.

Article 4

PRE-TAX, DESIGNATED ROTH, MATCHING, PROFIT SHARING, FRINGE AND OTHER EMPLOYER CONTRIBUTIONS

Notwithstanding any provision in Section 4.2(a) of the Plan, an Employee who is entitled to participate in the Plan pursuant to this Appendix 3 shall be entitled to receive matching contributions each payroll period equal to 50 percent of the aggregate of the Participant's pre-tax, designated Roth and after-tax contributions for such payroll period which are at least 1 percent of his or her Compensation and no more than 6 percent of his or her Compensation for such payroll period, which shall be credited to such Participant's Matching Account. An Employee who is entitled to participate in the Plan pursuant to this Appendix 3 shall not be required to complete one Year of Service as a condition of eligibility for a matching contribution.

If as of the last day of the Plan Year, the amount of matching contributions allocated to an Employee for such Plan Year pursuant to this Appendix 3 is less than 50 percent of the aggregate of the Participant's pre-tax, designated Roth and after-tax contributions for such Plan Year which are at least 1 percent of his or her Compensation and no more than 6 percent of his or her Compensation for such Plan Year, the Employer shall make a matching contribution on behalf of such Employee in an amount equal to the difference; provided, however, that such true-up matching contribution shall not be made with respect to an Employee who terminates employment during the Plan Year.

Article 9

WITHDRAWALS AND DISTRIBUTIONS

Section 9.1 Withdrawals Prior to Termination of Employment

Notwithstanding any other provision in the Plan, a Participant whose Account is subject to this Appendix 3 may withdraw all or part of his or her vested Matching Account attributable to Plan Years commencing prior to January 1, 2020, provided that such matching contributions have been in the Avionics Savings Plan, the Exelis Retirement Savings Plan or this Plan, or a combination thereof, for at least 24 months prior to such withdrawal.

If a Participant made a withdrawal of his or her Matching Employer Contributions Account (as defined in Section 1.24 of the Avionics Savings Plan) from the Avionics Savings Plan as in effect prior to July 1, 1999, that resulted in a forfeiture of a portion of his or her Matching Employer Contributions Account, the Participant may repay in full his or her Matching Employer Contributions (as defined in Section 1.23 of the Avionics Savings Plan) distributed to him or her prior to incurring a Break in Service of five consecutive years. Upon such repayment the forfeited portion of his or her Matching Employer Contributions shall be restored. Repayments of Matching Employer Contributions shall be credited to his or her Matching Account without earnings.

Section 9.2 Vested Share of Account

Notwithstanding any other provision in the Plan, but subject to Section 9.2(a), a Participant who is entitled to matching contributions pursuant to this Appendix 3 shall become vested in, and

have a nonforfeitable right to, his or her Matching Account based on his or her Years of Service (as defined in Section 1.44 of the Avionics Savings Plan) credited in the Avionics Savings Plan plus his or her Service from and after January 1, 2015, as set forth in the following provisions:

<u>Service</u>	<u>Nonforfeitable Percentage</u>
less than 1 year	0%

1 but less than 2 years	20%
2 but less than 3 years	40%
3 but less than 4 years	60%
4 but less than 5 years	80%
5 or more years	100%

Article 10 LOANS

A Participant whose Account is subject to this Appendix 3 shall be charged a fee equal to \$35 for each loan originated pursuant to Article 10 of the Plan.

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APPENDIX 4 NIGHT VISION EMPLOYEES

This Appendix 4 applies to any person employed by the Night Vision division of the Company who is a member of the bargaining unit represented by the IUE, the Industrial Division of the Communications Workers of America AFL-CIO and Local 82162 (a "Night Vision Employee"). Certain Night Vision Employees previously participated in the Exelis Night Vision Savings Plan for Hourly Employees (the "Night Vision Savings Plan"), of which this Plan is a successor. Any references in this Appendix 4 to the Night Vision Savings Plan shall mean such plan as in effect on December 31, 2014, the date immediately prior to such plan's merger into the Exelis Retirement Savings Plan. The provisions of this Appendix 4 that modify the Plan's terms shall be construed in a manner that harmonizes this Appendix 4 with the Plan. Capitalized terms not otherwise defined in this Appendix 4 are defined in Article 2 of the Plan.

Article 2 DEFINITIONS

"Employee" for purposes of this Appendix 4 means a Night Vision Employee.

Article 3 PARTICIPATION

No Employee shall newly participate in the Plan pursuant to this Appendix 4 on or after September 15, 2019.

Article 4 PRE-TAX, DESIGNATED ROTH, MATCHING, PROFIT SHARING, FRINGE AND OTHER EMPLOYER CONTRIBUTIONS

No matching or other contribution to the Plan shall be made pursuant to this Appendix 4 with respect to service on or after September 15, 2019.

Article 9 WITHDRAWALS AND DISTRIBUTIONS

Section 9.1 Withdrawals Prior to Termination of Employment

Notwithstanding any other provision in the Plan, a Participant whose Account is subject to this Appendix 4 may withdraw all or part of his or her vested Matching Account provided that such matching contributions have been in the Night Vision Savings Plan, the Exelis Retirement Savings Plan or this Plan, or a combination thereof, for at least 24 months prior to such withdrawal.

If a Participant made a withdrawal of his or her Matching Employer Contributions Account (as defined in Section 1.24 of the Night Vision Savings Plan) from the Night Vision Savings Plan as in effect prior to July 1, 1999, that resulted in a forfeiture of a portion of his or her Matching

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Employer Contributions Account, the Participant may repay in full his or her Matching Employer Contributions (as defined in Section 1.23 of the Night Vision Savings Plan) distributed to him or her prior to incurring a Break in Service of five consecutive years. Upon such repayment the forfeited portion of his or her Matching Employer Contributions shall be restored. Repayments of Matching Employer Contributions shall be credited to his or her Matching Account without earnings.

Section 9.2 Vested Share of Account

Notwithstanding any other provision in the Plan, but subject to Section 9.2(a) and section 6 of Schedule B, a Participant who was entitled to matching contributions pursuant to this Appendix 4 shall become vested in, and have a nonforfeitable right to, his or her Matching Account based on his or her Years of Service (as defined in Section 1.44 of the Night Vision Savings Plan) credited in the Night Vision Savings Plan plus his or her Service from and after January 1, 2015, as set forth in the following provisions:

<u>Service</u>	<u>Nonforfeitable Percentage</u>
less than 1 year	0%
1 but less than 2 years	20%
2 but less than 3 years	40%
3 but less than 4 years	60%
4 but less than 5 years	80%
5 or more years	100%

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APPENDIX 5
ELECTRONIC SYSTEMS EMPLOYEES

This Appendix 5 applies to any person employed by the Electronic Systems division of the Company who is a member of the bargaining unit represented by the IUE-CWA Local 84999 (an “Electronic Systems Employee”). Certain Electronic Systems Employees previously participated in the Exelis Communications Solutions Savings Plan for Hourly Employees (the “Communications Solutions Savings Plan”), of which this Plan is a successor. Any references in this Appendix 5 to the Communications Solutions Savings Plan shall mean such plan as in effect on December 31, 2014, the date immediately prior to such plan’s merger into the Exelis Retirement Savings Plan. The provisions of this Appendix 5 that modify the Plan’s terms shall be construed in a manner that harmonizes this Appendix 5 with the Plan. Capitalized terms not otherwise defined in this Appendix 5 are defined in Article 2 of the Plan.

Article 2
DEFINITIONS

“Employee” for purposes of this Appendix 5 means an Electronic Systems Employee.

Article 3
PARTICIPATION

No Employee shall newly participate in the Plan pursuant to this Appendix 5 on or after June 24, 2016.

Article 4
PRE-TAX, DESIGNATED ROTH, MATCHING, PROFIT SHARING, FRINGE AND OTHER EMPLOYER
CONTRIBUTIONS

No matching or other contribution to the Plan shall be made pursuant to this Appendix 5 with respect to service on or after June 24, 2016.

Article 9
WITHDRAWALS AND DISTRIBUTIONS

Section 9.1 Withdrawals Prior to Termination of Employment

Notwithstanding any other provision in the Plan, a Participant whose Account is subject to this Appendix 5 may withdraw all or part of his or her vested Matching Account provided that such matching contributions have been in the Communications Solutions Savings Plan, the Exelis Retirement Savings Plan or this Plan, or a combination thereof, for at least 24 months prior to such withdrawal.

If a Participant made a withdrawal of his or her Matching Employer Contributions Account (as defined in Section 1.24 of the Communications Solutions Savings Plan) from the Communications Solutions Savings Plan as in effect prior to July 1, 1999, that resulted in a

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forfeiture of a portion of his or her Matching Employer Contributions Account, the Participant may repay in full his or her Matching Employer Contributions (as defined in Section 1.23 of the Communications Solutions Savings Plan) distributed to him or her prior to incurring a Break in Service of five consecutive years. Upon such repayment the forfeited portion of his or her Matching Employer Contributions shall be restored. Repayments of Matching Employer Contributions shall be credited to his or her Matching Account without earnings.

Section 9.2 Vested Share of Account

Notwithstanding any other provision in the Plan, but subject to Section 9.2(a) of the Plan, a Participant who is entitled to matching contributions pursuant to this Appendix 5 shall become vested in, and have a nonforfeitable right to, his or her Matching Account based on his or her Years of Service (as defined in Section 1.44 of the Communications Solutions Savings Plan) credited in the Communications Solutions Savings Plan plus his or her Service from and after January 1, 2015, as set forth in the following provisions:

<u>Service</u>	<u>Nonforfeitable Percentage</u>
less than 1 year	0%
1 but less than 2 years	20%
2 but less than 3 years	40%
3 but less than 4 years	60%
4 but less than 5 years	80%
5 or more years	100%

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APPENDIX 6 PMRF EMPLOYEES

This Appendix 6 applies to any person employed by L3Harris Technologies, Inc. Critical Networks, Pacific Missile Range Facility, other than an Excluded PMRF Individual (a “PMRF Employee”). For this purpose, an Excluded PMRF Individual means an individual who is engaged by an Employer to perform services in a relationship (i) that the Employer characterizes as other than an employment relationship, or (ii) that the individual has agreed is not an employment relationship and has waived his or her rights to coverage as an employee, such as where the Employer engages the individual to perform services as an independent contractor, even if a determination is made by the Internal Revenue Service or other governmental agency or court, after the individual is engaged to perform such services, that the individual is an employee of the Employer for purposes of the Code.

Certain PMRF Employees previously participated in the Exelis Information Systems Pacific Missile Range Facility Savings Plan for Hourly Employees (the “PMRF Savings Plan”), of which this Plan is a successor. Any references in this Appendix 6 to the PMRF Savings Plan shall mean such plan as in effect on December 31, 2014, the date immediately prior to such plan’s merger into the Exelis Retirement Savings Plan. The provisions of this Appendix 6 that modify the Plan’s terms shall be construed in a manner that harmonizes this Appendix 6 with the Plan. Capitalized terms not otherwise defined in this Appendix 6 are defined in Article 2 of the Plan.

Article 2 DEFINITIONS

Notwithstanding any other provision in the Plan, “Employee” for purposes of this Appendix 6 means a PMRF Employee.

Article 3 PARTICIPATION

No Employee shall newly participate in the Plan pursuant to this Appendix 6 on or after March 31, 2021.

Article 4 PRE-TAX, DESIGNATED ROTH, MATCHING, PROFIT SHARING, FRINGE AND OTHER EMPLOYER CONTRIBUTIONS

No matching or other contribution to the Plan shall be made pursuant to this Appendix 6 with respect to service on or after March 31, 2021.

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Article 9 WITHDRAWALS AND DISTRIBUTIONS

Section 9.1 Withdrawals Prior to Termination of Employment

Notwithstanding any other provision in the Plan, a Participant whose Account is subject to this Appendix 6 may withdraw all or part of his or her vested Matching Account attributable to Plan Years commencing prior to January 1, 2020, provided that such matching contributions have been in the PMRF Savings Plan, the Exelis Retirement Savings Plan or this Plan, or a combination thereof, for at least 24 months prior to such withdrawal.

If a Participant made a withdrawal of his or her Matching Employer Contributions Account (as defined in Section 1.24 of the PMRF Savings Plan) from the PMRF Savings Plan as in effect prior to July 1, 1999, that resulted in a forfeiture of a portion of his or her

Matching Employer Contributions Account, the Participant may repay in full his or her Matching Employer Contributions (as defined in Section 1.23 of the PMRF Savings Plan) distributed to him or her prior to incurring a Break in Service of five consecutive years. Upon such repayment the forfeited portion of his or her Matching Employer Contributions shall be restored. Repayments of Matching Employer Contributions shall be credited to his or her Matching Account without earnings.

Section 9.2 Vested Share of Account

Notwithstanding any other provision in the Plan, but subject to Section 9.2(a) of the Plan, a Participant who is entitled to matching contributions pursuant to this Appendix 6 shall become vested in, and have a nonforfeitable right to, his or her Matching Account based on his or her Years of Service (as defined in Section 1.44 of the PMRF Savings Plan) credited in the PMRF Savings Plan plus his or her Service from and after January 1, 2015, as set forth in the following provisions:

<u>Service</u>	<u>Nonforfeitable Percentage</u>
less than 1 year	0%
1 but less than 2 years	20%
2 but less than 3 years	40%
3 but less than 4 years	60%
4 but less than 5 years	80%
5 or more years	100%

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APPENDIX 7 BENEFIT GROUP EMPLOYEES

This Appendix 7 applies to any individual who is regularly employed by the Company and included in a benefit group specified in Exhibit A hereto (such an employee, a “Benefit Group Employee”). Certain Benefit Group Employees previously participated in the Exelis IS Retirement Savings Plan (the “IS Savings Plan”), of which this Plan is a successor. Any references in this Appendix 7 to the IS Savings Plan shall mean such plan as in effect on December 31, 2014, the date immediately prior to such plan’s merger into the Exelis Retirement Savings Plan. The provisions of this Appendix 7 that modify the Plan’s terms shall be construed in a manner that harmonizes this Appendix 7 with the Plan. Capitalized terms not otherwise defined in this Appendix 7 are defined in Article 2 of the Plan.

Article 2 DEFINITIONS

“Employee” for purposes of this Appendix 7 means a Benefit Group Employee.

Article 3 PARTICIPATION

No Employee shall newly participate in the Plan pursuant to this Appendix 7 on or after April 28, 2017.

Article 4 PRE-TAX, DESIGNATED ROTH, MATCHING, PROFIT SHARING, FRINGE AND OTHER EMPLOYER CONTRIBUTIONS

No matching or other contribution to the Plan shall be made pursuant to this Appendix 7 with respect to service on or after April 28, 2017.

Article 9 WITHDRAWALS AND DISTRIBUTIONS

Section 9.2 Vested Share of Account

Notwithstanding any other provision in this Plan, the entire Account of a Benefit Group Employee shall be 100% vested and nonforfeitable.

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EXHIBIT A – BENEFIT GROUPS AND PROJECTS (Effective 1/1/16)

This list identifies all union contracts in which the Benefit Group Employees are employed. This list will be amended from time to time to reflect changes in union contracts.

Benefit Group	Description	Matching Contributions	Company Base Contributions
Deep Space Network Contract 1. DSNUNION	1. Union EEs	1. 50% to 10%	1. \$220 per month
Space Communications Network Services (SCNS) 1. SCNS UN	1. Union EEs	1. No Match	1. No Base

Tethered Aerostat Radar Systems (TARS) 1. TARSUNYUM 2. TARSUNHUA 3. RARSUNDEM 4. TARUNEAGL 5. TARSUNRIO 6. TARSUNCUJ 7. TARSUNMAR	1. Union EEs 2. Union EEs 3. Union EEs 4. Union EEs 5. Union EEs 6. Union EEs 7. Union EEs	1. No Match 2. No Match 3. No Match 4. No Match 5. No Match 6. No Match 7. No Match	1. 3% 2. 3% 3. 3% 4. 1% 5. 1% 6. 3% 7. 1%
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APPENDIX 8 OTHER SPECIFIED GROUPS

This Appendix 8 applies to Employees who are members of the bargaining units or other specified groups identified below. The provisions of this Appendix 8 that modify the Plan's terms shall be construed in a manner that harmonizes this Appendix 8 with the Plan. Capitalized terms not otherwise defined in this Appendix 8 are defined in Article 2 of the Plan.

Bargaining Unit/Specified Group	Maximum Deferral Percentage	Match Eligibility	MATCH FORMULA ¹	Match on Catch-Up	Other Employer Contributions	Plan Expenses
<u>Cincinnati Electronics Business Unit (PA2107)</u> Cincinnati Electronics & International Brotherhood of Electrical Workers (IBEW 648) – Local Union 648 (205)	Base Plan	Base Plan	100% of 6%	No	No	Base Plan
<u>Combat Propulsion Systems Business Unit (2084)</u> Combat Propulsion Systems & International Union, United Automobile, Aerospace and Agricultural Implement Workers of America (UAW) and its Local 113 (232) Aerospace and Agricultural Implement Workers of America (UAW) and its Local 1279 (CBU) and (TBU) (233)	25% (pre-tax, after-tax and designated Roth combined)	Immediate (No Year of Service requirement)	100% of 5%	Yes, to be made on a Plan Year basis, provided that during the Plan Year the Participant defers under the Plan, on a pre-tax and/or designated Roth basis, an amount (i) equal to the Code section 402 (g) limit or (ii) equal, in the aggregate, to at least 25% of the Participant's Compensation during the Plan Year (in each case, determined without regard to contributions under any other 401(k) plan)	No	Employer pays record-keeping and in-service withdrawal expenses

¹ The rate of matching contribution shall equal the designated percentage of the aggregate of (i) the pre-tax contribution and/or designated Roth contribution made on behalf of the Participant and (ii) the after-tax contribution made on behalf of the Participant; provided, however, that pre-tax, designated Roth and after-tax contributions in excess of the designated percentage of a Participant's Compensation for a payroll period (or Plan Year, in the case of matched catch-up contributions) shall not be considered for purposes of matching contributions.

<u>Communication Systems East Business Unit (PA2005)</u> Communication Systems East & International Union of Electronic, Electrical, Salaried, Machine and Furniture Workers – Communications Workers of America, (AFL-CIO), Local 103 (173) Communication Systems East & International Union of Electronic, Electrical, Salaried, Machine and Furniture Workers – Communications Workers of America, (AFL-CIO), Local 110 (265) Communication Systems East & International Federation of Professional & Technical Engineers, AFL-CIO, Local 241 (172)	Base Plan	Base Plan	100% of 6%	No	No	Base Plan
<u>Communication Systems East Business Unit (PA2005)</u> Communication Systems East & Association of Scientists and Professional Engineering Personnel (ASPEP)	Base Plan	Base Plan	Base Plan	No	No	Base Plan

<u>Doss Business Unit (PA2668)</u> International Association of Machinists and Aerospace Workers, AFL-CIO, and its Local Lodge No. 47 (IAM 47) (432) Service Contract Act employees	Base Plan	No Match	No Match	No	No	Base Plan
<u>Electron Devices Business Unit (PA2169)</u> Electron Devices & United Brotherhood of Carpenters and Joiners of America, Local 721 (105) Electron Devices & International Brotherhood of Electrical Workers, Local 2295 (IBEW 2295) (160)	Base Plan	Base Plan	100% of 6%	No	No	Base Plan
<u>KEO Business Unit (2399)</u> KEO & Hassett Lodge No. 1420 of District 15 of the International Association of Machinists and Aerospace Workers (IAMAW) (244)	Base Plan	Base Plan	Effective 1/1/21, 100% of 3% Effective 1/1/22, 100% of 4% Effective 1/1/23, 100% of 5%	No	No	Base Plan
<u>KEO-IMS-Northampton-Business Unit (Union Code 506)</u> Test Technicians of Local 1420 of District 15 of the International Association of Machinists and Aerospace Workers (IAMAW)	Base Plan	Base Plan	100% of 5%	No	No	Base Plan

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<u>Link Simulation & Training Business Unit (2144)</u> Link Simulation & Training & International Association of Machinists and Aerospace Workers, Local Union 2949, Tuscon ANG, AZ (IAMHW 2949), F-16 Program (134) Link Simulation & Training & International Association of Machinists and Aerospace Workers, Local Lodge 519, Luke AFB, AZ (IAMHW 519), F-16 TS Program (143) Link Simulation & Training & International Association of Machinists and Aerospace Workers, Local Lodge 2003, District Lodge 75, Ft. Rucker, AL (IAMHW 2003), FSXXI Program (144) Link Simulation & Training & International Association of Machinists and Aerospace Workers, Local Lodge 771, Creech AFB, NV (IAMHW 771), PMATS Program (149)	25% (pre-tax, after-tax and designated Roth combined)	Immediate (No Year of Service requirement)	100% of 4%	No	No	Base Plan
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<u>Link Simulation & Training Business Unit (2144)</u> Link Simulation & Training & International Association of Machinists and Aerospace Workers, Local Lodge 850, District Lodge	25% (pre-tax, after-tax and designated Roth combined)	Immediate (No Year of Service requirement)	100% of 5%	No	No	Base Plan
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171, Tinker AFB, OK (IAMAW 850), E-6 ELDES Program (122) Link Simulation & Training & International Association of Machinists and Aerospace Workers, District Lodge 171, Local Lodge 850, Tinker AFB, OK (IAMAW 850), E-3 Program (145) Link Simulation & Training & International Association of Machinists and Aerospace Workers, District Lodge 131, Local Lodge 1034, Warner Robins AFB, GA (IAMHW 1034), J-STARS Program (148) Link Simulation & Training & International Association of Machinists and Aerospace Workers, Local Lodge 711, Nellis AFB NV (IAMHW 711), F-16 MTC (159) Link Simulation & Training & International Association of Machinists and Aerospace Workers Local, Lodge 778, Whiteman AFB, MO (IAMHW 778), B-2 Program (140)						
<u>Link Simulation & Training Business Unit (2144)</u> Service Contract Act employees	Base Plan	No Match	No Match	No	No	Base Plan
<u>Link Simulation & Training Business Unit (2144)</u> Link Simulation & Training & International Association of Machinists and Aerospace Workers, Local Lodge 568, Hill AFB, UT (IAMHW 568), F-16 TS Program (147) Link Simulation & Training & International Association of Machinists and Aerospace Workers, Local Lodge 2003, District Lodge 75, Ft Rucker, AL (IAMHW 2003), ATMP Program (454) Link Simulation & Training & International Association of Machinists and Aerospace Workers, Local Lodge 2003, District Lodge 75, Ft Rucker, AL (IAMHW 2003), ATMP AVCATT Program (451)	Base Plan	Base Plan	100% of 5%	No	No	Base Plan

<u>L3 Unidyne Inc. Business Unit (PA2221)</u> Unidyne & International Association of Machinists and Aerospace Workers, District Lodge 947 and its Affiliated Local Lodge 389 (IAM 389) (273 & 275) Unidyne & International Brotherhood of Electrical Workers, Local Union 569 (IBEW 569) (274)	Base Plan	No Match	No Match	No	No	Base Plan
<u>Mission Integration Division Business Unit (2012)</u> Mission Integration Division—Greenville, International Union, United Automobile Aerospace and Agricultural Implement Workers of America (UAW) and its Local 967) (200)	Base Plan	Base Plan	100% of 5% if participant in Company pension plan; otherwise, 100% of 6%	No	No	Base Plan
<u>Ocean Systems Business Unit (PA2132)</u>	Base Plan	Base Plan	100% of 6%	No	No	Base Plan

Ocean Systems & International Union, United Automobile, Aerospace and Agricultural Implement Workers of America (UAW) and its Local 179 (272)						
<u>Space & Navigation Business Unit (PA 2129)</u> Space & Navigation & International Union, United Automobile, Aerospace and Agricultural Implement Workers of America (UAW) (204)	Base Plan	Base Plan	100% of 6%	No	No	Base Plan

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<u>SPD Electrical Systems Business Unit (2181)</u> SPD Electrical Systems & United Automobile Aerospace and Agricultural Implement Workers of America (UAW) and its Local 1612, Amalgamated (203)	Base Plan	Base Plan	100% of 6%	No	Defined Contribution Retirement Plan (DCRP) contribution of 2% of Compensation each payroll period if hired prior to June 1, 2015 and have remained continuously employed by SPD since June 1, 2015. The DCRP contribution (as adjusted for earnings and losses) is fully vested.	Base Plan
<u>Telemetry & RF Products Business Unit (PA2063)</u> Telemetry RF Products Bristol & IUE/CWA the International Union of Electronic, Electrical, Salaried, Machine and Furniture Workers, Local 123 AFL-CIO (285)	Base Plan	Base Plan	100% of 6%	No	No	Base Plan

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APPENDIX 9 AJRD EMPLOYEES

This Appendix 9 applies to Eligible Employees who are members of any of the following bargaining units: AJRD ARDE Union – New Jersey – ARDE IBT Local 210 (TMS) (an “ARDE Bargained Employee”); AJRD Union – Canoga Park, CA (UAW) – UAW Local 887; AJRD Union – Canoga Park, CA (IBE) – IBEW Local 2295 (AFL-CIO, CLC); AJRD Union – Canoga Park, CA/Glendora, CA (SMT) (SMRT), Sheet Metal, Air, Rail, Transportation Workers’ Local Union 105 (AFL-CIO, CLC); and AJRD Union – West Palm Beach, FL (IUF) – IAMAW 166 – Lodge No. 971 (an Eligible Employee of any of such five bargaining units, an “AJRD Bargained Employee”). AJRD Bargained Employees who are members of any of AJRD Union – Canoga Park, CA (UAW) – UAW Local 887; AJRD Union – Canoga Park, CA (IBE) – IBEW Local 2295 (AFL-CIO, CLC); and AJRD Union – Canoga Park, CA/Glendora, CA (SMT) (SMRT), Sheet Metal, Air, Rail, Transportation Workers’ Local Union 105 (AFL-CIO, CLC) shall be known as the “AJRD Canoga Park Bargained Employees” for purposes of this Appendix 9.

The provisions of this Appendix 9 that modify the Plan’s terms shall be construed in a manner that harmonizes this Appendix 9 with the

Plan. Capitalized terms not otherwise defined in this Appendix 9 are defined in Article 2 of the Plan.

Articles 4 and 5

AJRD CANOGA PARK BARGAINED EMPLOYEES

Deferral of 2024 Ratification Bonus

Subject to the limitations set forth in Article 6, an Employer shall make a pre-tax contribution, designated Roth contribution and/or after-tax contribution on behalf of each AJRD Canoga Park Bargained Employee who is an Eligible Employee of such Employer and who has elected, in accordance with procedures prescribed by the Administrative Committee, to contribute to the Plan a portion of his or her 2024 Ratification Bonus. Notwithstanding any provision of Section 3.2, 4.1(a) or 5.1(a) to the contrary, the amount of the 2024 Ratification Bonus so designated by the AJRD Canoga Park Bargained Employee shall be a flat dollar amount that is an increment of \$250 and which does not exceed \$2,000. For this purpose, the "2024 Ratification Bonus" is the cash bonus in the amount of \$3,000 paid to each AJRD Canoga Park Bargained Employee in the fourth quarter of 2024 in connection with ratification of their collective bargaining agreement, only \$2,000 of which shall be considered Compensation under the Plan. An AJRD Canoga Park Bargained Employee who contributes a portion of his or her 2024 Ratification Bonus to the Plan in accordance with the terms hereof shall be entitled to receive a matching contribution related thereto as described below.

Article 4

PRE-TAX, DESIGNATED ROTH, MATCHING, PROFIT SHARING, FRINGE AND OTHER EMPLOYER CONTRIBUTIONS

Section 4.2 Matching Contributions

Subject to the following paragraph, an AJRD Bargained Employee shall be entitled to receive matching contributions each payroll period equal to (i) 100 percent of the aggregate of the Participant's pre-tax,

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designated Roth and after-tax contributions for such payroll period that do not exceed the initial three percent of his or her Compensation for such payroll period and (ii) 50 percent of the aggregate of the Participant's pre-tax, designated Roth and after-tax contributions for such payroll period that do not exceed the next three percent of his or her Compensation for such payroll period.

Effective January 1, 2026, an AJRD Canoga Park Bargained Employee shall be entitled to receive matching contributions each payroll period equal to 100 percent of the aggregate of the Participant's pre-tax, designated Roth and after-tax contributions for such payroll period that do not exceed five percent of his or her Compensation for such payroll period, and effective January 1, 2027, an AJRD Canoga Park Bargained Employee shall be entitled to receive matching contributions each payroll period equal to 100 percent of the aggregate of the Participant's pre-tax, designated Roth and after-tax contributions for such payroll period that do not exceed six percent of his or her Compensation for such payroll period.

In addition, an ARDE Bargained Employee shall be entitled to a match supplement equal to the amount, if any, by which the matching contribution made on behalf of an ARDE Bargained Employee for a particular month pursuant to the initial paragraph of this section is less than \$100 (for the avoidance of doubt, an ARDE Bargained Employee shall not be required to make pre-tax, designated Roth or after-tax contributions to the Plan in order to be eligible to receive the match supplement).

The matching contributions and match supplement made on behalf of an AJRD Bargained Employee pursuant to this Appendix 9 shall be credited to his or her Matching Account.

An AJRD Bargained Employee shall not be required to complete one Year of Service as a condition of eligibility for a matching contribution or match supplement.

Except as otherwise provided herein, a matching contribution to be made on behalf of an AJRD Bargained Employee shall be subject to the provisions of Section 4.2, including that such matching contributions shall not be made with respect to catch-up contributions made pursuant to Section 4.1(c).

Section 4.5 Other Employer Contributions

In addition to any other contributions available to ARDE Bargained Employees under the Plan, the Employers shall make an automatic monthly contribution to the Account of each ARDE Bargained Employee in the amount of \$250 (the “ARDE Automatic Contribution,” and the portion of the ARDE Bargained Employee’s Account attributable to the ARDE Automatic Contribution, the “ARDE Automatic Contribution Account”).

Article 9

WITHDRAWALS AND DISTRIBUTIONS

Section 9.2 Vested Share of Account

Notwithstanding any provision within Section 9.2 of the Plan or any other provision of the Plan to the contrary, each of the Matching Account and ARDE Automatic Contribution Account of an AJRD Bargained Employee shall be 100% vested and nonforfeitable, regardless of the Years of Service of such employee. In addition, all other amounts attributable to employer contributions made under the AJRD Plan with respect to an AJRD

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Bargained Employee shall be 100% vested and nonforfeitable, regardless of the Years of Service of the AJRD Bargained Employee.

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Section 3: EX-10.H II (EX-10.H II)

Exhibit 10(h)(ii)

AMENDMENT NUMBER ONE TO THE L3HARRIS RETIREMENT SAVINGS PLAN

WHEREAS, L3Harris Technologies, Inc., a Delaware corporation (“**L3Harris**”), heretofore has adopted and maintains the L3Harris Retirement Savings Plan, as amended and restated effective January 1, 2025 (the “**Plan**”);

WHEREAS, pursuant to Section 17.1 of the Plan, the Employee Benefits Committee of L3Harris (the “**Committee**”) has the authority to amend the Plan;

WHEREAS, pursuant to Section 13.3 of the Plan, the Committee has delegated certain of such amendment authority to the head of global benefits of L3Harris (currently, the Vice President, Global Benefits, Global Total Rewards) (the “**Head of Global**”

Benefits"); and

WHEREAS, the Head of Global Benefits desires to amend the Plan to change the manner of voting under the L3Harris Stock Fund with respect to allocated L3Harris Stock held therein with respect to which the Trustee or its agent do not receive instructions from participants and all unallocated L3Harris Stock held therein.

NOW, THEREFORE, BE IT RESOLVED, that effective as of the date hereof, the last sentence of Section 12.1 of the Plan hereby is amended to read as follows:

All L3Harris Stock held in the L3Harris Stock Fund represented by participating units credited to Accounts as to which the Trustee or its agent do not receive instructions as specified above, and all unallocated L3Harris Stock held in the L3Harris Stock Fund, shall be voted by the Trustee at the direction of an entity appointed by the Administrative Committee to serve as the independent fiduciary of the L3Harris Stock Fund as it relates to proxy voting.

APPROVED by the **HEAD OF GLOBAL BENEFITS** on this 12th day of February, 2025.

/s/ Allison Oncel

Allison Oncel

Vice President, Global Benefits, Global Total Rewards

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Section 4: EX-19 (EX-19)

Exhibit 19

1.0 OVERVIEW

1.1 Purpose & Scope

L3Harris employees shall comply with laws and regulations related to material non-public information and insider trading. This policy specifically prohibits the purchase and sale of securities of a company (including L3Harris) while in possession of material non-public information regarding that company and the disclosure of material non-public information regarding a company to others who then trade in securities of that company. This policy also prohibits certain other transactions involving L3Harris securities and imposes certain additional restrictions on members of the L3Harris Board of Directors ("Directors") and officers.

As an essential part of work for L3Harris, Directors, officers and employees may have access to material non-public information about L3Harris or about L3Harris business, including information about companies with which L3Harris does or may do business. L3Harris has adopted this policy to assist in preventing insider trading and to help everyone understand the prohibitions so as to avoid the consequences associated with violations of insider trading laws.

1.2 Key Terms

Material Non-Public Information: any information that a reasonable investor would likely consider important in making a decision to buy, hold or sell securities and that has not been disclosed broadly to the marketplace with sufficient time to be fully absorbed. Any information that could be expected to affect a company's stock price, whether it is positive or negative, should be considered material. See Sections 2.1 and 2.2 of this policy for more detailed information.

1.3 Supporting Documents

LGL-01 Ethics and Business Conduct

LGL-34 Proprietary Information

1.4 Responsibilities

As described in greater detail in Section 2.11 of this policy, although Directors, officers and employees bear the ultimate responsibility for complying with this policy and avoiding prohibited transactions, Directors, officers and

employees may obtain guidance regarding compliance with this policy by consulting with the L3Harris Legal Department.

2.0 POLICY

Directors, officers and employees of L3Harris, who are aware of material non-public information relating to L3Harris, may not directly or indirectly (through family members or other persons or entities):

- buy or sell stocks, bonds, debentures, options (puts or calls) or other derivative securities of L3Harris (other than pursuant to a L3Harris pre-approved trading plan that complies with SEC Rule 10b5-1 and applicable L3Harris guidelines), or engage in any other action to take personal advantage of that information; or
- communicate material non-public information to others outside of L3Harris, including family or friends, unless any such disclosure is made in accordance with L3Harris policies regarding the protection or authorized external disclosure of information regarding L3Harris; or
- assist anyone engaged in the above activities.

In addition, Directors, officers and employees of L3Harris, who are aware of material non-public information about a company with which L3Harris does or may do business, including customers or suppliers, may not, directly or indirectly (through family members or other persons or entities), trade in that company's securities, take personal advantage of that information, or communicate that information to others until the information becomes public or is no longer material.

This policy, and these same restrictions, also apply to Directors', officers' and employees' family members and others living in their households, who gain access to or become aware of such material non-public information from the Directors, officers and employees, and to entities controlled or influenced by Directors, officers, employees and such other persons. All Directors, officers and employees are responsible for such persons' and entities' compliance with this policy. L3Harris may also determine from time to time that this policy should apply to other persons, such as contractors or consultants, who have access to material non-public information. The existence of an actual or perceived personal emergency or hardship (financial or otherwise) does not excuse noncompliance with this policy.

2.1 Material Non-Public Information - While it is impossible to list all types of information that might be material, information related to the following subjects is often regarded as material:

- financial information, including orders, sales or income results, projections or forecasts of future earnings or losses or other earnings guidance
- changes to previously announced earnings guidance
- mergers, tender offers or acquisitions of other companies or major purchases or sales of assets
- awards or cancellations of major contracts or the gain or loss of a significant customer or supplier
- changes in senior management
- financing transactions outside of the ordinary course
- changes in dividend policy or share repurchase practices, the declaration of a stock split or an offering of additional securities
- development of significant new products or technologies
- major litigation or government investigations or the threat thereof
- major transactions or negotiations with other companies regarding joint ventures, alliances or licensing agreements
- significant cybersecurity incidents
- imposition of a prohibited trading period (other than a Quiet Period (as defined below)) pursuant to this policy

This list is merely illustrative and is not exhaustive. In addition, remember that if a securities transaction becomes the subject of scrutiny, it will be viewed after the fact with the benefit of hindsight. Before engaging in any transaction, carefully consider how enforcement authorities and others might view the transaction in hindsight.

2.2 Timing of Transactions - Directors, officers and employees aware of material non-public information, may not trade until the information has been disclosed broadly to the marketplace (such as by press release or an SEC filing) and the investing public has had time to fully absorb the information. As a general rule, information should

not be considered fully absorbed by the marketplace until one full trading day has elapsed (a full 24-hour period at a minimum) following its public release. For example, if L3Harris were to announce material non-public information of which a Director, officer or employee were aware at 4:30 p.m. U.S. Eastern time on a Thursday, trading in L3Harris securities should be deferred until Monday morning (assuming Friday was a trading day; if Friday was not a trading day, such Director, officer or employee should not trade until Tuesday morning).

2.3 Tipping Information to Others – In addition to Directors, officers and employees aware of material non-public information regarding L3Harris or a company with which L3Harris does business being prohibited from trading in securities of L3Harris or such other company, as applicable, they equally are prohibited from giving “tips” on material non-public information; that is, directly or indirectly disclosing such information to any other person, including family members and relatives, so that the other person may trade in securities of L3Harris or such other company, as applicable, or otherwise taking personal advantage of that information.

2.4 Prohibited Trading Periods – Quiet Period - In addition to this policy's general prohibition on trading while aware of material non-public information, including material financial information, (a) all Directors, officers and executive-level employees of L3Harris, and (b) all other employees of L3Harris who are aware of or have access to material non-public financial information relating to quarterly or annual consolidated or segment level financial results of L3Harris are prohibited from directly or indirectly trading in L3Harris securities during the period commencing on the fifteenth (15th) calendar day of the third month of a fiscal quarter and continuing until one full trading day has elapsed (a full 24-hour period at a minimum) following the public release of the quarterly or annual financial information (such period is referred to as the “Quiet Period”), unless pursuant to a L3Harris pre-approved trading plan that complies with SEC Rule 10b5-1 and applicable L3Harris guidelines.

As an example, for a quarter ending September 29, when earnings will be released at 4:30 p.m. U.S. Eastern time, Thursday, October 26, the Quiet Period would run from September 15 through Friday, October 27, and trading would be permitted starting on Monday, October 30.

In addition to the quarterly Quiet Period, L3Harris may, from time to time, impose other prohibited trading periods upon notice to those persons who are affected.

2.5 Stock Option Exercises – This policy prohibits any Director, officer or employee of L3Harris who is aware of material non-public information from exercising options to purchase shares of L3Harris stock unless the shares of L3Harris stock are acquired via a cash exercise or “net” exercise or otherwise do not involve a sale of L3Harris' securities, and the acquired shares are not sold until such material non-public information has been disclosed broadly to the marketplace and the investing public has had time to fully absorb the information. “Cashless exercise” of an L3Harris stock option through a broker does involve a sale of L3Harris's securities, and therefore would not qualify under this exception.

In addition, and consistent with Section 2.4 of this policy, this policy prohibits any person subject to a Quiet Period or other prohibited trading period, in either case, pursuant to Section 2.4 of this policy from exercising options to purchase shares of L3Harris stock during such Quiet Period or other prohibited trading period unless: (a) the shares of L3Harris stock are acquired via a cash exercise or “net” exercise or otherwise do not involve a sale of L3Harris' securities, and the acquired shares are not sold until following the expiration of that Quiet Period or other prohibited trading period; or (b) pursuant to a L3Harris pre-approved trading plan that complies with SEC Rule 10b5-1 and applicable L3Harris guidelines.

2.6 Additional Prohibited Transactions - L3Harris considers it improper and inappropriate for any Director, officer or employee of L3Harris to engage in short-term or speculative transactions in L3Harris securities. This policy, therefore, prohibits Directors, officers and employees of L3Harris from engaging in any of the following types of transactions as described below:

- **Short Sales.** Short sales of L3Harris securities evidence an expectation on the part of the seller that the securities will decline in value. Short sales may also reduce the incentive to improve L3Harris' performance. Short sales of L3Harris securities are prohibited by this policy and, in addition, are prohibited by law in the case of Directors and executive officers.
- **Publicly Traded Put or Call Options.** Transactions in exchange-traded put or call options are, in effect, a

bet on the short-term movement of L3Harris stock and therefore create the appearance of trading based on inside information. Transactions in L3Harris puts, calls or other derivative securities, on an exchange or in any other organized market, are prohibited by this policy.

- **Hedging Transactions.** Hedging or monetization transactions can be accomplished through a number of possible mechanisms that may permit an individual to continue to own L3Harris securities without the full risks and rewards of ownership (including prepaid

variable forward contracts, equity swaps, collars and exchange funds). When that occurs, the individual may no longer have the same objectives as L3Harris' other shareholders. Therefore, this policy prohibits Directors, officers and executive-level employees of L3Harris from engaging in such transactions. Other employees of L3Harris wishing to enter into such an arrangement must first submit the proposed transaction for approval by L3Harris' General Counsel or another designated member of the L3Harris Legal Department (any such request for pre-clearance must be submitted at least two weeks prior to the proposed execution of documents for such transaction, and any pre-clearance granted shall be effective only for the time period specified in such pre-clearance and shall not constitute legal advice or any guarantee of compliance with applicable law).

- **Standing Orders.** Standing orders (except standing orders under a pre-approved L3Harris trading plan that complies with SEC Rule 10b5-1 and applicable L3Harris guidelines) should be used only for a very brief period of time. The problem with purchases or sales resulting from standing instructions to a broker is that there is no control over the timing of the transaction. The broker could execute a transaction when a Director, officer or employee is aware of material non-public information.

2.7 Transactions Under Company Plans; Gifts

- **Retirement Plan.** This policy does not apply to purchases in the L3Harris stock fund of the L3Harris 401(k) or other retirement savings plans (including any supplemental executive or excess retirement savings plans) resulting from the periodic contribution of money to such plans pursuant to a payroll deduction election or from the automatic reinvestment of dividends paid on L3Harris stock. This policy does apply to transfers out of or into the L3Harris stock fund of such plans and to elections to increase or decrease the percentage of periodic contributions that will be allocated to the L3Harris stock fund in such plans.
- **Dividend Reinvestment Plan.** This policy does not apply to purchases of L3Harris stock under the L3Harris Dividend Reinvestment Plan ("DRIP") resulting from the automatic reinvestment of dividends paid on L3Harris stock. This policy does apply to voluntary purchases of L3Harris stock resulting from additional contributions and to elections to participate in the DRIP or to increase or decrease the level of participation in the DRIP. This policy also applies to sales of L3Harris stock purchased pursuant to the DRIP.
- **Equity Plan Tax Withholding.** This policy does not apply to the withholding by L3Harris of shares of L3Harris stock to satisfy tax-withholding obligations upon the vesting of equity awards, such as restricted stock, restricted units, performance shares, performance units or similar equity grants or upon exercise of options (including in "net" exercise circumstances). This policy does apply to sales of such vested equity awards and shares acquired upon such exercises of options.
- **Gifts.** Bona fide gifts of securities to unaffiliated third parties who are not subject to this policy are permitted under this policy, provided that the donor has not "tipped" material non-public information to the donee or otherwise coordinated with the donee regarding trading in the gifted securities, and provided, further, that Directors and executive officers of L3Harris are prohibited from making any such bona fide gifts during a Quiet Period.

2.8 Additional Restrictions on Directors and Executive Officers - Directors and executive officers of L3Harris are subject to numerous laws relating to transactions in L3Harris securities, including compliance with the reporting requirements of Section 16 of the Securities Exchange Act of 1934 and prohibitions on trading during pension fund "blackouts." As a result, Directors and executive officers of L3Harris must pre-clear with L3Harris' General Counsel, or another designated member of the L3Harris Legal Department, any transactions involving L3Harris securities or gifts of L3Harris securities (including indirect transactions made through family members or other persons or entities subject to this policy), and must also pre-clear with L3Harris' General Counsel, or another designated member of the L3Harris Legal Department, any formal trading plan under SEC Rule 10b5-1. Such pre-clearance may include confirmation that the cyber/security organization has reported any cybersecurity incident that is or reasonably

could be a significant cybersecurity incident to the General Counsel and other designated members of the Legal Department authorized to pre-clear trades under this policy (in addition to other relevant members of management to whom reporting is required), pursuant to applicable L3Harris policy. Such written Rule 10b5-1 plans are subject to applicable L3Harris guidelines, may only be adopted at a time when a Director or executive officer is not aware of material non-public information and must require the broker involved to notify L3Harris in writing immediately following the execution of any transaction pursuant to such plan. Once such a plan is adopted, the individual must not exercise any influence over the amounts, price or dates of the transactions to be effected. Notwithstanding any pre-clearance of a trade or such a plan, such pre-clearance shall not constitute legal advice or any guarantee of compliance with applicable law, and L3Harris assumes no liability for the consequences of such trade or any transaction made pursuant to such plan. Before undertaking any transactions in L3Harris stock, Directors and executive officers of L3Harris should also assess the impact of such transaction on applicable stock ownership guidelines.

It is L3Harris policy that Directors and officers (as defined under Section 16 of the Securities Exchange Act of 1934) of L3Harris are prohibited from holding or purchasing L3Harris securities on margin or in a margin account or otherwise pledging L3Harris securities as collateral for margin accounts, loans or for any other purpose. (Use of "cashless exercise" procedures by Directors and officers of L3Harris to exercise stock options is not covered by this prohibition if such exercise otherwise complies with this policy and other relevant policies).

- 2.9 Post-Termination Transactions** – This policy continues to apply to transactions in L3Harris securities even after a Director's, officer's or employee's relationship with L3Harris terminates. If a Director, officer or employee is in possession of material non-public information when such Director's, officer's or employee's relationship with L3Harris terminates, L3Harris securities may not be traded until such information has become public or is no longer material. In addition, if a Director, officer or employee is subject to Quiet Period or other prohibited trading period restrictions under Section 2.4 of this policy when such Director's, officer's or employee's relationship with L3Harris terminates, the Quiet Period or other prohibited trading period restrictions will continue to apply after such termination until the end of the Quiet Period or other prohibited trading period.
- 2.10 Consequences and Penalties** - The SEC, stock exchanges and the Financial Industry Regulatory Authority have sophisticated electronic surveillance techniques and other capabilities to uncover insider trading. The consequences of an insider trading violation can be severe and could include significant fines and imprisonment. Insider trading violations are pursued vigorously by the SEC, U.S. Attorneys and state enforcement authorities, as well as the laws of foreign jurisdictions.

In addition, failure to comply with this policy may subject a Director, officer or employee to private party damages and L3Harris-imposed sanctions up to and including termination of employment for cause, whether or not the failure to comply also results in a violation of law.

- 2.11 Personal Responsibility; Company Assistance** - Directors, officers and employees bear the ultimate responsibility for complying with this policy and avoiding prohibited transactions. Any person who has a question about this policy or intends to trade in L3Harris securities or in the securities of another company with which L3Harris does business may obtain guidance regarding compliance with this policy by consulting with the L3Harris Legal Department. Such guidance, however, shall not constitute legal advice or any guarantee of compliance with applicable law, and L3Harris assumes no liability for the consequences of any such trade or otherwise in connection with such guidance.
- 2.12 Reporting Violations** - Any violation or prospective violation of this policy is a serious matter and must be reported immediately to the L3Harris Legal Department in compliance with the reporting obligations of LGL-01.

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Section 5: EX-21 (EX-21)

Exhibit 21

Exhibit 21
L3HARRIS TECHNOLOGIES INC.
SUBSIDIARIES AS OF FEBRUARY 14, 2025
(100% direct or indirect ownership by L3Harris Technologies, Inc., unless otherwise noted)

<u>Name of Subsidiary</u>	<u>State or Other Jurisdiction of Incorporation</u>
Aerojet International, Inc.	California
Aerojet Rocketdyne Coleman Aerospace, Inc.	Delaware
Aerojet Rocketdyne Holdings, Inc.	Delaware
Aerojet Rocketdyne of DE, Inc.	Delaware
Aerojet Rocketdyne, Inc.	Ohio
Airline Placement Limited	United Kingdom
ARDE Barinco, Inc.	New Jersey
ARDE, Inc.	New Jersey
Asian Aviation Training Centre Ltd.	Thailand
Aviation Communication & Surveillance Systems, LLC*	Delaware
Azimuth Security Trust	Australia
Calzoni S.r.l.	Italy
Chemical Construction Corporation	Delaware
Cardova Chemical Company, Inc.	California
Cardova Chemical Company of Michigan	Michigan
DMRAC-Aviation Corporation - SGPS, Unipessoal Lda	Portugal
EAA – Escola de Aviação Aerocondor, S.A.	Portugal
Eagle Technology, LLC	Delaware
Easton Development Company, LLC	California
FAST Holdings Limited*	United Kingdom
FAST Training Services Limited*	United Kingdom
GDX LLC	Delaware
GT & MC, Inc.	Delaware
Harris Asia Pacific Sdn. Bhd.	Malaysia
Harris Atlas Systems LLC*	UAE
Harris Cayman Ltd.	Cayman Islands
Harris Communications MH Spain, S. L.	Spain
Harris Communications Pakistan (Private) Limited	Pakistan
Harris Communications Systems India Private Limited	India
Harris Denmark ApS	Denmark
Harris Denmark Holding ApS	Denmark
Harris International Saudi Communications	Saudi Arabia
Harris International Venezuela, C.A.	Venezuela
Harris Luxembourg S.a.r.l.	Luxembourg
Harris Pension Management Limited	United Kingdom
Harris Solid State (Malaysia) Sdn. Bhd.	Malaysia
L-3 Communications Advanced Aviation, Inc.	Montana
L-3 Communications Advanced Aviation, LLC	Montana

<u>Name of Subsidiary</u>	<u>State or Other Jurisdiction of Incorporation</u>
L-3 Communications Holding GmbH	Germany
L3 CTS Airline Academy (NZ) Limited	New Zealand
L3 Kenya Ltd	Kenya
L3 Technologies, Inc.	Delaware
L3Harris Aerosim Academy, Inc.	Florida
L3Harris Afghanistan LLC	Delaware
L3Harris AJRD Holdings, Inc.	Delaware
L3Harris Applied Defense Solutions, Inc.	Delaware
L3Harris Arctic Services, Inc.	Delaware
L3Harris Assured Communications Romania S.R.L.	Romania
L3Harris Australia Finance Pty Limited	Australia
L3Harris Australia Holdings Pty Ltd	Australia
L3Harris Autonomous Surface Vehicles Limited	United Kingdom
L3Harris Aviation Products, Inc.	Delaware
L3Harris Azimuth Security Pty. Limited	Australia
L3Harris Cincinnati Electronics Corporation	Ohio
L3Harris Commercial Training Solutions Limited	United Kingdom
L3Harris Communications & Services HK Limited	Hong Kong
L3Harris Communications Australia Pty Ltd	Australia
L3Harris Communications Chile Limitada	Chile
L3Harris Communications Malaysia Sdn. Bhd.	Malaysia
L3Harris Communications Spain, S.L.	Spain
L3Harris Communications Systems UK Limited	United Kingdom
L3Harris Comunicações e Participações do Brasil Ltda	Brazil
L3Harris Credit Holdings, Inc.	Delaware
L3Harris CTS Airline and Academy Training Limited	United Kingdom
L3Harris CTS Group Limited	United Kingdom
L3Harris CTS Limited	United Kingdom
L3Harris Defence Investments Limited	United Kingdom
L3Harris Domestic Holdings, Inc.	Delaware
L3Harris Exelis Australia Pty Ltd	Australia
L3Harris Felec Services, Inc.	Delaware
L3Harris Finance Americas, Inc.	Canada
L3Harris Flight Data Services Limited	United Kingdom
L3Harris Flight Data Services, Inc.	Arizona
L3Harris Flight Training Acquisitions LLC	Delaware
L3Harris ForceX, Inc.	Tennessee
L3Harris Foreign Holdings, Inc.	Delaware
L3Harris Fuzing and Ordnance Systems, Inc.	Delaware
L3Harris Global Communications, Inc.	New York
L3Harris Global Holding UK Ltd	United Kingdom
L3Harris Holdco LLC	Delaware
L3Harris Holdings Canada Inc.	Canada

<u>Name of Subsidiary</u>	<u>State or Other Jurisdiction of Incorporation</u>
L3Harris Holdings, Inc.	Delaware
L3Harris Integrated Mission Systems Australia Pty Ltd	Australia
L3Harris International Holdings, LLC	Delaware
L3Harris International, Inc.	Delaware
L3Harris Interstate Electronics Corporation	California
L3Harris Investments, LLC	Delaware
L3Harris Kigre, Inc.	Ohio
L3Harris Linchpin Labs, Inc.	Delaware
L3Harris Manatee Investment LLC	Delaware
L3Harris Mapps Inc.	Canada
L3Harris MAPPS Limited	United Kingdom
L3Harris MAPPS Sdn. Bhd.	Malaysia
L3Harris Maritime & Aero Private Limited	India
L3Harris Maritime Power & Energy Solutions, Inc.	Delaware
L3Harris Maritime Services, Inc.	Delaware
L3Harris MAS Inc.	Canada
L3Harris Mission Critical Services, LLC	Delaware
L3Harris NexGen Communications LLC	Virginia
L3Harris Release & Integrated Solutions Ltd	United Kingdom
L3Harris Saudi Arabia LLC	Saudi Arabia
L3Harris Space and Airborne Systems Australia Pty Ltd	Australia
L3Harris Technologies (New Finco) Limited	United Kingdom
L3Harris Technologies AIS GP Corporation	Delaware
L3Harris Technologies ASA Limited	United Kingdom
L3Harris Technologies Australia Group Pty Ltd	Australia
L3Harris Technologies Australia Pty Ltd	Australia
L3Harris Technologies Belgium NV	Belgium
L3Harris Technologies BTC Holding, LLC	Delaware
L3Harris Technologies Canada Group Inc.	Canada
L3Harris Technologies Canada Inc.	Canada
L3Harris Technologies CTS Holdings Limited	United Kingdom
L3Harris Technologies Europe sp. z o.o.	Poland
L3Harris Technologies Flight Capital LLC	Delaware
L3Harris Technologies Germany GmbH	Germany
L3Harris Technologies Holding, LLC	Delaware
L3Harris Technologies Integrated Systems L.P.	Delaware
L3Harris Technologies Investments, Inc.	Delaware
L3Harris Technologies Japan GK	Japan
L3Harris Technologies Limited	Cyprus
L3Harris Technologies Netherlands B.V.	Netherlands
L3Harris Technologies UK Holding Ltd	United Kingdom
L3Harris Technologies UK Limited	United Kingdom
L3Harris Technologies UK Topco Limited	United Kingdom

<u>Name of Subsidiary</u>	<u>State or Other Jurisdiction of Incorporation</u>
L3Harris Technology & Services UK Ltd	United Kingdom

L3Harris Technology (Beijing) Co, LTD	China
L3Harris Trenchant Canada Inc.	Canada
L3Harris Trenchant Ltd	United Kingdom
L3Harris Trenchant NZ Limited	New Zealand
L3Harris Trenchant Pty Ltd	Australia
L3Harris TRL Electronics Limited	United Kingdom
L3Harris TRL Technology Limited	United Kingdom
L-Tres Comunicaciones Costa Rica, S.A.	Costa Rica
Novadyne Energy Systems LLC	Delaware
Pro Flight Leasing LLC	Florida
PSPC Canada Systems, Inc.	Canada
RKO General, Inc.	Delaware
SAMI L3Harris Technologies LLC*	Saudi Arabia
SARL Assured Communications	Algeria
Sunshine General Services, LLC	Iraq
TKD, Inc.	California
Wescam Inc.	Canada
Wescam USA, Inc.	Florida

* Subsidiary of L3Harris Technologies, Inc. less than 100% directly or indirectly owned by L3Harris Technologies, Inc.

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Section 6: EX-23 (EX-23)

Exhibit 23

CONSENT OF INDEPENDENT REGISTERED PUBLIC ACCOUNTING FIRM

We consent to the incorporation by reference in the following Registration Statements:

Form S-8	No. 333-279040	L3Harris Technologies, Inc. 2024 Equity Incentive Plan
Form S-3	No. 333-270103	L3Harris Technologies, Inc. Debt Securities, Preferred Stock, Common Stock, Depositary Shares and Warrants
Form S-8	No. 333-268794	L3Harris Technologies, Inc. Retirement Savings Plan
Form S-8	No. 333-232482	L3 Technologies, Inc. Amended and Restated 2008 Long Term Performance Plan; L3 Technologies, Inc. Master Savings Plan; and Aviation Communications & Surveillance Systems 401(k) Plan
Form S-8	No. 333-222821	Harris Corporation Retirement Plan
Form S-8	No. 333-192735	Harris Corporation Retirement Plan
Form S-8	No. 333-163647	Harris Corporation Retirement Plan
Form S-8	No. 333-75114	Harris Corporation Retirement Plan
Form S-8	No. 333-130124	Harris Corporation 2005 Equity Incentive Plan
Form S-8	No. 333-207774	L3Harris Technologies, Inc. 2015 Equity Incentive Plan

of our reports dated February 14, 2025, with respect to the consolidated financial statements of L3Harris Technologies, Inc. and the effectiveness of internal control over financial reporting of L3Harris Technologies, Inc. included in this Annual Report (Form 10-K) of L3Harris Technologies, Inc. for the year ended January 3, 2025.

/s/ Ernst & Young LLP

Orlando, Florida

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Section 7: EX-24 (EX-24)

Exhibit 24

POWER OF ATTORNEY

KNOW TO ALL PERSONS BY THESE PRESENTS, that each person whose signature appears below constitutes and appoints CHRISTOPH T. FEDDERSEN and JOHN C. SCARBOROUGH, JR., each and individually, as his or her true and lawful attorneys-in-fact and agents, with full power of substitution and resubstitution, for and in the name, place and stead of the undersigned, for him or her in any and all capacities, to sign the Annual Report on Form 10-K of L3Harris Technologies, Inc., a Delaware corporation, with respect to the fiscal year ended January 3, 2025, and to sign any and all amendments to such Annual Report on Form 10-K and to file the same, with all exhibits thereto and all other documents in connection therewith, with the Securities and Exchange Commission, granting unto each of such attorneys-in-fact and agents, and each of them, full power and authority to do and perform each and every act and thing requisite and necessary in connection with such matters and hereby ratifying and confirming all that each such attorneys-in-fact or agents or their substitutes, may do or cause to be done by virtue hereof. This Power of Attorney may be signed in counterparts.

Date: February 14, 2025.

/s/ CHRISTOPHER E. KUBASIK

Christopher E. Kubasik
Chair and Chief Executive Officer

/s/ HARRY B. HARRIS, JR.

Harry B. Harris, Jr.
Director

/s/ KENNETH L. BEDINGFIELD

Kenneth L. Bedingfield
Senior Vice President, Chief Financial Officer and
President, Aerojet Rocketdyne

/s/ LEWIS HAY III

Lewis Hay III
Director

/s/ JOHN P. CANTILLON

John P. Cantillon
Vice President, Principal Accounting Officer

/s/ RITA S. LANE

Rita S. Lane
Director

/s/ SALLIE B. BAILEY

Sallie B. Bailey
Director

/s/ ROBERT B. MILLARD

Robert B. Millard
Director

/s/ THOMAS A. DATTILO

Thomas A. Dattilo
Director

/s/ DAVID S. REGNERY

David S. Regnery
Director

/s/ ROGER B. FRADIN

Roger B. Fradin
Director

/s/ EDWARD A. RICE, JR.

Edward A. Rice, Jr.
Director

/s/ JOANNA L. GERAGHTY

Joanna L. Geraghty
Director

/s/ WILLIAM H. SWANSON

William H. Swanson
Director

/s/ KIRK S. HACHIGIAN

Kirk S. Hachigian
Director

/s/ CHRISTINA L. ZAMARRO

Christina L. Zamarro
Director

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Section 8: EX-31.1 (EX-31.1)

Exhibit 31.1

CERTIFICATION

I, Christopher E. Kubasik, Chair and Chief Executive Officer of L3Harris Technologies, Inc., certify that:

1. I have reviewed this Annual Report on Form 10-K of L3Harris Technologies, Inc.;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - (a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - (b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - (c) Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - (d) Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):
 - (a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - (b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: February 14, 2025

/s/ Christopher E. Kubasik

Name: Christopher E. Kubasik

Title: Chair and Chief Executive Officer

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Section 9: EX-31.2 (EX-31.2)

Exhibit 31.2

CERTIFICATION

I, Kenneth L. Bedingfield, Senior Vice President, Chief Financial Officer and President, Aerojet Rocketdyne of L3Harris Technologies, Inc., certify that:

1. I have reviewed this Annual Report on Form 10-K of L3Harris Technologies, Inc.;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - (a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - (b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - (c) Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - (d) Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):
 - (a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - (b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: February 14, 2025

/s/ Kenneth L. Bedingfield

Name: Kenneth L. Bedingfield

Title: Senior Vice President, Chief Financial Officer and President,
Aerojet Rocketdyne

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Section 10: EX-32 (EX-32)

Exhibit 32

**Certification of Christopher E. Kubasik and Kenneth L. Bedingfield
Pursuant to Section 1350 of Chapter 63 of Title 18 of the
United States Code as Adopted Pursuant to Section 906
of the Sarbanes-Oxley Act of 2002**

In connection with the filing of the Annual Report on Form 10-K of L3Harris Technologies, Inc. ("L3Harris"), as filed with the Securities and Exchange Commission on the date hereof (the "Report"), each of the undersigned, Christopher E. Kubasik, Chair and Chief Executive Officer, and Kenneth L. Bedingfield, Senior Vice President, Chief Financial Officer and President, Aerojet Rocketdyne, hereby certifies, pursuant to 18 U.S.C. §1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002, that:

- (1) The Report fully complies with the requirements of Section 13(a) or 15(d), as applicable, of the Securities Exchange Act of 1934, as amended; and

(2) The information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of L3Harris as of the dates and for the periods expressed in the Report.

Date: February 14, 2025

/s/ Christopher E. Kubasik

Name: Christopher E. Kubasik

Title: Chair and Chief Executive Officer

/s/ Kenneth L. Bedingfield

Name: Kenneth L. Bedingfield

Title: Senior Vice President, Chief Financial Officer and President,
Aerojet Rocketdyne

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